

Sarda Energy (SARDAEN)

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Call: Aug 2022

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Raipur (CG) 493111, India oe ae Tel: +91 771 2216100 . Moy Fax : +91 771 2216198/99 we anfan B PAN No.: AAACR6149L

Ce CIN : L27100MH1973PLC 016617

www.seml.co.in

info@seml.co.in

BSE Ltd

The Department of Corporate Services

Phiroze Jeejeebhoy Towers

Dalal Street - Mumbai 400 001 SARDA SARDA ENERGY & MINERALS LTD

6th August 2022

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra (E), Mumbai - 400051

Fax. No: 022-26598237/ 38, 022-26598347 /48

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Dear Sir,

Sub: Transcript of the earnings call conducted on 1 August 2022

Please find enclosed herewith the transcript of the Q1 / FY 23 Earnings Conference Call conducted on 1* August 2022. This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in,

Thanking you,

Yours faithfully,

For Sarda Energy & Minerals Ltd.

~

Authorized Signatory

Encl: As above

Registered Office : 73/A, Central Avenue, Nagpur (MH) 440018. Tel: 91 712 2722407 Fax: 0772-2722107 India
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"Sarda Energy & Minerals Limited Q1 FY-23 Earnings
Conference Call"

August 1, 2022

MANAGEMENT : MR. PANKAJ SARDA - JOINT MANAGING DIRECTOR ,
SARDA ENERGY & MINERALS LIMITED

MR. P. K. JAIN - DIRECTOR & CFO , SARDA ENERGY &
MINERALS LIMITED

MR. MANISH SARDA -DY. MD, SARDA METALS &
ALLOYS LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to the Sarda Energy & Minerals Limited Q 1 FY '23 Earnings Conference Call. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0'

on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pankaj Sarda – Joint Managing Director of Sarda Energy & Minerals Limited. Thank you and over to you, sir.

Pankaj Sarda : Thank you, dear moderator. Good afternoon, everyone, I extend a warm welcome to all of you to the Q1 FY '23 Earnings Call of Sarda Energy & Minerals Limited. Our press release and the investor presentation containing details of the performance has already been uploaded. Today's discussions may include forward-looking statements, which must be considered in conjunction with the risks that the industry in general and our business in particular face and actual results may vary materially.

Global economies are facing macro headwinds on account of challenges posed by high inflation, rising interest rates, Russian-Ukraine war, and resurgence of COVID. The export duties imposed with effect from 22nd May 2022 has changed the whole demand-supply dynamics of steel industry and resulted in sharp corrections in the prices of both, iron inputs and finished steel. With the fall in the domestic steel prices, the same is expected to be rationalized soon.

However, price of coal remains at an elevated level due to supply concerns. Due to higher fuel costs, grid power prices have also been increased by most of the state utilities. This has reduced profit margins in steel and ferro alloys manufacturing. However, we are less affected because we are not exporting any steel products. Secondly, we are captive consuming about 35% to 40% of the iron ore pellets. Thirdly, with the captive coal, our fuel and power cost is lower and stable. And fourthly, the company procures majority of its iron ore requirement from market where prices have corrected. This is also providing a cushion against falling prices of steel. And fifthly, our foreign exposure of imports is hedged by our exports.

Prices of ferro alloys also corrected on oversupply concerns. Price of manganese ore is also correcting globally. However, margins are expected to shrink as compared to last few quarters. We exported 26,300 metric tons of ferro alloys valued about Rs. 338 crores against 17,100 metric tons in Q1 FY '22, valued at Rs. 158 crores and 26,300 metric tons in Q4 FY '22 valued at Rs. 300 crores.

The company has achieved the highest ever quarterly production of iron pellet and captive thermal power. The overall performance of manufacturing facilities has been stable and in line with the last quarter. The 113 megawatt Sikkim Hydro Power project billed 132 million units. At generation bus level, the plant achieved a PLF of 58% in this quarter. However, due to delay in arrival of monsoon and scattered rains, the Gullu Hydro Power Plant in Chhattisgarh generated Sarda Energy & Minerals Limited
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only 3.57 million units against 13.57 million units in corresponding quarter of the previous year. The Uttarakhand project generated 4.04 million units against 4.25 million units in Q1 FY '22. Ongoing projects : The government has approved mining plans of the company for mining of Shahpur West Coal Mine in Madhya Pradesh and for increase in the mining capacity of Gar e Palma Mine from 1.2 million tons to 1.8 million tons. The process of environmental clearance is going on. Work on the ferro alloys expansion project at Vizag is progressing ahead of schedule. And we expect

to start the third furnace in the next quarter against scheduled

commissioning of March 2023. Construction work at 25 megawatt Rehar Hydro Power project is progressing as per schedule. We expect to complete the project before end of FY 2024-25.

Mr. P. K. Jain Ji will brief about financial performance and position of the company.

P. K. Jain: Thanks, Pankaj Ji. The company has achieved quarterly consolidated revenue of Rs. 1,261 crores during quarter one FY '23, registering a growth of 19% quarter-on-quarter and 52% year-on-year. The company has reported operating EBITDA of Rs. 364 crores during the quarter against Rs. 351 crores in previous quarter and an operating EBITDA of Rs. 268 crores in quarter one of previous year. The company's profit after-tax at the consolidated level stood at Rs. 173 crores as against Rs. 207 crores in the previous quarter and Rs. 168 crores in quarter one of the previous year.

The company is supplying hydro power to CSPDCL under cost-plus regulated tariff. The cost of transmission of power from Sikkim to Chhattisgarh was paid by CSPDCL to the transmission utility. Recently, we have received a demand from CSPDCL for payment of transmission charges in terms of PPA. We shall take up the matter with the regulatory commission in the course of approval of the final tariff. The same was not considered in the provisional tariff as a cost. However, as a prudence, we have provided for the transmission charges as an expense in our results. The transmission cost relating to the previous year shall be adjusted against the retained earnings as per provisions of the applicable Indian Accounting Standards.

The company had bought back 811,108 equity shares at Rs. 1,500 per share, which has been completed and the funds have been remitted on 27 June 2022. The acceptance ratio was about 41% in case of retail category and about 2.8% in case of general category.

Debt. : At the standalone level, the company is net debt free with surplus funds. As on 30th June,

2022, gross debt stood at about Rs. 1,400 crores. Bank balance and liquid investments as on 30th June stood at about Rs. 700 crores. The total debt net of the cash and current investments stood at about Rs. 700 crores and the net of loans given as a part of treasury operations is below Rs. 400 crores. Loans repayable within next one year is Rs. 151 crores, Ongoing CAPEX, including coal mines, have been financed from the internal accruals.

Long-term external rating of the company has been upgraded from CRISIL A+ to CRISIL AA - with stable outlook. The company's short-term rating has been upgraded from A1 to highest level

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of A1+. The long-term external credit rating of Sarda Metals was upgraded by two notches from CRISIL BBB+ to CRISIL A. The short-term rating has also been upgraded from A2 to A1. With this, the rating of all subsidiaries of the company stands upgraded to A category. This is a reflection of healthy financials and strong business fundamentals of the company and its subsidiaries.

I now request Shri Manish Sarda to brief about the steel and ferro alloys industry scenario and performance.

Manish Sarda : Thank you, Mr. Jain. The imposition of export duty has adversely affected India's steel production and exports. In quarter one of FY23, India produced 31 million metric tons of steel, recording degrowth of 3% quarter-on-quarter. However, year-on-year, India recorded growth of 9.54% on account of COVID-affected low base of 28.3 million tons. China's crude steel production increased by 16.47% quarter-on-quarter and reduced by 0.8% year-on-year to 283.5 million tons.

Global steel production recorded growth of 8% quarter-on-quarter to 493 mn tons but fell year-on-year by 3.4%. India exported 2.88 million tons steel against 3.89 million tons in previous quarter, constituting 9.3% of production. The domestic

consumption fell from 29 million tons to

27.35 million tons quarter-on-quarter. India continues to be the second largest producer of steel with 6.3% share in the global steel production. Japan with third ranking is far behind us.

Energy and logistic prices which constitute a substantial portion of cost of production and distribution of steel is at elevated levels. As such, prices of finished steel may not go down substantially. Having our own coal mine, we are insulated to a large extent from increase in energy costs. The prices of steel products have moved up backed by demand from consuming sectors who had postponed buying in falling market. Steel demand in India is expected to improve in second half of FY23 with the end of monsoon, driven by increase in government spending, revival in construction activities, and auto sector revival and that should push up the Indian steel prices.

China's steel demand is likely to find support as COVID restrictions ease and pave way for pent-up demand. China is not buying coking coal from Australia. That has kept their cost structure at elevated level. Coke, coal, and energy prices may remain range bound and volatile and that may keep the steel prices at an elevated level. Iron ore and pellet prices may remain subdued due to surplus domestic supply and heavy export duties. Ferro alloys prices may also remain subdued due to oversupply on account of fall in global steel production and capacity additions.

This is all about the performance and outlook, and now we leave the forum open for questions from the participants. Thank you very much.

Moderator : Thank you. We will now begin the question-and-answer session. We have our first question from the line of Subham Agarwal from Aequitas. Please go ahead.

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Subham Agarwal : Good Evening and I would like to congratulate the team on a great set of numbers. Sir, my first question was relating to the coal division. Last quarter, we did a sale of around 223,000 tons and before that almost 2 lakh tons. So, can we take a run rate of 2 lakh tons going forward of external sale of coal? And also, if you could help us with the total revenue and profitability at EBITDA level that we generated because of this thing?

Padam Jain : So, far the sales of the coal is concerned about 50% of our present capacity of 1.2 million tons is captive consumed, rest only will be available for sale. So, the sales will be somewhere in the range of 1.25 lakh tons per quarter to 1.5 lakh tons at the max. If we get the permission for increased capacity, then the sale may increase.

Shubham Agarwal : And for the last quarter, sir, what would be our total sales from coal?

Padam Jain: It was 302,000 tons.

Shubham Agarwal : No, in terms of total value and EBITDA I am asking ?

Padam Jain: We will provide this separately. We have not calculated separately because this is considered majorly for our captive requirements. So, EBITDA is forming part of our steel division. But we

will share with you offline.

Shubham Agarwal: Now secondly, coming to the pellet part of the business. So, obviously, since notification, we have observed a significant decline in pellet prices. Sir, I would like to know the current on-ground reality. Do we see further decline in the prices of pellet going forward? And also, if you can help us understand if there is any challenge in terms of selling the total quantities of pellet going forward?

Pankaj Sarda: Manish Sarda ji?

Manish Sarda: So, let me answer this. We have a pellet capacity of 8 lakh tons installed. And we are mostly utilizing our own pellets for our captive consumption. So, we have very less quantity to sell in the market. And you might have seen that in the recent past that the pellet prices went down with the duties being imposed and there was a certain rebound in terms of the pricing of pellets also.

So, pellet prices have moved back and inched up. And I do not see that the pellet prices will be moving down in the near future as coal prices and energy costs are going up across all the producing states.

So, we personally, as a company, do not see too much of a trouble in terms of selling our pellets because we have a very limited quantity to sell in the open market. And overall, I do not see that the pricing will go down because there is a huge amount of cost pressure from the energy side.

Shubham Agarwal: Sir, so for us, what would be the current cost of production of pellet given the current low price of iron ore, and obviously, we have our captive coal?

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Pankaj Sarda: Mr. Jain, could you answer that question, please?

P. K. Jain: Pardon?

Pankaj Sarda: What is the current cost of pellet with our captive coal?

P. K. Jain: Current cost of pellet with our captive coal and mix of the iron ore fines will be in the range of I think Rs. 6,500 to Rs. 7,000.

Shubham Agarwal: Secondly, sir, on the ferro alloy part of the business, again, my question would be on the similar lines. We saw a significant decline in the last two months as far as realization of ferro alloys is concerned. Obviously, we export most of it, but how do you see the market evolving from here on or is there a stable price that based on the current demand and supply scenario that you see the ferro alloy division coming back to?

Manish Sarda: So, if you look at the market, pricing definitely has gone down for ferro alloys. But to be very honest, the market is very fluid right now because the Ukraine-Russia war, has carried on for a way much longer period of time. So, there are a couple of scenarios now. Europe is facing a huge amount of electricity crisis, gas crisis and oil crisis. There, the steel production, we have seen sharp declines and the demand for ferro alloys is not as strong in Europe as we used to normally witness.

What we are seeing is also that there are issues in terms of production in terms of the ferro alloy plants which are situated in Western Europe and Eastern Europe. And we will have to just wait and watch because some of the plants we have heard have closed down like OFZ in Slovakia has completely shut down operations, which was running at around 55%. So, what we are seeing is right now a flux situation, but I think the prices will go back and elevate up further because production centers will be hampered in a major way because of electricity crisis in Western and Eastern Europe.

Ukraine also may face some issues with Russia going forward. And like we have seen in the past that there were disruptions in the steel plant and one of the steel plants had to completely shut down because of the war situation there. One of the largest producers of ferro alloys in the world is situated in Ukraine. And if there are disruptions there in terms of logistics and in terms of operations and production, we might see a certain spurt in pricing of ferro alloys as well.

So, we personally feel that the markets have stabilized right now and manganese ore prices have also reduced a bit. So, the margins will still be there. The only cost pressure which is right now for the entire steel industry, as to say, is the cost of energy, the coal cost. We are quite insulated from that also because we have our own coal mines and we have got expansion permission. So, we are just trying to ramp up our coal production and trying to see what maximum utilization we can do from our own captive coal.

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Shubham Agarwal: So, our expansion also is scheduled to come by next quarter, right?

Manish Sarda: Yes.

Shubham Agarwal: And finally, on the hydro division. So, there was few new schemes which suggested that in Northeast, the total rainfall

all is very low in the month of July. So, in our catchment area, are we observing the same thing or it is normal for us?

Pankaj Sarda: Yes, we are observing similar trends in our catchment area as well.

Shubham Agarwal: Similar as in normal situation?

Pankaj Sarda: Yes. As the news feed you have got, even in our catchment area it is showing that the rain in this last 15, 20 days, there has been a little shortfall, but let's see how it goes from here.

Moderator: Thank you. We have our next question from the line of Rakesh Shah, an Individual Investor. Please go ahead.

Rakesh Shah : So, I just had a couple of basic questions about the coal mines. So, what is the coal requirement in quantity at the Raipur plant and the Vizag plant?

Pankaj Sarda: So, both, as mentioned, around 0.6 million tons to 0.7 million tons.

Rakesh Shah : So, how was the coal requirement met before the Gare Palma plant?

Pankaj Sarda: So, we were buying and importing a lot also from abroad from South Africa and Indonesia. So, because the prices there have escalated so much at the moment, so we are utilizing our own captive coal from our coal mines and substituted that part by our own coal.

Manish Sarda: Mr. Shah, we have 1.2 million tons capacity of our coal mines in the current situation and we also have our own washery. So, what we are trying to do is maximizing our captive consumption so that we are insulated from price shocks of the imported as well as market-driven coal pricing.

Rakesh Shah : So, the next question is like the Shahpur coal mine, which is there, from that, we will be selling all of the coal extracted to the outside market s?

Pankaj Sarda: So, Shahpur coal mine, it is an underground coal mine and the grade of coal there is very, very good. So, we can bring it for captive use as well or if the prices there, if we fetch a better price, we can sell it across also from Madhya Pradesh itself. So, it will depend on the coal pricing, etc., during that time.

Moderator: Thank you. We have our next question from the line of Vikas Singh from Phillip Capital. Please go ahead.

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Vikash Singh : Sir, I want to understand that at the industry level there was a lot of talk about capacities has been cut. So, could you give us some idea about in terms of secondary players or the smaller players like yourself, what kind of capacities have been taken off from the market recently?

Pankaj Sarda: Manish Sardaji?

Manish Sarda: Frankly, I have no idea of capacities being taken off from the market in the secondary steel. In fact, it's news to me because temporary shutdowns here and there do happen in the industry. But to say that capacities have been withdrawn from the market is a little unheard for me in the current situation.

Vikash Singh: What I was talking about sir basically these temporary shutdowns. So, during, let us say, next two to three months, what kind of the capacity rebalancing in terms of temporary shutdowns has happened?

Manish Sarda: No, I have no idea and I have not heard apart from temporary shutdowns that any capacity has been taken off from the market. If it is a company which has gone into NCLT or something, that's a separate issue. But otherwise, I do not think so there was a bit of a shock in terms of the duties being imposed by the government in a very sudden manner. But that time, there was a little bit of a shake-up.

But I think everything is now normalized and people have taken cognizance of the fact of the duties and have started reworking. We have seen the iron ore pricing falling and the margins being constant or, let us say, the margins being in place. I have not heard specifically about major shutdowns being taken or major capacities moving out of the industry.

Vikash Singh: Sir, in terms of our cost of production, the steel as well as ferro alloy division, what

kind of the

cost escalation we are building in for the 3Q or 2Q and 3Q basically if we have some visibility up to next six months?

Padam Jain : No, there would not be any material cost escalation. So, far as fuel is concerned, as we told, most of that is already covered by our captive coal mine, although quality there is a little inferior, but we are using after washing that coal. So, it would not materially affect. And so far, it's concerned to the manganese ore, there also prices are falling now. And in case of iron ore also, so far two price corrections have been made even by NMDC and other private players have also reduced their prices. Yes, now it depends how the market moves.

Manish Sarda: No. In fact, just to add on to that, even coke prices have fallen from 42,000 levels, the coke prices have also come down. And I personally believe that relatively the imported coal RB3 and RB2 pricing has also more or less stabilized and it will more or less may come down only, now it will not go up further. So, I think the cost pressure in terms of going forward for Q2 and Q3, I do not think so there will be a visible cost escalation from our perspective. I do not think so there will be a cost escalation at all. In fact, the costs should be going down.

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Vikash Singh: Sir, just small clarification . I believe for sponge iron production, we largely import the coal which is of high -grade and not completely replaceable by the domestic process. So, just wanted to understand, are you saying that even on that side we are not going to have any escalation or we are having some older inventory which is of low cost? So, if you could just elaborate.

Padam Jain: Most of our sponge iron coal requirement also we are meeting out of our captive coal, although that is affecting our production capacity. If you see our sponge iron production has gone down mainly on account of use of the lower grade of coal. So, yes, very small quantity we might be using, but mostly, it will be meeting from our own coal, although that is of inferior quality.

Vikash Singh: Sir, just my last question on our debt level. So, it has been constantly coming down. I remember in our past conference; we say we never gave the guidance of this kind of debt reduction. So, going forward, are we taking us low route because these dynamics have changed in the steel industry and there would be less CAPEX and effectively our debt would continue to reduce or this is a short -term phenomena? Just if you can ju st elaborate on this.

Padam Jain: No, as already stated, we are trying to prepay certain loans. In addition to that, whatever CAPEX are being incurred, those are met out of our cas h accruals . Otherwise, steadily the loans are going down.

Vikash Singh: So, what kind of debt level we are actually targeting by end of this year, if I may ask?

Padam Jain: By given schedule, it will be down. So, far as the long -term debts are concerned, it will be down by Rs. 150 crores , and short -term borrowings are v ery, very minimal. So, in addition to that, whatever we could negotiate, and otherwise, most of it may be planned for the future growth capital.

Vikash Singh: So, this is over and above what we have in 1Q levels, right?

Padam Jain: Yes.

Moderator: Thank you. We have our next question from the line of Aman Madrecha from Augmenta Research Private Limited. Please go ahead.

Aman Madrecha : Sir, I just wanted to ask how is the situation on ground given that there is an export dut y on pellets. So, I guess, like according to one of your peer's calls, so the market has around 25 million tons of pellets. And so, like are we finding it difficult to sell pellets and I believe that we can use pellets captively and share more towards the sponge iron thi ng? But how has been the on-ground situation when we are taking orders for domestic pellets gi

ven the situation of an oversupply?

Pankaj Sarda: Manish Sardaji?

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Manish Sarda: I could not hear you clearly, but your question is basically that there is an overcapacity of pellets in the market right now since there is an export duty on the pellets. Is that right?

Pankaj Sarda: And how it will affect us.

Manish Sarda: So, let me tell you. We as I have previously mentioned, we have installed capacity of 800,00 0 tons of pellet. And we captively utilize our own pellets for our own consumption as we have down -streams up till HB wire. So, we have our own sponge production. We have our own induction melting furnaces.

We have our own rolling mill. And we are barely l eft out with a very small tonnage to sell out in the market. And we have a huge market in and around us itself in Chhattisgarh area. And we never see a possibility in terms of selling our pellets short. So, we do not see too much of a problem in selling ou r pellets as we do not have too much of tonnages to sell in the market.

Moderator: Thank you. We have our next question from the line of Chetan Shah from Jeet Capital. Please go ahead.

Chetan Shah : If my question is just repeated, apologies for the same. S ir, just wanted to understand a thing on the ferro alloy side. If you can give us some sense on how the market looks. I understand on export side you likely alluded that, but if you can give us some flavor on the domestic side of the market? I'm not trying to understand for next couple of quarters, but if I want to understand next two years or three years, how does the demand -supply situation looks like?

Manish Sarda: For next two, three years?

Chetan Shah: Yes. I am just trying to understand in context to our capacity expansion and other things which we are doing. How do you see the demand supply of ferro alloys in the country?

Manish Sarda: See, it is very difficult for me to predict for the next two, three years because it will be a long shot t o give that kind of prediction for next three years or two years. But overall, I can tell you that the market is quite cyclical, as you all know, the ferro alloys industry is cyclical as the commodity it is. And I think that India is on the growth pattern , the way we are moving forward with the capital being infused in infrastructure. I am sure that steel industry has also been growing and the steel production will continue to grow in India.

Plus, one has to realize that with the current crisis in the European sector, whether it is Eastern Europe, Western Europe, they are all having a very high cost of production. And these production centers of steel will not be viable and neither will the ferro alloys production centers in the world will be viable when we look at the cost pressures that they are facing right now with the Russia -Ukraine war. And some of these plants, as I already mentioned, like one of the plants which is a large plant called OFZ ferro alloys in Slovakia has already shut down.

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India has been with all its pluses and minuses being the largest seaborne exporter of ferro alloys, specifically silico manganese, we are the #1 in the world. And for ferro manganese, we are ranked around 8th in the world. And for ferrochrome, we are ranked around #3 in the world or #4 in the world. But largely, India is a dominant producer of silico manganese. And I presume that going forward also; India will be one of the largest exporters of silico manganese to the world markets as we are seeing high cost of power even in Korea, even in Japan. And these production centers are practically fusing out. Like in Japan, there were four plants, but now there is only one plant remaining.

So, all in all, I see that within the domestic side, the story of India is on a very good growth trajectory. We are looking

at increased production of steel going forward in a few years. As far as world markets are concerned, we are still the cheapest and the best producer in terms of silico manganese. Other centers are getting disrupted. So, we have a good potential to grow there as well. So, the demand overall for ferro alloys domestically as well as globally would remain strong for India, barring few incidences like the Russia -Ukraine war where the steel production has dropped down, etc., but also the ferro alloys production has dropped down.

Hopefully, we are also looking forward to the import duty or the anti -dumping duty which has been levied by America for the last so many years to come under the sunset clause and get into a review petition. And there is a 20%, 24% duty structure for silico manganese imports into the U.S., but ferro manganese imports are duty -free. We have seen some ferro manganese exports happening in the last one and a half years to the U.S. And hopefully in the coming year or two, we might see a removal of silico manganese import duty and we might see that market opening up as well for India.

All in all, I personally feel that steel production in India will continuously grow because of the infrastructure -driven steel consumption in this country. And along with that, the ferro alloys will also move up and the demand -supply should balance out automatically. In fact, the demand would be robust for ferro alloys. That's what I think.

Chetan Shah: One last question from my side. Sir, the kind of cash flow which we are generating post our hydro project came onstream and ferro internal expansion and the one ongoing expansion which got done with. Could you just tell us that how this cash flow we wanted to utilize because now our balance sheet is reasonably lean and thin and we do not have a large use of cash? So, if you can give us some sense on use of this capital whether for further expansion or anything, if you can give some sense will be very helpful, as a shareholder?

P. K. Jain: As already stated, whatever expansions are going on in ferro alloys, in coal mining and other smaller projects, those are being funded from internal accruals. In addition to that, we are looking for the mining opportunities. So, many iron ore mines and coal mines are coming for auction. So, there also we are looking for opportunities. In addition to that, we are evaluating various growth opportunities, including inorganic opportunities also, we are evaluating. And even organic growth also we are evaluating. But it will be very difficult to give any concrete plan on

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the growth or expansion because nothing has frozen. We are evaluating multiple options, including a greenfield project, even a brown field project.

So, depending upon how the things move, those funds will be utilized. Part of the funds, looking to the surplus availability of the fund without any specific plan, we have already utilized about Rs. 150 crores for buyback of the shares. So, remaining we are planning for the growth opportunities.

Moderator: Thank you. We have our next question from the line of Marsal, an Individual Investor. Please go ahead.

We have our next question from the line of Rajesh Bhandari, an Individual Investor. Mr.

Bhandari, please go ahead.

Rajesh Bhandari: The prices of ferro alloys with all the turmoil that you were talking about, so are they more or less stable now? And what is the sell price normally our average?

Pankaj Sarda: Manish Sardaji?

Manish Sarda: More or less, the prices have stabilized at the moment and around 74, 75 levels. We are seeing considerable sales happening at those price levels.

Padam Jain : For the 60 -40 grade. For exports it is higher.

Manish Sarda: For exports it will be around 81,000 - 82,000.

Rajesh Bhandari: Now the situation in which we are in, it looks like the de

mand for export should increase because

the way people are putting down the ferro alloys plant s?

Manish Sarda: As I said previously, it is a situation of flux right now. We have to just wait and watch what happens in the next one -and-a-half, two months. And with the war situation actually, nobody anticipated that the war will go so long, but it is still pulling on. So, we will see how things move on in the next two months.

Rajesh Bhandari: Now our capacity expansion, that is for ferro alloys for 35 MVA and in mines etc. also. Now from the revenue point of view, whatever the expansions will happen in internal mines etc., we will have cost savings. But from the revenue point of view, what all are there in our expansion plans?

Manish Sarda: So, we are expanding in ferro alloys almost by 50% in Sarda Metals.

Rajesh Bhandari: The 35 MVA addition which is going to happen, you are talking about that?

Manish Sarda: That is correct.

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Rajesh Bhandari: That is under Sarda Metal?

Pankaj Sarda: That is correct. Apart from that, we are putting up one more 25 megawatt hydro power project. And two more after that are in pipeline. We are trying to get environmental clearances for those two projects.

Rajesh Bhandari: For the hydro?

Pankaj Sarda: For the hydro. Again, around 25 megawatt each. Apart from that, we are waiting for clearances to expand our Gare Palma coal mine from 1.2 million tons to 1.8 million tons. And we are waiting for environmental clearances and applying for forest clearances for our Shahpur coal mine s. So, all these projects are in pipeline.

Rajesh Bhandari: Now we do not have to buy coal from outside?

Manish Sarda: No, it is required because in some places there is a requirement of high grade coal in plants. So, for that we have to buy. Our Vizag power plant is designed on Indonesian coal. So, we are utilizing some of our coal from our coal mine from Raigarh to the Vizag plant. So, there 100% utilization will not happen, so we have to buy from outside.

Rajesh Bhandari: In Q2 our hydro revenue will be higher than this Q1?

Pankaj Sarda: It will totally depend on the rains. So, after Q2 we will come to know.

Rajesh Bhandari: In consolidated revenue, the total income or loss such as the other income loss and unallocated loss and foreign exchange fluctuation loss, is it because of that? Why this much loss happened? What is this about?

Padam Jain: No, the loss in our other income is because in our investment there was a temporary fall in price that has recouped again.

Rajesh Bhandari: So, it is a notional loss?

Padam Jain: Yes, it is notional. But it has recouped after that. So, prices have moved up again.

Rajesh Bhandari: What is this unallocated loss of Rs. 93 crores?

Padam Jain: Unallocated is not loss. That is unallocated expenditure. These are unallocated expenses which are not specific to any particular segment.

Rajesh Bhandari: Please do one favor. Our float is so low, so please split the shares. Please take it as a request, please consider that because float in the market is very less.

Pankaj Sarda: We will think about it, the suggestion what you have given.

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Rajesh Bhandari: Sir, I need your email address, if any question is there, where we will put up that so that we can get the answer?

Padam Jain: We have given at the end of our presentation which is uploaded. You can see in that.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to the management team for closing comments. Over to you.

Padam Jain: Thank you. We thank all the investors who have joined the investor call organized by the company. We hope we have been able to address most of your questions. The presentation made and the discussi

ons held in the conference will help the investors to evaluate the performance in a better way.

Please feel free to reach out us if you have any further questions. The contact details are given at the end of the presentation uploaded on the website of the company as well as exchanges. We look forward to connect with you all again in the next con call. Thank you. Thank you all.

Moderator : Ladies and gentlem en, on behalf of Sarda Energy & Minerals Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

An ISO 9001, ISO 14001 & ISO 45001
Certified Company

SARDA ENERGY & MINERALS LTD.
19th November 2022

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No.: 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 14th November 2022

Please find enclosed herewith the transcript of the Q2 / FY 23 Earnings Conference Call conducted on 14th November 2022. This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Company Secretary

Encl: As above

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"Sarda Energy & Minerals Limited (SEML)
Q2 FY 23 Earnings Conference Call "

November 14, 2022

MANAGEMENT : MR. PANKAJ SARDA , JOINT MANAGING DIRECTOR
MR. P.K. JAIN, DIRECTOR AND CFO
MR. MANISH SARDA , DEPUTY MANAGING
DIRECTOR , SARDA METALS AND ALLOYS LTD

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Moderator: Ladies and gentlemen, good day and welcome to the Sarda Energy & Minerals Q2 H1 FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone telephone. I now hand the conference over to Mr. Pankaj Sarda, Joint Managing Director, Sarda Energy & Minerals Limited. Thank you, and over to you, sir.

Pankaj Sarda: Thanks a lot. A very good afternoon, everyone. I extend a very warm welcome to all of you to the Q2 FY'23 earnings call of Sarda Energy & Minerals Limited. Our press release and investor presentation containing details of performance has been uploaded.

Today's presentation and discussions may include forward-looking statements, which must be considered in conjunction with the risks that the industry in general and our business in particular, face, and actual results may vary materially.

As our name speaks, we are in the business of energy and minerals with diverse revenue streams and the effect of our diversification strategy is reflected in the results of this quarter, which are already before you. The diversification has helped in reducing volatility into our earnings.

Global economies are facing macro headwinds on account of war between Russia and Ukraine and sanctions. This has resulted into supply disruptions creating high inflation. Globally, Central banks are adopting tighter monetary policies to rein in the inflation resulting into liquidity tightening and higher interest rates. World Steel production has gone down in nine months of CY 2022 from 1,461 million tons to 1,405 million tons Y-o-Y. All countries except India and Middle East have reported negative growth. In spite of falling exports and increase in imports, India has reported positive growth in steel production from 87 million tons to 93 million tons in nine months of CY 2022. This reflects inherent strength of Indian economy and domestic steel industry.

Domestic steel industry softened post imposition of export duties. This coupled with increased coal prices has put pressure on margins in steel business. New capacity addition in ferro

alloys and fall in demand due to shutdown of steel capacities has affected ferro alloy prices and margins. Price of high-grade coal remains at an elevated level due to supply concerns and have seen price volatility. Grid power prices have also been increased by most of the state utilities due to increased fuel cost on account of compulsory mixing of imported coal and thermal generation. This has reduced profit margins in steel and ferro alloys manufacturing. However, we are much less affected because :

- 1) We are not exporting any steel products.
- 2) We are captive consuming about 35% to 40% of the iron ore pellets.

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Page 3 of 13 3) With the captive coal, our fuel and power cost is lower and stable.

4) The company procured majority of its iron ore requirement from market where prices have corrected. This has also provided cushion against falling prices of steel.

5) Our For ex exposure of imports is hedged by exports at the consolidated level.

6) We are least affected by increasing interest rates due to low net debt.

7) And finally, our diversification into hydropower sector provides consistent cash flows.

The overall performance of manufacturing facilities except for ferro alloys has been steady Q-o-Q and Y-o-Y. The ferro alloy production and sales was down because of maintenance stoppage of captive power plant at our Vishakapatnam subsidiary for two months. The Company recorded Highest ever Quarterly production of HB wire and Highest ever Half Yearly Production of Pellet and HB wire. One of the power generation units at Raipur was also under maintenance shutdown for part of the quarter, which had a bearing on generation of power and production of steel.

However, it was partly offset by importing power from grid.

We exported 16,740 metric tons of ferro alloys valued about INR175 crore against 24,131 metric tons in Q2 FY'22 valued at INR255 crore and 26,300 metric tons in Q1 FY'23 valued at INR338 crore. The monsoon was delayed, but extended to October, majorly compensating the loss of generation in the initial months.

The 113 -megawatt Sikkim hydropower project billed 312 million units in H1 FY'23.

At generation bus level, the plant achieved PLF of around 63% in the half year.

However, due to delay in arrival of monsoon and scattered rains, the Gullu hydro power plant in Chhattisgarh generated only 44.39 million units against 69.96 million units in first half of the previous year. The Uttarakhand project generated 12 million units against 13.81 million units in H1 FY'22.

Ongoing projects: the installation of ferro alloys expansion project of 36 MVA at Vizag is over. The Company has moved an application for consent to operate the plant. We expect to start trial runs in this month and commercial operation by end of this quarter. We are also evaluating installation of waste heat recovery power plant and waste utilization facility in Vizag. Final decision will be taken after T E V study.

The Government has approved mining plan of the company for mining of Shahpur West coal mine in Madhya Pradesh and for increase in the mining capacity of Gare Palma IV/7 coal mine from 1.2 million ton to 1.8 million ton. The process of environmental clearances is going on. The company plans to increase it in future to 3 million tons per annum.

Construction work at 25 megawatt Rehar hydro project is progressing as per schedule. Order has been placed for long delivery items. We expect to complete the project before the end of FY'24 -'25. We have received permission for increasing the capacity of Uttarakhand hydropower project from 4.8 megawatt to 8.3 megawatt. We are taking steps for other approvals required in this regard.

Now, I hand over to Mr. P.K. Jain, who will brief about financial performance and position of the company. Over to you, Mr. Jain.

P K Jain: Thanks, Pankaj. The Company has achieved quarterly consolidated revenue of INR967 crore during Quarter 2 FY'23 against INR1,261 crore reported in last quarter and INR1,025 crore in corresponding quarter of the previous year. The Company has Sarda Energy & Minerals Limited (SEML)
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Page 4 of 13 reported operating EBITDA of INR281 crore during the quarter against INR365 crore in the previous quarter and operating EBITDA of INR404 crore in Quarter 2 FY'22. Maintenance shutdown of plant by Sarda Metals for 2 months, delayed monsoon and inventory losses on account of fall in the prices and shrinkage of profit margin post export ban are the reasons for fall in the revenue and profitability. The Company's profit after tax at the consolidated level stood at INR181 crore against INR170 crore in the previous quarter and INR256 crore in the Quarter 2 of the previous year.

Debt position: At the stand-alone level, the company is net debt-free with surplus funds. As on 30th September 2022, gross debt at the consolidated level stood at INR1,380 crore. Bank balances and liquid investments as on 30th September stood at INR675 crore. Total debt net of cash and current investments stood at about INR700 crore and net of loans given as a part of treasury operations, the net debt is around INR350 crore. Loans repayable within next 1 year, which is to be serviced by the company is INR166 crore. Ongoing Capex, including the coal mines, has been financed from internal accruals. The Company is not exposed materially to the

currency rate fluctuations. Foreign currency exposure is mostly covered by natural hedge by import / export.

External credit ratings : During the quarter long -term external rating of Chhattisgarh Hydropower LLP was upgraded from ICRA 'A-' to ICRA 'A', with this the external credit rating of the company and all its operating subsidiaries have been upgraded during the current year. Upgradation of credit rating of all the companies is clear reflection of improving financial and long -term sustainable business outlook. I now hand over to Mr. Manish Sarda, who will brief about steel and ferro alloy industry scenario and outlook. Over to Manish .

Manish Sarda: Thank you, Mr. Jain. The imposition of export duty has adversely affected India steel production export. Import of steel has gone up in Quarter 2 FY'23 . India produced 30.1 million metric tons of steel recording degrowth of 2.9% quarter -on-quarter. However, year -on-year India recorded growth of 4.15%. Global steel production was 452 million metric tons in the quarter recording degrowth of 9% quarter -on-quarter and 1.2% year -on-year. India exported 1.8 million tons of steel against 2.8 million metric tons in previous quarter.

In the six months India exported 4.68 million tons steel against 10.75 million tons steel during same period of previous year. The domestic consumption increased from 27.36 million metric tons to 27.93 million metric tons quarter -on-quarter. Energy and logistic prices, which constitute a substantial portion of cost of production and distribution of steel, are at elevated levels. As such, prices of finished steel may not go down substantially. Having our own coal mine, we are largely insulated from increase in energy costs.

Outlook: With the end of monsoon, steel demand in India is expected to improve in second half of year '23. The demand will be driven by increase in governmental spending, revival and construction activities and auto sector revival. That should push up Indian steel prices. Any relaxation in export

port duty on steel products will be positive from demand and pricing perspective . Depreciation of rupee will keep imports in check. Cost of production is also moderating due to correction in raw material prices. China steel production may moderate due to winter restrictions. However, the demand is likely to find support as COVID restrictions ease and pave way for pent-up demand from the housing sector. Coke, coal and energy prices may remain range bound with downward bias, iron ore and pellet prices may also remain subdued on surplus domestic supply and heavy export duties.

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Page 5 of 13 Manganese prices have also corrected on falling demand. Ferro alloy prices have started rising again due to production cuts after correction due to oversupply on account of fall in global steel production and capacity additions. However , higher energy prices in other parts of the world may help in improving price realizations. The coal mine gives us a competitive advantage of lower fuel cost from captive consumption and better margins on the sale of coal. The Company is further evaluating various growth opportunities in its field of operations. This is all about the performance and outlook. Now we leave the forum open for question -and-answer session.

Moderator: The first question comes from the line of Shubham Agarwal from Aequitas Investment Consultancy Private Limited.

Subham Agarwal: First of all, congratulations on a decent set of number. So my question is to Mr. Manish Sarda ji on ferro alloy division. So sir, last quarter we saw multiple companies both in Raipur and Vizag taking or preparing their maintenance shutdown in ferro alloy division and we also did that and that's why the volume availability in the market was low. But even after that, the prices went down significantly. Now sir, I wanted to understand how will be the situation in the current quarter and next quarter probably because now most of the maintenance shutdown is also over and availability in terms of volume would be very high this quarter. So, is the demand good enough to take the volume and what's your outlook in that regard?

Manish Sarda: See, domestic demand is quite robust and we are not seeing any major issues in the domestic markets. What we are facing issues are with the international markets where the war is still continuing between Ukraine and Russia. And we have seen the

high electricity prices in the European continent where steel plants are mostly closed or not running at a high level. So the demand pockets in Europe and the Western continent is little poor. But Middle East, Africa, all these places, Asia, we are seeing good demand. So overall, the demand will be a little subdued for sure and domestic demand will remain good. So domestic demand has also gone up with all the steel plants running at good capacity now.

Subham Agarwal: Okay. And so we will be able to maintain our historical number of more than 40,000 tons in Q3?

Manish Sarda: Yes, we should be able to do it. Maybe we'll sell more tonnages in India looking at the demand constraints that we are facing in Europe right now.

Subham Agarwal: Sir, what was our Europe exposure before this when things were normal?

Manish Sarda: We did around 12,000 tons and it depends on the price fluctuation in different parts of the world and accordingly we take the calls because we are exporting to almost 50 to 60 nations. So what are the best prices available like Japan has been a traditional market for us.

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Subham Agarwal: And the new plant will be available only from Q4. That's right?

Manish Sarda: Yes.

Subham Agarwal: Got it. And secondly, coming on to the metal division. So we did a very good quarter in spite of decrease in realization. So, are we confident of maintaining such results if the realization stays where it is?

Manish Sarda: See, frankly speaking, nobody can predict the market pricing as to what happens with the fluidity in the situation where we are seeing very high cost of coal and gas and everything in Europe because, as you are aware, that India is the single largest exporter of ferro alloys to the world. So it all depends upon how things shape up in the next three to four months. Domestic demand, as I said, the domestic steel industry is doing well. The domestic demand looks to be pretty good at the moment. It's quite strong and firm and we are hopeful that the government will take a lenient view on the export duties also, which they've been working on. And it's only a matter of time that we hear some form of reductions in the export duty so that the domestic market is also protected and the international markets are also serviced by the Indian companies. So once that opens up, we are seeing a firm recovery there as well because European steel plants are not working at full capacity and they will be requiring lot of steel. Steel demand will be there. When they will not be able to produce themselves, they'll be definitely importing from India. It's basically the duty structure, which has been imposed by the government has been a bit of a hindrance for the moment.

Subham Agarwal: Got it. And finally, sir, my question was on the hydropower division. So, in the opening remark, you mentioned that one of our power plant we have got approval of increasing the capacity to 8-odd megawatts from current 4.8 megawatts. So, when we will start this production or we will require some CapEx in this also?

P K Jain: Subham, we have already stated in our initial address also, we will be going for further approvals. Since government has approved the expansion of the capacity, now we have to go for other approvals for execution of the project. So, it will take some more time before we start work on the project.

Moderator: Our next question comes from the line of Rajesh Bandari, an Investor.

Rajesh Bandari: Good afternoon Sir. This is Rajesh Bandari. Sir, our export is mainly of ferro alloys. Steel items are domestic consumption. And whatever export of Ferro alloys we used to do, so in this quarter first of all our production was also less, but otherwise is the demand for Ferro alloys the same?

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Page 7 of 13 Manish Sarda: No. Ferro alloys demands internationally has gone down a bit because of the ongoing war between Ukraine and Russia. The European markets are a little down because of their steel production being cut down due to high electricity costs. So, we will see a bit of a demand constraint from the European sector, but domestic demand is pretty good and robust and Middle East demand, the Asian demand is almost at the same levels. So, the only demand constraint what we are seeing is in the European sectors.

Rajesh Bandari : But normally, whatever production we do, it is sold by this time. Are we not supplying ferro alloys in India or...

Manish Sarda: We are very much supplying in India also.

Rajesh Bandari : But the price in India may be lower and price outside is higher.

Manish Sarda: It's always fluid so you have to maintain a balance between the export prices and the domestic prices as well. So it's not necessarily that domestic prices are down and export prices are up. Many times we see domestic prices also being very good. So right now we are seeing a constraint in demand in Europe. But America will be opening up. Because a lot of plants which were supplying from Europe to America, they are also shut because of the high electricity costs. So American demand will be looking out for ferro manganese and people are looking at that avenue as well.

Rajesh Bandari: So like, from the next quarter, our production of ferro alloys will increase in Vizag, so we will be able to sell everything?

Manish Sarda: Yes, we are hopeful that we'll be able to sell off everything.

Rajesh Bandari : And as you said, prices are also improving, ferro alloy prices.

Manish Sarda: Yes, because a lot of production centers are also being affected. Like in Slovakia there's a plant which has just shut down because of high electricity cost. So we are seeing that some demand will come up in the near future because plants are slowly shutting down there because of high electricity costs.

Rajesh Bandari : And we are nowhere affected by this export duty directly? Indirectly, there could be an effect on the price and all that.

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Page 8 of 13 Manish Sarda: Yes. Directly we are not impacted by the export duties because we do not produce those kind of products which have been affected. But overall, it does impact us as well.

Rajesh Bandari : Yes, on the prices it does impact. And sir, the production and realization for ferro alloys in this quarter, on stand-alone INR190 crore approximately, INR36 crore profit, and on consolidated, it is approximately INR345 crore segment realization and INR37 crore profit. Our production for ferro alloys in Vizag was shut down for two months, but at the consolidated level, the value has increased but not the profit. So, from where did this increase in value come from?

Padam Jain: No, there are also some trading activities involved in this. We also traded out something. Like, we did some coal trading and some other goods. So there is very nominal margin in the trading that we did.

Rajesh Bandari : Okay, so because of that reason. And sir, there is a lot of demand for Sarda Energy in the market, but there is very little float. So kindly consider a split of shares so that the float in the market increases.

Padam Jain : Yes, definitely, your request came in last time also, and...

Rajesh Bandari: Oh, I salute your memory. I had requested this. So, please think about it because there is a need for float in the market.

Padam Jain: Yes, yes, definitely.

Rajesh Bandari : So now, going forward, based on the demand etc, things will be moving positive only for us?

Pankaj Sarda : It seems like that. But nothing is sure in this market.

Manish Sarda : One of the major factors that will determine as to how we will progress as a country will also depend upon the ongoing war between Russia and Ukraine because it's not only Russia and Ukraine fighting, it's basically engulfing the entire European continent in terms of the energy. Energy costing has an impact on the overall global economic situation. So that will be a major factor. If things ease out there between Ukraine and Russia, I think a lot of things will fall in place and it will be positive for the entire economy of the world.

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ndari : But the ease out will not happen soon.

Manish Sarda: So, I won't be able to predict.

Rajesh Bandari : But there are some positives and negatives of that too. There are some positives that all the ferro alloy plants over there have been shut down. China also is not exporting ferro alloys

Manish Sarda: Yes, China is not exporting ferro alloys at the moment, but Scandinavian plants are still operating. The European plants have been under pressure. They have shut down.

Rajesh Bandari : European plants have shut down. So, naturally we will benefit from it somewhat.

Manish Sarda: Absolutely.

Rajesh Bandari : Yeah. And, please think about the split.

Manish Sarda: Sure.

Moderator: Our next question comes from the line of Vivek Mehta, an Investor.

Vivek Mehta : So I have two questions. So what is the current trend in thermal coal pricing? And second is how are we hedged due to the currency fluctuation?

Manish Sarda: Thermal coal prices, in the last one week we are seeing a bit of a drop down in terms of the pricing as the overall energy prices have gone down little bit so we are seeing a drop of around \$10 to \$15 in the South African grade of coal. I don't think that the pricing of coal will now be heading upwards and I think it will be more or less subdued only for the next three months or so. And how we are insulated is that we have our own coal mines. So our Raipur plant is completely insulated from any energy fluctuations. And our Vizag plant primarily we are trying to use our own coal from our mines and trying to blend it with the Indonesian and the RB3 coal and trying to make it economical blend for our consumption in our Vizag power plant. As far as currency fluctuations are concerned, we have seen a sharp recovery in the rupee right now and the pound has also appreciated to 95, 96 levels. But overall I think the rupee will again be range bound between -- I think roughly between 81.5 to 83.5 and the pound will also be range bound between 93 and 96. We have a natural hedge as we are exporters of ferro alloys and primarily we are importing coal and
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Page 10 of 13 manganese ore. So we don't have too much of a currency exposure in the company because of the natural hedge that we have. I hope that suffices your question.

Moderator: Our next question comes from the line of Samuel Sunendran from Argus Media.

Samuel Sunendran: This is Samuel Sunendran from Argus Media. Sir, can you provide me your tonnage

capacity in ferro alloy? What is your current capacity for ferro alloy and after expansion, how much it would be?

Pankaj Sarda: Currently we are 111 MVA and after expansion we'll become 147 MVA.

Samuel Sunendran: And sir, in terms of tonnage?

Manish Sarda: See that tonnage will depend upon the product that we choose to produce. If we choose to produce ferro manganese, our capacity will be roughly 240 - odd thousand tones and if we don't choose to produce ferro manganese and we choose to produce silico manganese depending upon the profitability and the pricing in the market, we should be roughly around 200,000 tons or close to 180,000 tons. Because there's a lot of play between power and ferro alloys. At times we sell our power as well from Vizag so that time we reduce our capacities also. So it all depends upon the best available profitability and pricing of products that we get at a particular given point of time.

Samuel Sunendran: Okay. Understood. Sir, basically at overall total capacity would be around 240,000 tons if you're going to...

Manish Sarda: Install capacity if we produce - let's say in 3 furnaces we produce ferro manganese.

Samuel Sunendran: Is this about the Vizag plant or other plants?

Manish Sarda: Even in Raipur also, if we produce like suppose -- the pricing of ferro manganese goes up and we produce more ferro manganese, we'll have more production.

Samuel Sunendran: Okay. Sir, what would be overall total capacity of the plant, both plants including if we talk about ferro manganese. That would be the most capacity you could produce..

Manish Sarda: Around 240,000 odd tons.
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Moderator: Our next question comes from the line of Niraj Mansingka from White Pine Investment Management.

Niraj Mansingka: I just wanted to know how is the rainfall in the catchment area of Sikkim and how you will see it impacting it Q3?

Pankaj Sarda: Rainfall has been normal in that area overall. But now since the Q3 will definitely be the off season so October has been reasonably good. Now November, December practically it's the lean season so the capacity utilization presently has come down to maybe about 20%, 25%. It will gradually go down now. Until 15th March generally rains are very, very low so it's very less in that.

Niraj Mansingka: Actually because rains have delayed so that is the reason I asked for Q3.

Pankaj Sarda: We got good comparatively. It was better as compared to the other years. But November, December will definitely be lean season.

Moderator: Our next question comes from the line of Vivek Mehta, an Investor.

Vivek Mehta: Okay. So my next question is, sir, what is the total coking coal requirement per annum? What is the mix between captive and external? And do we purchase the balance coal from Coal India or do we import from other countries?

Padam Jain: Our coal consumption at Raipur is about 1 million tons per annum. Maybe 50%, 60% we have -- 60% we will be consuming from captive mines. Remaining we are procuring from the linkages and some small quantity we use the imported coal also.

Moderator: Our next question comes from the line of Rajesh Bhandari, an Investor.

Rajesh Bhandari: Sir, just one more question. From third quarter, our Vizag ferro alloy production will

start? We'll be able to sell it from the third quarter itself?

Padam Jain: No, assume it to start from the fourth quarter. By November-end, the trial runs will start. One or two months will go in the trial run. We may have some production. Fourth quarter only we should consider for full production.

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Page 12 of 13 Rajesh Bhandari: And per annum capacity will be approximately 40,000 tons depending up on which product we are doing?

Pankaj Sarda: Correct.

Rajesh Bhandari: So sir, like, now our capacity will increase by approximately 10,000 tonnes per quarter, we'll be able to sell it in the market.

Manish Sarda: Yes, sir.

Rajesh Bhandari: Means demand for ferro alloy is absolutely no issue, no problem.

Manish Sarda: In fact if this war eases out and steel plants start back - they kick in, all the European plants and all will start up, demand will be actually quite huge.

Rajesh Bhandari: Yeah, then it will be a golden situation for us. But this is a very big if. Let's hope it eases out as early as possible. This was my main question. And the realization also now onwards will be better for all the things steel as well as the ferro?

Manish Sarda: We are very optimistic that the markets in India are very, very good. And globally also

the Indian steel demand will be good because in the absence of the European steel and the absence of exports from China, we are seeing that India will have an opportunity and everybody is looking towards India as an alternative good option to replace China.

Rajesh Bhandari: Yes. And the realization has improved a little bit compared to the earlier quarters?

Manish Sarda: It's fluid -- I would say it's little fluid right now.

Moderator: Our next question comes from the line of Suraj Kokate, an Investor.

Suraj Kokate: Just wanted to understand how do you see the threat of rising steel imports in India? I think our prices are trading -- the domestic prices are trading at a healthy premium to the landed cost of import. So just wanted to understand what is driving this healthy premium in the market and is it sustainable?

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Page 13 of 13 Manish Sarda: Can you be more specific about your question as to which steel are you talking about?

Suraj Kokate: General steel product imports HRC or coated steel products?

Manish Sarda: So we basically do not produce any flat products. We are into long products. So we primarily would not be able to give you the correct picture of the HRC and the flat products, which are not being produced by us.

Suraj Kokate: Okay. Yes, because you had highlighted that imports in the Q2 were on the higher side so that's why just wanted to get sense of that.

Pankaj Sarda: That was given from overall steel demand supply perspective because if some import is happening to other integrated producers who are producing flat products, they change their product mix that has a bearing on the overall domestic market. That was from that perspective.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Pankaj Sarda for closing comments.

Pankaj Sar da: Thanks. We thank all the stakeholders for their whole -hearted support. The company has been able to report good performance on the strength of backward integration and diversification into hydro sector, which will continue to be our core strength . We hope we have been able to address most of your questions. The presentation made and the discussions held in the conference will help the investors to evaluate the performance in better way. Please feel free to reach out if you have any further questions. Look forward to connect again in the next con call. Thank you all.

Moderator: Thank you. On behalf of Sarda Energy & Minerals Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

An ISO 9001, ISO 14001 & ISO 45001
Certified Company

SARDA ENERGY & MINERALS LTD.
18th February 2023

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No.: 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 13th February 2023

Please find enclosed herewith the transcript of the Q3 / FY 23 Earnings Conference Call conducted on 13th February 2023. This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Company Secretary

Encl: As above

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"Sarda Energy & Minerals Limited Q3 & 9M FY23
Earnings Conference Call"

February 13, 2023

Management: Mr. Pankaj Sarda – Joint Managing Director, Sarda Energy & Minerals Limited
Mr. P. K. Jain – Director & CFO, Sarda Energy & Minerals Limited
Mr. Manish Sarda – Deputy Managing Director, Sarda Metals & Alloys Limited

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Moderator : Ladies and gentlemen, good day and welcome to Sarda Energy and Minerals Limited Q3 and 9M FY23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pankaj Sarda - Joint Managing Director, Sarda Energy and Minerals. Thank you and over to you, sir.

Pankaj Sarda : Thank you, moderator. Good afternoon everyone. I extend a very warm welcome to all of you to the Q3 FY23 Earnings call of Sarda Energy and Minerals Limited. Our 'Press Release' and 'Investor Presentation' containing details of performance has already been uploaded. Today's presentation and discussions may include a forward-looking statement which must be considered in conjunction with the risk that industry in general and our business in particular face and actual results may vary materially.

During the quarter under review, globally economies faced macro headwinds on account of resurface of COVID in China, high inflation, high interest rates, war between Russia and Ukraine and other sanctions.

Globally, central banks adopted tighter monetary policies to rein in the inflation resulting into liquidity tightening and higher interest rates. During CY22, world steel production recorded negative growth of 4.2%. China, which produces half of world steel, has recorded negative growth of 1.92%. Ukraine's production suffered most and was down by 70.7%. India and Iran are the only countries among top-ten countries who have recorded positive growth in CY22. India recorded growth despite fall in steel exports from 3.75 million ton to 1.3 million ton in the quarter Y-o-Y and from 14.5 million ton to 6 million ton during 9 months Y-o-Y and increase in imports from 1.13 million ton to 2.25 million ton in the quarter Y-o-Y and from 3.6 million ton to 5.03 million ton during 9 months Y-o-Y. This has been possible due to robust domestic demand. The apparent consumption in the quarter has gone up from 27.05 to 29.86 million ton and in 9 months from 76.77 million tons to 85.53 million tons. Removal of export duty from 19th November will further boost the domestic steel production.

The central government focused on infrastructure-led CAPEX and the budget will further boost steel demand. This reflects inherent strength of Indian economy and domestic steel industry. Domestic steel prices improved post withdrawal of export duties. The price of fuel has also moderated, however, there is an impact of high-cost inventories in Q3 results in general. New capacity addition in ferro alloys and fall in demand due to shutdown of steel capacity globally, adversely affected ferro alloys prices and margins.

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Grid power prices have been increased by most of the state utility due to increased fuel cost on account of compulsory mixing of imported coal in thermal generation. This has reduced profit margins in steel and ferro alloys manufacturing. However, we are less affected because with the captive coal, our fuel and power cost remains stable.

Secondly, our foreign exposure of imports is hedged by exports at the consolidated level.

Thirdly, we are less affected by the increasing interest rate due to low net debt and fourthly, our diversification into the hydropower sector reduces volatility of our earnings.

The operating performance of manufacturing facilities has been stable. During 9 months ended December 22, we recorded highest ever production of our steel products except

sponge iron. The

sponge iron production was affected on account of use of captive coal as part replacement of high-grade imported coal. We are seeking permission to increase the capacity of wire rod mills from 1,80,000 tons per annum to 2,50,000 tons per annum through debottlenecking without any

major CAPEX.

We exported 20,554 metric tons of ferro alloys valued about Rs. 176 crores against almost 23000 in Q3 FY22, valued at Rs. 289 crores and 16,740 metric tons in Q2 FY23 valued at Rs. 175 crores. The 113-megawatt Sikkim hydropower project billed 388 million units in 9 months FY23. At the generation bus level, the plant achieved PLF of 52% in the 9 months. However, due to delay in arrival of monsoon and scattered rains, the Gullu Hydropower Plant in Chhattisgarh generated only 73.61 million units against 96.43 million units in 9 months of the previous year. The Uttarakhand project generated 19.31 million units against 21.42 million units in 9 months FY22.

Projects: The 36 MVA ferro alloys furnace installed in Vizag commenced production in December 2022. The operation of the furnace is stabilized and commercial operation commenced in January 2023. There is an improved capacity utilization of power plant also, which brings in the benefits of scale. The process of environmental clearance is going on for our coal mines. The public hearing for EC of Shahpur West coal mine has been completed successfully. The process for grant of consent to establish is also going on parallelly.

Construction work at 25 megawatt Rehar hydropower project in Chhattisgarh is progressing as per schedule. Orders have been placed for long delivery items. The project is scheduled to be completed before end of FY24-25. We have received permission for increase in the capacity of Uttarakhand hydropower project from 4.8 megawatt to 7.8 megawatt. We are taking steps for other approvals required in this regard.

Now I hand over to Mr. P K Jainji who will brief about financial performance and position of the company. Over to you, Mr. Jain.

P K Jain : Thank you, Pankajji. The company has achieved quarterly consolidated revenue of Rs. 908 crores during quarter 3 of FY23 against Rs. 967 crores reported in last quarter and Rs. 999 crores Sarda Energy & Minerals Limited
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in corresponding quarter of the previous year. The company has reported operating EBITDA of Rs. 197 crores during the quarter against Rs. 281 crores in the previous quarter and operating EBITDA of Rs. 315 crores in quarter 3 of the previous year. The company's profit after tax at the consolidated level stood at Rs. 130 crores as against Rs. 181 crores in the previous quarter and Rs. 167 crores in quarter 3 of the previous year as available to the owners of this company. Debt position: At the standalone level, the company is net debt-free with surplus funds. As on 31st December 2022, gross debt stood at Rs. 1,370 crores. Bank balance and liquid investments stood at Rs. 725 crores. The net debt of the cash and current investment stood at Rs. 650 crores and net of loans given as a treasury operation; the net debt is just Rs. 250 crores. Loans repayable within one year is Rs. 166 crores. Ongoing CAPEX, including for coal mines have been financed from internal accruals. The company is not exposed materially to currency rate fluctuation. Foreign currency exposure is mostly covered by natural hedges of imports and exports.

I now hand over to Sri. Manish Sarda who will brief about steel and ferro alloys industry scenario and outlook.

Manish Sarda : Thank you Mr. Jain. In quarter 3 FY23, India produced 21.39 million ton of steel recorded a growth of 1.95% year-on-year and 2.3% quarter-on-quarter. Global steel production was 426 million metric tons in quarter recording degrowth of 6% quarter-on-quarter and 5% year-on-year. India exported

1.32 million metric tons of steel against 1.8 million tons in previous quarter.

In the 9 months, India exported 6 million tons of steel against 18.5 million tons during the same period of previous year. Domestic consumption increased from 28.17 million metric tons to 29.86 million quarter-on-quarter. Energy and logistic prices, which constitute a substantial portion of the cost of production and distribution of steel are at elevated levels. As such, prices of finished steel may not go down substantially. Having our own coal mine, we are insulated to a large extent from an increase in energy costs.

Outlook:

The government's focus on infrastructure led CAPEX and renewal of export duty on steel augurs well for the Indian steel industry. Opening up of China has further improved sentiments resulting into increase in steel prices. Coke, coal and energy prices may remain range bound with upward bias, iron ore and pellet prices may also remain stable on strong demand.

Manganese ore prices have also started moving up. Ferro alloy prices are range bound with upward bias due to production cuts after correction due to oversupply on account of fall in global steel production and capacity additions. However, higher energy prices in other parts of the world is helping in improving price realization. The company is evaluating various growth opportunities in the field of its operations. This is all about the performance and outlook. Now we leave the forum open for questions from the participants.

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Moderator : Thank you. The first question is from the lines of Madhukar from Amax Network PLC . Please go ahead.

Madhukar : My name is Madhukar. May I have a lecture from you on the coal situation, the coal trend and the price trend not only price trend, but the quality trend also, so that we get some grip of what is happening in coal fields and how will it affect us ?

Manish Sarda : General understanding of the coal industry?

Madhukar : Yes.

Manish Sarda : So, coal prices , right now internationally are hovering for South African coal , they are basically hovering from \$145 for RB1 , around \$125 to \$130 for RB2 and around \$117 -\$118 odd for RB3.

As far as domestic coal production is considered, we are seeing that there is some improvement, but again the monsoon will set in and the prices will again go up in the international market

because during monsoon time , the mining activities in the domestic mining areas become very slow. So, overall the coal prices are going to remain buoyant because of energy crisis across the globe .

Primarily, there are flooding which has happened in Australia recently due to which we have seen the coking coal prices shoot up and coke prices have also gone up because of that.

Mostly for the next 6 months, if you ask me it will be range bound or may be stable at around these levels but going up above \$145 looks to be difficult for the South African steel coal. So,

this is where the coal markets are right now . Our company is insulated because we have our own coal mines and we are increasing our coal mining capacity also . So, more or less , we are quite insulated from the energy prices in terms of the price movement . You have any specific question with regards to coal that we can answer addressing the general trend .

Moderator : The next question is from the line of Aman Madrecha from Augmenta Research . Please go ahead.

Aman Madrecha : Sir, can you please throw some more light on the scenario of ferro alloys that is happening as you mentioned that the new capacity is coming in the ferro alloys space and reduction in the global steel production , so some more highlight on and some sense on how is the pricing trajectory moving currently for the ferro alloys?

Management : The current pricing for the normal domestic grade 60-15 is hovering

around 77,000 and for the

international market , the export market , the pricing for ferro alloys is around 82 to 84 000 levels .

I personally believe that the market is going to be range bound in this range for the next 3 months or so, but we might see some sharp increase in pricing only after the announcement by the state

government in Andhra for the electricity pricing because there is a talk which is happening that they will be increasing the electricity prices by 80 paisa . So, right now , it is going to be range

bound, but I think in the coming few months , we will see some uptick in prices if the electricity prices move up and manganese ore prices have already moved up by 12 to 13%. So, below this ,

I don't think the prices will go down, but it may move up further.

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Aman Madrecha : And sir , similarly, so how are you seeing the domestic pellet market post removal of export duties? So, is the domestic market able to absorb the pellets or is there over capacity in the market?

Management : You must be knowing that India is close to 100 million plus tons of pellet production and primarily the domestic demand is already met , there is overcapacity , so whatever is left out goes

into export markets in China, Korea, Taiwan , all these markets , they take away but mostly all the domestic demand is met , because it is easier to meet the domestic demand.

Aman Madrecha : We can expect the pellet to hover around ?

Management : Export cycle is a little longer and domestic market is very strong, domestic demand is good, domestic pricing is also good, so people prefer firstly apart from the coastal plants , they prefer that domestic demand is met first and then the export takes place.

Aman Madrecha : The pellet prices are also expected to remain range bound according to the orders of the deals you are getting ?

Management : In the short term , I think yes, it is going to be range bound and the pellet prices also depends upon the price of iron ore in the international market, so right now we feel that the pellet market is going to be buoyant and looks to be quite strong and firm .

Moderator : Thank you. The next question is from the line of Subham Agarwal from Aequis Investment . Please go ahead.

Shubham Agarwal : Sir, I wanted to know a bit more on the ferro alloys , so you have already mentioned few things, but in terms of European production, so the prices of electricity has gone down there, so how do you think it will impact the total demand scenario situation?

Management : There has been a bit of easing in the European side , but we have to understand that in Europe, it

is not that easy to simply shut the plant and stop the plant. What we are seeing is that there is a plant which is based in Slovakia Košice which has been shut down and even after easing out of the electricity pricing, we have not seen the starting up of the plant or any activity there in terms of startup because it is not simple because we are not sure how long the war is going to continue and if the war again resurfaces in a stronger way, I don't think so they will be in a position to actually take on that kind of risk, so they are also waiting and watching because European steel demand is now going to come up in the next quarter and then probably we will have a much better picture as to whether these ferro alloys plants will start or not. The plants based in Norway, they are already running, but mostly on ferro silicon and silicon metal and so they have a better realization there.

Shubham Agarwal : As per our estimation, what would be the total volume of steel plant which is lying idle and which has the potential to come back, if you have any number?

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Management : No, that exact number I don't have for Europe, I don't

have that exact number, but there have

been plants which have been shut down partially and there have been plants in Ukraine which are completely shut. So, we don't have the exact number, but plants in Italy and all are running, but they are not fully back there, they are going to startup. In the next quarter, we are going to see that the demand comes in because we have heard that people are planning to start production in the next quarter.

Shubham Agarwal : And with the increased capacity at our end, what is the incremental volume that we are expecting from Q4 onwards?

Management : Increasing capacity where?

Shubham Agarwal : We have started our new plant 36 MVA, so what is the incremental volume that can be expected from Q4?

Management : I think we will be having roughly 50,000 tons extra capacity.

Shubham Agarwal : And lastly in the coal side, so our 1.8 million tons plan has been approved, so what is the timeline, from when we can start mining those?

Management : We see that in the next 6 to 8 months, we should be able to get permission to operate at full 1.8 million ton.

Shubham Agarwal : And lastly, we have also bid for one of the power plants, so what is the status there if you can appraise us?

Management : No, that is at the bidding stage only. Now bids have been submitted, bids are being examined by the resolution professional and then negotiation process is going on, so it is still at early stage.

Shubham Agarwal : So, just wanted to know what would be the total size of the asset if in case it comes to us, like in terms of numbers?

Management : The plant is 600 megawatt now depends on how the things move, how the negotiations take place. There are multiple factors. It is too early to comment on that, but yes, as far as plant capacity is concerned that is 600 megawatt plant.

Moderator : Thank you. The next question is from the line of Maanvardhan Baid from Laurel Advisory Services. Please go ahead.

Maanvardhan Baid : So, when will the expanded capacity on the washery be operational?

Management : So, for washery expansion we need to have a public hearing. Our application is pending with the environment clearance, we are already submitting the same in this month end and hopefully in

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next 3 months, we will get the environment clearance, but before that in next 3 months we have to do a public hearing for the expansion as well. So, I expect in the next 6 months, we should be able to complete the public hearing and all the environment related approvals and next 6 to 8 months, we should be able to get our clearances for 1.8

Maanvardhan Baid : And also wanted to understand, since we mentioned that we are bidding for additional mining assets, so what are these assets?

Management : So, we are bidding for some iron ore mines that have come for the auctions as well as coal, so we are seeing if some opportunities live for us, so we are bidding for those assets.

Maanvardhan Baid : So, we will be restricted to these 2 minerals only? Coal and iron ore that is where we are ...

Management : As of now, with the auctions that are lined up, yes.

Management : We in the medium term we are definitely looking for manganese assets also, but as of now we have not yet identified any specific one.

Maanvardhan Baid : And also, sir currently on the iron ore front I think we are operating at 30 %-35% of the mine capacity, so just wanted to understand how can that be scaled up and what are the challenges in scaling that up?

Management : The mine size is very small and we don't have much of the scope to increase the output beyond this level, so it will be operating in this range only.

Maanvardhan Baid : Since we are midway through February, from December to February how is the pricing on the ferro alloys front moved ?

Management : The prices in January were much better

. It had moved from 72,000 -73,000 to 80,000 plus . Again, there is some correction as already stated in our recent statement. Presently , it is hovering around 77,000 for 60-14 domestic grade.

Moderator : Thank you. The next question is from the line of Rajinder Singh Kakar , an Individual Investor . Please go ahead.

Rajinder Singh Kakar : As an investor I want, does our share lacks liquidity in the stock market? And this is the golden jubilee year of the company, how we are going to celebrate it?

Management : Yes, 2023 June is golden jubilee year. Next meeting of the board is for accounts result, let us see how the board takes the view in this regard. It will be too early on our part to comment. Yes, we have received the observation of the investors regarding the liquidity and we definitely will discuss this.

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Rajinder Singh Kakar : Sir, this is a request you celebrate the golden jubilee with a bonus share and stock split. Thank you, sir.

Management : Yes, we will definitely convey the investor's feelings.

Moderator : Thank you. The next question is from the lines of Maanvardhan Baid from Laurel Advisory Services . Please go ahead.

Maanvardhan Baid : Sir, just wanted to understand, sir for the benefits of coal, how should we sort of see it in because in the number as a whole, again we are doing our calculation or something because it is not stated as a separate line item or a separate vertical, so just wanted to understand how should we see this portion and sort of X of coal what would the numbers look like and obviously with coal we have what it is like, just wanted to understand that?

Management : As you see, part of the coal is captively consumed in meeting our own requirement and part of the coal is sold in the market because this is a commercial mine, yes definitely first priority is given to our captive requirement , then whatever surplus left out that is sold off and there has been a huge volatility in the prices of coal . There has been drastic movement in the prices , therefore it is very difficult to quantify this specifically , in view of the volatility that how much coal will contribute, but yes results are reflective and in the initial when we acquired , we had estimated definitely EBITDA of Rs. 100 crores plus from coal and it has been better than that, but giving specific figures for coal separately will be very difficult because coal is an integrated part of our operation and our purpose of acquiring the coal mine was to basically support our raw material requirement or getting assured supply of the coal . That was the objective, therefore it will be very difficult to specify any figure for the coal separately, but yes what we had estimated , the performance from the coal mines has been better than that.

Maanvardhan Baid : Sir, this Rs. 100 crores EBITDA figure is an annual figure?

Management : Yes annual, more than that. This is what we had estimated, but because the coal market has been better than what we had estimated, so yes it has definitely contributed better than that.

Maanvardhan Baid : So, absolutely, sir back-of-the-envelope calculation also kind of indicate towards that as to roughly with the pricing, so the portion of coal that we have commercially sold at least on that part, there would be clarity as to in terms of the pricing that it has been sold at etc., that would be slightly simpler , won't it?

Management : So, far as quantum is concerned in the third quarter , we have sold about 1 ,40,000 tons of coal in the market and with an average realization of about Rs. 4,600 a ton.

Moderator : Thank you. The next question is from the lines of Jatin Damania from Kotak Securities. Please go ahead.

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Jatin Damania : Sir, just wanted to understand the trend in the ferro allo

ys , as you rightly pointed out that

manganese ore prices have started moving up, but we haven't seen any significant increase in the ferro alloys prices, so given the trend currently, can one assume that the ferro alloys business will be under pressure for another couple of quarters or more than that?

Manish Sarda : I think you have to understand that the ferro alloys industries have a good run and at that point of time, the manganese ore prices and the coke prices are all stable. Right now , what we are seeing is that the coke price and the manganese ore prices have moved up and ferro alloys prices

have remained stable. I think there will be a bit of pressure for another quarter or so, but then if the prices of electricity move up, then we will be seeing a lot of outages in terms of states like Andhra where we are expecting a price rise of 80 paisa per unit, so then we will see a sudden spurt that will happen in terms of pricing of smaller plants, we will have to shut down.

Jatin Damania : If you look at the last quarter numbers on our ferro alloys business, we reported EBIT loss? So, just wanted to assume that suppose tomorrow Andhra increased the power tariff by 80 paisa and ferro alloys prices move up from 77,000 to 80,000, let us assume on a hypothetical number, sir what realization one can assume that the operational will become a profitable or a breakeven?

Management : We totally enjoy the benefits of captive power plant and with the increase of this, most of the plants, almost all the plants in the Andhra region they are connected to the grid and they don't have their own captive power plant, so directly this Rs. 3,000 -Rs. 4,000 per ton increase and the realized rate will add up to our profits.

Jatin Damania : It is safe to assume at 80,000 level of realization, you will be profitable at the EBIT level? Can we put it like this?

Management : Yes, but again these are all subject to the changes in the price of coal, coke and also the manganese ore, so profitability cannot be linked with the realization price. It is basically relative to the pricing trends and inventory gains, inventory losses. What happens in the rising market you have the inventory gains and inventory losses in falling market. You have the inventory gains or inventory losses also for the time being of may be 2 months or 3 months you have the benefit or loss of the inventories also. What happens if the market is falling or market is rising, so that also affects them. It is not the level of the realization, it is basically relative demand supply that makes the prices move up, but so far as we are concerned, our Raipur operations are profitable even at the present level of operations. In case of our Vishakhapatnam operations because they are dependent on the imported coal to a large extent, yes their margins are under pressure at the present level of pricing, but once the price moves up from here, say by Re. 1 unit, then that will also be in the profit. In terms, you cannot say that this price level, the operations will be profitable or at this price level, this will not be profitable.

Jatin Damania : No, I asked because Manishji initially stated in his opening remarks that the manganese ore prices have gone up by almost 8 to 12% and ferro alloys prices have remained range bound in a Sarda Energy & Minerals Limited

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range of 72,000 to 77,000, so that was on the back of that calculation, I was just wondering that if the costing has gone up and the ferro alloys price has not gone up, what could be the overall drive on our business? That was precisely the question.

Management : In between, there was a correction in the prices of the manganese ore also, though they are recovering because as we stated in January the prices of ferro alloys has also moved up beyond 80,000 plus. Then that is the reflect

ion of increase in the selling price has reflected on the manganese ore prices.

Moderator : Thank you. The next question is from Nikhil Chandak from JM Family Office. Please go ahead.

Nikhil Chandak : I have 2 questions, one is, given the way other players in the industry are also expanding or announcing capacities on the pellet side, do you think in the next 2 years we are in a very serious over capacity kind of a situation and that would impact the realizations quite significantly because everybody is kind of going very aggressive on the pellets expansion? And the second question was from a say next 2 to 3 year perspective out of all your business segments where is it that you are putting behind more CAPEX because what I see from the presentation is there is very little CAPEX which is going into our increasing capacities in any of the segments which are there, some marginal is there, but in the wire rods and HB wire segment, but not very significant, so I am just thinking where will the growth come from year on over the next 2 to 3 years?

Management : So, I will tell you right now, people are expanding on the pellet market, but we are not expanding right now immediately, but we are comfortable with our pellet production and we are utilizing it in-house, so we get more value addition to that. Apart from that, we are looking at mining activities where we are planning to invest and improve efficiencies in terms of our raw material security and overall we are looking at expanding in Vizag a lot and few projects we have already lined up there. So, we will be having expansions, we are looking at opportunities in NCLTs, there are couple of plans which we are looking at. In one of the plants, we are in the bidding stage, so we are equally looking at all growth opportunities which are there and we will expand not just for the sake of expansion, but we will expand it on a very strategic manner which gives us.

Nikhil Chandak : What do you see of big capacity so to say a lot of capacity coming on the pellet side in the next couple of years like an overcapacity kind of a scenario?

Management : As it is, we have always been overcapacity in the pellet market because what people have seen that exporting iron ore will not be a possibility in the future, so what is happening is basically

there are low -grade fines which needs to be beneficiated and after beneficiation you need to make it into pellet. Only then , you will be able to export something out of the country, otherwise iron ore exports on its own is not going to be a future of the country. So, most of the pellet capacity which is coming in is also from an export perspective because people have lot of fine

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lying in their mines. We need to beneficiate that. They can't really take away the product and export it straight away. So, expansion has always been there in this industry; the overcapacity has always been there in the industry .

Nikhil Chandak : It is not an alarming situation to us ?

Management : No, according to us it is not an alarming situation because at the same time if you have seen that the infrastructure growth is also there, steel will also be growing, steel will also be expanding, so pellet demand in India also will be there with the steel growing.

Nikhil Chandak : And do you have a number which you can share on the amount of CAPEX over the next couple of years which is frozen and as per the plan like leaving aside the opportunities which may come up, but what has been decided? Any amount you can share?

Management : As far as CAPEXs are concerned , one is undergoing CAPEXs on the hydropower project of Rs. 250 crores, about Rs. 100 crores we will be spending during the current year, may be Rs. 100 crores plus we will be spending in the next financial year. Next is the coal mines, there we already have a plan

of over Rs. 300 crores plus CAPEX on the second coal mine. In addition to that, there are marginal CAPEXs on the capacity improvement as already stated in our address also. In steel plant , we have achieved almost the highest ever production in all the segments whether it is pellet, whether it is billet or wire rod or HB wire. So, we have been investing and did the bottlenecking in all those things, but these are all smaller routine CAPEXs. In addition to that major CAPEX what we are thinking of is will be going in the iron ore and coal mine acquisitions for which we are constantly evaluating opportunities and few of the mines have come up for bidding and we are participating in those mines and in case of coal mines also , we already submitted a few of our bids and we expect a decision to come up soon . So, mining is one area and in addition to that we have 2 -3 hydropower projects lined up which are in different stages of approvals. So, there is no firmed up CAPEX which is been committed as of now except maybe 600 crore, 700 crores in next two to three years . Beyond that all are in different stages of planning and all those things .

Moderator: Thank you. The next question is from the line of Maanvardhan Baid from Laurel Advisory Services . Please go ahead.

Maanvardhan Baid : On the hydro front how has the monsoon been now that we have seen the complete play out and has it been as per expectation?

Management : So far as Sikkim is concerned we have 113 -megawatt project . There monsoon was more or less in line with our expectation, but so far as Chhattisgarh project of 25 megawatt is concerned it suffered a lot on account of the shortfall in the monsoon and particularly in that particular catchment area. So, as against the 100 million plus unit last year we expect this year to generate about 80 million units from that particular project. So, there was a monsoon deficit in this particular project.

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Maanvardhan Baid : And also, on the Sikkim front I think the power tariff has not yet been frozen?

Management : It is still under examination by the regulator and that process of evaluation is going on. It is a little long drawn process to approve the project cost and all those things, it takes a little long time to go into the whole detailing of the expenses incurred during the last more than 10 years. So, it takes its own time to finalize or freeze the figure.

Maanvardhan Baid : So, presently how is this happening in the sense what we are generating how are we billing and there is the cash flow steady or is it will that take place only after this tariff is confirmed?

Management : No, cash flow is steady . Presently the regulator has given an approval of the provisional tariff based on 85% of the actual cost incurred subject to verification. So, based on that they have given a provisional tariff and we are billing on the provisional tariff and we are getting funds regularly on time based on the provisional billing.

Maanvardhan Baid : And our expectation of the final tariff will be higher than the provisional tariff so once that is finalized then this might be a lumpy income that we show in that quarter or that fiscal year?

Management : Yes, because they have taken by thumb rule 85%, it should improve from here and that will be lump sum amount we will get after finalization of the tariff is what we expect.

Maanvardhan Baid : And tentatively any expectation on when this finalization will happen.

Management : I think during the next financial year somewhere maybe 6 months to 9 months we should be able

to close it, but at the best before the end of the next financial year we will have the final tariff.

This is what we expect.

Moderator : Thank you. The next question is from the line of Madhukar from Amax Network PLC . Please go ahead.

Madhukar : My question at this time is that

in a coal mine environment clearance you take this much time .

Hydro power , to get the tariff approved, this much time you require . This is double engine government or is it half engine government ?

Management : See in the government the procedures are there and the process which are there the government itself assumes when coal mine gets allotted then government itself gives us 51 months' time to start. So, as per normal schedule also because the process involved is so cumbersome in the country. So, it takes its own time and this is an accepted timeframe from the government itself that they are giving us 51 months' time to start from the allotment to get all the approvals and start the mines. So, it is a standard time which it takes to get all these approvals there is a cumbersome process involved in this.

Madhukar : And we do not propose to apply to double engine government to reduce this cumbersome time?

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Management : Sir some improvements have been made , despite that there have been cases the process which is there it will be there, to follow the process it takes time.

Madhukar : As you know wire rod capacity to go to 1 lakh to 2 lakh you have to take the permission?

Management : Yes.

Madhukar : So to increase production you have to get permission?

Management : Yes definitely you need permission. You cannot produce beyond the approved capacity even in the case of pellet we felt that that 6 lakh to 8 lakh ton it took its own time . We cannot produce beyond the approved limit.

Madhukar : This is internal manufacturing?

Management : Whatever permitted capacity to go beyond that , for that you have to follow the process.

Although it will not take much time . We will get the permission very soon in case of wire rod.

Madhukar : Kinetic engineering in 60s, 70s and 80s to get the permission 25,000 to make Luna and he made 1.25 L. Luna has made. So, from Delhi he got the notice that we will put you in jail so then he said put me in jail then nobody came later and if you also will extend that then I do not think that anyone will have guts to punish you for increasing production?

Management : We have to have a respect for the law of the land.

Management : We are a law-abiding corporate citizen so there is no question of entertaining any of this?

Madhukar : We should remain law abiding, but the law should be there.

Management : Sir they have fast tracked all the approval procedure for all the coal clearances also . The meeting which was held in 6 months and now every month they are keeping that meeting to expedite all the issues regarding coal mines. So, definitely whosoever the coal mines who have gone for bidding you will see that in fast traction decisions are happening and they are getting the approvals.

Madhukar : If you push the double engine government then you will get a solution and you have to put that name of bureaucrat who has stopped this do not be afraid. I am a senior citizen and hence I am advising overall.

Moderator : Thank you. The next question is from the line of Rajesh Bhandari Individual Investor. Please go ahead.

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Rajesh Bhandari : Sir I have one request from the next meeting advise the moderator the person who has come for the question he has been asking lot of nonsense questions such questions should not be entertained at all this is my request?

Management : Okay.

Rajesh Bhandari : And before that one investor has requested that this is a Golden Jubilee Year so bonus and stock split and this is a request from my side kindly go through that though I am telling from many days

Management : Definitely.

Rajesh Bhandari : Sir you have said that NCLT plant which is there you are purchasing that, these are related to ferro alloys or these are related to other steel activity?

Management : Sir we have participated in that there are many people in bidding and it is very difficult.

Rajesh Bhandari : Which type of plants you have participated?

Management : The participation which we participated is in thermal power plant not in the steel.

Rajesh Bhandari : Sir in the Andhra price hike will be there of tariff because of that some plant will be closed and rate will be increased of ferro alloy, so is it going to affect the Andhra or in All India basis it will get impacted?

Management : No, in Andhra also there is a very big capacity and in the other states we have brought the imported coal mix which is increasing the tariff in the other states because their cost of coal has gone up. Even in Chhattisgarh also in variable cost adjustment Rs. 1.10 they are charging extra.

Rajesh Bhandari : So, for us it will be a benefit 100%?

Management : Yes because we have captive power.

Rajesh Bhandari : And sir the steel demand and price thing they are both going to increase?

Management : Overall there has been improvement in the steel and export has also increased and many things has happened.

Rajesh Bhandari : In Europe, the thing is very quiet and in China also they are saying opening up, but it is not happening so because of that will there be any difference to us?

Management : We are part of the industry whatever upward or downward move its effect will be there because we are ultimately part of that system.

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Rajesh Bhandari : For your inquiries get started and like Europe is there the demand has started coming?

Management : We are not exporting steel we sale the whole in the domestic market, but yes in ferro alloys we do export.

Rajesh Bhandari : In that demand has picked up or not?

Management : Demand is picking up slowly, but we are expecting more demand in the next quarter once Europe opens up and steel production goes up because they are basically now preparing for the next quarter to start their idle steel plants in the idle capacities which are lined there.

Rajesh Bhandari : Means Europe has started opening up in the steel manufacturing capacity?

Management : Not manufacturing their plants were idle they were not running in full capacity, but next quarter onwards we are hearing that they are going to start up in full capacity. So, once steel production goes out there in Europe we will be able to export a little bit because right now there is a contraction in demand.

Rajesh Bhandari : Ferro alloy requirement will be more?

Management : Yes.

Rajesh Bhandari : And what about China sir?

Management : China we are still not sure it is very difficult proposition to talk about China because one day they say they are opening up, next day they are saying something else. So it is a very difficult proposition to comment on China right now, but China also sooner or later will be opening up because COVID cases have gone down there that is what we understand and the city and the borders which were closed has now been opened up. So, slowly and steadily I think the China thing will also pick up because you are seeing exports of pellets also happening now in China and we are seeing some steel imports also being done in China. So, we are looking at all the possibilities, but next quarter hopefully should be better in terms of demand I am not sure what the pricing exactly would be because it is very difficult because it is a very fluid situation because if the war spreads again then again we will see the energy prices and the blockages for gases.

Rajesh Bhandari : And the Vizag production which is there that is only ferro alloys?

Management : Yes it is purely ferro alloys yes with our own captive power plant.

Rajesh Bhandari : Now what is the total ferro alloy capacity 147 MVA meaning what tonnage?

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Management : So, it also depends upon what products you are producing. If the ferro manganese production goes up or if we are producing silicomanganese. Roughly you can calculate we will be having installed capacity of 225,000 tons annually.

Rajesh Bhandari : Under 147 MVA?

Management : Yes both plants put together Raipur and Vizag.

Rajesh Bhandari : Steel prices have started looking up?

Management : Steel is looking good.

Rajesh Bhandari : What items are there HB wire, wire and all that?

Management : Steel demand is also looking good because government infrastructure spending will be there and we are expecting steel markets.

Rajesh Bhandari : Your market is domestic other than ferro alloy so here the prices have started looking up?

Management : On what.

Rajesh Bhandari : On the HB wire, wire and all these points?

Management : That is what I am trying to tell you that the steel demand looks to be buoyant and the steel pricing also looks to be pretty stable at the moment.

Rajesh Bhandari : Because ferro alloy it is pretty down this time actually?

Management : Ferro alloy industries as you know this is a commodity business so it is cyclical.

Rajesh Bhandari : Because our standalone profits was better than the consolidated profit?

Management : Correct sir, but you know that commodity prices are like this. We have also enjoyed a very good period of ferro alloy last year that was also outstanding. So, that is also once in a blue moon. So, cyclical products will be back in some time.

Rajesh Bhandari : Sir what happens like we have a hope from Sarda that is there and if something here or there happens people say how does this happen that is the thing. Now ferro alloy if they will make any profit people will say it has made so much profit, but not for Sarda . In Sarda they say how less is there that way because of the expectation. Thank you and all the best and take note of the bonus and stock sp lit.

Moderator : Thank you. I now hand the conference over to the management for closing remarks.

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Management : Thank you. We thank all the stakeholders for their whole hearted support. The company has been able to report good performance on the strength of backward integration and diversification into the Hydro Power sector which will continue to be the core strength of the company. We hope we have been able to address most of your questions. The presentation made in the discussions held in the conference will help the investors to evaluate performance in a much better way. Please feel free to reach out , if you have any further questions . Look forward to connect again in the next concall. Thank you.

Moderator: Thank you very much. On behalf Sarda Energy & Minerals Limited that conclude this conference. Thank you for joining us and you may now disconnect your lines.

Note: In the above transcript, some part of discussion was translated from Hindi to English for the Participants namely, Mr Madhukar and Mr Rajesh Bhandari .

Call: Jun 2023

An ISO 9001, ISO 14001 & ISO
45001
Certified Company

SARDA ENERGY & MINERALS LTD.
8th June 2023

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No.: 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 2nd June 2023

Please find enclosed herewith the transcript of the Q4 / FY 23 Earnings Conference Call conducted on 2nd June 2023 . This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Company Secretary

Encl: As above

"Sarda Energy & Minerals Limited
Q4 FY'23 Earnings Conference Call "
June 02, 2023

MANAGEMENT : MR. PANKAJ SARDA – JOINT MANAGING DIRECTOR –
SARDA ENERGY & MINERALS LIMITED
MR. PADAM KUMAR JAIN – DIRECTOR & CFO – SARDA
ENERGY & MINERALS LIMITED
MR. MANISH SARDA – SARDA ENERGY & MINERALS
LIMITED

Sarda Energy & Minerals Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Sarda Energy & Minerals Limited Q4 and FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pankaj Sarda, Joint Managing Director, Sarda Energy & Minerals. Thank you, and over to you, sir.

Pankaj Sarda: Thank you, dear moderator. Good afternoon, everyone. I extend a very warm welcome to all of you to the Q4 and FY '23 Earnings Call of Sarda Energy & Minerals Limited. Today's discussion may include forward -looking statements, which must be considered in conjunction with the risks that industry in general and our business in particular face, and actual results may vary materially.

This year, the company shall be completing 50 years on 23rd June 2023. Over the years in its journey to the Golden Jubilee, the company has grown and diversified, successfully meeting challenges posed by domestic and global economic conditions and industry cycles. As reflected in the changed name, we have diversified from steel to energy and minerals. Steel is one of the downstream products in our offering. This has helped in reducing volatility in its earnings. To commemorate the Golden Jubilee, the Board of Directors have proposed a special dividend of 75% in addition to the regular dividend of 75%, making a total dividend of 150%. Considering the demand from investors to improve the much-needed liquidity in the equity shares of the company, the directors have also proposed to split the share from face value of INR10 each to INR1 each.

During the quarter under review, globally, the economies faced macro headwinds on account of high inflation, high interest rates, failure of certain banks abroad, war between Russia and Ukraine and imposed sanctions. Central banks adopted tighter monetary policies to rein in inflation, resulting into liquidity tightening, demand compression and high interest rates. Price of fuel, though moderate from the past, remained at elevated levels.

As a result, margins in steel and ferro alloys business remained under pressure. New capacity addition in ferro alloys and fall in demand due to stagnancy in steel production globally, adversely affected ferro alloys prices and margins. Grid power prices have been increased by most of the state utilities due to increased fuel costs on account of mixing of expensive imported coal in thermal generation.

This has further put pressure on profit margins in steel and ferro alloys manufacturing. However, we are less affected due to use of our captive coal. The operating performance of manufacturing facilities has been stable. During the year ended March '23 at stand-alone level, we recorded highest ever production of all products except sponge iron. The sponge iron production was affected on account of use of captive coal, which is of relatively lower grade for commercial considerations.

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The coal mine, pellet plant and wire rod mill achieved 100% of the approved capacity. We have received permission to increase production capacity of rolling mill from 180,000 tons per annum to 250,000 tons per annum, which will be achieved through debottlenecking without any major capex.

In Q4 FY '23, we exported 34,560 metric tons of ferro alloys valued at about INR 294 crores against 26,300 metric tons in Q4 FY '22 valued at INR 300 crores and 20,554 metric tons in Q3FY '23 valued at INR 176 crores. During financial year '23, we exported 98,000 metric tons ferro all

oys valued at INR 983 crores against 91,000 tons metric tons, valued at INR 998 crores in FY '22.

The 113 megawatts Sikkim Hydropower Project generated 432 million units in FY'23. At generation mass level, the plant achieved PLF of 44%. However, due to delay in arrival of monsoon and scattered rains, the Gullu Hydropower plant in Chhattisgarh generated only around 80 million units against 105 million units in FY'22. The Uttarakhand project generated 22 million units against 26 million units in FY'22.

Mines & metals - We have received consent to operate for increase in the coal mining in Gare Palma IV/7 coal block by 20% from 1.2 million tons to 1.44 million tons. We are seeking approval for a further increase of 20% during current financial year.

The Expert Advisory Committee of Government of India has recommended grant of Environment Clearance (EC) for Shahpur commercial coal mine. The Consent To Establish (CTE) has been received for the mine. Mine development work will be started after getting forest clearance, which is in process.

The company has been awarded mine development and operation contract for Kalyani underground coal mine in Chhattisgarh by Southeast Coalfields Limited on a revenue-sharing basis. We have estimated extractable reserves of 3 million ton high-grade coal with estimated annual production of 1.8 lakh tons. 4.5% of net revenue shall be retained by SECL. We are required to start production from the mine in third year. Our wholly-owned subsidiary company has been formed for the purpose in the name of Kalyani Coal Mining Private Limited.

The company has also been declared the preferred bidder for Surjagad 1, iron ore block in the state of Maharashtra.

Hydropower project under construction - Construction work at 25-megawatt Rehar hydropower project in Chhattisgarh is progressing as per schedule and is expected to be operational before end of FY '25.

Now I hand over to Mr. P. K. Jain, who will brief you about financial performance and position of the company. Over to you, Mr Jain.

Padam Kumar Jain: Thank you, Pankaj Ji. The company has achieved quarterly consolidated revenue of INR 1,076 crores during Q4 FY '23, against INR 908 crores reported in the last quarter and INR 1,058 crores in corresponding quarter of previous year. The company has reported operating EBITDA

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of INR 209 crores during the quarter against INR 197 crores in the previous quarter and INR 351 crores in Q4 FY '22.

The company's profit after tax at the consolidated level stood at INR 115 crores as against INR 130 crores in the previous quarter and INR 207 crores in the comparable quarter of the previous year.

Debt position - At the standalone level, the company is net debt free with surplus funds. At the consolidated level, the gross long-term borrowing stood at about INR 1,250 crores and the short-term borrowings stood at about INR 150 crores. The total net debt stood at about INR 700 crores and total debt net of the loans given as part of the treasury operations is about INR 400 crores. Loans repayable within next 1 year is INR 180 crores. All ongoing capex, including for the coal mines and for hydropower project, have been financed from the internal accruals.

The credit rating of Madhya Bharat Power Corporation Limited has been upgraded by two notches from IndA- to IndA+ by India rating. This reflects improving performance and financials of the hydro subsidiary in which we have highest debt. The company is not exposed materially to the currency rate fluctuations. The foreign currency exposure is majorly covered by natural hedge by import and export.

I now hand over to Shri. Manish Sarda, who will brief about steel and ferro alloys industry scenario and the outlook. Over to Manish Ji.

Manish Sarda: Thanks, Mr. Jain. During FY '23, the world steel production recorded negative

growth of 2%

from 1,875 million tons to 1,834 million tons. China, which produces more than half of world

steel recorded growth of 3%. India recorded a growth of 5% in FY '23.

India recorded growth despite the fall of 55% in steel exports from 18.37 million tons to 8.34 million tons year-on-year and jump in imports by 45% from 4.8 million to 7 million tons. This has been possible due to robust domestic demand. The apparent consumption has also gone up from 106 million tons to 120 million tons registering a growth of more than 13%.

In Q4 FY '23, India produced 33.18 million tons of steel, recording growth of 5% year-on-year.

Global steel production was 459 million tons in the quarter, recording growth of 1% year-on-year.

Energy and logistic prices, which constitute a substantial portion of cost of production and distribution of steel have receded but are still at elevated levels. As such, prices of finished steel may remain range bound. The central government initiatives on infrastructure-led capex localization and import substitution will further boost steel demand. Input cost of steelmaking, including iron ore, coke, coal and energy may also remain range bound. Steel prices may also remain range bound due to the increased conversion costs.

Manganese ore prices have also softened. Ferro alloys prices are range bound due to production cuts after correction due to oversupply on account of fall in global steel production and capacity additions.

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The company is evaluating various growth opportunities in the field of its operations.

This is all about the performance and outlook. Now we leave the forum open for questions from the participants. Thank you.

Moderator: We have a first question from the line of Subham Agarwal from Aequitas Investment Consultancy.

Subham Agarwal: First of all, I would like to congratulate the entire team of Sarda on the completion of a very important milestone, I really wish best of luck for the next 50 years also. On the first question related to the mining asset, I just wanted a bit more clarification regarding what is the kind of investment that we are looking at, what is the revenue and profitability that we expect, basis the current prices that we have? And what is the total amount of investment that we are looking at for both the mining asset, the MDO contract and iron ore block?

Padam Kumar Jain: Good afternoon. As far as both the mining assets are concerned, these are long-term investments. There won't be any material investment in the near future. As already stated as far as the iron ore block is concerned, this is a virgin block where we have to carry out the exploration activity, then only we'll be able to decide how much area has full potential and based on that final mining plan will be drawn. So it will be very difficult to give any specific figure on the investment as far as the iron ore block is concerned. It will take time to explore and get the finer details on the block.

Subham Agarwal: Okay. And on the MDO contract?

Padam Kumar Jain: So as far as MDO contract is concerned, there also we have got a 3 years' time to start the production. So at least in the near future, there won't be material investment that we will carry out. We are getting the detailed mining plan prepared. Because it was an operating mine, here also, there will not be material investment, except for the land acquisition. So we are evaluating the possibility to what extent initially we have to buy the land to carry out the mining operations. Existing mine was an underground mine and we are exploring both the options, whether to go for the underground mine or for the open cast mine. If we have to go for the open cast mine, we may have to invest about INR 200 crores to INR 300 crores in totality for the project, but it will be over a period of

3 years.

Subham Agarwal: Got it. And when it comes to the coal washery, the plan to raise it to 1.8 Mtpa. So by when are we planning this?

Pankaj Sarda: So in this financial year, we'll apply for getting the environment clearance. And so above 1 million ton has to go to the Central Govt. and a public hearing is also required. So we have to complete that activity as well.

Subham Agarwal: Okay. And the amount of investment in this project?

Pankaj Sarda: So for 1.8 million tons, it is not substantial, it may be around INR 20 crores to INR 25 crores.

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Subham Agarwal: Okay. And secondly, a clarification on the Power division this time. So we reported a loss at EBIT level. So any specific reason why this happened?

Padam Kumar Jain: So for hydropower, this is the lean season. This is the poorest quarter for generation because

during this quarter, we don't have much water flow. And our fixed costs are there, so that's why it happens in this case.

Subham Agarwal: Yes. But if I just consider this Y-o-Y, last year, it was 25 million. And comparatively, this year, we generated higher units? And our sales was also higher compared to last year, but we reported a massive loss comparatively.

Padam Kumar Jain: Yes. There are 2 factors. Last year, we had not provided for the transmission cost because that was on account of CSPDCL. Now CSPDCL has raised the requirement. So as a prudence, we have provided for the transmission cost during this period. So when we compare with the previous year, that is one of the differences.

And second is, last year, we had some sale of power on the IEX at a much better price. This time, the pricing was not that good when we compare with the imported coal cost. So that also had some bearing on the power revenues.

Subham Agarwal: So this transmission cost that you are mentioning, like what is the total amount provided for this? And what is the status like, do we expect this going on for transmission for the coming future?

Padam Kumar Jain: Transmission cost is about INR 10 crores per quarter. And the matter is under negotiation with the buyer and we are also exploring the avenues to get it clarified from the regulator, because we are supposed to get the equity return net of the all costs. So that matter is under representation. Until then, we have provided, as prudence, for the transmission cost.

Moderator: We have our next question from the line of Vivek Mehta an Individual Investor.

Vivek Mehta: I have just only one question. In our ferro business in FY '23, which was impacted due to the market scenario, but now what is your outlook for FY '24? And also, you have added the capacity in ferro. So how confident are you of utilizing the capacity?

Pankaj Sarda: Manish Ji?

Manish Sarda: Yes. The outlook for ferro alloys remains softer for the next 6 months or so. This is because of the global production capacity has also come online, which was shut due to the Ukraine and Russia war, but we have successfully started our third furnace. The additional capacity, which we've added, we'll be able to completely sell the product in the market. The pricing -- the market will only determine the pricing?

Moderator: We have a next question from the line of Vikash Singh from Phillip Capital.

Vikash Singh: Good evening sir and congratulations on completion of 50 years of your company. Sir, my first question pertains to coal blocks. Just wanted to understand that some of the other peers who have received the coal block during that period, they are now giving a guidance of their coal
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block getting delayed. So just wanted to understand that have you also been facing similar problems when the approvals are getting a little bit delayed than previously what you have expected?

Pankaj Sarda:

First of all, thanks for the compliment. Our Gare Palma IV/7 coal block was the first commercial coal block to start in the country. We started the coal block in just 9 months. And our second coal block that we have got in Madhya Pradesh, I mean we are on track. It looks like some hurdles could come, but overall, primarily, it looks that we are on track. We have to start the coal block within 51 months and we'll start it before that.

Vikash Singh: Understood, sir. So we haven't faced similar kind of the problems as of yet. Sir, in terms of our Surjagarh iron ore block, I just wanted to know a little bit more, given its nature of unexplored block. What is the time line you are expecting here? And since it's a JV. So who are the other partners basically there?

Padam Kumar Jain: The other partner is Shyam SEL group who have joined us. So we both have partnered in this, and we have majority stake in the joint venture.

Vikash Singh: So what is our economic interest basically or the offtake agreement, which you have done?

Padam Kumar Jain: The economic interest is 51% with us. And offtake, being a commercial mine, there is no specific offtake. It will be basically market-driven whosoever requires otherwise, it will be sold off in the market. So, it is not on the offtake. It is basically on sharing of the revenues, anyone of us may take or we may sell in the market also. That will be market-driven transaction.

Vikash Singh: Understood, sir. Sir, my next question towards the market dynamics right now. Just wanted to understand how the spot prices are now versus 4Q averages? And given that a lot of price correction has already happened, do you think that price correction is done likely? Or do you still see some weakness to persist over the monsoon period?

Pankaj Sarda: Manish Ji.

Manish Sarda: No, basically, I'll tell you something that the price correction has happened if you compare it to the last quarter, and price correction has happened primarily on the basis of the raw material prices being revised. If you've seen that the coal prices have come down and iron ore prices have

also come down, and so the finished prices have also come down.

Now looking at the future scenario, if the raw material prices go down, and then the market demands are sluggish, then the finished prices will also go down along with that. The important part is we need to understand whether the spread remains the same or not. So the important part for us as a producer, as a manufacturer, is that we have to have our margins intact. That is important for us.

Vikash Singh: Okay, sir. And sir, as imported coal prices have corrected far sharper than domestic, so I just wanted to understand, is this variation is the newly found or it has been followed from quite some time? And domestic prices does not have much legroom to correct from here. In terms of coal, basically, I'm asking.

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Manish Sarda: In terms of coal, I'll explain to you what has happened is that last year, if you remember, there was a big, big shutdown in Indonesia and a lot of licenses were cancelled and the mines were not operational because of irregular activities in Indonesia itself. Now those licenses have been reissued, mines have started operating in a regular fashion now.

So we are seeing a lot of coal coming out from Indonesia as well. And also, the logistics cost, the freight cost of the bulk vessels have also come down. And that is why we are seeing the price of imported coal drastically coming down?

Vikash Singh: So sir, my question was that our domestic prices were usually at a discount to imported given that the e-auction price correction has not been that sharper, do you think that following the historical discounts, would the domestic prices have more legroom to correct or even in the domestic thing, do you think that the prices have c

orrected and further fall in the prices looks unlikely.

Manish Sarda: No, no, sooner or later, the prices have to be in line with the international pricing. The domestic pricing cannot be very high. But there is a lag in terms of that. A lot of linkages, which have been allotted are not being met and a lot of coal is not being shelled out of the government mines.

So once that lag is over, prices will fall in line with international prices and the domestic prices, there won't be much of a variation. Right now what we are seeing is a very specific situation.

Vikash Singh: So, sir, what was our linkage for the quarter? And what are the expectations for next quarter?

Padam Kumar Jain: Most of our linkages are on the verge of expiry and some of them have already expired. Now we are not renewing most of the linkages, except for some high-grade coal. Low-grade coal and medium-grade coal, we are meeting from our captive mines and we are not going for further linkages, except for the high-grade coal.

Vikash Singh: Understood, sir. And just one last question in terms of our capital allocation, if you could give us some idea about the capital allocation policy going forward?

Padam Kumar Jain: I think we have already clarified this -- there are 2 projects. One is the Shahpur Coal Mine where we are investing. Another is the hydropower project in Chhattisgarh. These are the two projects which we have already taken up. And definitely in the pipeline, as already stated, one is the Kalyani coal mine and another is iron ore block we have taken. So, our focus of the capital allocation will be on the mineral resources as a backward integration.

And definitely, in the future, we'll definitely look forward to some bottleneck improvements or waste utilization in our Visakhapatnam project. Similar type of projects, we will be taking so as to get the value addition with a minimal investment, whatever we can get to the maximum value. Otherwise, we have not taken up any major capex for at least next 1 or 2 years so far as any greenfield or brownfield expansion is concerned.

Moderator: We have a question from the line of Rajesh Bhandari from Nakoda Engineers.

Rajesh Bhandari: Namaskar sir, and thank you. This split which has been done, normally split is painful, but this split is good.

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Padam Kumar Jain: Thank you, sir.

Rajesh Bhandari: I wanted to ask one thing. Like the market of ferro alloys was very bad in between. Prices also went down a lot. But now I have heard that in African countries because of the high power prices, a lot of ferro alloy units are being shut, so units are shutting down and that's why demand and price is hoping to increase in next 3 to 6 months?

Manish Sarda: See, Bhandari ji, South Africa basically has raised the prices, plus they have the shortages of power, and same thing happened in Zambia. Zambia also having power shortages and there are new plants providing power, they are at a higher price. As far as production capacity being shut,

yes, a major plant has been shut down, but they have increased their production elsewhere because these companies have their production units in Malaysia, in Sarawak.

So the Ore and Metals have increased their production capacity in Sarawak. I think there will be a little bit of a rise, but there won't be a substantial rise in the next 6 months in the ferro alloys pricing. That is my personal point of view. Because there is a lot of capacity in India also, which has been built up in the last 1.5 years.

Rajesh Bhandari: Yes, Yes. Because Sarawak's prices were good so everyone increased a lot

Manish Sarda: So I don't think so in the next coming 6 months, the prices are going to go up because at the end of the day, the ferro alloys prices are also related to the steel pricing. The steel demand has to be very robust globally. And only

then we can see an upsurge in terms of pricing of ferro alloys.

Rajesh Bhandari: But globally steel demand is picking up sir?

Manish Sarda: Globally, steel demand is picking up, but at the same time, we are seeing that the production centers, which were shut in Europe has also started. And one of the major guzzlers of steel producers of steel products is basically China. China's economy is not showing a good amount of strength. So we'll have to see how China's economy comes up within the next 3, 4 months, 6 months, only then we can say -- because everything is demand driven by China.

Rajesh Bhandari: So in ferro alloys do you have any losses? I mean, we are able to sell the total produce?

Manish Sarda: Yes, yes. We are comfortably selling our products.

Rajesh Bhandari: And at a margin, may be a little less.

Manish Sarda: Yes, the prices, it keeps going up and down, it's a commodity. But overall, it looks to be okay.

Rajesh Bhandari: Second, raw material prices have also come down. So margin normally is maintained?

Manish Sarda: Yes, that also has an effect.

Rajesh Bhandari: And sir, I saw this in last quarter also and in this quarter also consolidated is less than standalone. Profit. Why is it so?

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Padam Kumar Jain: No, profit of Chhattisgarh hydro is already included in standalone also. And in that period, in ferro alloy, like in Sarda metals also there was a little stress. So, there was a loss.

Manish Sarda: We were also shut down for practically 3.5 months in Visakhapatnam. We had a turbine overhauling, which we had to do.

Padam Kumar Jain: And dividend effect is also there. In stand-alone dividend of INR 22 crores was also included plus Chhattisgarh hydro profit is already included. That had effect on consolidated results.

Rajesh Bhandari: Yes, and hydro benefit which we'll get in second and third quarter?

Padam Kumar Jain: Yes.

Rajesh Bhandari: Yes, one thing I will say, you told in your initially opening sentence, that on 23-06-23 our 50 years will be completing.

Padam Kumar Jain: Yes.

Rajesh Bhandari: Sir this 23-06-23 is very good auspicious date. You move it from here and there, all come to six, six. Feels like it is a sixer.

Padam Kumar Jain: Yes. Thank you.

Rajesh Bhandari: So in this sixer, provide a little bit bonus. Declare it on that day.

Padam Kumar Jain: We will present your demand to the Board.

Rajesh Bhandari: It is a very auspicious day, sir. Thank you, sir. Thank you very much sir.

Moderator: We have a question from the line of Prashant Kumar Hazariwala, an Individual Investor.

Prashantkumar H.: Congratulations for completing 50 years. So my question is like have you finalized the unit price for our hydro plant package?

Pankaj Sarda: We have finalized.

Prashantkumar H.: All right. So it is above our consideration? Or is -- how it is like?

Pankaj Sarda: No, what is the question? Have we finalized the units for our hydro power project, right? Was that question?

Prashantkumar H.: Unit price for our hydropower -- for new hydropower we have some sense, and it was told that it's not finalized yet.

Padam Kumar Jain: No, no. That is still provisional tariff, and is yet to be approved by the regulators.

Prashantkumar H.: All right, not yet approved, right?

Padam Kumar Jain: Yes. That is in process. The regulatory process is on.

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Prashantkumar H.: All right. My second question, I'm new to this coal industry. So how coal washeries will add value in our coal mining?

Pankaj Sarda: Sir, our coal is a little low -grade coal. So washeries help to reduce the ash content in the coal. So we could expect a reduction of almost 5% to 10% of ash reduction whenever we are washing coal. And it also helps to reduce the shale. A lot of blended stones come dur

ing coal mining

activity. So the washeries help to reduce that also, which increased the calorific value, quality of coal and product.

Prashantkumar H.: So what grade of coal we are mining?

Pankaj Sarda: So it varies. There are different seams and different seams have different grades of coal. So it varies.

Prashantkumar H.: So varies means like what will be the range? Like any calorific value range you can give us? .

Pankaj Sarda: So the range varies from G11 to G17 grade.

Prashantkumar H.: Okay . And so where our coal is used?

Padam Kumar Jain: So our coal is mostly being used in our captive consumption in our power plant, the washed coal is being used in our sponge iron and ferro alloys unit and in the gasifiers in pellet plant as well .

As this is a commercial coal block, coal is being sold also in the market.

Prashantkumar H.: So our coal is used for this -- all these heavy industries, right?

Padam Kumar Jain: Yes.

Prashantkumar H.: So what is the difference between the Australian coal and our coal, like how it makes a difference for like economically?

Padam Kumar Jain: No. Australian coal is generally of high grade, high maybe G3, G4, that grade. And that is much more costlier. And there are other chemical and physical properties of the coal so it depends upon the end use, where are you using, what exactly is your end use purpose? So there is no direct comparison because ours is G11 and onwards and whereas the imported coal is generally of high Grade .

Manish Sarda: Mr Jain, let me explain, let me just clarify this basic question. I think what you're asking is the economics of the Australian coal versus our coal, right?

Prashantkumar H.: Right. Exactly.

Manish Sarda: Yes. So let me tell you all Australian coal, which comes into the port and from port to Raipur, the freight itself is very, very high. So our coal is cheaper in terms of the logistic cost itself. So that's where the economics comes into picture. And whenever we require high -grade coal, we import a little bit as a sweetener and then we blend it and use it in our applications in our plant. And primarily, we are not buying Australian. We are buying South African coal RB2. So we use Sarda Energy & Minerals Limited

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that as a sweetener wherever it is required. Otherwise, in most of the applications, mostly the major consumer is the power plant. So that's where the economics come into play.

Prashantkumar H.: Right. So where our mines are commercial mines? to whom we sell this coal because you told that Raipur is far from the port state, will be, logistics costs will be much more ?

Manish Sarda: So there are a lot of plants around Raigarh where we are selling this coal. A lot of plants around Chhattisgarh and in the bordering areas, a lot of plants are there. Right now, we don't have too much to sell also because we are also utilizing our own coal, and we are putting it through the washery, upgrading it and then utilizing it in our own applications in our plant.

Prashantkumar H.: Right. So after this expansion, we can sell coal to the...

Manish Sarda: Yes, but there are many plants in and around near our mines in the vicinity, there are a lot of plants. So they all save in terms of the logistics cost. For their landed cost for them to bring anything from Paradip or from Visakhapatnam or from any other port, it will be expensive for them.

Prashantkumar H.: Right. So we have client base, if we expand our capacity, partially, all right?

Manish Sarda: Yes.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Pankaj Sarda for closing comments. Over to you.

Pankaj Sarda: Thank you. We thank all the participants. The company has been able to report a consistent performance on the strength of backward integration and diversification into mining and hydropower, which will continue to be our

core strength and focus of the company. The

presentation made and the discussions held in the conference will help the investors to evaluate the performance in a better way.

We hope we have been able to address most of your questions. Please feel free to reach out to our IR team if you have any further questions. We look forward to connect again in the next call. Thank you all.

Moderator: On behalf of Sarda Energy & Minerals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

AnISO9001,ISO14001&ISO45001

Dear Sir,

Sub: Transcript of the earnings call conducted on

Please find enclosed herewith the transcript of the August 2023. This is for your information and records.

This information is being hosted on the Company's website

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Authorised Signatory

Encl: As above

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No.: 504614 nISO9001,ISO14001&ISO45001
CertifiedCompany

SARDAENERGY&MINERALS LTD.

Transcript of the earnings call conducted on 1st August 2023

Please find enclosed herewith the transcript of the Q1 / FY 24 Earnings Conference Call 2023. This is for your information and records.

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Exchange Plaza, Bandra Kurla Complex

Bandra (E), Mumbai – 400051

Fax. No: 022-26598237/38, 022- 26598347/48

Symbol: SARDAEN Series:

SARDAENERGY&MINERALS LTD.

4th August 2023

Conference Call conducted on 1st National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

26598347/48

Series: EQ

"Sarda Energy & Minerals Limited

Q1 FY'24

MANAGEMENT : MR. PANKAJ
SARDA
M R. PADAM
OFFICER
& MINERALS
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Sarda Energy & Minerals Limited
Earnings Conference Call"
August01, 2023

ANKAJ SARDA – JOINT MANAGING DIRECTOR
ENERGY & MINERALS LIMITED
ADAM KUMAR JAIN – CHIEF FINANCIAL
FFICER, WHOLE-TIME DIRECTOR – SARDA
INERALS LIMITED
ANISH SARDA –DY. MD, SARDA METALS
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IRECTOR –
INANCIAL
ARDA ENERGY
ARDA METALS &

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Moderator: Ladies and gentlemen, good day, and welcome to the Sarda Energy & Minerals Limited, Q1 FY '24 Earnings Conference Call. As a reminder, all participants' lines will be in only-listen-mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pankaj Sarda, Joint Managing Director, Sarda Energy and Minerals Limited. Thank you, and over to you, sir.

Pankaj Sarda: Thank you, dear moderator. Good afternoon, everyone. I extend a very warm welcome to all of you to the Q1 FY '24 earnings call of Sarda Energy & Minerals Limited. Today's discussion may include forward-looking statements, which must be considered in conjunction with the risks that industry in general and our business in particular face, and actual results may vary materially.

The company has completed 50 years of its success journey on 23rd June 2023. To commemorate the occasion, the directors had recommended a special dividend of 75% in addition to the regular dividend of 75% and had also proposed split of each equity share in 10 shares. 4th August has been fixed as record date for splitting the shares. This will improve much needed liquidity in equity shares of the company.

During the quarter under review, globally, the economies continue to face macro headwinds on account of high inflation, high-interest rates, war between Russia and Ukraine and impose sanctions affecting commodity prices, including steel. In India, domestic steel demand continued to grow and was up around 10%, but steel spot prices moderated in line with global cues.

Raw material and fuel prices also moderated further. As such, margins remained stable with downward bias. Central banks continue to adopt tighter monetary policies to rein in inflation,

resulting into liquidity tightening, demand compression and high interest rates. The operating performance of manufacturing facilities has been stable.

During the quarter, we recorded highest ever level of production of 226,360 metric tons of iron ore pellet against capacity of 8 lakh tons per annum. In Q1 FY'24, we exported 29,358 metric tons of ferro alloys valued at about INR242 crores against 26,300 metric tons in Q1 FY '23 valued at INR300 crores and 34,560 metric tons in Q4 FY '23 valued at INR294 crores.

The hydropower generation was low during the quarter as compared to the corresponding quarter of the previous year due to delayed arrival of the monsoon in the eastern part of the country. The total generation was 101 million units against 149 million units during Q1 FY '23. In July, the generation was better YoY.

Mines and Minerals-We have applied for increase in the coal mining capacity from 1.44 million tons to 1.68 million tons and expect to receive permission during the current year. In view of increased in-house coal requirement post acquisition of SKS Power, we are seeking approvals to increase the core mining capacity of Gare Palma IV/7 Coal Mines to 5.2 million Sarda Energy & Minerals Limited

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tonnes in phases. The capacity of the coal washery is also proposed to be increased suitably to meet our requirements.

Process of forest clearance is going on for Shahpur West coal mine in Madhya Pradesh. We expect to commence commercial production before the stipulated period of 51 months from allotment.

Soon, we shall enter into an agreement with SECL for mining of high-grade coal from Kalyani coal mine on revenue sharing business. We have to restart mining within 18 months after obtaining all required approvals, etc. This will be the first mine under revenue sharing model. Surjagad iron ore mine- we expect to get a le

tter of intent for composite license for the mine soon, thereafter prospecting work will be started.

Hydropower project under construction- Construction work at 25-megawatt Rehar hydropower project is progressing as per schedule and it is expected to be operational before the end of FY 25.

Acquisition- Considering the rising power demand and positive outlook for the sector, we have submitted our bid for acquisition of SKS Power Generation(Chhattisgarh) Limited through IBC route. We have been declared assuccessful resolution applicant. The plan has been filed with NCLT for its approval. NCLT has heard the petition and reserved for orders. As part of resolution plan, SKS Power will be merged into our company.

We expect to complete the acquisition before end of current year. SKS is having an operational thermal power plant of 600-megawatt capacity near our coal mine in Raigarh, Chhattisgarh and this acquisition will bring operational synergies with our coal mine. Presently, NTPC is running the plant under O&M contract. We are taking steps to increase mining capacity of the coal mine to meet increased coal requirement. The acquisition will be funded through a judicious mix of debt and equity. Equity fund requirements will be met mostly from surplus funds and internal accruals.

Now, I hand over to Mr. P K Jain, who will brief about financial performance and position of the company. Over to you, Mr. Jain.

Padam Kumar Jain: Thank you, Pankajji. The company has achieved quarterly consolidated revenue of INR1,052 crores during quarter 1 FY '24 against INR1,076 crores reported in the last quarter and INR1,261 crores in corresponding period of the previous year.

The company has reported operating EBITDA of INR207 crores during the quarter against INR209 crores in the previous quarter and INR364 crores in quarter 1 FY '23. The company's profit after tax at the consolidated level, stood at INR173 crores, as against INR115 crores in the previous quarter and INR173 crores in the quarter one of previous year.

At a stand-alone level, the company is net debt free with surplus funds. At the consolidated level, gross long-term loan stood at ~INR1,200 crores and short-term borrowing stood around Sarda Energy & Minerals Limited

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INR100 crores. The total net debt stood about ~INR500 crores and the total debt net of the loans given is just INR150 crores. Loan repayable within next one year is INR110 crores.

Ongoing capex, including for the coal mine and the hydropower project have been financed from the internal accrual. The company is not exposed materially to currency rate fluctuations. Foreign currency exposure is majorly covered by natural hedge by import and export.

Now, I hand over to Shree Manish Sarda, who will brief about Steel and Ferro Alloys industry scenario and also outlook in the coming period. Over to Manishji.

Manish Sarda: Thank you, Mr. Jain. During June quarter, the world steel production recorded negative growth of 3% from 497 million tons to 483 million metric tons. China, which produces more than 57% of world steel recorded negative growth of 4%. India produced 31.9 million metric tons recording growth of 12% despite a fall of 20% in steel exports from 2.88 million metric tons to 2.33 million metric tons year-on-year and jump in imports by 28% from 1.23 million metric tons to 1.58 million metric tons.

This has been possible due to robust domestic demand. The apparent consumption has gone up from 27.5 million metric tons to 30.3 million metric tons, registering a growth of more than 10%. Energy and logistic prices have softened during the quarter. The finished goods prices also softened broadly maintaining margins. Ferro Alloys prices also corrected during the quarter.

Outlook- Input cost of steelmaking, including iron ore, coke, coal, energy may remain range bound with downward bias. Steel prices may also remain range-bound due to seasonal

effect.

Manganese Ore prices have also softened, ferro alloys prices have also softened and may improve from here due to production cut post increase in power tariff, particularly in Andhra Pradesh.

The hydropower projects generally operate at their peak load during quarter two and generate about half of annual generation during the quarter. Since hydropower contributes a substantial amount to EBITDA levels that should result in a better financial performance in Q2. This is all about the performance and outlook.

Now, we leave the forum open for questions from participants.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Rathi from Aequis Investments.

Subham: This is Subham from Aequis. Sir, my first question is related to the thermal power plant that we are planning to acquire. So, by when can we expect the NCLT orders? And what's the timeline that we are expecting internally to consummate this transaction?

Padam Kumar Jain: As stated in our initial comments, the matter has already been heard by the NCLT and it is reserved for orders. But still, matter being subjudice, it is difficult to give any time frame. But what we expect is, I think, before the end of the current year, we should be able to consummate the transaction.

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Subham: And if we are able to get this asset by the end of the year, will we have enough coal for forward integration of our coal mines or will we acquire coal from outside?

Padam Kumar Jain: No, this is IPP. Here whatever power we are supplying under the long-term contracts, for that linkage coals available from the government at concessional price. For independent power projects, there is a different rate. So to the extent, they already have a long-term linked contract. Whatever power we supply even in the future under long-term contract of the power supply, we will get coal from Coal India Limited.

For any power supply under the bilateral contract or on the multilateral forums like IEX or any other exchange, for that we still have to procure coal from outside which we will take from our mine and that will take care of the requirement.

Subham: Okay. And can you also give us some indication as to what will be the size of this transaction?

Padam Kumar Jain: Since the matter is sub judice, it will be very difficult to give you a specific figure. But so far, as the transaction is concerned, it has been bid on competitive basis and at a reasonable price. But giving specific figure will be very difficult because the matter is sub judice. And whatever transaction value is there, that is also again subject to certain adjustments from the date of the admission to the CIRP to the date of the completion of the transaction.

Subham: Got it. Fair enough. And on the Steel division, sir, could you explain what drove the margin so low this quarter compared to last quarter in the Steel division specifically?

Padam Kumar Jain: No. If you see, the prices of steel products have gone down on all the fronts. There is always a time lag between the raw material price correction and finished goods price correction. So, one reason is, we had high cost inventories also and since we have our own coal to that extent our raw material price was not affected.

Subham: Okay. So sir, it would be fair to assume that this is the stable rate margin that we can expect in future quarters also given that our raw material is not expected to go down further.

Padam Kumar Jain: No. But if the prices move up from here, then the advantage will be available. And second thing is whatever the raw material inventory we were holding at a higher price, in the future, we will purchase inventory at a lower cost. In the last two, three months, continuously the pricing of iron ore, coal and manganese ore all the 3 items have gone down. So, the effect of

that shou

Id definitely get reflected.

Subham: And the total coal that we have sold outside also declined substantially this quarter compared to last quarter. Any reason for this?

Padam Kumar Jain: Sales quantity quarter on quarter? If you compare year-on-year, last year, what had happened is we had produced more coal in the January to March '22. We had produced much more quantity because of a limited time slot available for production of the 1.2 million tons. So, because of opening inventory in the first quarter of FY2023, there was higher sales but otherwise, there is no material difference so far as the sales quantity QoQ is concerned.

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Subham: Okay. But if we consider that, we got an approval to increase this quantity in May only, Q-on-Q, we would have expected increase in production, right?

Padam Kumar Jain: No, you are talking about 1.2 to 1.44?

Subham: Yes.

Padam Kumar Jain: That capacity we will produce over a period of 12 months, production will remain stable over the period of 12 months. So, in the coming months, definitely sales will go up and also in the falling market generally buyers also defer their buying. So, that also had some effect on the quantum. But overall, there is not an issue. We will be able to cross what we have sold in the previous year. Our current year sales should be more than that.

Moderator: The next question is from the line of Rakesh Roy from Omkara Capital.

Rakesh Roy: My first question regarding your SKS power, sir. Sir, is the power you use for your captive use or sell sir?

Padam Kumar Jain: No, this will be used for sales, but partly, we may also consume captively if we find the economic sense in consuming power captively by producing there and supplying to our subsidiary. We will evaluate depending upon the situation. But as of now, it is purely for the market sales.

Rakesh Roy: Sir, apart from buying this one, do we need any capex, additional capex for this plant?

Padam Kumar Jain: Yes. Some minor capex not material, but there may be one more capex for FGD related, but we have some time for that. As of now, we don't require material capex. Some minor improvement related capex, maintenance-related capex will be there.

Rakesh Roy: So how old is the plant, sir? How old, sir?

Padam Kumar Jain: It started in 2018.

Rakesh Roy: This is a new one, sir.

Padam Kumar Jain: And in between, it was closed also. So it has not run much of the life.

Rakesh Roy: Okay. Sir, my next question regarding -- so you see the pellet prices have come down. But do you see any more price down in near future? Or what are your outlook in terms of pricing, sir?

Padam Kumar Jain: Manish?

Manish Sarda: We personally don't see too much fall in the pellet pricing going forward, and we are waiting for the China stimulus, which is about to come in anytime. And once the China stimulus is there, we'll be seeing buoyancy in all products of steel.

Rakesh Roy: Okay. So, do you see realization is the same for the full year, sir, FY '24?

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Manish Sarda: Will be difficult to comment on the full year. You know the war between Russia and Ukraine has also intensified, and there are many factors which lead to things going forward. So it will be very difficult to predict for the entire year. But once we are seeing that the Chinese stimulus is in place, you will see that there's a lot of buoyancy which happens in iron ore pellets and related steel products.

Rakesh Roy: Right, sir. So my next question, sir, apart from this 25 mega hydropower in Chhattisgarh, we are looking to add more hydro in near future in the next 2, 3 years?

Pankaj Sarda: Yes, we are.

Rakesh Roy: Okay. And then what is the target of a...

Pankaj Sarda: So we have three more projects lined up. So we are trying our best to get the environment and forest clearances, and then we'll talk about it once w

e have those in place. So we have three more projects lined up.

Rakesh Roy: All three projects are in northeast only or

Pankaj Sarda: All these three projects are in the state of Chhattisgarh itself. They are self-identified projects.

All of them are ~ 25 megawatts each.

Rakesh Roy: Regarding sir, your ferro alloy business, how is ferro alloy business doing? Because ferro alloy market --for Q1, it was a very tough market for ferro alloy? Then what is your outlook for ferro alloy business?

Manish Sarda: So you are well aware that we are in the commodities business and commodities business is cyclical. We have earlier seen very, very good market pricing of Ferro Alloys and we are seeing softening of Ferro Alloy and also demand contraction in terms of Europe and the Western European sector because of the war being on. What we foresee is that when ferro alloy prices go down, also the raw material prices go down, so the margins should remain intact. That is the most important thing. Pricing is up and down depending upon demand. And I think for the next couple of months, we have to see what the Chinese stimulus comes around and what are the contours of the Chinese stimulus and only then we will be able to clearly say what exactly the market would look like.

Moderator: The next question is from the line of Rajesh Bhandari from Nakoda Engineers.

Rajesh Bhandari: Many congratulations for the good results. In fact, the thing about Sarda is that when there is a little bit of dip then people think that there must be some reason. The same is the case with Sarda, revenue becomes low, the reason is that the prices were probably low. Sir, till when will the China stimulus come? 2 months, 4 months, 6 months?

Manish Sarda: The thing is that the stimulus of China, according to what we know, it was supposed to come this week. In fact, it was supposed to come by yesterday evening. But since it is China, we cannot say much about China. But everybody is looking forward to the stimulus only, that what exactly will be the contours of the stimulus.

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Rajesh Bhandari: Within August, it is expected?

Manish Sarda: I'm saying that it should have been there in this week. So I hope by the end of this month, we should be seeing something or maybe in the next week itself, we should be seeing something coming out of China.

Rajesh Bhandari: Sir, the power plant that we have taken, 2x300 is working now. And for the remaining 2x300, all the infrastructure is available. Is there anything like this, sir?

Pankaj Sarda: Yes, all the infrastructure is available. Land is available, the transmission line is available according to 1200 megawatt. The whole water pipeline is available for 1200 megawatt. The whole infrastructure is available for 1200 megawatt. And the railway siding is made according to 1200 megawatt. The raw material handling system is made for 1200 megawatt.

Rajesh Bhandari: We will have to install the main machinery?

Manish Sarda: Correct. If we want to go ahead, then 600 megawatt of environment clearances and everything is in place. That we have to see again.

Rajesh Bhandari: It is only to put machinery and start?

Nilay Joshi: I will just clarify that it is a 2x300-megawatt operational project. And as of now, that is the deal.

Rajesh Bhandari: Okay. Sir, in this power when we will be selling, is it a very profitable business? Because we heard in the middle that there were very low rates for power purchase?

P K Jain: The market has improved from earlier. The market has improved year on year. In the middle, the price of power was very low. But again, it is of commodity type. So, it goes up and down.

But if you see the trend of the last 2-3 years, then the price is on an increasing trend on IEX

Moderator: Next question is from the line of Pawan Nahar an investor.

Pawan Nahar: I am sorry if the question has already been asked because I hav

e joined late. If you could tell

us what is the amount paid for this or what we have agreed to pay for this 2x300 megawatt power plant? One. Two is whether it already has a PPA or will be entering into a PPA later?

How would we be selling? Yes, these two things. If you already have if you could tell us?

P K Jain: This question has already been asked. It has been said that the matter is sub judice before NCLT. So, we will not be able to give specific figures now. But in a neck-to-neck competition, we have been able to avail this facility at a reasonable price. The other thing is about the capacity. This is about tie-up. Part of the capacity, is tied up for long-term, part of that is tied for medium-term and part is freely available which can be tied-up for any term or we can also sell even in the open market. So we have flexibility in all the three manners, something is for long-term, some for medium-term and something is available for open market sale.

Pawan Nahar: So how much is the open capacity?

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P K Jain: Open capacity as of now, we have about 50%.

Pawan Nahar: Okay. So 50% can be sold as merchant.

P K Jain: Or can be sold even in the medium or long-term tie-up with others. That is the option available to us. That will be evaluated and taken care of. For the untied power, we can always have the benefit of our coal for selling in the open market.

Moderator: Next question is from the line of Payal Goenka from Tusk Investments.

Payal Goenka: I want to know about SKS power plant, what will be the source of coal from where you will source the coal for the plant?

Pankaj Sarda: So, you are asking from where we'll source the coal, correct?

Payal Goenka: Yes, yes. So, where from are we planning to source the coal? Is that like from the SECL?

Pankaj Sarda: So there are big SECL coal mines and MCL coal mines around 100-kilometer distance from the power plant, one is Chhal and Baroudin Chhattisgarh itself. And MCL, coal blocks are also very close by.

Payal Goenka: Okay. So sir, currently, do we have any FSA with Coal India for that?

P K Jain: Yes, plant has FSA. Whatever power it is supplying under long-term or medium-term contract FSA is available and coal will be available under those FSAs, but that will be available only for the long-term and medium-term power supply contracts.

Payal Goenka: Okay. So currently, the plant, is it 200 and 300 megawatts, right?

Pankaj Sarda: 2x300 megawatts, correct.

Moderator: The next question is from the line of Namit Mehta from KC Capital.

Namit Mehta: So I'm new to the industry, and I have a few basic questions about the Ferro Alloys business.

Can you actually just walk us through what happened to realizations over FY '22 and FY '23?

And what were the key drivers behind such as spike in realization and then corresponding decline over a period of time?

Padam Kumar Jain: Manish?

Manish Sarda: Hi, Jain sir. Do you want to take that question or should I take it?

Padam Kumar Jain: So far as realizations are concerned, in the Ferro Alloys in 2022-23 was the peak period where realizations were better. In the first quarter, we had realization of more than INR1 lakh per ton, which gradually came down. In second quarter, it was somewhere about INR85,000, then INR76,000 in the range of INR76,000. And in last quarter, realization has come down to INR72,000. And gradually, it has been going down from first quarter of the previous year.

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Namit Mehta: And was this majorly caused by increases in demand? Or were there a lot of supply constraints during this time as well, especially during FY '22-23?

Padam Kumar Jain: Manishji?

Manish Sarda: Can you just repeat the question again please.

Namit Mehta: Yes. Can you just talk a little bit about the factors that have been driving realization? Is it largely supply related? Or was it

demand that drove realizations during FY '22 and then over a period of time in FY '23 and currently?

Manish Sarda: Yes, there was a lot of supply constraint during war between Russia and Ukraine, if you remember, and the prices rocketed to 120,000. And slowly, slowly, the plants started operating in Western Europe and Eastern Europe. And then we gradually saw the realizations coming down. And typically, right now, the market is oversupplied, and we are hoping once China brings back the stimulus, we'll see a lot of material going into China as well.

And what we see is that the markets will remain a little subdued for the moment, but once the power prices start hitting the producers because all of the Ferro Alloys industry has made a good amount of money in the previous highs of the Ferro Alloys industry. So, we're just waiting to see what is the capacity shutdown that is going to take place. And, once the capacity shutdowns are there, the smaller plants, which are not able to cope up with the high electricity prices, we'll see the markets becoming buoyant again.

Namit Mehta: And how much capacity has been added in the last two years?

Manish Sarda: In the last two years, there were three plants which were not operating. They have started and there are two more expansions which have happened majorly in Andhra Pradesh only. And I think the capacity addition roughly would be around 45,000 to 60,000 tons a month.

Namit Mehta: And last question, sir, given the power price hikes in Vizag, what is now the power -- the price differential and cost competitive differential between plants there versus in West Bengal and other regions?

Manish Sarda: So what is the power rate today in Andhra is 7.80 per unit. And for the smaller plants, which are connected on the 33 KV line their tariff is INR8.10 per unit. And if you look at the power pricing in West Bengal and Jharkhand and Chhattisgarh, they are on an average pricing of

around INR4.90 to INR5.50.

Moderator: The next question is from the line of Aditya Rathi from Aequitas Investments.

Aditya Rathi: My question is, again, related to the thermal power plant. So given that after this acquisition, our entire energy asset would become quite substantial. So how do we look at this part of our business going forward? Are we exploring possibilities of value unlocking through demerger of the entire power plant at our division, etc?

P K Jain: I think it may be a little early because first we have to get it integrated with our operations. It has to come to the full capacity utilization. Mine is also to come to the full capacity utilization.

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Then that can always be evaluated. We have a separate vertical on hydro. We have a separate vertical or definitely thermal will also become a little large one. But then we also need to see the synergies with mining. So when it comes to the thermal power plant, because with the captive coal mines, we have got certain advantages on the coal side. So that has also to be taken into consideration while deciding on the situation of the demerger of the vertical.

Moderator: The next question is a follow-up question from the line of Rajesh Bhandari from Nakoda Engineers.

Rajesh Bhandari: Sir, thanks for giving me opportunity again. I wanted to ask that the thermal power plant of SKS, will be under Sarda Energy only or it will be a separate vertical?

P K Jain: It will come under Sarda Energy only.

Rajesh Bhandari: No, no, it will not be a subsidiary of Sarda Energy.

P K Jain: It will be a part of Sarda Energy directly.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference back to the management for their closing comments. Thank you, and over to you.

P K Jain: Yes. Thank you, dear moderator. We thank all the participants. The company has been able to report consistent performance on the strength

of the backward integration and diversification

include mining and hydropower, which will continue to be the core strength and focus of the company. We have perfect synergies in place, the acquisition of SKS Power through IBC should take the company to the next level of growth.

We hope we have been able to address most of your questions. Please feel free to reach out for our IR team if you have any further questions. Look forward to connect again in the next con call. Thank you all.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Sarda Energy & Minerals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2023

An ISO 9001, ISO 14001 & ISO
45001
Certified Company

SARDA ENERGY & MINERALS LTD.
6th November 2023

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No. : 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 31st October 2023

Please find enclosed herewith the transcript of the Q2 & H1 FY 2024 Earnings Conference Call conducted on 31st October 2023. This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Authorised Signatory

Encl: As above

"Sarda Energy & Minerals Limited
Q2 & H1 FY2024 Earnings Conference Call "

October 31, 2023

MANAGEMENT : MR. PANKAJ SARDA – JOINT MANAGING DIRECTOR -
SARDA ENERGY & MINERALS LIMITED
MR. MANISH SARDA – DY. MANAGING DIRECTOR
SARDA METALS & ALLOYS LIMITED
MR. PADAM KUMAR JAIN – DIRECTOR & CHIEF
FINANCIAL OFFICER - SARDA ENERGY & MINERALS
LIMITED

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Page 2 of 17 Moderator : Ladies and gentlemen good day and welcome to the Sarda Energy & Minerals Limited Q 2 and H1 FY2024 Earnings Conference Call. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal for an operator by pressing "*" then "0" on your touchtone phone. Please note that the conference is being recorded. I now hand the conference over to Mr. Pankaj Sarda, Joint Managing Director . Thank you and over to you Sir!

Pankaj Sarda : Thank you, Akshay, and good afternoon everyone and a very warm welcome to each one of you to this call . First of all , I would like to wish a happy festive season ahead . I would like to state that some of the statements made in this call may be forward -looking and a disclaimer to this has been included in the investor presentation .

During the quarter under review globally , the economies continued to face macro headwinds on account of high inflation, high interest rates , war between Russia and Ukraine and imposed sanctions affecting commodity prices including steel. In India , domestic steel demand continued to grow and was up around 10% on Y-o-Y basis but steel spot prices moderated in line with global cues. Raw material and fuel prices also moderated further . As such margins remained stable with downward bias. Central banks continue to adopt tighter monetary policies to rein in inflation resulting into liquidity tightening , demand compression and high interest rate .

The output from manufacturing facilities was lower due to seasonal impact and scheduled maintenance shutdowns . During the quarter, the pellet plant was under scheduled maintenance shutdown for 24 days for refractory relining . One of the sponge iron Kilns was also under shutdown for relining , however it will not affect annual targeted production . In Q2 FY2024 we exported 25,454 metric tonnes of ferro alloys valued at about Rs.189

Crores against 29,358 metric tons in Q1 FY2024 valued at Rs.242 Crores and 16,740 metric tons in Q2 FY2023 valued at Rs.175 Crores. The total generation of our hydro project during six months was 360 million units against 390 million units during H1 FY2023. The lower generation could be attributed to rainfall in eastern sector of the country particularly in catchment

ent areas of our project being below average. In Jashpur district of Chhattisgarh where we have 24-megawatt hydropower plant the rainfall was 38% below average. In Sikkim deficit as compared to previous year was around 10%.

Mines and minerals : Production in Indonesian Coal mine in joint venture is restarted in the quarter under review after acquisition of additional land. During the quarter, the mine Sarda Energy & Minerals Limited
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Page 3 of 17 produced ~87,000 metric tonnes. The production will be ramped up in the ensuing quarters. We have applied for increase in the coal mining capacity of Gare Palma IV/7 coal mine from 1.44 million tonnes to 1.68 million tonnes and expect to receive permission during the current year. In view of increased in-house coal requirement post proposed acquisition of SKS Power, we are seeking approvals to increase the coal mining capacity of Gare Palma IV/7 coal mine to 5.2 million tonnes in phases. The capacity of the coal washer is also proposed to be increased suitably to meet our requirements. Process of forest clearance is going on for Shahpur West coal mine in Madhya Pradesh. We expect to commence commercial production before the stipulated period of 51 months from allotment. Soon, we shall enter into an agreement with SECL for mining of high-grade coal from Kalyani Coal Mines on revenue sharing basis. We have to restart mining within 18 months after obtaining all required approvals etc. This was the first mine under revenue sharing model. Surjaga iron ore mine : we expect to get letter of intent for composite license for the mine. Soon thereafter prospecting work will be started.

Hydropower projects under construction : Construction work at 25 megawatt Rehar Hydro Power Project is progressing ahead of schedule and is expected to be operational well before scheduled completion by end of FY2024-25.

Acquisition : It may be recalled that SEML had bid for SKS power through the NCLT route. NCLT had remitted back to COC the resolution plan of our company for SKS Power for reconsideration of all plants. On our appeal NCLT has stayed the order of NCLT and listed for final disposal on November 24, 2023. SKS is having an operational thermal power plant of 600-megawatt capacity near our coal mine in Raigarh, Chhattisgarh and this acquisition will bring operational synergy with our own coal mine. Presently NTPC is running the plant under O&M contract. We are taking steps to increase mining capacity of the coal mine to meet future coal requirements. The acquisition will be funded through a judicious mix of debt and equity. Equity fund requirements will be met mostly from surplus fund and internal accruals.

Financial performance : The company has achieved quarterly consolidated revenue of Rs.1001 Crores during Q2 FY2024 against Rs.1052 Crores reported in last quarter and Rs.967 Crores in corresponding quarter of previous years. The company has reported operating EBITDA of Rs.240 Crores during the quarter against Rs.207 Crores in the previous quarter and Rs.281 Crores in Q2 FY2023. The company's profit after tax consolidated stood at Rs.141 Crores as against Rs.171 Crores in previous quarter and Rs.181 Crores in Q2 FY2023. Fall in the selling price and shutdown of pellet plant resulted in fall in revenue and profitability.

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Page 4 of 17 Debt: The company is net debt free at consolidated level. The working capital utilization at consolidated level is nil. At the consolidated level gross long-term debt stood at Rs.1150 Crores. Loans repayable within next one year is Rs.182 Crores. Ongoing capexes including our coal mine and hydropower projects have been financed from internal accruals. The company is not exposed materially to the currency rate fluctuation. Foreign currency exposure is majorly covered by

natural hedge by import and export. I now hand over to Shri Manish Sarda ji who will brief about steel and ferro alloy industry scenario and outlook. Over to Manish ji.

Manish Sarda: Thanks Pankaj. During the quarter India recorded 1.5% growth quarter-on-quarter and 18% growth year-on-year in crude steel production. During nine months ended September 2023 India recorded 12% growth in crude steel production against flat global production. China recorded less than 2% growth. India recorded growth in steel production despite fall of 24% in steel exports from 1.8 million tonnes to 1.37 million tonnes year-on-year and jump in

imports by 19% from 1.54 million tonnes to 1.83 million tonnes. This has been possible due to robust domestic demand. The apparent consumption has gone up from 28.3 million metric tonnes to 32.8 million metric tonnes registering a growth of 16%. Energy and logistics prices softened during the quarter. The finished goods prices also softened resulting in compression of margins. Ferro alloys prices have also corrected during the quarter.

Outlook : Global steel production and consumption is flat due to high inflation, high interest rate and war situation. The Indian economy remains stable against the pressure of the high interest rate environment. India's steel production and consumption has recorded healthy growth and is expected to continue its high growth momentum. Growth in steel sector is driven by government spending on infrastructure and recovery in private investment.

Infrastructure investment will also support the capital goods sector. After growth of 9.3% in 2022, steel demand is expected to show healthy growth of 8.6% in 2023. Seasonally Q3 is good from demand perspective. Input cost of steel making including iron ore, Coke, coal and energy remain range bound with upward bias. To check import of substandard steel, government approval has been made mandatory to import non-BIS approved steel. This will reduce import of steel in the country and will help in price maintenance. Ferro alloys prices have softened due to poor export demand. Power demand growth is outpacing the supply which is reflected in increasing price trend in energy exchanges. In Sarda Metals we are selling part of power to take advantage of the market conditions. China is issuing 1 trillion Yuan roughly \$137 billion of sovereign bonds for fiscal stimulus to the economy. After the treasury bond funds are put into use, it will help drive domestic demand and further consolidate the recovery of the economy. This will push demand of steel and push the prices also up.

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Page 5 of 17 That is all about the performance and outlook. Now we leave the forum open for questions from participants.

Moderator : Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Aditya Rathi from Aequitas Investments. Please go ahead.

Aditya Rathi: Thank you for the opportunity. Sir, like you mentioned in your opening remark that by the end of the year we will be able to reach our production requirement of steel billets and wire rods so do you still hold it true?

Pankaj Sarda : Can you please repeat the question please.

Aditya Rathi: Like you mentioned in your opening remarks that by the end of the year we will be able to reach our production requirement of billets and wire rods but like we can see in the first half of the year, the production has not been really up to the mark so do we still stand to produce it by the end of the year?

Pankaj Sarda : Yes, we will be able to achieve.

Aditya Rathi: We will be able to achieve and Sir what is our target?

Pankaj Sarda : The target for pelletization because there was a shutdown in pellet plant. The target of pellet plant was 8 lakh tonnes.

Aditya Rathi : Okay and what

about billets and wire rod?

Padam Kumar Jain: The billets and wire rod, billets will be 225,000 approximately. We will be achieving production of about 2.25 lakh tonnes. What we achieved in the previous year same level 2,25,000 to 2,30,000 in the range and for wire rod it will be in the range of 2 lakh tonnes.

Aditya Rathi: In the range of 2 lakh tonnes?

Pankaj Sarda : Yes.

Aditya Rathi: Okay and Sir any timeline for SKS transaction to consummate?

Padam Kumar Jain : No. As already stated in our opening remark the hearing is on November 24, 2023, for final disposal.

Aditya Rathi: Sir any outlook or margin guidance or expectation for ferro alloys?

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Page 6 of 17 Manish Sarda: So forward-looking statement would be that going forward we do not expect too much of price increases in the ferro alloys market for the next three months and the margins will remain range bound at the moment.

Aditya Rathi: Okay and Sir my last question Sir. We have already taken seeking approval for the coal mining enhancement to 1.68 million tonne per annum and as per your guidance moving towards 5.2 million tonne per annum. Sir any timeline or any of the phases which is planned yet?

Pankaj Sarda : So, for 1.68 million tonnes, as we said we will do it in this current year. We will get all the approvals by this year and for the 5.2 million tonne we will take one more year to get

because all the clearances and all the environment clearances will be done post 1.68 million tonne , so another one year for that.

Aditya Rathi: By FY2025 we should be there at 5.2 million tonne per annum.

Pankaj Sarda : Correct.

Aditya Rathi: Okay thank you Sir. That is it from mine.

Moderator : Thank you. The next question is from the line of Vikas Singh from Phillipcapital . Please go ahead.

Vikas Singh: Good afternoon sir and thank you for giving me the opportunity. Sir I wanted to understand our current realizations vis-à-vis 2Q average how much percentage it is up or at the same level if you could give us some insight into it ?

Padam Kumar Jain: We have been slightly on the lower side as compared to the Q2 in some products . In case of iron ore pellets it is slightly on higher side . Our Q2 realizations was in the range of 9,000 and the present realizations are in the range of 9,500 plus. In between the prices had moved up to 10,000 plus also and in case of billet and wire rod is more or less these are in the range what we have achieved in the Q2.

Vikas Singh: Understood Sir but as against this our coal as well as iron ore prices would have been on a higher side so another quarter of some margin pressure which we can experience . is that the right assumption?

Padam Kumar Jain: No. We have our own coal , so that pressure we will not feel and in case of iron ore , as stated the prices of the pellet is little on higher side as compared to the Q2.

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Page 7 of 17 Vikas Singh: Understood but if we buy coal for sponge from the import market right so at least that much would have been on the costing side ? On a blend we would be on a lower side ?

Pankaj Sarda : Very less.

Vikas Singh: Sir, the second question pertains to assuming that all of our expansion plans for the coal mine goes through in a timely fashion then what is the peak coal capacity which we would have and what would be our peak requirement including SKS power ?

Pankaj Sarda : So last year our peak capacity was 1.2 million tonne that was the permission granted to us and we achieved that. This year we have got permission of 20% higher 1.44 million tonnes.

We will achieve that and we are trying our best so that if we can get 1.68 million tonne by January we can achieve 1.68 million tonne as well . So that is regarding the peak capacity of our Gare Palma IV/7 coal block.

Vikas Singh: Regarding SKS power we might require another additional

4-4.5million tonne for which we will be able to achieve if we increase our capacity. Apart

from that , lot of PPAs are there which is going to the grid and they have a PPA with

Rajasthan Government . For this the coal we are getting at a very, very low price from the linkages .

Vikas Singh: So, what kind of linkages they would have right now in terms of total requirement of 600 megawatt or 4 million tonne?

Pankaj Sarda : They might have linkages for a round 210 to 230 megawatt .

Vikas Singh: Understood and equivalent coal would be backed by the asset?

Pankaj Sarda : Correct. It is at a very cheap price because the Shakthi linkage offers coal to the IPPs at very cheap rate than the normal market rates .

Vikas Singh: But till what year Sir because coal linkages also gets expired after a certain time so ?

Pankaj Sarda : Till PPA is there we will get the linkage and once the PPA is expired then we have to go for new PPA.

Vikas Singh: Understood Sir. Sir my third question is that just wanted to understand what was the bone of contention or at which point basically Torrent has tried to derail this process and if any precedent is there in terms of similar kind of event happening and any outcome in the last similar kind of incident if you could highlight ?

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Page 8 of 17 Padam Kumar Jain: Although it was against the Supreme Court settled precedent where it is well settled proposition that the commercial decision of COC will be final commercial decision and in this case NCLT had gone into certain details without much of the clarifications and we strongly feel there was no strong ground to sustain and that is why we have been able to get a stay on that .

Vikas Singh: Understood Sir so just wanted to understand the point which Torrent Pharma has raised to objecting the objection of Torrent Pharma on which ground basically ?

Padam Kumar Jain: Torrent Pharma was of the view that their bid was on higher side than our bid .

Vikas Singh: Understood and we are reasonably sure since there is a Supreme Court precedent regarding similar matter we would be able to triumph in this case ?

Padam Kumar Jain: Yes we are quite confident on that .

Vikas Singh: Understood Sir and just one last question if I may ask just wanted to understand our debt repayment strategy since we are still making our cash generation would be good but we are also buying Torrent Pharma so how should we look at the peak debt levels from this level it will start coming down if you could give us some insight ?

Padam Kumar Jain: You see as we go for this acquisition a part of acquisition cost will be met from our internal accruals that much surplus is already available into our system and borrowing will go up from the present level for acquisition and that will be the point from where post acquisition debt will start going down gradually .

Vikas Singh: So any kind of run rate which you could share with us that once the acquisition would come down or even X of acquisition this much of debt we would be able to pay on an annual basis ?

Padam Kumar Jain: As of now we are practically net debt free company so whatever repayment is required that will be for acquisition funding and that will also spread over not less than a period of 10 years.

Vikas Singh: Understood Sir. That is all for my side and all the best for future .

Moderator : Thank you. The next question is from the line of Vivek Jain from Chanakya Capital . Please go ahead.

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Page 9 of 17 Vivek Jain: Thank you so much Sir for taking my question ? Sir can you guide how much we are spending on maintenance capex for a year ?

Padam Kumar Jain: Maintenance capex is within the range of Rs.100 Crores.

Vivek Jain: Annually ?

Padam Kumar Jain: Annually .

Vivek Jain: Okay and Sir can you also write on contribution that we will be getting per kilowatt from SKS plant ?

Padam Kumar Jain: It will be too early to give on that because a large quantity is untied in case of SKS. They have long -term PPA only for 125 megawatt approximately and have some medium-term PPA for three to five years and remaining is untied up. So a lot will depend on the power market conditions , what we have seen in the last one to one and a half year the power prices on the energy exchanges are going up . If that trend continues it will give a very good EBITDA return.

Vivek Jain: Sir can we say around 2 to 2.25?

Padam Kumar Jain: As I told giving any EBITDA guidance at the present level we do not have any long -term tie up for the power project but looking to the scenario , as stated in our initial address also , the power prices have been going up and in recent past also you have seen the prices on the energy exchanges have gone up because of continuous increasing demand in the country and you must also have seen in last few years there has not been much investment particularly in the thermal power sector and most of the investment has gone into solar power . there also the average PLF is very, very low.

Vivek Jain: Sure. Thank you so much . Just last question can you just tell us current capacity utilization of hydro plant?

Padam Kumar Jain: Presently these are operating somewhere in the range of slightly below 50% as of today.

Vivek Jain: Sure, thank you so much .

Moderator : Thank you. The next question is from the line of Rakesh Roy from Omkara Capital . Please go ahead.

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Page 10 of 17 Rakesh Roy: Sir my first question is regarding your realization part if you see quarter -on-quarter, the last quarter pellet realization is near by 9,157 compared to this quarter is 8,925 Sir? Why has it come down because iron ore prices already increased Sir any reason behind this Sir?

Padam Kumar Jain: The iron prices had gone down in between so price realization depends on the prices during the whole quarter and some spillover is also always there because of the pipeline of the orders so in between the iron ore prices had gone down .

Rakesh Roy: Okay can we see in Q3 the realization will increase because prices now is more than \$112 can we see ?

Padam Kumar Jain: Average realization should move up from this level definitely . This is our thought .

Rakesh Roy: Sir any guidelines for full year how much the realization for full year in pellet part?

Padam Kumar Jain: It is very difficult to give in the prevailing scenario, but we foresee the realization should be moving up slightly from here from this level

Rakesh Roy: Sir regarding one question because this quarter your pellet plant has closed nearby one month ?

Padam Kumar Jain: Yes.

Rakesh Roy: Sir every year at this same quarter or same month happens they are shut down for 24 days or

one month ?

Padam Kumar Jain: No it is not like that . It was shut down for refractory re lining and refractory re lining in a particular part happens generally in five to six years . So it may happen over a period of two to three years we take for one part refractory lining . So no particular month or particular year is fixed where the shutdown takes place for replacement of refractory lining.

Rakesh Roy: Okay so if normal shutdown happens or this happens so how much is our revenue impacted for this shut down ?

Padam Kumar Jain: As we stated over a period of whole year, we will achieve whatever is projected production of more than 8 lakh tonnes.

Rakesh Roy: Okay Sir understood . Sir regarding if I see your ferro alloys realization quarter -on-quarter it has decreased from Rs.83,000 to Rs.81,000 ?

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Page 11 of 17 Padam Kumar Jain: Yes.

Rakesh Roy: Sir just

now you have mentioned this realization will we continue for next three months Rs.81,000?

Padam Kumar Jain: Present prices I think it is not Rs.81,000 . It might be little lesser than that because .

Rakesh Roy: Is at Rs.51,000 ?

Pankaj Sarda : Pardon. No, No Ferro manganese is Rs.67 ,000 around and silica manganese is around 70,000 .

Rakesh Roy: Because you have mentioned both in one slide.

Rakesh Roy: One thing I try to understand Sir because you say domestic demand is very bullish it is very high still there we are getting less realization ?

Manish Sarda: So let me clarify here when we say that the domestic demand is very good it primarily means that the domestic demand of steel is very good . Okay. Now when we say the domestic demand of steel is good, we always think that raw material being ferro alloys will also be good in terms of demand but pricing, pricing is not necessarily going to be high in terms of the demand. It is not necessary that if the domestic demand is high the pricing will also remain high . Okay. So we personally believe it is very difficult to predict but we personally believe that the prices for the next three months would remain stable more or less stable because we are expecting that the war in the Middle East , we have seen that the war is happening right now . We are also seeing that the war between Russia and Ukraine is also not stopping so the overall demand for export markets will not be that high because of these disturbances in these regions so we do not expect it. See at the end of the day the export market prices also govern the domestic market prices . When the export demand is high then the domestic market also goes up , but because of the war situation we do not see too much of upswing .

Rakesh Roy: Okay again for this one ferro alloys if you see the EBIT margin has come down nearly 100 bps on more than 150 bps quarter -on-quarter so it is related to realization or anything else ?

Padam Kumar Jain: These are more on the realization side .

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Page 12 of 17 Rakesh Roy: Okay right again one thing is important Sir your margin this quarter gross margin if we check your gross margin is getting to about 41% compared to last quarter 36% Sir so this margin will improve here onwards and this margin will sustain Sir for 41% Sir?

Padam Kumar Jain: Which margin you are talking ?

Rakesh Roy: Gross margin Sir.

Padam Kumar Jain: EBITDA margin.

Rakesh Roy: Gross margin

Padam Kumar Jain: Gross margin what happens we have a diversified product mix . In case of hydro power project the gross margin is on much higher side and in case of other products it is on lower side so the gross margin if you see that also depends on the product mix of our revenue .

Rakesh Roy: Okay agreed. Okay Sir thank you Sir.

Moderator : Thank you. The next question is from the line of Darshit from Robocapital . Please go ahead.

Darshit: Thank you for taking my questions I understood that you do not give guidance per se but I just wanted overview for the next just two to three years what do you see revenue and some idea on margins ? Ballpark view will be fine .

Padam Kumar Jain: So far as revenue side is concerned as already we clarified we have a few of the projects in pipeline . One is our increase in the capacity of coal mine starting of the Shahpur Coal Mine .

Then major jump will be from SKS acquisition . There we will be having revenue of more than Rs.2000 Crores a year so that will be the major jumping event in our revenue side and 25-megawatt power plant will also start in the next financial year. All these sectors will

somewhere bring into the revenue jump so revenue should definitely jump maybe twice in the next two to three years to double the levels. These are the ballpark figures. It is very difficult to basically give the guidance looking to the volatility

into the metal sector and all

those things but whatever plans are there what we foresee is this level.

Darshit: Okay and margins do you see them like sustain at this level?

Padam Kumar Jain: Margin is a matter of play of the market conditions so giving any outlook guidance on the margins will be not advisable on our part.

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Page 13 of 17 Darshit: Okay but let us say that if everything plays out in our favor then we can say that some 24 % to 25% of margin we can touch?

Padam Kumar Jain: It should be.

Darshit: Okay thank you so much.

Moderator: Thank you. The next question is from the line of Aditya Rath from Aequitas Investments.

Please go ahead.

Aditya Rath: Sir continuing my earlier question as we have expanded our steel billet capacity to 3 lakh metric tonnes and wire rod capacity to 2,50,000 metric tonne is there any specific reason to why our production target is short of 20 % to 25% of what our capacity is?

Padam Kumar Jain: These are permitted capacities which we take on the higher side so that we are not constrained for the permission so as to produce what we have faced in case of pellet plant in the past and even in case of wire rod plant so whatever permitted capacity we have taken is on the higher side and actual output depends on many variables. Sometimes it happens we get better avenues in other segments and then we cut down our captive power supply to the steel plant that also has a bearing on the production. If we are getting better realization in some other plant because we have a capacity constraint in case of captive power plant also we have a limited capacity. We are operating power plant at full capacity. So, there are multiple factors. Then type of raw material what we use also decides the output. To what extent we are using percentage of the scrap into the overall raw material mix, so 3 lakh is the optimum capacity which we can get based on the optimum or best raw material mix but actual raw material mix also depends on many other factors including commercial considerations so that decides the actual output that is the case. If we optimally run the plant based on the best raw material mix we can achieve the 100% capacity and the wire rod capacity depends upon the output of the billet plant because we are having the hot charging facility to whatever we are producing about 80% to 85% of that is converted into the wire rod.

Aditya Rath: Okay so is there any production target for next financial year also?

Padam Kumar Jain: Next financial year there will be some improvements from this level, but there will not be any material change in the output unless there is some capacity expansion. There will be some improvement depending upon the availability, improvement in the availability of power and all those factors will definitely whatever improvement plans we carry out. That will bring in some improvement in the capacity utilization but it will not materially change

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Page 14 of 17 and we do not foresee achieving the 3 lakh of the billet production in the present raw material mix scenario.

Aditya Rath: Okay Sir okay got it and Sir is there any further expansion plan for pellets?

Pankaj Sarda: So for pellets Aditya what we are doing is we are trying to increase our capacity from 8 lakh tonnes to 9 lakh tonnes I mean our team is very confident that we can make more.

Aditya Rath: Sir could you please give the timeline for this expansion if you have it in mind?

Pankaj Sarda: Maybe in another six months we should be able to get permission.

Aditya Rath: Okay thank you so much.

Pankaj Sarda: Without any capex. By reducing the bottleneck and increasing operational efficiency we should be able to increase it to 9 lakh tonnes in our existing plant yes.

Aditya

Rath: Thank you.

Moderator: Thank you. The next question is from the line of Vikas Singh from Phillipcapital. Please go ahead.

Vikas Singh: Thank you sir for giving me the opportunity again, Sir just wanted to understand the capex our pending capex for this year and next year including that of Gare Palma Shahpur coal block and the associated washery?

Padam Kumar Jain: If you consider for the current year we may not be required to spend more than Rs.150 Crores or Rs.200 Crores in the given scenario. And for next year it will depend how fast we

get the approvals for increasing the capacity of Gare Palma because it will take some time to get the approvals next year. Most of the time will go into getting the approvals so there will not be material investment on the Gare Palma side and Shahpur also major part of the time will go into the getting approvals so annual capex what we foresee will be in the range of say Rs.300 Crores to Rs.500 Crores in the next financial year excluding SKS acquisition .
Vikas Singh: Understood Sir and Sir any thought process on Kalyani block which also you have got so any timelines which you want to address there ?

Padam Kumar Jain: Presently it will take at least for next one year we do not foresee material investments because most of the time again will go into getting approval .

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Page 15 of 17 Vikas Singh: Understood Sir. That is all for my side. Thank you for answering my questions.
Moderator : Thank you. The next question is from the line of Rajesh Bhandari from Nakoda Engineers .
Please go ahead.

Rajesh Bhandari: Good evening. So you told about China package 1 trillion Yuan so is it already in force ?

Padam Kumar Jain: They have already declared 1 trillion .

Rajesh Bhandari: So in that your demand will increase mainly ferroalloys and all that ?

Manish Sarda: The demand typically does not change much from China for ferro alloy, but for pellet it increases.

Rajesh Bhandari: So if the pellet is less than 1 million tonnes? So China the package how much you can get from this ?

Manish Sarda: See overall what happens is when the stimulus is introduced a lot of products start getting exported, especially pellets. The demand for pellets increases and prices increases so it directly impacts our profitability as well.

Rajesh Bhandari: Okay in ferro alloy, the price is so low two to three quarter ago it was more than 1 lakhs so can this improve, what could be the basic things through which this can improve?

Manish Sarda: Sir you have to understand that Sir there is a war situation which is ongoing in Russia and Ukraine which a lot of people anticipated that will stop at some point of time but unfortunately it is still going on

Rajesh Bhandari: Do you mean to say if that stops means ?

Manish Sarda: Then there is a new war which has happened . Because of that war the entire European situation has gone bad . Then we have recently seen the war between Israel and Hamas .

What happens is that the Middle East and the South Africa MENA Region these areas also get impacted because of this war. Now the growing centers for steel is Western and Eastern Europe and the Middle East and North African and African regions . Now the overall economic stability and overall economic growth also gets hampered because of the war.

This all has led to a lesser demand in export markets because people are not sure as to what will happen next so uncertainty brings about lack of demand as well in terms of economic growth and in terms of infrastructure development . Once the war stops in both

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Page 16 of 17 these regions we will see a lot of infrastructure rebuilding and then again the demand will swing back .

Rajesh Bhandari: So because of this the demand is down worldwide , but your production you

do not need to

slow down when the demand is down, whatever we manufacture we are selling it ?

Manish Sarda: Yes for the time being we have not stopped any of our production . We are just playing between the realizations of power versus ferro alloys production but we have not stopped any of our furnaces except for maintenance or whatever is required and we are going to continue producing our ferro alloys in the normal fashion that we are and we will be selling it because domestic demand is coming up and we are seeing infrastructure growth happening in India so we are sure that with the infrastructure growth that is happening around the country our domestic markets will be able to consume it. Maybe the pricing is up and down.

Rajesh Bhandari: Sir regarding SKS by November 24 , 2023, Sarda Minerals will be the owner of SKS Power .

Padam Kumar Jain: November 24 , 2023, is for hearing for final dispersal.

Rajesh Bhandari: But more or less it is final that Sarda is going to be the future owner of the SKS?

Padam Kumar Jain: It might happen that NCLAT will remand the case to ask NCLT to dispose off as directed , by NCLAT. When it goes to NCLT it might take some more time.

Rajesh Bhandari: Rebidding will happen?

Padam Kumar Jain: Rebidding will not happen , even NCLT has not asked for rebidding.

Rajesh Bhandari: So, it is a matter of time.

Padam Kumar Jain: Yes. This is court issue; we do not know how much time it will take.

Rajesh Bhandari: Sarda is the owner ultimately. Sir has the price been opened? At what price we have got

this?

Padam Kumar Jain: The price is not made public.

Rajesh Bhandari: Okay we may have to take loan or internal accruals?

Padam Kumar Jain: Yes, it will be a mix, we will take loan also

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Page 17 of 17 Rajesh Bhandari: Sir I have a request the results that you give they are standalone but most of the companies they give consolidated?

Padam Kumar Jain: No, it is there; we give consolidated as well.

Rajesh Bhandari: Sir BSE first page the results, it shows only standalone.

Padam Kumar Jain: The results have been published both standalone and consolidated.

Rajesh Bhandari: Sir, on the face of BSE website in case of sarda it displays standalone result only and for viewing consolidated we have to press another tab whereas in case of other companies, it displays consolidated results on face.

Padam Kumar Jain: We will look into.

Rajesh Bhandari: So can you please look into it so we do not know whose is standalone and whose is consolidated, if it happens, we can also ask BSE.

Padam Kumar Jain: Sure.

Rajesh Bhandari: Sir another question if we have any questions what is the e-mail id?

Padam Kumar Jain: All is there in the presentation you can always connect to them or mark to cs@seml.co.in.

Rajesh Bhandari: Okay. Thank you Sir. Thank you very much.

Moderator: Thank you. As there are no further questions, I now like to hand the conference over to management for closing comments.

Pankaj Sarda: Thank you. We thank all the participants. The company continues to diversify its revenue. Revenue from power and mining will increase over period decoupling it from cyclicalities of metal industry. We are hopeful of approval of our resolution plan for SKS power in the near term. That will be a major milestone in our growth journey. Please feel free to reach out to us or our IR team if you have any further questions. Looking forward to connecting again in next concall. Thank you all.

Moderator: Thank you. On behalf of Sarda Energy & Minerals Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

An ISO 9001, ISO 14001 & ISO
45001
Certified Company

SARDA ENERGY & MINERALS LTD.
13th February 2024

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No. : 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 6th February 2024

Please find enclosed herewith the transcript of the Q3 & nine months FY 2024 Earnings Conference Call conducted on 6th February 2024 . This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Company Secretary

Encl: As above

“Sarda Energy & Minerals Limited
Q3 & 9 Month s FY24 Conference Call”

February 0 6, 2024

MANAGEMENT : MR. MANISH SARDA – DEPUTY MANAGING DIRECTOR ,
SARDA METALS AND ALLOYS LIMITED
MR. P K JAIN – DIRECTOR AND CHIEF FINANCIAL
OFFICER , SARDA ENERGY AND MINERALS LIMITED
MR. NILAY JOSHI – HEAD (CORPORATE FINANCE),
SARDA ENERGY AND MINERALS LIMITED

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February 0 6, 2024

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Moderator : Ladies and Gentlemen , Good day and welcome to the Sarda Energy and Minerals Limited Q3 & 9 Month FY24 Conference Call. We have with us today Mr. Manish Sarda – Deputy Managing Director, Sarda Metals and Alloys Limited, Mr. P K Jain – Director and CFO, Mr. Nilay Joshi – Head Corporate Finance.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Manish Sarda. Thank you and over to you, sir.

Manish Sarda : Thank you so much and good morning to everyone. A very warm welcome to each one of you attending this call. I would like to state that some of the statements made in this call may be forward -looking and a disclaimer to this effect has been included in the investor presentation. I hope you all had a chance to go through the results and presentation uploaded on our website as well as websites of stock exchanges.

During the quarter under review , globally the economies continued to face macro headwinds on account of weakness in Chinese economy, high interest rates, war between Israel and Hamas, high fuel cost and attacks on ships in the Red Sea.

In India, domestic steel demand continued to grow and was up around 10% year -on-year. The steel spot prices moderated in line with global cues without corresponding correction in input prices. As such profit margins shrank slightly. Central banks continue to adopt tighter monetary policies to rein in inflation.

During the quarter, we have achieved the highest -ever production of iron ore pellets , Wire Rod and captive power. The ferro alloy s plant also operated at record levels. For the 9-month period we achieved record production of coal, thermal power, ferro alloys and all steel products except sponge iron. Hydropower generation during the quarter was low due to lower rainfall in catchment area and pipeline damage from landslide in Uttarakhand project. Power generation in Uttarakhand project has resumed now .

In 3Q FY24 we exported 33,429 metric tons of ferro alloys valued at about 242 crores against 25,454 metric tons in quarter 2 FY24 valued at 189 crores and 20,554 metric tons in quarter 3 FY23 valued at around 176 crores.

We have received permission for increase in the production of iron ore pellets from 8 lakh tons to 9 lakh tons. This will enable us to produce extra quantity without any fresh capital investment.

Mines and minerals : The Gare Palma coal mine block produced 3.86 lakh tonnes of coal. We have applied for an increase in the coal mining capacity of Gare Palma IV / 7 coal mines from Sarda Energy and Minerals Limited

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1.44 million ton to 1.68 million ton ne and expect to receive permission during the current year. In view of increased in house coal requirement post proposed acquisition of SKS Power, we are seeking approvals to increase the coal mining capacity of Gare Palma IV/ 7 coal mine to 5.2 million metric tons in phases.

The capacity of the coal washery is also proposed to be increased suitably to meet our requirement. We are also taking steps for setting up railway siding and loading infrastructure in the coal mine for movement of coal through rail, for cost effective movement of coal and mine refilling material.

The Indonesian joint venture coal mine produced 250,000 metric ton nes coal during the last quarter. In the last quarter when mines reopened, we had produced 84,000 metric ton nes of coal from the mine. The Indonesian JV has received permission to produce 1.6 0 MTPA from the co al mine. We expect to produce 1 million metri

c ton ne of coal from the mine in FY25.

Our proposal for first stage forest clearance for Shahpur West Coal Mine in Madhya Pradesh has been approved. Mine opening work will be started only after getting stage 2 forest clearance and mining lease. We expect to commence commercial production before the stipulated period of 51 months from allotment. Post commissioning of this mine 100% of our high-grade coal requirement will also be met for from captive mine insulating us against price fluctuations and high cost of imported coal.

We have entered into an agreement with S ECL for mining of high-grade coal from Kalyani coal mine on a revenue sharing basis. We have to restart mining within 18 months after obtaining all required approvals etc. This was the first mine under revenue sharing model.

A joint venture with our share of 67% has been declared a s successful bidder for reopening and operation of Bartunga Hill high-grade coal mine of S ECL in the state of Chhattisgarh with a revenue share of 18% to be shared with S ECL. The contract shall be executed through a special purpose vehicle. This will further strengthen company's presence in commercial coal mining . Surjagarh Iron Ore Mine : we are awaiting letter of intent from the Government of Maharashtra for composite license for the mine. Soon after receipt of LOI prospecting work will be started.

Solar power project :

The company is installing solar power project of 50 megawatts in the state of Chhattisgarh to meet captive power requirement to replace the grid power being purchased presently. The project is estimated to cost Rs. 200 crores. Orders have been placed and the plant will be operational before the end of next financial year. In addition to the cost saving , it will also help in reduction of carbon footprint.

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Hydro power project under construction.

Construction work at 25 megawatt Rehar Hydro Project is progressing ahead of schedule and the plant is expected to be operational well before scheduled completion date of March 2025.

Acquisition of SKS Power : the matter of approval of our resolution plan for acquisition of SKS power is under hearing before NCLAT . SKS is having an operating thermal power plant to 600-megawatt capacity near our coal mine in Raigarh and this acquisition will bring operational synergies with our coal mine. Presently, NTPC is running the plant under O&M contract.

Financial performance : The company has achieved consolidated revenue of INR 925 crores during 3Q FY24 against INR 1,001 crores reported in last quarter and INR 908 crores in the corresponding quarter of previous year. The company has reported operating EBITDA of INR 194 crore during the quarter against INR 240 crores in the previous quarter and INR 197 crore in 3Q FY23.

The company's consolidated profit after tax stood at INR 114 crores as against INR 149 crores in previous quarter and INR 130 crores in 3 Q FY23. All steel products except iron ore , pellet , ferro alloys , saw price pressure. Fall in the selling prices has resulted in fall in revenue and profitability in spite of improved volumes.

Debt : The company is net debt free. A t consolidated level gross long-term debt stood at INR 1,100 crores . Loans repayable within the next one year is INR 185 crores. Ongoing CAPEX , including for coal mines and hydro projects , have been financed from internal accruals . The company has strong liquidity position to meet projected outflow for acquisition and ongoing capex .

The company is not exposed materially to currency fluctuation. Foreign currency exposure is majorly covered by natural hedge. The quarter gone by has seen strong domestic demand, but slowing global demand and increased export from China had an impact on pricing of steel. China's property market remains sluggish affecting steel consumption. D

During the quarter, India recorded 0.5% growth quarter-on-quarter and 15% growth year-on-year in crude steel production. During calendar year 2023, India recorded 12% growth in crude steel production against flat production in China and the rest of the world. During the quarter, India recorded growth in steel production despite jump in imports from 2.26 million tons to 2.59 million tons. The apparent consumption has gone up from 31.38 million tonnes to 35.15 million tonnes year-on-year registering a growth of 12%. Iron ore and pellet prices remain firm due to increased export from India. Energy and logistics prices softened during the quarter. Due to reduced domestic consumption and increased exports from China, the finished goods prices also softened resulting into compression of margins. Ferro alloys prices also corrected during the quarter.

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Outlook:

The Indian economy remains stable against the pressure of high inflation, high interest rate environment. Interest rates across the globe are expected to start falling in view of declining inflation across the globe that should boost capex heavy projects and real estate sector, creating demand for steel.

Indian steel production and consumption has recorded healthy growth and is expected to continue its high growth momentum. The apparent steel consumption has recorded healthy growth of 14% in 2023. Growth in the steel sector is driven by government spending on infrastructure and recovery in private investment which has been the focus of this year's budget. Money flow from election-related spending should also stimulate demand. Input cost to steel making including iron ore, coke, coal and energy may remain range bound with upward bias. China demand remains subdued but may pick up with additional stimulus measures. With recent increase in steel prices in other parts of the world and BIS restrictions, imports of steel in India is expected to go down.

Some margin expansion is seen in ferro alloys with a recent price increase of about USD 35. Though in spite of marginal increase of about 15 cents in price of manganese ore and increase in prices of coking coal by about USD 20-25. The price of coal has also been stable. Price of power in open market is hardening and is expected to remain at elevated levels in view of seasonal demand providing good power sale opportunity.

That's all about the performance and outlook. Now we leave the forum open for questions from the participants. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rakesh Roy from Omkara Capital Private Limited. Please go ahead.

Rakesh Roy: My first question is this quarter the volume is good compared to last year if I check sir, but realization if you check your volume is increased by 3% in steel compared to realization is down by 12%. Sir, any reason behind this?

P. K. Jain: Yes, as stated in our opening remarks the prices of the finished goods have gone down as compared quarter-on-quarter. Also it has gone down year-on-year. Also prices have remained sluggish, that is the reason for the fall in the revenue.

Rakesh Roy: Any chances to increase the prices in Q4 because the raw material prices are start going upside sir?

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P. K. Jain: In opening remarks we also stated that recently ferro alloys prices have seen some upward movement and the pellet has also seen upward movement, remaining steel products I think remains on the same level. Manish ji can you give more highlights on this?

Manish Sarda: See, if you've gone through the opening remarks it was clearly mentioned that because of the global prices being subdued the profitability and revenues have been lower compared to

o the last

quarter and last year. What is happening is that there is a lot of activities which are happening which are not very conducive to business like the Hamas, the Red Sea environment, the continuous fighting between Ukraine and Russia which is still on and off and these spurts are not letting things go in the right direction in terms of infrastructure growth in these areas. Here in India, we are seeing a very strong domestic demand. We have seen the growth also for steel and the apparent consumption has also gone up. What is happening is that there are a lot of places where infrastructure development is going to start taking place in a big way. We have currently seen the Atal Setu being opened.

There are a lot of other bridges which are being made, the coastal roadway in Bombay still carrying on, part of it is getting open, part of the coastal roadway is yet to get started. So, infrastructure is going to grow, steel is going to go up, raw material prices have gone up slightly,

but I think it's only a lag which happens always in the commodity market.

The lag whenever the finished prices go up the raw material prices also start moving along and vice-versa. So, hopefully we'll see the prices come back and rebound in a good way this year.

Rakesh Roy: Sir, my next question is regarding increase in December and coke prices increase nearby \$10 to \$20. So, this will impact our margin into Q 4 or Q1?

Manish Sarda: Which prices you said?

Rakesh Roy: Coke.

Manish Sarda: So, we basically do not use coke too much in our entire facility for production of goods and we just use coke in ferro alloys and to quite a bit we are insulated as we have started using a lot of Indian coke as well. So, we are trying to have an economic blend of Indian Coke as well as imported coke and good quality South African coal.

So, we are trying to insulate ourselves from the coke price fluctuations and to a great extent we are quite a bit insulated from that angle.

Rakesh Roy: Sir, next question regarding you get the permission for the pellets from 8 lakh to 9 lakh. So, for FY25 we take 9 lakh full?

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Manish Sarda: We have taken the permission, and we will try to produce 900,000 completely.

Moderator: Thank you. The next question is from the line of Aditya Rathi from Aequitas Investment Consultancy Private Limited Please go ahead.

Aditya Rathi: Sir, any timeline on our mind regarding the Gare Palma Coal Mine enhancement to 5.2 million tons?

Manish Sarda : Please understand that the timeline is difficult to say, but we are trying our level best to get it. It happens in phases. As you know the matter goes up to Delhi, the Environmental Board and we are trying our level best to pursue it as fast as possible, but the overall process takes a bit of time.

It's very difficult to put a timeline exactly when we will get the clearances, but in normal course of operation, I mean, the way things are working at the Delhi level it should come stage wise.

Aditya Rathi: It should come by what?

Manish Sarda: It should come in stages. We have to apply in stages you can't straightaway apply for 5.2, but that is the whole aim is to get it to 5.2 million metric tons because we will need that extra coal for our acquisition of SKS Power. So, we are trying our level best and hopefully we should be able to do this in the next year and a half or so.

Aditya Rathi: And sir amount of cost saving that we're expecting after the solar power plant of 50 megawatt that we have recently awarded?

P K Jain: Yes our present landed cost of power is Rs. 7 plus from the grid and whatever power we will replace it should cost somewhere below Rs. 4.5, it will not cost beyond that. So, that will be the saving whatever generation is there.

Aditya Rathi: And sir we are close to the end of financial year 24, any volume guidance

for next financial year across the segments?

P K Jain: The production of pellet will definitely go from 8 lakh tons on the higher side and rest of the capacities we are operating at optimal level there will be slight improvement. There won't be any material change in the output capacity, slight improvements will always be there in the steel segment also and coal presently we have capacity of 14.4 lakh tons that will go to 16.8 lakh tonnes.

Aditya Rathi: 16.8 lakh tonnes, right?

P K Jain: Yes, and hydropower will also start, second hydropower project in Chhattisgarh will also start. We will have some generation from that project also.

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Moderator: Thank you. Next question is from the line of Vikas Singh from Phillip Capital India Private Limited. Please go ahead.

Vikas Singh: Good Afternoon Sir, congratulations on becoming Net Debt Free. Sir just wanted to understand our capital allocation. Since our new hydropower would also be coming, a little bit better in pellets and coal mine would also start contributing next year. I see our cash inflows would be much higher than the current CAPEX plan which you have chalked out.

So, just wanted to understand the next 2 years to 3 years what kind of capex we are planning to take up and how do we allocate our, what would be our capital allocation policy?

P. K. Jain : If you see one is the SKS project which is already in public domain. So, whenever we receive approval from NCLT that will be the one major investment and in addition to that we have taken up 3 coal mines. One is Shahpur Coal Mine which I think after we receive the second stage forest clearance we will start working on that and may be in 1 year, 1.5 years that should come into operation.

Third we have taken 2 coal mines on revenue share basis . There also investment will be spread over a period of 2 years to 3 years because it takes time to get the required approvals and then carry out the investment. So, all these projects the capex will not be within one year. The annual CAPEX will be somewhere in the range of 700 to 800 crores except the SKS Power project. For the next 2 years at least, we will have CAPEX of about 700 crores to 800 crores and put together in all the ongoing projects.

In addition to that, the hydropower project which you talked about will get commissioned in the next financial year somewhere in between. So, that is getting over . There won't be material capex beyond that on this particular hydropower project.

In addition to that, we have taken one mineral wool project in our subsidiary at a cost about INR 70 crores . So, our capex plan for the next 2 years is in the range of 700 to 800 crores per annum based on the capex already planned and approved.

Vikas Singh: Just one question on SKS . Assuming that we would eventually receive permission, so is there any additional CAPEX which we need to incur apart from the bid which we have submitted over and above to basically rectify or do some other modification in the plant?

P. K. Jain : That is a running plant. Presently also it is operating at the normal level. So, there won't be any material capex . There might be some minor here and there, but there is no material capex involved .

Vikas Singh: But I basically heard somewhere that plant had the further potential to increase capacity, so was coming from that perspective?

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P. K. Jain : That plant has got the capacity to increase to 1,200 megawatt. First , we will stabilize the operation then we may go for the second phase of the project that is a separate independent project which will be decided in subsequent times. We will decide based upon the market study of the techno economic viability of the expansion, but yes they have got the infrastr

ucture, they

have got the approval , that is there.

But as of now there is no plan specifically to increase the capacity immediately from 600 to 1200 MW. We don't have any plan immediately.

Vikas Singh: Just one last question last quarter what percentage of our own coal requirement had been met through captive sources and how do we see it in FY25 -26?

P. K. Jain : FY25 -26 we should be able to meet 100% of our coal requirement from captive sources after commissioning of the Shahpur Coal Mine. Presently might be 70% approximately , I will let you know offline, but approximately we must be able to meet 70 %, 75% of our captive requirement from our captive sources.

Vikas Singh: That is for the steel and power , for the ferro alloy the coke would continue to come from outside?

P. K. Jain : No, even for ferro alloys once we have our Shahpur Coal Mine operational coal requirement even for other plants including for ferro alloy we should be able to meet from captive sources.

Presently, we are using imported coal partly for the sponge iron and partly for the ferro alloys.

Moderator: Next question is from the line of Vikash Vijayvargiya from Acorn Tree Group . Please go ahead.

Vikash Vijayvargiya: Sir I want to understand after this 50-megawatt solar power project whether our company is eligible for the green steel for the export purpose?

Manish Sarda: Basically , we will reduce our carbon footprint for sure, but green steel is a different subject altogether. Green steel has a lot of components to it. So, I would not say that it will be directly called as green steel, but definitely , our overall carbon footprint will be reducing and that is the whole approach going forward to reduce as much carbon footprint as we can.

Vikash Vijayvargiya: So, after this one how much carbon footprint is reduced in our case?

Manish Sarda: That we have to get it verified through the proper agencies which we have not yet started because we've just placed the orders for the solar power plant and once things get in line we will get that .

Also because for carbon tax we will be requiring the carbon footprint reduction data also.

Vikash Vijayvargiya: And another thing is there regarding this SKS project any timeline is there from your side expected not in the firm timeline is the expected timeline ?

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Manish Sarda: It's a court driven process right now the matter is in court. While we are trying to expedite and do the best from our end and the process takes its own time so it is difficult to put a number on it. We are hopeful it will happen fast.

Vikash Vijayvargiya: In the next 6 months or 12 months?

Manish Sarda: Yes 6 months probably.

Moderator: Thank you. Next question is from the line of Tej Patel from Niveshaay Investment Advisory. Please go ahead.

Tej Patel: So, I know you already talked about the ferro alloy prices in your commentary. You said that they got corrected in Q3 and now have seen a little bit of an upward take. So, would you mind putting a number to it and how do you see the prices panning out in let's say next 2 quarters, 3 quarters?

P. K. Jain : If you see, the prices in steel products and in ferro alloys in last quarter, compared with the previous quarter was down by in the range of Rs. 2,000 a tonne. If you compare year-on-year, the ferro alloy prices corrected on the much higher side may be about Rs. 7,000 / Rs. 8,000 a ton YoY.

Tej Patel: This was for the quarter in Q3 right?

P. K. Jain : And more details are available in our corporate presentation you can see there.

Tej Patel: How do you see these prices panning out? Already this 1 month we are into this quarter and how do you see it moving let's say next 2 quarters?

P. K. Jain : Ferro alloys prices have already moved up as given in our opening statement and steel prices are hovering more

or less in same lines except in case of pellet where it is slightly on the higher side.

Moderator: Thank you. Next question is from the line of Jatin Damania from SVAN Investment Managers.

Please go ahead.

Jatin Damania: So, I just wanted to cross check, you earlier indicated that we will be spending near about 700 to 800 crores of the CAPEX every year. Now this includes only for the power or probably it includes all the CAPEX that we will be doing for the expansion for the coal block as well?

P. K. Jain : No, it includes all projects including coal, solar power projects, all other projects and increase in the mining capacity of the existing running mine, new mines opening except SKS. This is what we have stated.

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Jatin Damania: And sir if you want to include the SKS what could be the outer I mean the additional CAPEX that we will have to incur for that?

P. K. Jain : SKS is an independent transaction that will be independently financed giving specific figures to that will not be right at the moment. So, other than SKS all other projects, whatever we have planned or got approved or which are under installation. This is what we have given you, the estimated figure of our capex plan.

Jatin Damania: And sir if you can help us in terms of the output that we are getting from the Kalyani Coal Mines and the Bartunga Coal Mines because last quarter we had already entered into a revenue sharing model with S ECL. So, if you can throw some light on that what is the output that we are getting from both these mines?

P. K. Jain : Kalyani Coal Mine it will be 1.8 lakh tonnes per annum and Bartunga will be 2.1 million tonnes per annum in the peak capacity.

Jatin Damania: And what are we doing right now?

P. K. Jain : Presently we are not there. These are the new mines which will be started. Capacity wise only after the mines come into operation. I'm talking about, once we reach to the full rated capacity.

Jatin Damania: And sir in terms of the consent to operate of the expansion that we have got in terms of the wire rod from 1.8 to 2.5 and pellet from 8 to 9, when do we expect these numbers to achieve? So, just wanted to understand if you can give us the broader guidelines for FY25 numbers with the new consent?

P. K. Jain : In the pellet our endeavor is to achieve in the next financial year, maybe in the range of somewhere about 8.6 lakh to 9 lakh depending upon the different conditions and wire rod what we expect it will remain somewhere in the range of 2,00,000 to 2,25,000.

Moderator: Thank you. Next follow up question is from the line of Rakesh Roy from Omkara Capital Private Limited. Please go ahead.

Rakesh Roy: My next question regarding in your Hydro product currently we have nearby 142 megawatt and 25 megawatt is under construction. So, sir next 2 to 3 years how much we are looking. Any chance we are looking to add more hydro in near term in next 3 to 4 years and how much sir?

P. K. Jain : Maybe one more project will come up in the next 2 years, 3 years.

Rakesh Roy: How much megawatt sir?

P. K. Jain : 25 megawatt what we have planned.

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Rakesh Roy: How much sir?

P. K. Jain : 25 megawatt.

Rakesh Roy: In which state sir?

P. K. Jain : Chhattisgarh.

Moderator: Thank you. Next question is from the line of Rajesh Bhandari from Nakoda Enterprises. Please

go ahead.

Rajesh Bhandari: Now this SKS Power now it is 100% sure that Sarda would be getting it?

P.K. Jain : Matter is in court of law .

Rajesh Bhandari: In the meantime, some problems has arisen, has that problem resolved?

Manish Sarda : Matter is in court of law , so what we can comment on it. Based on precedents from Supreme Court old decisions , our case is very strong and very clear.

Nilay Joshi : So,

we have been issued a n LOI, we have given BGs to the CoC. Matter is in the Court and very strong case . Beyond that very difficult to say anything because matter is sub-judice.

Rajesh Bhandari: LOI we already have?

Nilay Joshi : Yes.

Rajesh Bhandari: Second sir what you said of revenue sharing it is basically revenue sharing or profit sharing?

P. K. Jain : Revenue sharing.

Rajesh Bhandari: Means how much revenue will be there around certain percentage you will have to give?

P. K. Jain : Yes.

Rajesh Bhandari: The profit has to be much, much more because revenue will come out of top line.

P K Jain : Yes.

Rajesh Bhandari: Second sir , last time if I remember you were saying that from China also demand should come, what it is expected?

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P. K. Jain : China conditions, global market , property market it is very cold and stimulus they are bringing one by one , how they impact it depends on that.

Rajesh Bhandari: And for capex of Rs. 700 crores to 800 crores per annum we have to do fundraise?

P. K. Jain : There is no need of fundraise. We have sufficient internal accruals to support the projected expansions.

Rajesh Bhandari: And normally we have seen that so many years that Sarda realization has been excellent as a matter of fact, but this time the other players have had better realization than Sarda?

Manish Sarda : In which products how and why?

Rajesh Bhandari: The normal steel products which are there , I am not talking about the power , in that . I would not like to name the other companies, but their profits have been much higher.

P. K. Jain : Multiple factors , every cost matrix is different . Commenting on profitability of others will be very difficult.

Rajesh Bhandari: Normally we have seen that Sarda realization has been excellent in the market?

P. K. Jain : Our statistics , our realization , in the presentation complete details are there .

Rajesh Bhandari: Solar plant which is there that is 50 megawatt?

P. K. Jain : Yes.

Rajesh Bhandari: It will take about 1 year in installation.

P. K. Jain : Yes.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Sir, firstly if you could provide me with the sales mix in proportion to the value -added percentage how much goes into the value -added part and also what percentage of our sales is towards domestic and the export percentage?

P. K. Jain : Can you repeat your question initially your voice was cracking.

Saket Kapoor: Firstly, how much is our value added of total sales and value -added which categories and what percentage it goes in value added and domestic and export mix is how much?

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P. K. Jain: Value added the whole production and sales data has been shared in the operational data where you will see. So, at every stage part of the quantity is sold in the market and part of the production is going in the value -added products. If you take the example of the pellet. Pellet we are producing about 8 lakhs tons per annum out of that maybe 35% is going in the captive consumption and remaining is we are selling in the market.

Similarly sponge iron out of 3 lakh tonnes plus production we are captive consuming about 2 lakh tonnes of the sponge iron captive and remaining is going in the market, but at every stage there are different percentages of the production which is getting consumed captive for downstream production and remaining is sold in the market . Same is the case with coal and same is the case with billet . About 80% to 85% we are captive consuming and converting into Wire Rods . So, it's like that.

So, far as domestic and exports are concerned ferro alloy is the only product which we are exporting about 90% of our ferro alloy pro

duction from Visakhapatnam plant is getting sold in the export market remaining ferro alloy is sold in the domestic market and all those details have been provided in our opening remarks also.

Saket Kapoor: Sir, when we look at the international coal prices currently they are on a declining trend. I am not particular with the grade, but if we look at the coal prices have declined year -on-year also and monthly also because I think of the slackening Chinese demand.

So, taking the current international prices and on an import parity basis how well do you think that our acquisition of SKS and going ahead the merchant mining all these are going to be good profitable venture even post this decline?

Manish Sarda: Basically, the question is that when you are seeing the international coal prices declining.

Saket Kapoor: Right.

Manish Sarda: And do you know the decline what it is?

Saket Kapoor: I am just referring to the website wherein I have seen the decline of around year -on-year prices are down 50%.

Manish Sarda: Please understand that the coal prices had gone to record highs of \$190 odd for South African RB 1 coal and the normal pricing of South African RB coal should be hovering from R B 3 to RB 1 between the ranges of \$78 to \$105 that's typically the range bound pricing of South African Coal.

Now if you have looked at the Indian coal prices overall historically we have been comparatively lower because of the quality of coal that we have. We have majorly power grade coal in India.

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We have the resource base for that. Now the acquisition of SKS makes a very strategic sense for us because it's very close to our coal mine.

So, the logistics cost for transportation of coal which is also a big factor in India. If you look at other power plants they're buying coal from a lot of distance. So, it makes perfect sense for us when it is our own captive coal mine we don't have to be bothered about the raw material that is required for the power plant.

So, I mean in short and in a nutshell the acquisition is very strategic. The acquisition definitely will prove very, very good for the company in terms of the numbers, in terms of the profitability. The international coal price has got directly nothing to do with the SKS acquisition in the true sense of things that international coal pricing has gone down because it was abnormally high which was not sustainable. Now it has come to a stage where we can say that these prices are the realistic prices of coal of R B 3, Rb 2 and R B 1.

Saket Kapoor: So, we are benchmarking the South African coal prices which you are referring to?

Manish Sarda: Even if you take the Indonesian coal price. Indonesian coal prices also went 4,200 also went up to \$100, but all these pricing are also dependent upon the freight. Freight plays a major and a basic component of the entire pricing structure of imported coal in India. Imported coal is good for the coastal plants which are placed around the coast of India, only very high-grade coal like RB 1 and R B 2 goes into the central part of India for application usages, for blending usages, for improving the quality and the yield of the products like sponge pellet. They are not the bulk. They are not in bulk consumption so to impact the entire overall pricing until and unless the price of coal moves very, very drastically high like what we saw few months back of 175 FOB basis. So, what I'm trying to say is that international coal prices have got no direct connection to SKS Power acquisition and the pricing of international coal will not decide whether this will be profitable or not because we have our own captive mine, which is very, very close.

Saket Kapoor: Sir with this SKS acquisition currently we will be setting up this any pithead thermal power plant or how is this coal being utilized and whether this will

be for merchant sale or end utilization of the coal that you will mine?

Manish Sarda: Which mines?

Saket Kapoor: How is the SKS acquisition going to be aligned with our setup, we are going to set up pithead thermal power plant near the coal mines?

Nilay Joshi : So, let me just clarify I think there's some confusion. See SKS is a 2 * 300-megawatt operational power plant which is being run by NTPC right now. It is around 60 kilometers from our existing operational coal mine and SKS is a completely, a call on the India growth story. It has nothing

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to do with global coal prices. So, now if you have got clarity maybe I think you can ask your question because it has nothing to do with any pithead power plant and all of that. There's no plan of any pithead power plant.

Saket Kapoor: So, the power generated from these from these power plants, are we looking for merchant sales or will we consume by our unit captive?

Nilay Joshi: Some captives maybe, but largely merchant sale. The matter is sub-judice right now , the strategy for sale w e will decide later, as of now it is partly they are selling partly merchant and partly under P PA, what strategy etc . we take we'll decide when th e matter is resolved in the court .

Saket Kapoor: And what are the current merchant rates under PPA and the market share?

Nilay Joshi: I mean there's limited information that can be d iscussed for SKS at present .

P. K. Jain : One thing I would like to clarify , on the coal pricing y ou ar e talking , about is the imported coal vis-a-vis our coal mines . Whatever premium or revenue share we are giving that is also linked with the market rate. So, if prices are falling our cost will also go down.

Saket Kapoor : So, post this aligning of SKS in our portfolio, how will the revenue mix look like in terms of the different verticals , we have ferro alloys and steel a nd then power. What would be the revenue mix?

P. K. Jain : I think definitely power revenue will go up from here. Presently, power revenue is much lesser because we are selling only hydropower and thermal is largely captive consumption. So, with the incoming of the merchant power of 600 megawatts of SKS power the share of power sale will be substantially higher in the overall revenue mix.

Saket Kapoor: Any ballpark number you can give sir depending upon the current prevailing rate what should be the likelihood an d at full capacity utilization?

P. K. Jain : I think i t will be too early to consider the n umbers of SKS in our revenue because by that time there will be multiple other rev enue streams maybe from the coal and all those things other expansion projects, hydropower projects will also come up.

Moderator: Thank you. As there are no further questions, I would now like to hand th e conference to Mr. Manish Sarda for closing comments.

Manish Sarda: We thank all the participants. The company conti nues to diversify its revenue streams , revenue from power and mining will increase over a period decoupling it from Cyclability of metal industry. Journey from here is exciting.

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We ar e adding solar power for captive consumption which will help in reducing carbon footprint of our manufacturing facility , approval for resolution plan of SKS power will be a major milestone in our growth journey, i ncrease in the coal mining capacity of existing coal mine from 1.44 million t ons to 5.2 million metric ton nes and opening up of three more mines at Shahpur, Kalyani and Bartu nga will also help in accelerated growth. Please feel free to reach out to us or our IR team if you have any further questions . We look forward to connecting again in the next concall.

Moderator: Thank you very much. On behalf of Sarda E nergy and Minerals Limited that concludes this confere

rence. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: May 2024

An ISO 9001, ISO 14001 & ISO
45001
Certified Company

SARDA ENERGY & MINERALS LTD.
31st May 2024

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No. : 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 27th May 2024

Please find enclosed herewith the transcript of the Q4 & FY 2024 Earnings Conference Call conducted on 27th May 2024 . This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Company Secretary

Encl: As above

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"Sarda Energy & Minerals Limited
Q4 FY'2 4 Earnings Conference Call "
May 27, 202 4

MANAGEMENT : MR. PANKAJ SARDA – JOINT MANAGING DIRECTOR –
SARDA ENERGY & MINERALS LIMITED

MR. NEERAJ SARDA - DEPUTY MANAGING DIRECTOR
– SARDA METALS AND ALLOYS LIMITED
MR. PADAM KUMAR JAIN – DIRECTOR AND CHIEF
FINANCIAL OFFICER - SARDA ENERGY & MINERALS
LIMITED
MR. NILAY JOSHI - HEAD, CORPORATE FINANCE –
SARDA ENERGY & MINERALS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of Sarda Energy and Minerals Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. Today we are honoured to have with us from the management team Mr. Pankaj Sarda, Joint Managing Director of Sarda Energy and Minerals Limited; Mr. Neeraj Sarda, Deputy Managing Director of Sarda Metals and Alloys Limited, Mr. P.K. Jain, Director and Chief Financial Officer and Mr. Nilay Joshi, Head Corporate Finance at Sarda Energy and Minerals Limited. I would now like to hand the conference over to Mr. Pankaj Sarda for opening remarks. Thank you and over to you, sir.

Pankaj Sarda: Thank you so much, and good afternoon ladies and gentlemen. A very warm welcome to each one of you attending Sarda Energy's earnings call. Some of the statements made in this call may be forward-looking and a disclaimer to this effect has been included in the investor presentation. I hope you have had a chance to go through the results and presentation uploaded on our website and the sites of stock exchange.

Economies across the globe continue to face macro headwinds on account of property sector drag in Chinese economy, more-than-expected delay in interest rate reversal by central banks, stretched war between Israel and Hamas, high fuel costs and disruption in seaborne transport, following attacks on ships in the Red Sea.

In India, domestic steel demand continues to grow and was up around 9% Y-o-Y. But steel spot prices moderated in line with the global cues without corresponding correction in input prices. As such profit margins saw some slight pressure.

During FY '24, the plants reported improved performance. We recorded highest ever production of coal, iron ore pellets, billets, wire rod, ferro alloys and captive power. The production during the quarter was lower Y-o-Y and Q-o-Q on account of shutdown of one unit of captive power plant at Raipur, taken for overhauling of one of the FBC boilers and one of our turbines.

Hydro power generation during the year was lower by 10% due to lower rainfall in catchment areas and pipeline damage from landslide in our Uttarakhand project. Specific details are given in the operational data uploaded. During FY 24, we exported 115,000 metric tons of ferro alloys worth INR875 crores against 98,000 metric tons, worth INR983 crores last year.

In Q4 FY '24, we exported 27,000 metric tons of ferro alloys valued at around INR203 crores against 33,500 metric tons in Q3 FY '24, valued at INR242 crores and 34,500 metric tons in Q4 FY '23, valued at INR294 crores.

Mines and minerals - The Gare Palma coal mine operated at full capacity and produced 14.4 lakh tons of coal during the year. We have received environment clearance for increase in the mining
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capacity from 1.44 million tons to 1.68 million tons. The CTE and CTO is expected soon. We propose to increase it further to 1.80 million tons during the current financial year. To meet the increased in-house coal requirement post proposed acquisition of SKS Power, the mining capacity is proposed to be increased to 5.20 million tons. The mining plan and mine closure plan of 5.20 million tons has been already approved. The capacity of the coal washery is also proposed to be increased initially to 1.80 million tons from 0.96 million tons. This will be increased further as may be necessary post increased mining capacity. We are also taking steps for setting up railway siding

and loading infrastructure in the coal mine for movement of coal
through rail for cost-effective movements of coal and mine refilling materials. The Indonesian

joint venture coal mine produced 5.58 lakh metric ton coal in FY '24 and 2.24 lakh metric ton coal during the quarter. We expect to produce about 1 million ton coal from this mine in FY '25. Our proposal for Stage 1 forest clearance and environment clearance, for Shahpur West underground coal mine in Madhya Pradesh has been approved. Mine opening work will start after we receive Stage 2 forest clearance and mining lease. We expect to get mine opening permission during current financial year. Immediately after getting the permission, mine development work will be started.

Post commencement of production from this mine, 100% of our high -grade coal requirement will also be met from this captive mine, insulating us against price fluctuations and high cost of imported coal.

Process of mining plan preparation and approval is going on for Kalyani coal mine located in Chhattisgarh. We have formed a joint venture subsidiary company for reopening and operating of Bartunga Hill high -grade coal mine of SECL. This will further strengthen company's presence in commercial coal mining.

Surjagarh iron ore mine - We have received a letter of intent from the Government of Maharashtra for composite license for the mine. Necessary approvals, including forest clearance are being taken to start prospecting work.

Solar power project - Land has been acquired. Material has started reaching at the site. Process of grid connectivity approvals is going on. The plant is scheduled to be operational by the end of this current financial year. In addition to the cost savings, it will also help in reduction of our carbon footprint.

Replacement of turbine and generator - The company has placed order for replacement of existing 30 -megawatt TG set with new energy -efficient TG set to save energy and reduce carbon footprint. The new TG set is expected to be operational in the first half of FY '27. With this, all the 3 turbines shall stand replaced.

Hydropower project under construction - Construction work at 25 -megawatt Rehar hydropower project is progressing ahead of schedule, and the plant is expected to be operational in the next quarter, taking the advantage of part of this year's rainy season against scheduled completion of March 2025.

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Acquisition of SKS Power - On our appeal, NCLAT has set aside the order of NCLT. NCLAT has reviewed the plan approval application of our plan along with inter-locutory applications with directions to dispose of the application preferably within 60 days.

SKS is having an operational thermal power plant of 600 -megawatt capacity near our coal mine in Raigarh (Chhattisgarh) and this acquisition will bring operational synergies with our coal mine. Presently, NTPC is running the plant under O&M contract.

New Independent Directors - In last quarter we have appointed 2 more prominent persons as Independent Directors. They are Mr. Rajeev Sharma and Mr. U.P. Singh. Mr. Rajeev Sharma is ex-CMD of PFC and Mr. U.P. Singh is retired IAS Officer. Before retirement, he was Secretary to GOI in different ministries. I now hand it over to Mr. P.K. Jain, who will take us through our financial performance.

Padam Jain: Thank you, Pankaj ji. The company has achieved quarterly consolidated revenue of INR889 crores during quarter 4 of financial year '24 against INR925 crores reported in last quarter and INR1,076 crores in corresponding quarter of previous year. The company's profit after tax at consolidated level stood at INR88 crores against INR114 crores in the previous quarter and INR115 crores in the quarter 4 of FY '23.

Prices across the value chain except for finished steel remained stable during the quarter. Price of steel products

ducts, including billets were lower than last quarter. For FY '24, the company has achieved revenue of INR3,869 crores against INR4,212 crores achieved in FY '23. The fall in revenue is attributable to the fall in selling prices year -on-year. The profit after tax has also gone down from INR603 crores to INR531 crores because of slight pressure on the margins. The company is taking steps for long -term sustainable margins which include productivity improvement, installation of solar power project, waste utilization project, the replacement of all TG set with energy efficient TG set and replacing high -cost imported coal by captive coal. The effect of all these efforts will be reflected in the medium to long -term.

Debt position - The company is net debt free. At consolidated level, gross long -term debts stood at about INR1,250 crores. Amount of long -term loans repayable within next 1 year is INR195 crores. The company has strong liquidity to meet capital requirement for acquisitions and ongoing capexes. As of 31st March, we held cash and liquid investments of INR1,325 crores. The company is not exposed materially to currency rate fluctuations. Foreign currency import exposure is fully covered by our exports.

Dividend - The Board of Director have recommended a dividend of Re1 per share, which is 100% against regular dividend of 75% paid in the previous year s.

The industry scenario - The domestic crude steel production in financial year '24 registered a growth of 13% to 144 million metric tons against 127 million tons in FY '23. Production from induction furnace too saw a sharp jump of 25% to 50 million tons. The domestic finished steel consumption has registered a growth of 13% to 136 million tons in FY '24 on the back of government -supported infrastructure projects. India has become a net importer of steel in FY

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'24. During FY '24, India registered 38% surge in import of finished steel to 8.32 million tons as against 6.02 million tons imported in the previous year.

Ferro alloys export has been stable. During the quarter, India exported 0.66 million tons ferro alloys against 0.59 million tons in the last quarter. During the year, India exported 2.65 million tons of ferro alloys. Thermal and coking coal import saw a sharp rise on back of lower prices. Lower coal prices resulted in higher import of high -grade coal by sponge iron plants. And consequently, sponge iron production also increased by 20% to 52 million tons against 43 million tons in the previous year. The coal production has almost reached 1 billion tons against 893 million tons in the last year, registering a growth of 11.65%. This has kept the prices of thermal coal under check with comfortable stock level at power plants.

The quarter gone by has seen strong domestic demand, but slowing global demand. Increased export from China had an impact on the pricing of steel. China's property market remained sluggish affecting steel consumption. During the quarter, India produced 37.3 million tons of crude steel, recording a growth of 9.7% year -on-year.

During financial year '24, India produced about 144 million tons crude steel –recording a growth of 14.5% against negative growth of 1.66% in China and 3.48% growth in global crude steel production. During the quarter, India recorded growth in steel production despite jump in the imports from 2 million tons to 2.6 million tons.

Apparent consumption has gone up from 33 million tons to 36 million tons year-on-year, registering a growth of 9%. Iron ore, iron pellet and sponge iron prices remained stable. Finished steel prices saw downward pressure resulting into compression of margins. Ferro alloys prices also didn't improve during the quarter from fall in the last quarter. However, the prices of both steel and ferro alloys have seen upward movement during the current quarter.

Outlook

- The Indian economy remains stable against the pressure of high inflation and high interest rate environment. Interest rates across the globe are expected to start falling in view of the declining inflation across the globe. Strong tax collection and sharp rise in dividend from RBI has strengthened finances of the government, creating space for extra government spending on infrastructure projects. That should boost capex heavy projects and real estate sector, creating demand for steel.

India's steel production and consumption is expected to continue its high growth momentum. Our apparent steel consumption has recorded a healthy growth of 14% in FY '24. Growth in steel sector is driven by government spending on infrastructure and recovery in private investment which have been the focus of this year's budget. Money flow from election -related spending should also stimulate demand.

Iron ore, coke and coal prices have also moved in tandem. Peak power demand has breached level of 243 gigawatt. Price of power in open market is hardening and is expected to remain at elevated level providing good power sale opportunity for the company .

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There is disruption in the production of high -grade manganese ore in Australia affecting supply chain. This has caused sharp rise in price of manganese ore and also ferro alloys. We have sufficient inventory of manganese ore. Current price of silicon manganese of 60% grade is around INR 85,000 against the average realization of INR67,000 in quarter 4 of FY '24. That's all about our performance and outlook. Now we have the forum open for questions from the participants. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rajesh Bhandari from Nakoda Engineering . Please go ahead.

Rajesh Bhandari: Sir good afternoon.

Padam Jain: Good afternoon.

Rajesh Bhandari : This time result has not come good, is it only because of the low prices?

Padam Kumar Jain From operating performance you must have seen , in all the plants ' operation we have achieved record production .

Rajesh Bhandari; Is there any chance of prices improving?

Padam Jain: Prices have improved in first quarter as compared to the last quarter there is substantial improvement.

Rajesh Bhandari: Means 15%, 20% improvement?

Padam Jain: No it is not 15%, 20% it is 10% plus.

Rajesh Bhandari : And ferro alloys exports?

Padam Jain: That is continuing, and it is normal.

Rajesh Bhandari : Because outside the condition is not good .

Padam Jain: No, otherwise price movement would not be there if demand was not there. Price movement has happened because demand is there.

Rajesh Bhandari : And SKS Power , what is the status of that?

Padam Jain: In SKS Power , on our appeal, NCLAT has set aside the earlier order of NCLT Mumbai and asked them to hear our Plan approval application again.

Rajesh Bhandari: Means the first case after hearing that order has been given so NCL AT has set aside those orders?

Padam Jain: The NCLT order was not in our favour . They had told the CoC to reconsider again all the plans . That order has been rejected by NCLAT .

Rajesh Bhandari: Means which was earlier in our favour that remained in our favour?

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Padam Jain: Yes it's in our favour. CoC had given in our favour and NCLAT decision has come in our favour and they have asked NCLT Mumbai to hear it again. Earlier NCLT had told to the CoC that all resolution plans should be reconsidered that has been rejected by NCL AT.

Rajesh Bhandari: Till what time it will come what is the hope of that?

Padam Jain: This is a court case. NCL AT has ordered to decide preferably in 60 days . If not 60 days you consider it little less or more than that. NCL AT has

given the time of 60 days for decision to

NCLT Mumbai .

Moderator: Mr. Bhandari may we request you to come back to the question queue for follow up.

Rajesh Bhandari: Only last question. This decision will be in our favour?

Nilay Joshi : Matter is subjudice . We don't want to comment on judicial process.

Rajesh Bhandari: Thank you sir.

Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yogya Capital . Please go ahead.

Pradeep Rawat : So I have a couple of questions. First question is regarding our capex outlay. So during this financial year, FY '25 and beyond what should be the capex outlay that you foresee?

Padam Jain: The capex outlay should be in the range of INR 500 crores a year put together across the company.

Pradeep Rawat : And the revenue potential at current market price, like keeping market price stable what should be the total amount of revenue that we can generate from current capacity and capacity after the capex that we have announced till date?

Padam Jain: Capexes which have been announced , except coal mines , in current year none will come in production. So far as current year production is concerned , only we will have increased coal production. In the current year there won't be material change in the revenue except the price effect. So there will be effect of the whole production and rest will be the price effect.

Pradeep Rawat : So you are guiding for no volume increase for next like 1 year?

Padam Jain: For the current financial year whatever performance productivity improvements nominal whatever is there that will be there. Otherwise, there won't be any material improvement in the quantum side, but yes the effect of the price increase will definitely be reflected into the revenue.

Pradeep Rawat : Okay. And with regard to our cash and investments, so we have close to INR 1,450 crores of cash and investment and we will be getting cash flow from our operating profits. So what we are planning to do with this cash that we have at our hand and the cash flow that we will generate in coming years?

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Padam Jain: As already stated we are in the process of acquisition of SKS, a 600 -megawatt thermal power project. So that will be the major outflow which has not been considered into our projections of the revenue. So that will be the first and foremost major outflow. In addition to that, we have been spending on the regular capex's including solar power project then hydropower project,

waste utilization project and multiple coal mines. There are multiple coal mines where we have been investing for our future growth. So on all these projects we will be spending this money.

Pradeep Rawat : Okay. So how much we will be spending on SKS Power?

Padam Jain: That is already under process. This is in the range of INR 2,000 crores plus minus is there. That is a larger acquisition.

Pradeep Rawat: Great. Thank you and all the best.

Padam Jain: Thank you.

Moderator: Thank you. The next question is from the line of Akshay Kothari from JHP Securities. Please go ahead.

Akshay Khotari : Thanks for the opportunity. So first of all your outlook on ferroalloys.

Moderator: Cutting up there Mr. Kothari you are sounding too low. Can you speak a bit louder please.

Akshay Khotari: Is it better now?

Moderator: Yes.

Akshay Khotari: Sir outlook on ferroalloys and especially manganese ore because we have been hearing that there has been some supply side shortages on manganese ore with one of the Australian facilities going offline.

Padam Jain: Yes, there is some disruption in Australia on the high-grade manganese ore of South 32 mine, there is a disruption. Because of that, there has been a supply disruption. Because of supply disruption prices have moved up. But we understand that, that is expected to be restored soon. And maybe I

think by July, things should get to normal.

Akshay Khotari: So we won't be affected much by the rise in manganese ore prices ?

Padam Jain: No, no, we do have sufficient inventory. But in long term whenever the price goes up that will be in tandem with the finished goods prices also. So we will not be affected adversely rather it may be positive for us for the inventory gains.

Akshay Khotari : Okay. And sir, how much time does it take for the price to pass on because generally it takes time for price -- to pass on the price lag?

Padam Jain: This time, the price of finished goods also moved up immediately along with the raw material.

So there is no fixed trend in this. It depends upon multiple market scenarios and this time the price of the finished goods also moved immediately as the prices of the raw material moved up.

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Akshay Khotari: Okay sir. That's it from my side.

Moderator: Thank you. The next question is from the line of Pawan Nahar an individual investor. Please go ahead.

Pawan Nahar : So I have one question -- I have one request. Mining is becoming an important part of our segmental or of our numbers, so it is not showing exactly...

Padam Jain: Your voice is not clear. Your voice is not very clear.

Pawan Nahar : Okay. So I have a request. Mining is becoming an important part of our segmental or our business plans going ahead. Now if we can disclose revenue and EBITDA separately from mining, commercial mining it will be very useful. So, any plans to do that?

Padam Jain: Yes, as of now, because a substantial part of our mined coal is captive consumed. So as of now it is not that important part of our overall revenue side. But yes as another mine starts production, as soon as this Shahpur coal mine comes into production we'll definitely start reporting separately the mining operations. Presently majorly we are using it for captive consumption.

Pawan Nahar : So this year we produced 1.44 million tons, how much of that was captive and how much was commercial sales?

Padam Jain: About 8.40 lac tons was sold in the market -- 8.4 lakh tons was sold in the market and the rest was consumed captive.

Pawan Nahar : So this 840,000 tons that was sold in the market -- see what is happening is I'm just saying that the segmented steel numbers have dropped sharply ...

Padam Jain: Again your voice is not clear, your voice is not clear.

Pawan Nahar : So what I'm saying is the segmental numbers of steel have dropped sharply. Now I understand that coal prices would have also come down and that would have impacted and likewise on the steel business. I was just trying to get a sense what is the normal profit from your steel business?

Padam Jain : What is the normal profit conversion?

Padam Jain: Steel business is cyclical, to give a specific separate number for normal profit from steel will be very difficult and coal is also majorly captive consumed, it forms part of the steel only.

Pawan Nahar : Okay. Fine. I'll stop on that one. The second request I have is, did we put out any press release relating to the NCLAT order on SKS. I think not. Can you please correct me? I think you've not put out any press release on the NCLAT order. If not, my request...

Pankaj Sarda: Can you repeat the names regarding NCLT order because your voice -- we were not able to hear your voice.

Pawan Nahar : I'm really sorry, my request to you is that SKS is a very important aspect of the business plan right now I would imagine. So my request to you is that please continue to issue press release
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on the development from SKS. So, I think there was no press release on NCLAT order, we have to get it from the press.

And now we are waiting whether Torrent or any other party would file any fresh reason for it means why it should not be allotted to us. So have they filed, has Torrent or the other fund side anything with NCLT again?

Pankaj Sarda : No. If I heard you correctly you mentioned Torrent and other companies going to NCLAT, right?

Pawan Nahar : Yes, NCLT again.

Pankaj Sarda : So they went to NCLAT and the NCLAT board of judges have heard them all and then passed this judgement for asking NCLT to hear the case and dispose it off in 60 days.

Pawan Nahar : That's right. So is there any other hurdle left?

Moderator: Mr Nahar, may we request you come back to the question queue for follow up questions.

Pawan Nahar : My question to the management is to explain if there is any other hurdle left in this and if Torrent or the other party has filed for any other fresh, what should I say, opposition?

Nilay Joshi : Mr. Nahar, let me clarify. By the order of NCLAT, both the plan approval application, which was for Sarda Energy's plan and also the interlocutory applications of Torrent and Vantage Point have been revived by that order. So, all the three would be heard in NCLT Mumbai. That is the status as of now.

Pawan Nahar : Okay, so all the three would be heard. Okay. Thank you.

Moderator: Thank you. The next question is from the line of Aditya Rathi from Aequitas Investments.

Aditya Rathi : Most of my questions are already answered, sir. Only thing I wanted to understand is the tax rate for this quarter. So it is somewhere close to 37%. Is there any adjustment to it?

Padam Jain : 2, 3 aspects. One is the fair value change because the profit also includes a fair value gain on loss. And then there are losses in -- there may be loss in one of the subsidiaries, that may be the case. So we are paying tax on the profit side of few companies without setting off the losses of other companies. So all these factors affect the tax.

Moderator: Thank you. The next question is from the line of Rakesh Roy from Boring AMC.

Rakesh Roy : My first question regarding the volume. If I see your sales volume number. So all the segments have -- in steel segment, all the segments have the -- sales volume is down. So sir, which segment we see -- lowest realization where we see more realization down in this segment?

Padam Jain : Sir, as I stated, Year -on-year, the price of Ferro Alloys is substantially down. Last year, it was around INR85,000, that has gone down to somewhere around INR68,000. Year on year, if you compare financially, if you compare on the quarter -on-quarter, the steel finished products prices have gone down. And the price of pellet and sponge iron remains more or less in tandem.

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Rakesh Roy : I was watching it from here, in that case everything is down. So our sales volume is down due to lower realization or any other reason?

Padam Jain : Because of lower realization. And in case of hydropower project there is some fall of 10% because of lower rainfall.

Rakesh Roy : Okay. So can we see some improvement in volume in Q1 because some like billet prices is near to 10% to 15% higher. So can we see volume uptake in Q1?

Padam Jain : Quarter -on-quarter definitely it will be on higher side because in the last quarter we had shutdown of one of the turbines and boiler so that had affected the volume. So quarter -on-quarter definitely on annual basis there may be marginal improvement because of the productivity otherwise more or less it will remain in line.

Rakesh Roy : Okay. And sir, your view on the overall steel market and how is the -- for FY '25, how is outlook from your side?

Padam Jain : Sir, as far as the near term is concerned, whatever is appearing we already stated, the prices have moved up in the current quarter. And with the better finances of the government as we stated in our address, we expect more spending from the government side on the infrastructure projects and the incentive schemes for promotion

of manufacturing in the country. And that should create demand for steel.

Rakesh Roy : Okay. And then in terms of realization, this will improve in Q -o-Q basis or this will be stable?

Padam Jain : Pardon?

Rakesh Roy : Regarding the realization, sir.

Padam Jain : Yes. What exactly is the question about realization?

Rakesh Roy : Yes. I mean, I'm saying, okay, your demand is good for FY '25. You said, okay, but what about the realization part how this will look like -- price will increase in FY '25? And how much it will increase, sir?

Padam Jain : Giving any price range will be very difficult. It depends upon the market conditions -- as already stated, in the first quarter, prices have moved up -- about 10%.

Moderator: The next question is from the line of Ruchika Dhanuka from Phillip Capital.

Vikash : This is Vikash from Phili pCapital. Am I audible?

Padam Jain: Yes, you are audible.

Vikash : Yes. Sir, just one question, given that we don't have much of the volume growth in the ferro segment. Are you finalizing some plans to further add on the capacity at least on the ferro alloys side?

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Padam Jain: We are not adding any ferro alloys capacity.

Vikash : Are there any plans ?

Padam Jain: We don't have any plans to increase the ferro alloys capacity in the immediate future.

Vikash : Okay. So as of now, only SKS Power is the near -term target for us in terms of growth prospective?

Padam Jain: Yes, growth -- then we have coal mines. There are 3 more coal mines which are under development. Hydropower project is nearing completion. Then solar power project we are putting up. So there are multiple smaller projects. As far as major project is concerned that is SKS acquisition. In addition to that, there are multiple small, small projects which are going on.

Vikash : Understood. And sir, what is our specifically ferro manganese capacity at this point of time? And how much we have produced in FY '24?

Padam Jain: Ferro manganese or total ferro alloys, what you are asking about?

Vikash : So I am asking total ferro alloys capacity and ferro manganese capacities as well.

Padam Jain: We have a combined capacity of ferro alloys. We can produce either silico manganese or we can produce ferro manganese, either of them. There is no specific separate capacity for ferro manganese or silico manganese.

Vikash : As I understand that switching to the product also changes the overall rated capacity, right? So for ferro manganese if we only produce ferro manganese, then what could be the rated capacity versus the overall which you play?

Padam Jain: The ferro alloys -- with the production of ferro manganese, capacity will go up by about 30% as compared to silico manganese. Quantum wise, if you consider that.

Vikash : Okay and your total net rated capacity is around 240 KT right? Including the standalone volume.

Padam Jain: Yes. And we have totally produced about 2 lakh metric tons in the last year.

Vikash : Understood. Can at least with ferro alloy segment, you can see 10%, 15% kind of the volume growth or that is also not looking good?

Padam Jain: There may be minor -- because of productivity improvement, whatever we can add up. It will be there. And, as we stated, in the last quarter we had some curtailment in the power generation so that may have some bearing on the additional production. More or less, it will remain in line, except for productivity improvement.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: My first question regarding like we have seen a lot of slowdowns in the projects especially infra side because of these elections and some of the steel consumers also like posted flat or degrowth

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in this quarter. I just want to understand whether

it will continue for next 1 or 2 quarters, like you have mentioned, there is no volume growth in this financial year.

I just want to understand when we can expect a substantial improvement, whether it is from Q2 or Q3 onwards? And also, you can talk about the export side, you have mentioned a slowdown in China market. I just want to understand on the export side, what kind of opportunities and traction we have ?

Padam Jain: Can you repeat your initial question, I couldn't get exactly -- what exactly is your question?

Balasubramanian: Okay, sir, first question regarding, we have seen a lot of slowdowns in the project side, because of elections, some of the steel consumers and pipe players, they have posted flat numbers or

degrowth in this quarter. And they expect a lot of infra players also, there is no order intake in past 3 months or so. So when we can expect the steel consumption will increase, whether it is Q1 or Q2? Is there any impact because of these elections?

Padam Jain: Yes. That is a general phenomenon, whenever elections are there, definitely, there is shortage of labour. Labour moves from cities to the villages and that has effect on the infrastructure projects. Otherwise also because of election restriction, there is effect on the demand side of the -- steel from the infrastructure projects.

But as the elections are over and government comes into, again, full form we expect that the demand from the infrastructure projects should pick up. Government is also pushing the solar in a big way for the rooftop solar. That will also create demand. In addition to that there are -- Jal Jeevan mission is already going on and multiple projects as you are aware and we have stated in our address also, RBI has given a dividend of more than INR2 lakh crores and tax collections have also been very healthy. So that should leave surplus with the government for spending on the infrastructure side. And that's where we feel that the demand of steel from this level to improve.

Balasubramanian: Got it, sir. So on the export side, like you have mentioned -- like especially into China, we have witnessed the slowdown. I just want to understand like where we are witnessing traction on the export side?

Padam Jain: No, we are not exporting any of the steel products, we are exporting only ferro alloys, so there is no material bearing on that side.

Balasubramanian: Okay, sir. Got it. Sir, like we are doing capex of INR500 crores, what's the breakup of this capex in this financial year?

Padam Jain: There are multiple smaller, smaller projects as we told, one is the INR200 crores, we will be spending on the solar power project, then we'll be spending on 3 mines and some spending will be on the hydropower project during the current financial year.

Balasubramanian: Okay, sir. So what kind of...

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Padam Jain: Waste management project, we will be spending about INR70 crores. So, total will be about INR500 crores.

Balasubramanian: Okay. Sir, what kind of synergies we can expect from this INR500 crores investment in terms of cost savings or incremental revenue?

Padam Jain: So as far as the current financial is concerned, except the hydropower project, none of other projects will get commissioned. One hydropower project of 25 megawatts will get commissioned during the current financial year that will have additional revenue.

Balasubramanian: And the remaining when it will get commissioned, sir, the solar power and mines and all.

Padam Jain: Solar power, we expect to commission by end of the current financial year. And out of the 3 mines, one Shahpur coal mine will start maybe by end of the next financial year. But it will be - for current and next financial year, there won't be any addition in the coal mining project. We are also spending some amount on our existing coal mine also. There also we are incre

asing the

capacity. So some of the capex will be going in that mine also.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Padam Jain: We thank all the participants of this con call. The company continues to diversify its revenues.

Revenue from power and mining will increase over period, decoupling it from cyclicity of metal industry. Journey from here is exciting.

We are adding solar power for captive consumption which will help in reducing our carbon footprint in our manufacturing facility.

We are hopeful to get approval of our resolution plan for SKS Power soon. This will be a major milestone in our growth journey. Increase in the capacity of existing coal mines from 1.44 million tons to 5.2 million tons and the opening of 3 more coal mines at Shahpur, Kalyani and Bartunga will also help to accelerate growth. Please feel free to reach out to us or our IR team if you have any further questions. We look forward to connecting with you again in the next con call. Thank you all.

Moderator: Thank you. on behalf of Sarda Energy & Minerals Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

An ISO 9001, ISO 14001 & ISO
45001
Certified Company

SARDA ENERGY & MINERALS LTD.

10th August 2024

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No. : 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 5th August 2024

Please find enclosed herewith the transcript of the Q1 / FY 25 Earnings Conference Call conducted on 5th August 2024. This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Authorised Signatory

Encl: As above
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"Sarda Energy & Minerals Limited
Q1 FY'25 Earnings Conference Call "
August 05, 2024

MANAGEMENT : MR. PANKAJ SARDA – JOINT MANAGING DIRECTOR –
SARDA ENERGY & MINERALS LIMITED
MR. PADAM JAIN –DIRECTOR AND CHIEF FINANCIAL

OFFICER – SARDA ENERGY & MINERALS LIMITED
MR. MANISH SARDA –DEPUTY MANAGING DIRECTOR –
SARDA METALS & ALLOYS LIMITED
MR. NILAY JOSHI – HEAD, CORPORATE FINANCE –
SARDA ENERGY & MINERALS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY '25 Earnings Conference Call of Sarda Energy & Minerals Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

Today, we are honored to have with us from the management team, Mr. Pankaj Sarda, Joint Managing Director of Sarda Energy & Minerals Limited; Mr. Manish Sarda, Deputy Managing Director of Sarda Metals & Alloys Limited; Mr. P.K. Jain, Director and Chief Financial Officer; and Mr. Nilay Joshi, Head, Corporate Finance at Sarda Energy & Minerals Limited.

This call may contain some of the forward-looking statements, which are completely based upon our beliefs, opinions and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. The company also undertakes no obligation to update any forward-looking statement to reflect developments that occur after a statement is made.

I would now like to hand the conference over to Mr. Pankaj Sarda for opening remarks. Thank you, and over to you, sir.

Pankaj Sarda: Thank you, and a very good afternoon, ladies and gentlemen. Welcome to Sarda Energy's earnings call. I hope you have had a chance to go through the results and presentation uploaded on our website and the websites of stock exchanges.

Economies across the globe continue to face macro headwinds. China's GDP growth slowed to 4.7%, reflecting weakened private consumption and waning effect of fiscal stimulus. In China, the property sector continues to remain a challenge. The intensified conflict between Israel and Hamas and disruptions in the Red Sea has impacted sea transport and fuel costs, with geopolitical risks remaining a concern.

During the quarter, we reduced production of steel billets and downstream products to sell power on commercial consideration. Hydropower generation decreased by 13% due to delayed monsoon. Detailed operational data is available on our website and in the press release uploaded on the website of stock exchanges.

Mine opening work of Shahpur West coal mine will start after we receive Stage 2 forest clearance and mining lease. We expect to get mine opening permission during current financial year.

Process of mining plan, preparation and approval for the Kalyani coal mine was held back to resolve overlapping boundary issues with adjacent mines of SECL, which are now resolved. Work for the 50-megawatt captive solar power project is progressing as per schedule. The plant is scheduled to be operational by end of the current financial year.

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The 25-megawatt Rehar hydropower project is nearing completion. Dry run test has started for the first turbine. The power evacuation infrastructure in area passing through forest patches is pending for want of final approval from forest department, which is expected in this month.

We aim to commission the plant by the end of this quarter, ahead of the March 2025 schedule. So far as acquisition of SKS Power is concerned, NCLT has completed rehearing of the application for approval of our resolution plan and reserve bid for orders. Order is expected soon.

Now I request Mr. P.K. Jain to talk about the financial performance.

Moderator: Ladies and gentlemen, we have lost the management's line connection. Please stay connected while we reconnect them.

Padam Jain: Yes. So with regard to the financial performance, the company has achieved consolidated quarterly revenue of INR 926 crores in quarter 1 FY

Y '25 as compared to INR889 crores in the last quarter and INR1,052 crores in quarter 1 FY24 . Consolidated profit after tax was INR199 crores, up from INR88 crores last quarter and INR172 crores in quarter 1 of FY '24. Prices across the value chain rose in the first 2 months, but reverted in June due to dumping from China.

During the quarter, we spent approximately INR150 crores on ongoing capex es. The company is net debt free with consolidated long -term debt at around INR1,300 crores. Long -term loans repayable within next 1 -year total to ~ INR240 crores. The company holds strong liquidity with cash and liquid investments of around INR1,300 crores as of June 30.

Now I hand over to Sri Manish Sarda to discuss the steel and ferro alloys industry scenario and outlook. Over to Manish ji.

Manish Sarda: Thanks, Mr. Jain. Good afternoon, everyone. Global steel production in the first 6 months of 2024 remained flat at 955 million tons, with China recording a decline of 1.1% and India growing by 7.4%, reaching 74 million metric tons.

Due to slowdown in domestic economy, Chinese steel export remained at elevated levels.

Higher exports from China due to subdued domestic demand weighed on global steel prices. In India, steel demand was stable despite impact of elections and heat wave. Price realizations improved during the quarter but moderated in June and further in July.

Steel imports moderated quarter -on-quarter, but in absence of safeguard measures, fall in exports was much sharper by around 50% year -on-year. Imports increased and exports fell . India remains a net importer of steel. The EU imposed additional safeguards to moderate high steel imports. Ferro alloys prices rose sharply due to supply disruptions in Australia but corrected quickly.

Merchant power prices remained high due to elections and heat wave. Domestic crude steel production in quarter 1 of financial year '25 grew by 5% year -on-year but declined by 2% quarter -on-quarter to 36.6 million tons. Domestic finished steel consumption grew by ~14%.

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year-on-year but was slightly lower quarter -on-quarter due to seasonal effects and labor migration during the elections. Our Ferro alloys exports have been stable , during the quarter we exported 32,500 metric tons of Ferro alloys worth INR273 crores in quarter 1 FY25 compared to 27,000 metric tons worth INR203 crores last quarter and ~ 29,400 metric tons worth INR242 crores in quarter 1 of '24.

Outlook. The Indian economy remains stable despite high inflation environment. Interest rates across the globe are expected to fall as inflation declines. Strong tax collection and sharp rise in dividend from RBI has strengthened government finances, allowing for increased infrastructure spending.

Strong foreign capital inflows aided by Global Bond Index inclusion are set to further bolster the robust macroeconomic growth. Good credit offtake and a strong capital market, particularly primary insurances, indicate rise in private capex . That should boost capex -heavy projects and real estate sector creating demand for steel.

However, China 's slowing economy and subdued real estate sector has created surplus in global steel markets. Increased Chinese exports are pressuring steel prices. In the absence of trade barriers, India's imports especially through the FTA countries are rising, which may affect the steel sector's performance.

That concludes the performance and outlook. We now open the forum for question and answer. Thank you, all participants.

Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Vikash Singh from PhillipCapital.

Vikash Singh: Sir, you mentioned that the prices have started to decline from June. Just wanted to understand what are the current prices with respect to 1Q averages? How much it

is down?

Padam Jain: Prices of what?

Vikash Singh: The steel products basically Pellet, Billet, Wire Rods and HB wires, including Ferro manganese , which you would like to tell us.

Padam Jain: The prices have corrected by around 6% to 8% as compared to the first quarter average.

Vikas Singh : Understood. And correspondingly, the cost of production, any guidance in terms of production in the cost of product numbers? The coal, iron ore cost for you?

Padam Jain: There remains a time gap. In the falling market, it takes some time to get corrections into the raw material prices.

Vikas Singh : So as of now, we haven't experienced anything. Sir, if you could give us spot basis then it would also be okay for me.

Padam Jain: Spot prices?

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Vikas Singh : Spot basis, the iron ore as well as the coal cost which you would experience versus 1Q averages?

Padam Jain: There has not been any material correction in the raw material prices when you compare with the Q1 average.

Vikas Singh : Understood, sir. Secondly, we spent INR150 crores in 1Q. I wanted to understand the overall FY'25 capex, how much is left for spending?

Padam Jain: It should be -- total capex should be somewhere in the range of INR700 crores, out of which we have already spent about INR150 crores in the first quarter.

Vikas Singh : Sir, we have done -- we have almost completed the hydropower thing. So remaining money is going where, if you could give us an idea?

Padam Jain: There are three coal mining projects, then we are doing this waste utilization project in Vishakhapatnam, then turbine replacement project is going on. So major capexes will be going towards the expansion of three coal mines.

Vikas Singh : Understood. And any timeline for these coal mines to start production?

Padam Jain: As we stated in our opening remarks, first will be the Shahpur West Coal Mine. So, we will start working on that mine once we receive the forest Stage 2 clearance, which we expect to get within the current financial year. And remaining mines will take time to get started, but land acquisition and all other processes will be going on where we will be spending money on those projects. Then in addition to that, we have solar power project also which is going on.

Vikas Singh : Understood. Sir, just one last question. For Gare Palma IV/7, we were in the process of increasing the limit for the mining capacity. Have we received it or at what stage we are in?

Pankaj Sarda: Currently, the mining capacity is 1.44 million tons. We have already got the EC for increasing it to 1.68 million tons, consent to establish and consent to operate, we'll get it in this quarter.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, regarding our Raipur captive power plant, it's been shut down in last quarter. So, it's in the progress of overhauling FBC, boilers and turbines. So, when do you expect re-start production in this unit? And hydropower project is also expected to be operational by this quarter, and what's the status on the project side?

Pankaj Sarda: That was statutory overhauling that was done. So, it has again, restarted, I mean. So the Raipur captive power plant one of the turbines was taken under shutdown and boiler was taken under shutdown for statutory overhauling, and it is again restarted. And what was your second question?

Balasubramanian: Sir, regarding hydropower project, 25 -megawatt?

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Pankaj Sarda: As mentioned, the 25 -megawatt Rehar hydro project will be commissioned in this quarter. And the target date was considered 31 March 2025 and we'll be commissioning it in this quarter.

Balasubramanian: Got it, sir. Sir, also, we have placed 30 -megawatt TG set to save the energy under carbon footprint

side. So, when we can expect it to be operational and what is the status on that?

Pankaj Sarda: Right. So, we have already given purchase orders to BHEL and it will take at least 24 to 28 months to commission that. BHEL will take 18 months to supply us the turbine. And we have to take a shutdown and we have to change it. It will take 24 to 28 months.

Balasubramanian: Got it sir. Thank you. I will come back in the queue.

Moderator: Thank you very much. The next question is from the line of Rakesh Roy from Omkara Capital. Please go ahead.

Rakesh Roy: First question regarding, sir do you see more margin improvement in coming quarters, sir?

Padam Jain: It depends upon the market condition. As we stated in our opening remarks presently the prices have gone down. And the correction in the raw material prices is awaited. So as of now margins as compared to the first quarter are on the lower side, but how the things move post the rainy season and how the developments come in it depends on that.

Rakesh Roy: My next question sir we see a sharp drop in pellet, billet and wire rod volume numbers -- sales volume number. Is this due to demand or pellet import?

Padam Jain: No. We have already stated in our opening remarks also, the production of billet was intentionally curtailed to supply power on the IEX for merchant sale where we were getting better realization or better margins.

Rakesh Roy: Okay. So, you supply power to the IEX instead of making billets?

Padam Jain: We have captive power plant. So, we cut down our production of billet and whatever the surplus power we could have, that was sold through IEX.

Rakesh Roy: And sir, how is the current scenario for July?

Padam Jain: There have been ups and downs, in between we get the opportunities to sell for a few hours. It's not that throughout that is happening because presently it's rainy season. So comparatively the power demand remains on the lower side.

Rakesh Roy: Okay. So, can we see again the production be normalized from Q2?

Padam Jain: Yes.

Rakesh Roy: Okay. And sir can you give....

Padam Jain: It remains normalized, but in between if we get the opportunity to sell power at high prices again we may decide to cut production of steel. And as far as raw material prices are

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concerned that question has come in between. So, in case of manganese ore, oil has reduced the prices from 10% to 27%. For higher grade, it is in the range of 10% and for lower grade they have reduced prices by 27% in case of manganese ore.

Rakesh Roy: Okay. Right, sir. And sir my next question sir can you give some detail about the power project of SKS? Where is it and how much time it takes because it's already more than [inaudible 18:39] has happened.

Padam Jain: The matter has been heard by NCLT after revert from NCLAT and everyone is waiting for the orders.

Rakesh Roy: Okay. So we expect by September Q2 we'll get the order?

Padam Jain: Yes. Hopefully, that should be clear. Maybe by end of this month or latest in this quarter.

Rakesh Roy: Okay. And sir, one last question, our net debt stood at INR 1,300 crores?

Padam Jain: No, net debt is 0. That is gross debt. Net debt is 0.

Rakesh Roy: Okay. Gross debt is INR 1,300 crores.

Padam Jain: That is gross long-term debt.

Rakesh Roy: Okay. I understand. And sir your comment on steel demand in terms of looking for imports from China, how you look in domestic consumer demand probably in the next 1 year?

Padam Jain: Manish ji?

Manish Sarda: So the steel -- see I'll tell you something, the government is very clear on infrastructure boost and they are planning for infrastructure development in a big way. And going forward the imports which are happening from China and from FTA nations will be looked in by the new steel ministry which is just in place right now

, but they have not yet formed up any proper

protocols for the same. They are looking into it because there has been a sharp rise in terms of imports and especially through the FTA routes, so they are planning some policy but we are all waiting for that policy. That should be out in the next couple of months.

Moderator: Thank you. The next question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Congratulations for good numbers. In fact, there was a little doubt about the turnover, so you told us that you sold power by reducing the steel. Will the problem of steel settle in the next 2-4 months?

Manish Sarda: No, it will not. It will not settle in the next 2-4 months. Because the Chinese economy is also in doldrums right now, they want to come out with some stimulus in terms of consumer spending, and they're looking at their rates, interest rates and everything. But with the ongoing multiple issues across Russia, Ukraine, Gaza, Palestine, all these things, I think -- and with Japan, we have seen what has happened in Japan.

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I don't think within the next 2 or 3 months, things will be resolved because WTO matters are quite huge in terms of duties and FTAs are also in place. So, the government -- the Steel Ministry can only take cognizance of the fact that there has been sharp rise in imports. But at the same time they have to coordinate it with the Ministry of Finance, DGFT, DGTR, regulations, everything. So it is not that simple that it will happen in 2, 3 months. But they are definitely planning to put some QCOs in place like for Ferro alloys we already have a QCO in place.

Rajesh Bhandari: Okay, for Ferro alloys it is there. That is the reason your Ferro alloys prices have not gone down.

Manish Sarda: No, that is not the reason. QCO is basically quality control order. So, everybody who's exporting to India will need to register themselves in the system BIS, so that is a little long-drawn process and kind of a lengthy process. So, they are trying to see and they're trying to

curb cheap imports in to India, which are not quality oriented and all those things. They're looking into all those things now.

Rajesh Bhandari: So ferroalloy will be imported sir?

Manish Sarda: Little Ferro alloy get s imported. We are getting imports of Ferro silicon from Bhutan and we were getting Ferro Moly, which had an inverted duty structure but it's now been removed. So , all these things are taking place and the ministry has just formed .

Rajesh Bhandari: But the prices of Ferro alloy have not dropped that much ?

Manish Sarda: No, Ferro alloy s prices have also dropped. Ferro alloy prices have also come down considerably. At the same time, Moil prices have also come down.

Rajesh Bhandari: So, means margins it is more or less.

Manish Sarda: Yes, so the margins are intact it is okay , because prices will go up and down according to the demand and supply.

Rajesh Bhandari: Correct. And will SKS power be within 1 or 2 months?

Manish Sarda: That Mr. P.K. Jain and Nilay Joshi can comment upon that.

Nilay Joshi: Sir, the matter has been heard in the NCLT court and it is reserved for order. So , we are also awaiting the outcome .

Rajesh Bhandari: I would say 99.99% is in your favour.

Nilay Joshi: Going by the precedent ,you may say that

Rajesh Bhandari: Sir, I am saying a small thing. The money that you are taking from the market. Why don't you take the whole in QIP, People will come running.

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Padam Jain : No, we don't have any intention of raising funds.It is just an enabling resolution. We are taking the enabling resolution every year. If we ever need it...

Rajesh Bhandari: We know that sir.

Padam Jain : We don't have any plan to raise funds.

Rajesh Bhandari: But

SKS will come, right?

Padam Jain : SKS will come. We have taken Enabling. We will decide at an appropriate time. As of now we don't have any plan in the immediate future to raise any fund s.

Moderator: Thank you very much. The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Sir, SKS acquisitions, what is the status on it. It's under NCLT. And how much capex we are planning for this operation?

Padam Jain: For?

Balasubramanian: SKS. Thermal power plant.

Padam Jain: SKS has no capex in immediate.In immediate we have acquisition of an operating plant. We will be acquiring it. As of now, no capex is involved . It is a running plant, which we are acquiring.

Balasubramanian: Okay. Sir, after acquisitions, what kind of capacity we are targeting?

Padam Jain: That we will decide independently after getting it. So , it will be very difficult to comment on that at the moment.

Balasubramanian: Ok sir got it.

Nilay Joshi : As of now it's a 2*300 MW operational thermal power plant that we are acquiring. The matter is sub judice and reserve d for orders. So , once it is resolved then we will be able to comment.

Balasubramanian: Okay, sir. So post elections, like what kind of revamp on the operations side? Because I heard a lot of companies are facing issues because of shortage of laborers. So , like post -election, how you are seeing the operations level especially on the labor.

Padam Jain: We are operating at normal levels.

Moderator: Thank you. Next question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Sir, I had a question , is power selling has better margin than steel selling?

Padam Jain: Power selling does not happen 24 hours. It is rainy season. So, when demand is good for a few hours, then we get a better price. So, we do power supply.

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Rajesh Bhandari: Because when SKS comes to us now?

Padam Jain: Yes.

Rajesh Bhandari: So, from that point of view, I was just asking.

Padam Jain: The power market is strengthening year-on-year. Power prices are going up year -on-year.So ,

the demand for power is good and the power prices are going up .

Moderator: Thank you very much. The next question is from the line of Atul from ULJK. Please go ahead.

Atul: There are a couple of questions from my side. First question is on, as you know, global situation is not good due to China factor, especially China is facing issues in Real Estate part. Domestic story is good, sir. So how do we foresee second half of FY '25 ? Is it a similar performance will be continued or we can see some improvement in coming quarters on the revenue part?

Padam Jain: As far as volumes are concerned, those will remain at the normal levels, whatever operations we have achieved that will continue. So far as pricing is concerned, the markets are volatile and projecting in advance for the second half may be difficult, how the China story evolves and how the overall other scenarios, geopolitical conditions evolve, then interest rate scenario, there are multiple factors that will decide the future course of action. But so far as the operations are concerned, quantitative performance or operational performance is concerned, it will remain at the normal level throughout the year.

Atul: Got it. Sir, second question is on the profit side. We have been following a backward integration strategy. We are using our own mining and power plants now. So going forward, though there won't be any top line growth or even a moderate growth. Do we see further profitability improvement or situation will persist under current level?

Padam Jain: Top line one is the addition on account of the increase in the capacity of the coal mine. Another is the commissioning of our hydropower project and the third one is the commissioning

of our waste utilization project . Waste utilization project will be coming next year only. But for the current year, there will be 2 more additions on account of the increase in the coal mining capacity and starting of the hydro power project.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Padam Jain: Thank you, all the participants of this con call . To summarize, our diversification has resulted in better performance during volatile times. The commissioning of 25 -megawatt Rehar hydropower project this quarter, the 50 -megawatt solar power project and waste utilization project will help reduce our carbon footprint. Starting 3 more coal mines and hydropower projects will drive our future growth. Please feel free to reach out to us or our IR team with any further questions. Thank you all.

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Moderator: On behalf of Sarda Energy & Minerals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

An ISO 9001, ISO 14001 & ISO
45001
Certified Company

SARDA ENERGY & MINERALS LTD.
25th November 2024

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No. : 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 18th November 2024

Please find enclosed herewith the transcript of the Q2 & H1 FY 25 Earnings Conference Call conducted on 18th November 2024. This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Authorised Signatory

Encl: As above

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"Sarda Energy & Minerals Limited
Q2 FY '25 Earnings Conference Call"
November 18, 2024

MANAGEMENT :
MR. MANISH SARDA – DEPUTY MANAGING DIRECTOR
– SARDA METALS & ALLOYS LIMITED
MR. PADAM JAIN – DIRECTOR AND CHIEF FINANCIAL
OFFICER – SARDA ENERGY & MINERALS LIMITED
MR. NILAY JOSHI – HEAD, CORPORATE FINANCE –
SARDA ENERGY & MINERALS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '25 Earnings Conference Call of Sarda Energy & Minerals Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Vinita Pandya. Thank you, and over to you, ma'am.

Vinita Pandya: Thank you, Steve. Good afternoon, everyone, and thank you for joining us today. We have with us today the senior management team of Sarda Energy & Minerals Limited; Mr. Manish Sarda, Deputy Managing Director, Sarda Metals & Alloys; Mr. P.K. Jain, Director and CF O; Mr. Nilay Joshi, Head, Corporate Finance, who will represent Sarda Energy & Minerals on the call. The management will be sharing the key operating and financial highlights for the quarter and half year ended September 30, 2024, followed by a question -and-answer session.

Please note this call may contain some forward -looking statements, which are completely based upon the company's beliefs, opinions and expectations as of today. These statements are not a guarantee of the company's future performance and involve unforeseen risks and uncertainties. The company also undertakes no obligation to update any forward -looking statements to reflect developments that occur after a statement is made.

I now hand over the conference over to Mr. Manish Sarda. Thank you, and over to you, sir.

P K Jain : Good afternoon, ladies and gentlemen. Welcome to Sarda Energy's investor con -call on the results of the quarter 2. I hope you have had a chance to go through the results, press release and presentation, which ha ve been uploaded on our website and websites of stock exchanges.

Economies across the globe continue to face macro headwinds. China announced another positive stimulus to boost their economic growth. However, that also appears to be short lived. USA reduced policy rates twice in last 2 months after 3 years. RBI has also changed its stance to neutral. As such, we may expect reversal of interest rate increase sooner than later depending upon the inflation data. The intensified conflict in Middle Eas t remains a concern for energy prices and global trade. Formation of a new government in USA will also have its impact on the geopolitics and geo -economics, the effect of which is broadly expected to be positive for India. On August 21, 2024, we successfully completed acquisi tion of SKS Power Generation (Chhattisgarh) Limited, shortly called SKS under IBC route. SKS is having 2 operating thermal power generating units of 300 megawatt each, in Raigarh district of Chhattisgarh. SKS has been amalgamated with our company with effect from September 1, 2024. The results for the quarter include result of SKS power plant also with effect from August 22, 2024.

One of the 2 power generating units was under shutdown from September 1, 2024, for overhauling after operation for 5 years, which has resumed generation from October 12, 2024.

As such, results of acquisition will truly start reflecting from next quarterly results only.

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Unsuccessful applicants had challenged the NCLT's approval of our plan before NCLAT , appellate forum. NCLAT has dismissed their appeal. Now they have challenged the approval before Supreme Court.

During the quarter, we reduced production of steel billets and downstream products to sell power on commercial consideration. One of the 5 ferro alloy furnaces at Raipur was under shutdown from September 1 for modification, which restarted on November 1, 2024. We

recorded highest

ever quarterly generation of captive thermal power.

Hydropower generation recorded 8% growth year -on-year on the back of better but delayed monsoon. Generation in the third quarter so far was also better year -on-year. Detailed

operational data is available on our website and in press release uploaded on the websites of stock exchanges.

We have received consent to operate for increase in the coal mining capacity of Gare Palma IV/7 from 1.44 million tons to 1.68 million tons. We have also received environmental clearance for increasing the capacity of coal washery from 0.96 million tons to 5.2 million tons in 2 phases, initially to 1.8 million tons and then to 5.2 million tons. We have also received Stage 2 forest clearance for Shahpur West coal mine. We are taking steps for execution of mining lease. Mine opening work will start after we execute the mining lease. We expect to get mine opening permission during current quarter. We expect to start production of the coal from this mine within 2 years from mine opening permission.

Work for 50 -megawatt captive solar power project is progressing as per schedule. The plant is scheduled to be operational by the end of current financial year. We are in the process of preparation and approval of detailed project report and mining plan for Bartunga Hill coalmine in joint venture. 25 -megawatt Rehar hydropower project has been installed and is ready for trial run. The Chhattisgarh government has announced incentives in its recent industrial policy to promote the hydropower sector in the state. The Rehar hydropower project will also be eligible for the incentives.

The waste utilization project in Visakhapatnam is progressing as per schedule and expected to be operational before end of the current financial year. The order for replacement of 30 - megawatt TG set has been placed with Bharat Heavy Electricals Limited and work on the project is progressing as per schedule. The plant will be operational in mid of financial year 2026 -'27. The company achieved consolidated quarterly revenue of INR1,159 crores in quarter 2 FY '25 as compared to INR926 crores last quarter and INR1,001 crores in quarter 2 of previous year. Provision for income tax includes the effect of removal of indexation benefit on land in the current year tax law. Consolidated profit after tax was INR195 crores as compared to INR199 crores in last quarter and INR141 crores in quarter 2 of the previous year. The result for the quarter includes result of IPP of 600 megawatts acquired during the quarter. True effect of the acquisition will start reflecting from quarter 3. Acquisition -related costs have been booked as expense in our books as per Ind AS requirement.

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On account of increased import and reduced export of the steel, the prices of steel products remained subdued during the quarter. Post the announcement of the policy stimulus by China, some improvement was recorded in the steel prices, which appears to be short lived. During the quarter, we spent about INR1,950 crores on acquisition of SKS Power Plant, in addition to the normal capex on the ongoing projects.

Post acquisition of SKS, our consolidated net debt, including for working capital, stood at around INR1,300 crores. Long -term loans repayable within next one year is less than INR200 crores. The company holds a strong liquidity with cash and liquid investments of more than INR1,500 crores as of September 30, 2024, which is in addition to the loans given as part of treasury investments. The debt to EBITDA is below 1, which will go down further as the effect of 600 - megawatt IPP start reflecting in the EBITDA.

During 9 months of calendar year 2024, global steel production declined by 1.9% to 1,394 million tons. China recorded decline of 3.6%. Bucking the global trend during the same period, India recorded

growth of 5.9%.

Due to slowdown in the domestic economy, Chinese steel exports remained at elevated levels. Aggressive exports from China due to subdued domestic demand weighed on the global steel prices, China exported 84 million tons in 9 months, recording a growth of 21%. Many countries have invoked safeguard measures against Chinese imports.

In absence of safeguard measures, steel imports in India recorded sharp jump of 44.5% quarter -on-quarter and 43.2% year -on-year, whereas the exports fell 14.8% quarter -on-quarter and 29% year-on-year. India was net importer of steel of about 1.9 million tons in the quarter. The EU imposed additional safeguards to moderate high steel imports.

Ferro alloys prices corrected back to previous levels after sharp jump in June on the fear of shortage of raw material due to disruption in Australia. Merchant power prices remained subdued due to above average rainfall during the quarter.

Domestic crude steel production in quarter 2 of current financial year fell marginally by less than 1% but grew 2.7% year -on-year to 36.23 million tons. Domestic finished steel consumption grew by about 4.2% quarter -on-quarter and 11.6% year -on-year to 37.09 million tons.

Ferro alloy exports have been stable. During the quarter, we exported about 28,200 metric tons of ferro alloys worth INR251 crores in quarter 2 of current financial year as compared to 32,500 metric tons worth INR273 crores last quarter, and about 25,500 metric tons worth INR189 crores

in the corresponding period of the previous year.

India is the fastest -growing major economy on the strength of its domestic demand and demography. The reversal of interest rate cycle will further strengthen competitiveness of the industry. Government is also taking safeguard measures to check steel imports. China is also pushing its economy through policy initiatives. The fall in fiscal deficit provides legroom for increased government capex. All this should augur well for Indian steel industry.

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Good credit offtake and strong capital market, particularly primary issuances indicate rise in the private capex that should boost capex heavy projects. Real estate sector has also recorded healthy bookings creating demand for steel. The effect of 600 -mega watt thermal power plant acquired by us will start reflecting from the current quarter. This plant will give a major boost to the top line and bottom line of the company. That concludes our performance and outlook.

We now open the forum for question -and-answer. Thank you to all the participants.

Moderator: The first question is from the line of A.M. Lodha from Sanmati Consultants.

A.M. Lodha: Sir, congratulations for the good set of numbers as well as congratulations to the entire team of the management for successful takeover of SKS Power plant. I have got 2 questions, sir. One in fact is relating to SKS Power and second is relating to coal.

Now SKS Power, as you have mentioned in your presentation that NCLT appeal has gone in your favour but the aggrieved parties have gone to the Supreme Court. So what is the opinion of our lawyers for this acquisition and this Supreme Court matter?

P K Jain : So, it has been confirmed twice by NCLAT. That gives a reasonable strength to our case.

A.M. Lodha: Does it make any material difference, particularly when you have taken the possession of the plant and made the payment and payment has been made to the banker. Will it make any material difference in Supreme Court?

P K Jain : It is up to the Supreme Court , matter being sub judice. I think the Supreme Court will take into consideration each and every aspect. Ultimately, it is being -- matter being sub judice, I don't think we can give any specific. It is up to the Supreme Court, but definitely all these factors will also be considered.

A.M. Lodha: Okay, sir. So, in this

acquisition, how much is -- out of 600, how much we are selling under PPA and how much we are selling in the market in the grid?

P K Jain : PPA, -- we have long -term PPA, medium -term PPA, short -term PPA and IEX all. For short -term PPA, quantity goes up and down. So maybe out of 600, maybe 400 around because it's a fluctuating figure. It is related...

A.M. Lodha: What is the present rate prevailing in the exchange?

P K Jain : In Exchange, it also fluctuates again, but generally we are getting INR5 plus only on average because it varies hour to hour and day to day.

A.M. Lodha: Whether the management has any intent to double the capacity of this plant?

P K Jain : Let the matters first be resolved. Definitely, if all infrastructure is available, appropriate steps will be taken at appropriate time.

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A.M. Lodha: My second question is regarding the coal mine, sir. We have got the capacity expanded to 1.68 million tonne and we applied for 5.2 MTPA. When we can expect to get the clearance for this expansion of the coal mines, sir?

P K Jain : In the first stage, we are increasing it further from 1.68 million to 1.8 million tons. We expect to get maybe by end of the current financial year or maybe in the beginning of the next financial year. Then we will go for 5.2 million tons. So that will take some time.

A.M. Lodha: Okay, sir. Can I ask one more question, last?

P K Jain : Yes, sure.

A.M. Lodha: The question is relating to hydropower, sir. Our Sikkim hydropower 113 megawatt, Rongnichu power plant at Sikkim. That we have, I think, commenced the commercial production last year. It's the second year running, I think?

P K Jain : This is, I think, third year.

A.M. Lodha: Third year, so...

P K Jain : Total 3 years, this is fourth year.

A.M. Lodha: Fourth year. Just I wanted to know the extent of the loans taken for this power plant and repayment schedule?

P K Jain : Yes. I think best we can provide you offline. Immediately, it will be very difficult to provide

specific figures with regards to repayment schedule

A.M. Lodha: I'll send a mail to you, sir.

Moderator: The next question is from the line of Aman Madrecha from Augmenta Research.

Aman Madrecha: So, first of all, can you highlight on the total coal mix given that we are at 1.68 million tons of coal capacity currently. So how much according to us will be used towards the power plant?

And how much will be used for our internal operations? Could you highlight on that? And what portion -- and second question is that what portion of the SKS coal requirement is met through PPA signed with Coal India and what portion is met in-house again?

P K Jain : Out of 1.68 million tons, 100% will be captively consumed whether it is in the power plant of SKS or internally for sponge iron plant, captive power plant and all those things. Broadly, maybe about 0.6 million tons might be used in other facilities and 1 million tons plus will be used in power plant.

Aman Madrecha: Sir, so for 1 million tons of this coal, what percentage of power requirement will be met through, let's say, for example, for this 600 megawatt to run at fully, let's say, at 85% PLF, how much coal do we require, can you provide that number?

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P K Jain : We require more than 3 million tons, maybe 3.2, depending upon the grade of the coal. It will be 3 million tons plus requirement.

Aman Madrecha: So given that, out of that 3 million tons, 1 million tons is met through this coal mine and rest we buy from outside in PPA?

P K Jain : Yes, for the time being, yes.

Aman Madrecha: Okay sir. And can you also highlight on the upcoming two coal mines, let's say the Shahpur West and the other coal mines that is coming up? Where are we on the Shahpur West coal mine?

P K Jain : As given in our initi

al address, we have received forest clearance stage two also. Now we are in the process of executing the mining lease. Post that, we'll get the mine opening permission. And once we get the mine opening permission which we expect to get before end of the quarter, then it will take about 2 years' time to start the production or getting the production from that mine.

Aman Madrecha: Okay. And sir if I believe according to previous remarks, previous interaction this Shahpur West coal mines quality is at par of the imported coal quality, right?

P K Jain : Yes.

Aman Madrecha: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Digant Haria from GreenEdge Wealth. Please go ahead.

Digant Haria: Thank you for taking my question. Sir my question is again on this SKS Power that -- now it's at least 3 months that we have the power plant in our hand. So what is the peak PLF that we can reach in the power plant now that you will have some more access to the power plant and how they work? So that is question number one. Question number two is, sir, you said the blended realization right now is around INR5 a unit.

So what would be the EBITDA or PBT per unit that we can make? I'm not looking at an exact number, but just a range depending on own coal mine or coal which we are using currently from Coal India. What is the potential here? So these are the two questions, sir.

P K Jain : In normal course, we should expect 85% of the PLF from the plant. And we have been operating at full capacity. We have been getting - the plant is generating full capacity generation. So there is no case of under capacity operation. The plant is capable to operate at full capacity of 600 megawatts. That is the first question, I think I have. What exactly you wanted this is what and PLF as I stated...

Digant Haria: Yes, so PLF can be 85%, you are saying or even more?

P K Jain : Yes, 80% to 85% , because if we are selling part of the power in IEX, sometimes it happens that you have the capacity, but prices are not remunerative enough so sometimes you may have to cut down the production. So in that case, we may consider lower PLF on the safe side . If we

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consider it may be 80% because only a part is on the long-term contract. Sometimes, we have to cut down the production.

Digant Haria: Got it. And my next question is what is the EBITDA per unit or profit before tax, PBT per unit because you said revenue is around INR5 a unit right now. Over the long term, where do you to see this profit before tax number? It will be INR1 a unit, INR2 unit? What is the economics if you can just explain us, that will be helpful?

P K Jain : EBITDA should remain in the range of, say, INR1.5 to INR2.5, somewhere in between, depending upon the prices because price volatility is there.

Digant Haria: And sir INR1.5 to INR2.5 EBITDA, this will claim once we have our own coal mine, this entire 2 million right now, which we are buying from Coal India, if we get it from our own mine Gare Palma 2 years, 3 years later, then does this number change or it may remain in the same range, 1.5 to 2.5?

P K Jain : It will improve marginally. Definitely, it will improve marginally.

Digant Haria: Okay. Sir, last question was on the steel part. You just mentioned that the imports from China have been very high and everybody is representing to the government. So these imports are very high on which parts like is it mostly flat, long or in the products which we are there? Any color that you can give on this?

Manish Sarda : Can you come again, please?

Digant Haria: Yes. So my question was that the imports from China has increased a lot on the steel side. So I just wanted to check, are there specific products where Chinese dumping is very high in India or is it just mostly affecting our products or any such color you can give

on the imports from

China? And how different are the spreads?

Manish Sarda: In the last few months, we have seen a lot of imports happening from China. And it's basically on the electrical steels and flat steels that are coming into the country. And the government has taken a note of that and is working on that to curb the imports also. So soon, we'll -- we are very hopeful that soon we'll see that there will be some import curbs in place. And overall -- basically, overall what happens when you see such a large sort of imports coming into India from China, the overall sentiment gets a little shaky here in India.

Digant Haria: Right sir. Okay. Thank you so much.

Moderator: The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat: Good evening and thank you for the opportunity. Sir I have some basic questions. Can you just highlight what is the cost of mining of coal and iron ore from our mines?

P K Jain : Coal cost depends on market price of coal because we are paying a substantial part towards revenue share. See, we are paying 67% revenue share in our Gare Palma 4/7 and we are also paying royalty. The whole cost depends upon the market price of the coal which fluctuates in a Sarda Energy & Minerals Limited

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wider range. And in case of iron ore, it is somewhere in the range of INR2,500 to INR2,700 depending upon the output. There are multiple variables, lumps and fines.

Again, because a major component of the output is the government taxes, which varies depending upon the grade and the size of the material taken out. So defining a specific pricing, what is -- the cost will be very difficult. In case of coal also, we have four different grades of the coal from the same mine. So the cost varies in a much wider range .

Pradeep Rawat: Yes, sir, I was just asking more about the cost of operations in mining, excluding that revenue sharing model that we do?

P K Jain : That is not material in overall cost structure.

Pradeep Rawat: Okay. And we have Kalyani mines which could -- so when can we expect this Kalyani mines to operationalize? And are we planning to use some kind of advanced mining techniques like underground continuous miners or are we going to do it with existing blasting technology?

P K Jain : So far as the use of the technology is concerned, in case of underground mines generally, continuous miners only will be used . Take the case of Shahpur West Coal Mine , We will use continuous miners only for extraction of the coal from the mine. So far as the Gare Palma 4/7 present operations are concerned, that is an open cast mine, continuous miner is not required. So appropriate -- whatever is appropriate technology depending upon the mine is applied.

Pradeep Rawat: And can you also comment on when could we expect Kalyani mines to be operationalized?

P K Jain : In the last concall, we had stated that there was a dispute on the boundary. There was overlapping boundary of the two different mines allotted to different parties. So that matter was taken up and that boundary dispute has been sorted out, but now we are in the process of evaluating. Post realignment of the boundary, we are carrying out the DPR and viability survey and final outcome will come only once that is approved by the South Eastern Coalfields Limited. So as of now the position is standstill.

Pradeep Rawat: Yes, understood. Just last one basic question. We have purchased Surjagarh iron ore block for 126% revenue share model. So I was just wondering how can we be profitable when we are giving away more than 100% of revenue share to the government? So that was one basic question from my side?

P K Jain : Yes. If you see all the iron ore mines have gone only in this range and I think within this Surjagarh iron ore block also. Our bid well, I think is lowest -- maybe among the lowest of the premium, which w

as bid by us. Others have given their bids much higher than our bid in the same geology and same area.

There were multiple blocks in Surjagarh, ours is block number 1. And we have got a better quality of the iron ore. There are multiple variables again in the pricing of the iron ore, iron ore fines, iron ore lumps. There are multiple variables there. What prices -- and their revenue share is payable on the notified price of the estate.

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It is not on your selling price because if we -- we'll be bringing -- in case of iron ore, the royalty and revenue share is payable on the notified price. So there are multiple variables in cost structure.

Moderator: Next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Congratulations for the set of numbers. So just wanted to understand the pricing point of view. Last quarter some price corrections around 6% to 8% for the wire rod and HB wire. And manganese ore also has been corrected 10% to 27% based on high grade to low grade in that range. In this quarter, how is the price of -- what's the scenario right now?

Manish Sarda: This quarter also, we see that the prices will be a little subdued because December holidays are approaching. And typically, we see that December is a little lull month. Overall, I think the government spending will also start happening in the next 3 to 4 months. Because if you look at the last 6 months government spending has been not as much as we had expected it to be on infrastructure. So going forward, I think the demand will pick up. But in the next 2 to 3 months, I think it will be a little subdued as well.

Moderator: The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat: For the follow-up, so I just wanted to understand more on the Ferro alloy market. So how is it faring right now? And what can we expect going forward?

Manish Sarda: So the Ferro alloy market, as you know, that it had gone up in the middle because of the ore prices which happened in Australia where there was severe flooding, etcetera. That happened in the South 32 mines. Right now, the alloy market is quite slow and the demand globally is not very high right now because you've seen major regions and disturbances like the Ukraine, Russia war happening, the Gaza attack, the Middle Eastern regions.

Also, the credit crunch is felt across regions. So we're not hoping that the next 2, 3 months, there'll be an uptick on the Ferro alloy side, or the Ferro alloy pricing. But maybe after January end and February onwards, typically, the demand picks up.

Moderator: The next question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Sir, I have a question on SKS power and a question on Ferro alloy. On SKS power, it is expected that the turnover will be around INR2000 crores annually?

P K Jain : Yes.

Rajesh Bhandari: And profit in the range of INR500 crores?

P K Jain : Yes, it will come above that.

Rajesh Bhandari: Very good, sir. And second, when is it expected that the high court case will be released in the next 3 to 6 months?

P K Jain : Can someone say when the court case will be released?

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Rajesh Bhandari: That is a good question, sir. No, there was going to be a hearing on the 12th, but no one knows if it happened or not.

P K Jain : No, there was no hearing on 12th.

Rajesh Bhandari: Okay, there was no hearing yet. And when will the demand for Ferro alloy be stable? I mean, by December and January, it is expected?

Manish Sarda: It will be after January, sir. December is a holiday. You know that December season is always a little low season. And January, people start coming back to offices by the 10th of January. So after

January, only the pickup will start in terms of demand. But globally, the demand looks to be a little slow because Japan has got an installed capacity of 105 million tons, and they are not going to produce more than 90 million tons. So, we are seeing shortfall in terms of steel production in Japan as well. We are seeing a shortfall in terms of production in European Union as well, in terms of steel production. And this year looks to be a little low in terms of demand because of the war situation going on everywhere.

And we are also waiting and watching very quietly as to what will happen when Trump's policy comes into place. What are the impacts that are going to be put in place for China? We have to see what are the policies that he is bringing out for trade. And only then we can expect some

demand pickup.

Rajesh Bhandari: If there is a restriction in China, will the demand pick up from India?

Manish Sarda: There are already restrictions in China. But let us see what is the policy that comes into play.

Rajesh Bhandari: But from January, the price stability and improvement is expected?

Manish Sarda: The price stability is still there. It is hovering around \$860 to \$880. So price stability is already there in terms of dollar terms.

Rajesh Bhandari: I couldn't get it, \$860 to \$880, what is that?

Manish Sarda: \$860 to \$880.

Rajesh Bhandari: Okay, okay, which is profitable for us?

Manish Sarda: Not too much, but it's okay. It's not that bad.

Rajesh Bhandari: Okay, sir. All the best for SKS Power.

Moderator: The next question is from the line of A.M. Lodha from Sanmati Consultants.

A.M. Lodha: There is one follow-up question which I skipped. Regarding SKS Power, sir. Can you tell me how many units are generated in 600 megawatts, sir? 80, 85 per cent load factor, right? Number of units.

P K Jain : More than 400 crores units .

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A.M. Lodha: No. of, unit. 400 crores, right?

P K Jain : Yes, I am saying 400 crore units. I am telling in units.

A.M. Lodha: Okay, sir. The second thing is that your 25 megawatt hydro is ready. So I was looking at a chart in your presentation where I found that the total capacity after this 25 hydropower, you will be having 1000 megawatt power in total?

P K Jain : Not hydro.

A.M. Lodha: Not hydro. All. One place you have mentioned 751, another place 166 hydro , another 50 solar and this hydro the 25 which is going to commence the production. So I'm making the total, the total comes to 1,200 megawatts?

P K Jain : I don't think 1,200. It should be somewhere in the range 1,000.

A.M. Lodha: No, not 1,200, 1,002 only -- yes, 1,000?

P K Jain : It will be around 1,000 MW okay.

A.M. Lodha: Okay, sir. This hydropower, since this year there was heavy rain, so I presume that hydropower will also generate some units in the month of October, November?

PK Jain : Yes, October, November is better. In our address also we have mentioned that October, November generation is better as compared to the previous year.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comments.

P K Jain : Thank you. We thank all the participants for attending this con call. To summarize what we stated, the long awaited acquisition of SKS 600 -megawatt power plant is completed, and this will be a major growth driver in our journey. Number of projects are under execution for consistent growth. Out of these, 25 -megawatt hydropower project and 50 -megawatt solar power project will be commissioned in the current financial year. Our diversification has resulted in better performance during volatile times. So we are poised for exciting times. Thank you. Please feel free to reach out to us or to our IR team with any further queries. Thank you all.

Moderator: Thank you

u. On behalf of Sarda Energy & Minerals Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

An ISO 9001, ISO 14001 & ISO
45001
Certified Company

SARDA ENERGY & MINERALS LTD.
15th February 2025

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No. : 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 10th February 2025

Please find enclosed herewith the transcript of the Q3 & 9M FY'25 Earnings Conference Call conducted on 10th February 2025. This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Authorised Signatory

Encl: As above

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"Sarda Energy & Minerals Limited
Q3 & 9M FY'25 Earnings Conference Call "
February 10, 2025

MANAGEMENT : MR. PANKAJ SARDA – JOINT MANAGING DIRECTOR –
SARDA ENERGY & MINERALS LIMITED
MR. PADAM KUMAR JAIN – DIRECTOR AND CHIEF
FINANCIAL OFFICER – SARDA ENERGY & MINERALS
LIMITED
MR. MANISH SARDA – DEPUTY MANAGING DIRECTOR
– SARDA METALS & ALLOYS LIMITED

MODERATOR : MS. VINITA – STELLAR IR

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9 -month FY25 Earnings Conference Call of Sarda Energy and Minerals Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Ms. Vinita from Stellar IR. Thank you and over to you, ma'am.

Vinita: Thank you, M uskan. Good afternoon, everyone and thank you for joining us today. We have with us today the senior management team of Sarda Energy and Minerals Limited , Mr. Pankaj Sarda , Joint Managing Director, Mr. Manish Sarda , Deputy Managing Director, Sarda Metals and Alloys Limited , Mr. Padam Kumar Jain, Director and Chief Financial Officer, who will represent Sarda Energy and Minerals on the call. The management will be sharing key operating and financial highlights for the quarter and nine mont hs ended December 31, 2024, followed by a question -and-answer session.

Please note this call may contain some of the forward -looking statements which are completely based on the company's beliefs, opinions and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. The company also undertakes no obligation to update any forward -looking statement to reflect developments that o ccur after a statement is made.

I now hand over the conference to Mr. Pankaj Sarda . Thank you and over to you, sir.

Pankaj Sarda: Thank you and good afternoon, ladies and gentlemen. Welcome to Sarda Energy's Q3 earnings call. I hope you have had the opportunity to review our results, press release and presentation uploaded on our website and the stock exchanges.

Macroeconomic overview - The global economic growth has remained steady and is projected to maintain stability through the CY2025. Stronger growth in the U.S. is likely to offset slowdown in other economies, including Europe. The recent ceasefire in the Middle East should help ea se the geopolitical tensions leading to stabilization in energy prices and ocean freight rates. However, potential tariff escalations and policy shifts could heighten trade tensions, could disrupt supply chains and weigh on global growth. In India, we have observed growth moderation over recent months.

The Trump 2.0 era in USA may bring significant changes to international trade policies and climate change regulations impacting global economic order and consequently India's economy. The U.S. Fed after three rate reductions in 2024 has kept rates steady due to persistent inflation concerns. India's fiscal deficit is projected to decline to 4.4% against 4.8% estimated for the current year. RBI has rolled out plan to infuse INR1.5 lakh crores to ease liquidity. Tax rebate for lower middle class is expected to boost consumption and economic activity.

The recent reduction in the repo rate after five years signals the start of an easing cycle, though banks may take time to pass on the benefits due to high deposit costs and tight liquidity conditions .

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Operational performance.

We achieved highest ever quarterly generation in captive power plant at our Siltara plant in Raipur. Hydropower generation grew by 7% Y-o-Y, supported by a strong monsoon. The performance of IPP thermal power plant improved significantly, achieving load factor of 74% during the quarter and 67% for nine months compared to 56% in FY24. Various operational efficiency measures have contributed to this improvement.

It could have been even better, but for

plant maintenance shutdown and lower power prices on energy exchanges, we expect further improvement with January already recording PLF of 97%. Additional capital expenditure has been planned to ensure sustained operations at full capacity. Our Indonesian coal mine, which resumed operation in September 2024, produced 0.33-million-ton coal. In Raipur, one of the five ferroalloy furnaces was under shutdown for modification from 1st September to 1st November 2024. The captive power plant at Vizag also underwent a 22-day maintenance shutdown, affecting ferroalloy production there.

Expansion and project updates.

Coal mines

Gare Palma IV/7- The mining capacity at Gare Palma IV/7 is set to increase from 1.68 million ton to 1.8 million ton.

Gare Palma IV/5- We have acquired another fully explored underground coal mine, Gare Palma IV/5, with 78 million ton in geological reserves and 39 million ton in extractable reserves, Grade G8. The vesting order was received on February 4th, 2025, and we anticipate coal extraction within the next financial year.

Shah pur West Coal Mine - The mining lease has been executed. Mine opening permission is expected this quarter, with production targeted within two years.

Bartunga Hill JV Coal Mine - We are preparing the detailed project report and mining plan.

Rehar hydropower project (25 megawatt)- The project has begun trial run and is expected to be commercially operational by the end of this financial year.

Captive solar power (50 megawatt). While progressing on schedule, delays in the construction of CSPDCL substation bay and transmission line may slightly impact the timeline.

Mineral wool project - This sustainability initiative is progressing well and should be operational before the financial year's end.

30-megawatt TG set replacement - Work is on track, with operations expected to commence in mid-FY27.

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Now I hand it over to our Director and CFO, Mr. P.K. Jain, to discuss about financial performance.

Padam Kumar Jain : Thank you, Pankaj .

Revenue - The company achieved consolidated revenue of INR1319 crores in Q3 FY '25, marking a growth of 43% year -on-year and 14% quarter -on-quarter.

Profitability - Despite challenges in steel and ferro alloys segment due to downturn in prices, lower production, inventory losses and low profit from hydro segment due to seasonal effect, operating EBITDA almost doubled year -on-year from INR194 crores to INR382 crores. Despite mark -to-market provisioning of INR46 crores on investments, consolidated profit after tax grew 75% year -on-year to INR200 crores and remained steady quarter -on-quarter.

Debt and liquidity - Net consolidated debt, including working capital loans, stood around INR1400 crores. Long -term loans repayable within next one year is INR223 crores. The liquidity is strong, with cash and liquid investments exceeding INR1400 crores as on 31st December 2024, which is in addition to loans given as part of our treasury operations. The credit rating of the company is reaffirmed at AA - by Crisil post-acquisition of SKS.

I now hand over to Mr. Manish Sarda to discuss the steel and ferroalloy industry overview and outlook. Over to Manish.

Manish Sarda: Thank you, Mr. Jain . Global steel production declined by 0.9% to 1839.4 million tons in CY 2024, with China recording decline of 1.7%. India, however, bucked the trend growing at 6.3% to 149.6 million metric tons. Despite fall in steel production, China recorded highest -ever steel export of 110.72 million metric tons steel in CY 2024, recording a growth of 22.7% over 2023.

Aggressive exports from China weighed on global steel prices. In December alone, China exported 9.72 million tons, which is higher than average for most previous months. Many countries have invoked safeguard measures against Chinese imports.

India remained net import

er of steel despite moderation. During the calendar year 2024, India imported 10.82 million metric tons of steel against 9.03 metric tons in CY 2023, whereas exports fell to 7.63 million metric tons against 7.83 million metric tons in CY 2023.

Ferroalloy prices remained subdued during the quarter. Merchant power prices also remained subdued due to above -average rainfall and increased generation. Power prices on the exchanges remained below INR4 on average. The Indian Coal Index recorded fall of 14.84% from 155.44 in December 2023 to 132.38 in December 2024.

Domestic crude steel production in Q3 FY '25 was 37.78 million metric tons, up 3.5% year -on-year, and 2.9% quarter -on-quarter. Domestic finished steel consumption grew by 7.64% year -on-year and 3.33% quarter -on-quarter to 38.46 million metric tons. Our ferroalloy exports during the quarter was down to 23,250 metric tons due to fall in production as compared to 28,200 metric tons in Q 2, and 33,400 metric tons in Q3 of 2024.

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We expect pick -up in credit, off -take and economic growth supported by liquidity infusion and government spending. Net import of steel and fall in the coking coal prices , a major input for primary steel producers are expected to keep steel prices in check.

Expected safeguard measures to check steel imports in India will help in improving margins for Indian steel industry. India remains the fastest -growing major economy driven by domestic demand and favourable demography. The reversal of interest rate cycle will enhance competitiveness and encourage capital investments, creating demand for steel and other metals. Improved PLF and sales realisation in our IPP business and fall in finance costs should further strengthen profitability. That concludes the performance and outlook.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Vikas h Singh from Phillip Capital. Please go ahead.

Vikas h Singh: Good afternoon, sir, and thank you for the opportunity. Sir, I just wanted to understand the iron costs given on the standalone level, if I see , there was a sharp uptick. Any particular reasons for the same?

Padam Kumar Jain: Your voice is cracking. We are not able to hear the question clearly. There is a problem in the line. Can you switch the I -note?

Vikas h Singh: Yes, sir. Sir, I just wanted to understand our iron costs on a standalone level has jumped up pretty sharply. So, what are the main reasons behind the same?

Padam Kumar Jain: Iron ore?

Vikas h Singh: Our total raw material cost has increased very sharply. One could be iron ore. What are the other cost components which have led to such a sharp increase in the sequential iron ore cost? Iron cost, I mean to say .

Padam Kumar Jain: It is not only the iron ore cost. Because we have the power plant also, then coal purchase is also there. And in case of ferro alloy, you see the selling price has gone down. The raw material cost has not gone down. So, raw material consumption includes the effect of the higher cost of the inventory of the manganese ore. And so far, as total material consumed is concerned, that includes the coal consumption in the IPP.

Vikas h Singh: Understood. Sir, in terms of realizations, how should we look at these spot realizations right now versus the 3Q averages? How much they are higher, or they are at the same level? If you could give us some idea.

Padam Kumar Jain: More or less, prices are at the levels at which these were for the Q3 averages.

Vikas h Singh: Understood. Sir, our SKS power plant would have been 70 or higher PLF level this quarter. So, if you could tell us by when we can see the full utilization and the phase 2, any idea on the phase 2 expansion plan? Because we have already utilized 600 MW as of now.

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Padam Kumar Jain: It is already conveyed in our opening address. In January, we have achieved 97% PLF. So, the machines are operating at full capacity. But in between, we are facing certain maintenance issues. So, we are addressing all those issues. So, average PLF will improve.

But yes, we have to take certain more steps to ensure that at a sustainable level, we achieve 100% capacity utilization. So, that is the case with PLF. But as of now, the plant is operating at 100% capacity and is generating at a full capacity of 600 MW.

Vikas h Singh: So, any plan to expand this capacity? I believe we have some already. The infrastructure is

already there for the next 600 MW.

Padam Kumar Jain: Yes, basic infrastructure is readily available. But we have to seek all the approvals and carry out the techno-economic viability study and all the environmental related clearances. So, it will take its own time. Not in the immediate future. But yes, we will take steps one by one. Effectively, first we have to go for the approvals.

Vikas h Singh: Okay. Sir, my second question is related to ferro alloy division. Are they making P BT level losses right now? And since the manganese prices are sharply up in the last few days, have they seen this to reflect in the finished product prices as well?

Manish Sarda: The ferro alloy prices recently have moved up and we have seen a little bit of improvement on the manganese ore side as well. But we will have to wait and watch in the coming 2-3 months as to what happens because there are protectionist measures which have been taken by many countries like Europe, US, they both announced. So, we will have to see how the demand pulls up in the coming 2 months.

Vikash Singh: But for this quarter, we had P BT level losses. Is that assumption, correct? Looking at the number right now?

Padam Kumar Jain: No. We had inventory losses to some extent but not P BT losses.

Moderator: Thank you. The next question is from the line of Mehek from Agility Advisors. Please go ahead.

Mahek: Sir, I wanted to understand more from the pricing point of view. So, what is the pricing difference between the power which we sell from the hydro power plant and from the SKS power plant as well as the profitability?

Padam Kumar Jain: Hydro power plants, we have long-term pricing contracts. So, those are supplied at a fixed price and there are different prices for different plants which are commissioned at different points of time. So far as IPP thermal power plant is concerned, we are selling part of the power in the long-term, part of the power in the medium-term, part of the power in the short-term, and the remaining power we are selling in the exchanges.

So, these prices are subject to market fluctuations. So, comparing directly is very difficult.

Because there we have a long-term contract, here we are selling majorly in the spot market. A part of it is going into the medium-term also. So, there cannot be a direct comparison.

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Prices of IPP power plant will be subject to the market fluctuations and seasonal effect also.

During rainy season, the price realizations may be lower. During summer season, you may get much better prices. So, there is no direct comparison between both the projects.

Mahek: Okay, but any ballpark number, what would be the average realization? Like in thermal, you mentioned in the last previous conference, it's close to INR 5.0 a unit. So, similar, what is in the hydropower plant as well? Any ballpark number?

Padam Kumar Jain: Hydropower plant, in one plant, we have tariff of INR3.85. Another plant, we have INR5.21.

And third power project is subject to cost plus formula. So, that varies from may be INR7 to INR5 or so. So, in case of thermal power plant, we can expect INR 5 plus on average for the

year.

Mahek: Okay, and profitability will be different for both. Like for thermal, EBITDA level is close to 40%. Hydropower, it would be more or it's in the similar range?

Padam Kumar Jain: Hydropower EBITDA level is in the range of 80%.

Mahek: 80%, okay.

Padam Kumar Jain: Because there is no raw material cost, there is more of the interest cost. So, EBITDA cannot be compared for both the projects. One has the raw material; another has the interest as the raw material. So, there is no direct comparison on EBITDA level.

Mahek: Okay, understood. And sir, last question, any update on the Supreme Court ruling for the SKS power plant?

Padam Kumar Jain: Hearing has not yet taken place.

Moderator: Thank you. The next question is from the line of Balasubramanian from Ar i hant Capital Markets. Please go ahead.

Balasubramanian: Sir, my first question regarding the ferroalloy prices. It's Q-on-Q 19% decline in average realization for ferro manganese, there is 8% Q-on-Q decline in silico manganese. So, like any specific reasons, like what are the dynamics in the market?

Manish Sarda: Can you repeat the question, please? Because I am not able to hear you clearly. Mr. Jain, can you hear clearly?

Padam Kumar Jain: We couldn't, we couldn't.

Balasubramanian: Yes, okay. So, like in ferroalloy price trend, I am looking at the PP T, it's 19% Q-on-Q downside for ferro manganese and around 8% Q-on-Q downside for silico manganese. Any specific reasons for that and what are the market dynamics at this point of time?

Padam Kumar Jain: Sorry, we are not able to hear your question clearly.

Manish Sarda: Voice is very muffled. It is actually coming very muffled. I mean, I can hear some parts of it that you want to know the silic o manganese prices and the ferroalloy's overall pricing coming down and what are the reasons thereof. Is that correct?

Balasubramanian: Yes.

Manish Sarda: Yes, so particularly there is no reason. It's a commodity and there is a cycle. We have seen that there have been a bit of a slump in demand, you know, and that's the only reason.

Balasubramanian : My second question regarding on looking at this sales volume data for the iron ore pe llet and sponge iron, etc etera . So only sponge iron only year -on-year 48% growth. The remaining are into less than like some of the like volumes are looking at 20%. The remaining are 18% kind of downside only. So, our revenue has reported 40 % to 43% year -on-year a nd like how mu ch it comes from price realization side and volume realization side?

Manish Sarda: Can you actually rejoin because everything that you are saying is muffled up. We can't hear you clearly. At least I am not able to – Mr. Jain.

Padam Kumar Jain: No, we are not able to hear clearly.

Manish Sarda: It's all like echoing or muffling up.

Balasubramanian : Okay. Thanks sir. I will come back in queue.

Manish Sarda: Can you just rejoin and again come back and ask the question please?

Balasubramanian : Fine, sir.

Moderator: Thank you. The next question is from the line of Devang from Eagle View Ventures. Please go ahead.

Devang: Sir, our long-term borrowings increased from INR1,000 crore s to INR2,400 crore s. What are the peak debt we can see in coming quarters?

Padam Kumar Jain: I think this must be the peak for the coming quarters.

Devang: Okay. So, this is the peak number for debt?

Padam Kumar Jain: Yes. At least for unless we go for some other major activity at least for the next few quarters. This is the peak. Now, it is getting reduced as we are starting repaying the loan taken for SKS acquisition. So, it will go down from here.

Devang: Okay. And, sir, my second question is we have a good cas h on balance sheet. We have very low debt. Can we expect dividend payout in coming quarters or coming years?

Padam Kumar Jain

: That is a matter to be discussed at the board meeting and decided by the board. It is very difficult to comment on this at this juncture.

Devang: Okay. Thank you, sir.

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Moderator: Thank you. The next question is from the line of Vikas h Singh from Phillip Capital. Please go ahead.

Vikash Singh: Hi, sir. Thank you for the opportunity. I just wanted to understand our capital allocation preferences. Given right now our debt is high, but obviously we would be paying with the cash flow. If we have a second round of capex then our choice of the business would be majorly, first choice of the investment would be steel, power or the ferro alloy . How should we look at it?

Padam Kumar Jain: No, we are investing in a diversified way. We are investing in hydropower projects also. We will be taking up two more hydropower projects. We will be going for coal mines also as a backward integration. We have planned even for the iron ore mine. So, majorly it is going on the backward integration side.

And definitely when we come up with the expansion of the SKS power plant that will be another major capex. So, the capex - capital allocation will be distributed over all the different segments of the activities carried out by the company.

Vikash Singh: Understood. And sir, we haven't participated in any manganese ore mining auctions I think basically ?

Manish Sarda: There is no major manganese mine which has come up in the country right now. There have been two, three auctions which are all small mines. They are 6 h ectares, 7 hectares, 8 hectares and the reserves are very, very meagr e. They are like some 60,000, 50,000, 40,000. Thos e are not viable workable mines w ith low grades of manganese in it. So, we are not participating in these tenders.

Vikash Singh: Understood, sir. That's all. Thanks.

Moderator: Thank you. The next question is from the line of Aman Madrecha from Augmenta Assets Managers. Please go ahead.

Aman Madrecha: Hi, sir. Thanks for the opportunity. So, firstly I would like to understand a strategy on the coal mines like, for example, the upcoming coal mine would be the capacity expansion on the Gare Palma side and another would be the Shahpur West Coal Mine. And so how are we looking at the same and what is our strategy towards the same?

And how are we looking at all these mines under the underground mining thing I like what is your view on the same and how much viable is the underground mining scenario in India currently?

Pankaj Sarda: So, underground mine as we go beneath the surface the grade of the coal increases. So, the capex and the cost of production increases, but at the same time the quality of coal also increases. Now, we are little dependent on imported coal that we are buying from South Africa.

So, all these underground coal mines will help us to reduce our imports of RB2 and RB1 grade of coal from South Africa. And even for our ferro alloy units, we are dependent on high-grade coal so that raw material will also come from these underground coal mines.

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Aman Madrecha: So, I just wanted to understand till date the underground mining things I like, for example, correct me if I am wrong around 95% of the coal mine in India is from open-cast mines currently and around 5%, 7% is from underground mines. So, what was the thing that was hindering this underground coal mining operation in India and what will change going forward because we are entering into various revenue-sharing agreements with Coal India and MDOs. So, what is your take on the changes?

Padam Kumar Jain: No, we have taken only one mine under revenue-sharing arrangement from Coal India. Rest all are direct allocation to us from the Ministry of Coal. So, in one coal mine, and that will not be underground as

we have planned for the mine in revenue-sharing. That will be open cast mine.

And underground mines, we have taken two underground mines. One is Sahapur West, and another is Gare Palma IV/5. IV/5 is an operational coal mine which was operated earlier by Monnet and later on by Hindalco.

Now, it has come up for auction third time and now we have taken. So, this is an operating underground coal mine and it has got high grade of coal near our existing coal mine IV/7. So, the high-grade coal will be utilized for our Sponge Iron plant and Ferro Alloys plant and to that extent, the capacity of our IV/7 will be freed for SKS power plant.

Manish Sarda: And just to clarify that I assume you think that underground coal mining is difficult and just has started happening, but India has been doing underground coal mining, iron ore mining, manganese ore mining for the longest period of time. So, there is absolutely no problems in underground coal mining per se.

Aman Madrecha: Understood. So, sir, going by your comments, for example, this Gare Palma IV/7 will gradually meet the requirements fully of our SKS power plant. The Gare Palma IV/5, the approvals are under process and this Sahapur West coal mine that will be used for our Sponge Iron and Ferro Alloys operations, right? Correct?

Padam Kumar Jain: Yes, surplus coal if any will be sold in the market.

Aman Madrecha: And sir, what is the expected timeline for the Sahapur West? It can take another one and a half years.

Padam Kumar Jain: One and a half to two years. Two years we are considering from here. Once we get the mining opening permission during the current quarter, it should not take more than two years of the time to commence. We are considering two years' time to start the production.

Aman Madrecha: So, sir, as of date for this, for the existing operations, like how much of this Gare Palma IV/7 mines we are selling outside and how much we are consuming in capacity?

Padam Kumar Jain: No, we are not selling any coal outside after acquisition of SKS. We are falling short of the requirement, rather we are buying coal from the market.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital Markets.

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Balasubramanian: Yes, sir. Sir, earlier you mentioned about the overall international market has been a little bit impacted because of Australia, has impacted by the flood and alloy market also is quite slow and Gaza attack also has been impacted in the international market. You have mentioned about the demand expected to pick up from February month onwards. What is the status on that overall international market side?

Manish Sarda: See, the overall international market right now, it is subdued, and it will take some time, I guess, once there is clarity on the protectionist attitude by European Union we have to see. We have to look at that again, Trump has just announced, duties on steel, today, but it's not clear how many

countries they are going to apply the duties on to.

So, we have to wait and watch. Right now, the focus more will be on India's domestic demand that will come in, the infrastructure push and the growth that we will see in India. So, India will be in a quiet comfortable position because I think that at most of the duties will be targeted towards Canada, China, Mexico, Latin American countries.

This is what we expect. So, I think overall, you know, after maybe a month or two, we'll have the complete clarity on the international markets. But right now, the demand is a little slow.

Balasubramanian: Okay. So, I'm looking at the sales volume data. Sponge Iron only have grown more than 48 % year-on-year. The remaining are less than that only. But our revenue has grown 43% year-on-year in this quarter. So, how do we understand, like, about the growth side, whether its volume

me

driven or price driven?

Padam Kumar Jain: So, you see, Sponge Iron is one of our intermediary products, which is partly consumed in the downstream production and partly sold off in the market. So, when the Sponge Iron production has gone up, if you see, there is no material change in the Sponge Iron production. Slight change is there, definitely. In the nine months we have produced, 249,000 tons.

So, the higher sale is on account of the lower consumption in the steel production because the steel production has reduced a little bit because we have been selling power in the market. That's why percentage wise it appears to be on the higher side because we are selling a very small quantity of the Sponge Iron in the market. So even slight change in the sale side. There is no material change in the production side, but yes, sale side it has gone up because we have consumed less quantity in the production of steel. Otherwise, our steel capacity is more or less constant and stable. So, except marginal improvement on account of the efficiency, there is no material change in the production side in the steel segment.

Balasubramanian: Okay, sir. So, is there any clarity on the growth side, 43 % in this quarter year -and-year growth, whether it's driven by price or volumes?

Padam Kumar Jain: As stated, our steel production has remained more or less stable, except slight improvement on account of the efficiency. So, sales of one product may slightly go up, another product may slightly go down. That may happen. Otherwise, it will remain more or less in the similar levels.

Because if we are selling surplus power, because we are getting better realization on sale of the power, we are reducing production of the steel billet. That may result into increase in the sponge, Sarda Energy & Minerals Limited

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but that may reduce the sale of the billet. But it will not affect the profitability because ultimately, we are generating revenue either by sale of the steel or by sale of power.

Balasubramanian: Got it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Rajesh Bhandari from Nakoda Engineers . Please go ahead.

Rajesh Bhandari: Sir, first of all, the quality of the presentation and the content of the presentation, both are extremely good.

Padam Kumar Jain: Thank you.

Rajesh Bhandari: Sir, this power plant, which is said to have PLF of around 97 %, 98%, that means it will generate something around 500 crores of units in the year s?

Padam Kumar Jain: No. This is for 1 month. What happens in between is that there are maintenance shutdowns as well. So generally, in the best operated plants, 85%. If you sell in the market partly and sometimes you are not able to sell, then between 80 % - 85% is a reasonable PLF for IPP which are selling in the open market. So, 80%, 85% PLF on annual basis we should consider as a good percentage. May be 80%.

Rajesh Bhandari: We can expect that there will be a difference of INR400 crores in profitability because of S KS power plant?

Padam Kumar Jain: It should come comfortably. Yes, in the entire year it should come comfortably.

Rajesh Bhandari: Yes. Sir, is there any status of the court case?

Padam Kumar Jain: Any?

Rajesh Bhandari: What is the status of the court case now, sir?

Padam Kumar Jain: There is no hearing yet.

Rajesh Bhandari: Sir, what is this Mineral Fibre? You have started manufacturing of Mineral Fibre in Vizag ?

Padam Kumar Jain: This insulation wool is used as insulation material in the buildings also, in the industries also. So that it is used for heat insulation.

Rajesh Bhandari: But it has a better selling value?

Padam Kumar Jain: Sorry ?

Rajesh Bhandari: The sale price. Sale price is good?

Padam Kumar Jain: Yes, sale price is good.

Rajesh Bhandari: And sir, are we bidding for any other thermal power plant or hydel power

Padam Kumar Jain: See, this is based on opportunity. It is an ongoing process. If there is an opportunity, it is seen.

Rajesh Bhandari: And now the debt is so big, sir. So why don't we do any QIP, sir? So, the debt will be reduced. Interest cost will be reduced.

Padam Kumar Jain: That will be reduced gradually. If you do any big acquisition , it goes up . Despite that, there is not much increase in the net debt. The annual EBITDA remains as much as the Net Debt . So, there is no such concern.

Rajesh Bhandari: See, nowadays, whoever gets a QIP, and our company is so comfortable, so according t o that, it can come easily, sir?

Padam Kumar Jain: It's okay. We will see when it is needed. Right now, we don't feel the need.

Rajesh Bhandari: Okay, sir. This is my question. Right, sir. Thank you.

Moderator: Thank you. As there are no further questions from the participants , I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Padam Kumar Jain: Yeah Thank you. To summarize, while the steel segment faced pricing and margin pressure, SKS Power's operational performance improved, and hydropower generation saw year -on-year growth. Backed by sound balance sheet, low leveraging, and strong liquidity, the company has been reinvesting surplus funds in a number of diverse projects for consistent growth.

In the next financial year, 25-megawatt hydropower plant, mineral wool project, 50-megawatt solar power plant, and Gare Palma IV/5 will also contribute to the profitability. The diversification strategy of the company has paid off to have consistently sustainable cash flows, insulating us against cyclicity of the steel industry. Please feel free to reach out to us or our IR team for any further questions. Thank you, all the participants.

Moderator: Thank you. On behalf of S arda Energy and Minerals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jun 2025

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SARDA ENERGY & MINERALS LTD.
2nd June 2025

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No. : 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 27th May 2025

Please find enclosed herewith the transcript of the Q4 & FY 2025 Earnings Conference Call conducted on 27th May 2025. This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Company Secretary

Encl: As above

“Sarda Energy & Minerals Limited Q4 & FY'25
Earnings Conference Call”

May 27, 2025

MANAGEMENT : MR. PANKAJ SARDA - MANAGING DIRECTOR , SARDA
ENERGY & MINERALS LIMITED
MR. NILAY JOSHI - EXECUTIVE DIRECTOR , SARDA
ENERGY & MINERALS LIMITED

Sarda Energy & Minerals Limited
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Moderator : Ladies and gentlemen, good day and welcome to the Q4 and FY '25 Earnings Conference Call for Sarda Energy & Minerals Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankit from Stellar Investor Relations. Thank you and over to you, sir.

Ankit: Thank you, Avirath . Good evening, everyone, and thank you for joining us today. To discuss Q4 and FY'25 Business Performance , we have with us the Senior Management Team of Sarda Energy and Minerals, represented by Mr. Pankaj Sa rda – Managing Director, and Mr. Nilay Joshi – Executive Director.

Before we proceed with this call, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risk and uncertainties. The Company also undertakes no obligation to update any forward -looking statements to reflect developments that occur after the statement is made. Documents relating to the Company's financial performance, including Investor Presentation , have been uploaded on the stock exchange and Company website.

I now hand over the conference to Mr. Pankaj Sa rda, and then we will open the floor for Q&A. Thank you, and over to you, sir.

Pankaj Sarda: Thank you . Good afternoon, ladies and gentlemen. Welcome to Sarda Energy's Q4 FY'25 earnings call.

Macroeconomic Overview :

The reciprocal tariff imposed by the USA has disrupted global trade and fostered a shift towards protectionism. While the full impact is yet to be realized, India remains relatively well positioned due to strong domestic demand, a growing manufacturing base and the increasing focus of developed economies on diversifying supply chains. However, the dumping of goods from countries with which we have free trade agreements continue to pose challenges. The government remains vigilant and responsive with policy ac tions. The sa feguard duty imposed on certain steel products in April has effec tively curtailed cheap imports.

India's fiscal deficit is projected to decline to 4.4% in FY '26, down from an estimated 4.8% in FY'25. The RBI has infused liquidity into the banking system to ease interest rates, recently reducing the repo rate by another 0.25%. Inflation data suggests a continued easing trend. Banks
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have reduced deposit rates and loan interest rates are expected to follow, which should bolster consu mption and capital expenditure.

Operational Performance :

FY'25 was the landmark year in our growth journey marked by the successful acquisition and integration of SKS Power Generation Chhattisgarh Limited. We achieved record high production across coal, iron ore pellets, captive power at Raipur and thermal power from the newly acquired IPP. Hydropower generation grew by 5 % Y-o-Y, supported by a strong monsoon.

The IPP thermal power plant delivered significantly improved performance, achieving a plant load factor, PLF of 80.42% in Q4, despite a fire incident that shut down one unit for 27 days, and 73.32% for the full year, up from 56% in FY '24. Continuing operational efficiency measures played a key role in this improvement. Temporary shutdowns at our steel plant and one ferro alloy furnace for modifications led to a dip in production of metal products for the quarter.

A multi-pronged strategy to reduce carbon footprints includes the adoption of solar power, the replacement of diesel vehicles with electric ones and the successful registration of our waste heat recovery project with

IRAC for carbon credits.

Expansion and Project Updates :

Coal Mines:

Gare Palma IV/7 - Final approval for increasing mining capacity from 1.68 million tons to 1.8 million tons is expected in this quarter.

Gare Palma IV/5 - Revised block boundaries require fresh approvals. We have been granted 57 months to commence production.

Shahpur West Coal Mine - Mine opening permission was received on 10th March, 2025. Mine development work has commenced and production is expected before the end of the next Financial Year.

Bartunga Hill, JV Coal Mine - DPR and mining plans have been submitted to SE CL and are under review. Forest land diversion approval is underway.

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Power Plants :

Rehar Hydropower Project (25 MW) - The trial run of the plant is complete. Commercial operations will commence when water flow improves. The PPA is expected to be finalized this quarter.

Kotaiveera Hydropower Project, 25 MW - The project is in the approval stage with work expected to begin by mid FY' 26. Two additional small hydro power projects are in varying stages of approval.

Captive Solar Plant (50 MW) - Execution is delayed due to the issues at the end of the EPC contractor that is Gensol. Most equipments have been delivered and transmission line work is going on. Project commissioning is expected in current Financial Year.

30 MW TG set replacement - Work is on schedule with operations expected to begin by mid FY'27.

Mineral wool project - Operations commenced on 28th March 2025. Market response to the product has been positive.

I would now hand over to Mr. Nilay Joshi to discuss financial performance.

Nilay Joshi : Thank you, Pankaj ji.

In Q4 FY '25, the Company achieved consolidated revenue of Rs. 1,239 crore, registering a growth of 39% YoY. However, revenue declined quarter-on-quarter by 6% due to the seasonal effect in the hydropower business, lower power sale realization and shut down of the steel and ferro alloys plant for modifications. Revenue grew 20% YoY.

Profitability :

Despite challenges in the steel and ferroalloys segment due to a downturn in prices, operating EBITDA for the quarter increased YoY from Rs. 162 crores to Rs. 273 crores and consolidated profit after tax grew 14 % YoY to Rs. 100 crores. Operating EBITDA for the full year grew 56% to Rs. 1,247 crores and PAT grew 34% to Rs. 702 crores. One noteworthy observation is that the energy vertical between hydropower and thermal power, has already contributed almost 50% of EBIT, earnings before interest and tax in FY '25 and this contribution is expected to increase further in FY '26 with the full year of operation of the 600 megawatt thermal power plant and the improving PLF.

Debt and Liquidity:

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Net consolidated debt including working capital loans stood below Rs. 1,600 crores. Long -term loans repayable within the next year amount to Rs. 235 crores. Liquidity remains strong on the balance sheet with cash and liquid investments exceeding Rs. 1,250 crores which is in addition to loans given as part of treasury investments.

I now hand over back to Mr. Pankaj Sarda to discuss the steel and ferroalloy industry overview and outlook. Over to Pankaj ji.

Pankaj Sarda : Thank you, Nilay ji.

Industry Overview :

In FY' 25, global steel production declined by over 3% to 1839 million ton with China down by 0.6%. India bucked the trend with a 5.6% increase producing 152 million ton. Domestic finished steel demand also grew by 12%. Despite strong demand, steel prices declined due to increased imports and reduced exports. Net steel imports rose to 4.2 million tons, up from 1.1 million tons in FY '24. Domestic crude steel production in Q4 FY '25 was 40.1 million tons , up 7% Yo Y and 4% Qo Q. Finished steel consumption rose by 3 % Qo Q

to 40.3 million tons.

China's steel exports remained high despite reduced production driven by weaker domestic demand. Q4 FY' 25 exports increased by 6.3% to 27.429 million tons. Many countries have introduced safeguard measures against cheaper Chinese steel imports.

Indian coal production crossed 1 billion tons in FY' 25, growing by 5%. Coal imports fell by 9%, saving US \$6.93 billion in Forex. The Indian coal index declined by 14.56% and coking coal prices also softened, partly offsetting margin compression. The central government has introduced incentives for underground mining, including upfront fee waivers, reduced performance guarantee s and lower minimum bid prices.

Ferro alloys exports dropped to 1,06,000 metric tons from 1, 15,000 metric tons due to lower production. Exchange power prices fell by 70% in FY '25 to Rs. 4.31 from Rs. 5.17 in FY '24 and declined by 10% YoY in Q4.

Outlook :

RBI's liquidity measures and government spending are expected to support economic growth and credit expansion. China's recent cut in the reserve requirement ratio has released US \$138.6 billion into global markets. Safeguard measures taken by India should improve margins in the domestic steel industry. India continues to be the fastest growing major economy driven by robust domestic demand and demographics. A reversal in the interest rate cycle will enhance competitiveness and spur capital investments, boosting demand for steel and other metals.

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Full year of operations for the 600-megawatt thermal power plant, improved PLF, better realization in the IPP business and lower finance costs are expected to further strengthen profitability.

That concludes our performance and outlook. Thank you .

Moderator : Thank you very much. We will now begin with the question and answer session. First question is from the line of Marshall , an individual investor. Please go ahead.

Marshall: My one suggestion is there because now we have got the thermal power plant of 600 MW and our existing hydro are very small capacity like 113 MW in Sikkim and another 20-30 MW something else and moreover, these hydro are seasonal like they basically operate at a good speed only in the Q2 of the FY and the first quarter you can say of the moderate capacity. But unfortunately , we have seen that in the segment reporting , you have put only one power. So I encourage and request that this segment should be divided in two parts. Number one s hould be thermal power and number two will be hydro or you can say hydropower so that the results are comparable. Now for example in the Q4 results , we just announced , our Sikkim power plant is almost closed , but we see still good profitability coming in power because of the thermal power plant. So this is distorting the results. So please, going forward, currently have 2 separate segments, one for thermal power, one for hydropower .

Nilay Joshi : Okay , sir. We will look into that . Still, if you want to get some idea, you refer to Slide # 5 of the investor presentation where you will get details on the hydropower , the revenue and EBITDA margin d etails. I take your suggestion.

Marshall: But sir, like we can refer that I already made like I even saw this for example last year that what was there for example in the queue for what was the hydropower , it was miniscule so I could get some idea , but again the profitability is much higher in hydro as compared to thermal because the raw material is almost free there . So whatever we like from the sale only we cannot see this profitability , so that's why. And second thing that like where do we stand in terms of for example another appeal going to Supreme Court like what is the life for exam ple it's likely result like are you anticipating ? Number two , where do we stand in terms of the expense and of the another 600 megawatt of this SKS Power.

Nilay Joshi : Can you repeat your question? We couldn't get your question.

Marshall: Yes, my first question is that since you have taken over this SKS Power, but in the notice also mentioned that these unsuccessful bidders have filed appeal in the Supreme Court. So what is the current status of that and what is your management confidence?

Pankaj Sarda : The matter is sub-judice and the next hearing is coming in the next month end.

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Marshall: So like that is what the first hearing or already few hearings have happened.

Nilay Joshi : I will just clarify . The matter is in the Supreme Court. It is sub judice . It has been in the Supreme Court. It has been ongoing for some time now. And the next hearing is tomorrow. But it is a vacation , so let's see what happens. The matter is, I mean, whenever it will be heard is the Supreme Court 's prerogative, it is difficult to comment .

Marshall: That's okay. That's understandable. And sir, where do we stand in terms of the next expansion of this power plant, another 600 megawatts for which we said, that we already have this utility ready?

Pankaj Sarda : Sir, regarding the power plant expansion in SKS Power, so we had an environment clearance, but it has lapsed. So , we have to again redo the public hearing and things like that. Our team is gearing for it and in the coming one year or 1.5 years, we will have all the clearance and then we can start the process .

Marshall: Okay, sir. My last question is regarding this our captive mining, whatever coal ore we have like now we have this optimal like can say extraction or like what other for example say value addition is going to be made which can push up our EBITDA.

Nilay Joshi : Sir I will just make a correction. So we run commercial mines. I am just correcting you. The mines are commercial mines except for the iron ore mine which is a captive mine . All the others are commercial mines, which means there is no restriction on the end use of minerals . And details are in the presentation , you will get the current status of each and every mine .

Marshall: Okay .

Pankaj Sarda : It is yet to be come on board.

Marshall: Thank you.

Nilay Joshi : You can refer to Slide # 21 and 22 and that will give you a clear idea as to what are the levers of growth in mining and what is happening in each and every mine .

Marshall: Okay, so I can see that you have just loaded this presentation today. No problem. I will go through it. If I have any question, I will come back on the queue . Thank you, sir. Thank you.

Moderator: Thank you . Next question is from the line of Rajesh Bandari from Nakoda Engineers. Please go ahead.

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Rajesh Bandari: Yes. Good evening, sir. I just wanted to know what is the basic reason that this quarter the results were not that good. Normally, otherwise, Sarda results are quarter -to-quarter very good. What is the basic reason, sir?

Nilay Joshi : No, sir , there are a couple of things that you, I think, should look at when analyzing the results. I think the results are excellent . If you look , one you should look at the cash profit. Okay, because there's a deferred tax component , so look at the cash profit that is also disclosed in the presentation. That is one thing. Then if you look at the revenue growth, and the EBITDA growth YoY, you will get a very good idea as to I mean, it's a significant growth 39% growth YoY and 62% growth in EBITDA. I mean, in both for the quarter and if you look for the year, there's a 44% growth in EBITDA. So I think numbers are quite good. The only reason I mean, there are few reasons that will make the numbers even better, which I mean, one is that the ongoing post acquisition stabilization efforts at SKS are on which means the PLF will further improve from here. Also

o, the results only include partial like 7 months, less than 7 months type of results for SKS. So, all that will improve the results further. But I think the results are, I mean, if you can see any weakness, you can point out, but normally I would say the numbers both on revenue growth or EBITDA growth or cash profit, that's quite good. There cannot be QoQ comparison because you have hydropower included .

Rajesh Bandari: Sir normally what is the PLF of SKS Power?

Nilay Joshi : We already mentioned in the call the average PLF for FY' 25 has been 73%, that is already mentioned in the con-call address. But in the fourth quarter, because of the efforts that we have put in, the PLF improved to 80% and we see an improving trajectory for the PLF. We don't want to put a number to it, but we see an improving trajectory to the PLF going forward. If you look at Slide 6 you will see that in April we did a 96% PLF and the plant secured 6th position in the All India PLF rankings of CEA. So , things are improving and clearly it's in the right direction.

Rajesh Bandari: Sir the demand of ferroalloys' demand and price, can we expect any improvement?

Pankaj Sarda : Ferroalloys pricing wise , we will see probably a 5% depression mainly, but this is going to be mainly caused by the reduction of the ore prices more than anything else. Demand wise, demand we think domestic demand is going to be quite good , strong . Export demand is going to be a little stress because of these tariff issues and safeguard investigations everything going on all over the world. There is a little unpredictability about the export demand scenario. It is a little tough.

Rajesh Bandari: If the export demand will be less then our profit will also reduce sir.

Pankaj Sarda : Domestic profitability is quite good because in the domestic, we use less costly ore, right. The grades are quite different and when we are seeing good support from the domestic, demand is pretty strong. And the second part which is helping us in our area is that a lot of plants are facing

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an increased energy cost, especially in the West Bengal area where DVC has increased the power rate by about Rs. 1.20 finally after a long time. So, it is significant, about 30% of India's ferroalloy production happens in that belt. So that's about Rs. 4000 -Rs. 5000 where production cost has increased. So that even if there is some demand weakness that puts a cap on how much they can reduce the price. Because already operating at a very these profitability levels are quite historically on the lower side at the moment. So , there is a limit we can go lower pricing wise.

Rajesh Bandari: But our profitability will be then comparatively better because of the availability of the power at a cheaper rate ?

Pankaj Sarda : Yes sir, definitely and if you see across the industry , we are on the bottom 25% in the costing wise for the power cost. Plants which are having some abnormal power rate , remaining all are about Rs. 7, 6.50, 7 because some are paying around 6.50, so there is a deferred element to it, right . They have a subsidy which is not sustainable. So , we don't see major price depression happening at the moment. Demand is not so strong that we have to admit. But then a lot of capacity is also getting cut systematically . The higher price, people are using higher price electricity are just closing production .

Rajesh Bandari: So, what would be our cost of SKS Power?

Pankaj Sarda: That keeps on changing because the raw material you use and the power that you get is definitely captive coal. So, definitely there is an advantage in pricing.

Rajesh Bandari: So, 10 %-20% advantage there sir?

Nilay Joshi : There are multiple things to consider I like wherever we have PPAs there we get FSA coal, and we have our own captive coal. And then we take third -party coal , so it

is difficult to comment

but yes, our costs are very -very competitive.

Rajesh Bandari: Okay sir. All the best for the future sir.

Moderator: Thank you. The next question is from the line of Rakesh Roy from Boring AMC, O mkara Capital. Please go ahead.

Rakesh Roy: Hi, sir. My first question regarding, sir, if you see our steel volume, our steel volume is down 13% near. Any reason the demand is slow or anything else?

Pankaj Sarda : Rakeshji, there are two, three things . I've covered in my concall address also that we had taken some shutdown for carrying out corrections in our plant. So , we stopped our plant for 30 days, 30 to 45 days for further improvement in the plant. One is that . Second is, see, intermittently when the power rate in the grid is higher, we tend to stop our productions and because better

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realization in giving power to IEX so we reduce our production there and we sell power in the grid. So that also is the reason.

Rakesh Roy: Okay. But sir, you sell the power to the grid. If you see your power realization for this quarter is there by Rs. 6.50 if I am right compared to last quarter is Rs. 6.64 .

Nilay Joshi : No, see in Quarter 4 , the realization was weaker. In the first quarter , it has gone up.

Rakesh Roy: Okay, in the first quarter it has gone up. But that's why I am saying this in Q4 as you say, due to the higher realization, you make a sell of the power to the grid. That's why the production is down.

Nilay Joshi : But the main reason if you see if you refer to our con call address, so the main reason is because the plant was under shutdown for certain modifications for improvements which you will see in terms of better results going forward. The plant was under maintenance and improvement for more than a month, different units were under different days of closure. So that is the main reason and of course, yes, we have sold certain power to the I EX and all. So that depends on the time of the day, it might have been lesser, but certain time it could be a little bit higher . So that way, I mean, you have to work out the economic s.

Rakesh Roy: Okay. So my next question is, any guidelines for FY' 26 in terms of volume for this steel and power '26 and '27?

Nilay Joshi : Normally, we don't give forward guidance, but I mean we have taken modifications and we expect things to be better because the plant will now be operational and with a better efficiency so things should be better, but in terms of numbers we don't give forward-looking guidance.

Rakesh Roy: No, no I am not asking in terms of numbers, I am talking in terms of percentage 5% -10% from here for FY '25 like this type in terms of volume.

Nilay Joshi : The prices you cannot predict how the commodity prices are ?

Rakesh Roy: I am just saying that if prices remain same, could prices remain like for whole year, so how much volume you are expecting ?

Nilay Joshi : See the logical is that it should come back to the regular levels of production. The production will come back to the normal levels which was there in FY' 24 and maybe improve a little bit because of the modifications we have done. But then beyond that, saying anything will be very difficult because it's a volatile market. Prices, you don't know in commodity to put a price. So that is very difficult.

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Rakesh Roy: Okay. My second question is, are you seeing any margin improvement from here because coal prices is down? And if you see margin improvement from Q1 or Q2, from here onwards?

Nilay Joshi : Power definitely will, I think compared to Q4 things will be, I mean, thermal power Q1 is the best quarter.

Rakesh Roy: Okay. So the questions whether margin should improve in Q1 compared to Q4 ?

Pankaj Sarda : It's very hard to say that, but raw material prices are also

going down as well as the finished

prices are also going down. But there is a lag when the finished product prices go down and because after generally the raw material prices go down later. But we can see the trend at the raw material prices and finished prices going little bit down.

Rakesh Roy: Okay. So my last question is, any chance in the next 2 -3 years you will hive off your power business because power revenue is nearby 45% of total revenue, nearby, after SKS. So any chance in the next, are you planning to hive off this power business to separate Company and like this any plan?

Nilay Joshi The name of the Company is Sarda Energy and Minerals Limited. So, it begins with energy. It begins with energy. And energy as I said in the opening remark also, energy is going to become more and more prominent. That is the clear guidance that we can give you that energy vertical is going to become more and more prominent in terms of contribution to both topline and bottomline. If you see Slide # 5 of the presentation, already EBIT contribution of the energy vertical is almost 50%.

Rakesh Roy: Exactly.

Nilay Joshi : Expect that to go up significantly because of various reasons which are already captured in that slide. So, the energy vertical for Sarda Energy and Minerals is going to become more and more prominent and the name itself is Sarda Energy.

Rakesh Roy: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Bharat Pathak, an individual investor. Please go ahead.

Bharat Pathak: Thank you sir for giving me the opportunity to ask the question and first of all congratulations to the entire team for such phenomenal results.

Pankaj Sarda : Thank you Bharat ji.

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Bharat Pathak: My question is not actually a question, I just wanted to understand, it's page #36 that thermal power generation versus sales. So we see that the generation is 3,482 million kilowatt hours. But the sales is only 2096 million kilowatt hour.

Nilay Joshi : Balance is captive consumption and auxiliary.

Bharat Pathak: Thank you sir. That was my only question.

Nilay Joshi : So we have in thermal power, as you would appreciate, we have two types of assets in thermal power. One is the power plant, I mean the IPP, where we sell the power to the grid or under PPA or whatever. So where we basically sell the power and the other is the captive power capacity of 160 megawatt. So those captive power plants we use for internal consumption for manufacturing of steel or ferroalloy. So that is why the difference that you see between the generation and sales. I hope that's clarified.

Bharat Pathak: Yes, I understood that part. Just, I mean, if you allow me, maybe I can ask one more question. Yes, I was looking at this metals production and sales numbers for Iron Ore Pellets, Sponge Iron,

Steel Billet, Wire Rods , H. B. Wire and Ferroalloy . I see that it's like last 4, 5 years is like completely flat, hardly some 4% to 0.3% minus 2.5% growth, 4.5% growth. So is this like a common trend across industry or like something specific only to our Company ?

Nilay Joshi : No, you are talking about the production numbers, volume?

Bharat Pathak: Yes, production and sales figures . The volume was flat for the last 4 to 5 years.

Nilay Joshi : Sir, it is like this that production wise, so now we have, on a big picture basis, now we have basically 3 verticals, energy, minerals and metals. Metals is our legacy business, which is already under optimum utilization or optimum production level. There might be minor delta in production here and there because of some improvement that we do in the plant, etc. but there is no major expansion that we are planning on the metal side as of now. Largely the expansions that are happening are either on the mineral side or on the energy side. As you can see f

rom the

revenue growth and EBITDA growth numbers also that the growth is coming from energy and minerals, right? On the metal side of the business, the type of improvements that will happen will be either carbon footprint reduction or for improving efficiency, which include projects like the solar project or the mineral fiber project that we completed recently. So those are things that reduce cost, save cost or improve efficiency or reduce carbon footprint of the Company and make s the steel green . So, we are not doing any large capacity expansion on the steel side. Pankaj ji, you want to add anything to it?

Pankaj Sarda: I totally agree. Strategically, we have taken a decision. The group has taken a decision that we would want to grow in energy and minerals direction. And that's how we have put our CAPEX in the last 5 years in those areas.

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Bharat Pathak: So the EBITDA for this coal based thermal power generation, like you said, like for the hydro thing, comes around 7 2% EBITDA margin. Is it something similar for coal or it is much lower?

Nilay Joshi : Coal is much lower, sir. Coal is much lower. Hydro because there is no cost in hydro, right ? The only cost in hydro is during the putting up the CAPEX . Otherwise, water is free, you see.

Bharat Pathak : Thank you for answering this question.

Moderator : Thank you. The next question is from the line of Rajesh Bandari from Nakoda Engineers. Please go ahead.

Rajesh Bandari : Thanks for giving me chance once again. Sir in fact, as you have just explained that you are seeing energy and minerals as the growth sectors that is the best thing as a matter of fact, because they will be the basic price earner . Sir, on energy, the demand in India is going to increase every day and we have so much space in SKS power plant so to cater that demand cannot we start putting the solar plant from now only?

Pankaj Sarda : We are putting a solar plant of 50 MW near Raipur.

Rajesh Bandari: 150 MW?

Pankaj Sarda : 50 MW. As of now, we are putting 50 MW and major CAPEX on the solar side as of now is this much only.

Rajesh Bandari: Okay and do we get any price wise incentive of greener steel ?

Pankaj Sarda : No, green steel as such, there is no policy of the government at the moment to price it over or give a price incentive . But going forward, as a group you are reducing your carbon footprint, which is important as that will be a major issue. As of now, there is no settled norm from the government that they will pay extra for some green steel or something. The technologies which are going to be used in green steel also are still under study. Whether they will use radical technology like hydrogen or they will do some radical improvement in the current steel making by reducing the amount of the carbon burning or different way of reduction , it's a technology under transition at the moment. Very difficult to say anything .

Rajesh Bandari: Sir do we have any plans to acquire any plant which is under NCLT?

Nilay Joshi : Sir, we evaluate opportunities in the verticals that we are focusing on, which is energy and minerals. We keep on evaluating opportunities. Our balance sheet is very strong. I think the way the capital allocation that we have done has been very prudent so if something fits into our business and if opportunity is there , we will definitely look at it.

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Rajesh Bandari: Sir, like scrapping of the deal of JSW and Bhushan Steel & Power....

Pankaj Sarda: Yesterday the stay has come but our matter and their matter is totally different, so we cannot compare.

Rajesh Bandari: Thank you .

Moderator: Thank you. The next question is from the line of Marshall , an individual investor. Please go ahead.

Marshall: I have gone through your slides, just a few questions

. Number one is regarding coal . Currently for this SKS Power unit, how much approximately coal is being consumed and against that how much coal we are utilizing from our captive production and how much we are buying , number one. In the same regard, suppose once we like Gare Palma , if we just like spend 1.8 million tons , then what will be our cost of production for the coal and currently the coal which we are buying for SKS Power at what rate are you buying?

Pankaj Sarda: I will answer this. Sir, every day if the plant is running at full capacity, we are consuming 10,000 tons of coal , generally I am just giving you thumb rule on how the consumption is happening. So government comes out with SHAKTI coal linkages and the coal prices are much much cheaper. So if we are lucky and if we get good pricing in SHAKTI coal linkages, we try to take as much coal from SHAKTI coal linkages and the shortfall is always we have a facility of own coal mine from where we can always utilize coal. But our coal mine is as told also in earlier question , it is a commercial coal mine. So , if it is not consumed in our captive power plants or IPP, it can be sold in the market as well .

Marshall: That's very good sir. My second question regarding this one of the unit was shut down for about a month , so was it properly insured , did we file a claim on the insurance for the shutdown because there was a fire incident also , so like did we file a claim for the loss of profit as well? Because this insurance has no where been mentioned in the accounts also .

Nilay Joshi : So you have to appreciate one thing sir . This plant was acquired under NCLT, which means it was an NPA and it was basically being, I mean not run as a regular plant, right. So, after we came in, we have carried out regular improvements and things like that . Since it is a distressed assets, it takes some time before you can kind of stabilize it properly and make the operations proper and efficient the way you want a regular asset to run. So , in the initial stages in a distressed asset, you will always find these type of challenges and something happens, something missing, so that is where all this is .

Marshall: No, actually, I am not referring to the first shutdown, which was the maintenance shutdown, which is a normal part and parcel of any plant, like from September to October. I am talking about the fire incident .

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Pankaj Sarda: Yes, I am happy to share that there was no loss of asset and I am very proud of our team who had worked day and night to bring back the equipment in running condition . Immediately , we could procure them and could import them on timely basis or on a fast basis . So fire was detected very fast and it was quenched almost immediately. Half an hour everything was under control .

Marshall: That is a good thing sir my question is due to these consequences we also lost profit for one month so for that you must have claimed I am asking that sir .

Pankaj Sarda : Loss of profit requires a shutdown of 45 days or something like that and it did not get triggered . The second thing which I wanted to tell you that when you buy a Non -Performing Asset (NPA Asset) you always get a gap in that. That is what I was trying to tell you that our team has been continuously on the job after the takeover of the asset but it takes six to nine months for any NPA asset to bring it into the for m.

Marshall: In the same sequence, I want to execute one more valid input here because 45 days for example is other colleague has mentioned regarding this like it is minimum required for the policy, but let me tell you those minimum criteria are set by different insurers is different and these can be negotiated. So 45 days is too large period. I will request that to reduce or reduce it to 7 days, 3 days.

Nilay Joshi : Fully take your

point sir, that is why I said at the beginning that there will be gaps in any NPA asset and the team is working to fill those gaps. We appreciate your point.

Marshall: Fantastic sir. The second thing is in PPT, it has written that mineral fiber project. What is mineral fiber project? Can you just give some highlight on this one?

Nilay Joshi : The mineral fiber is basically made from waste. The project has just come online in March. We have started supplying some product in the market and we will come back with details on market acceptance etc in due time .

Marshall: What would be the CAPEX for this sir?

Nilay Joshi : It is basically waste -to-wealth project .

Marshall: Okay, how many CAPEX you have incurred sir?

Pankaj Sarda : 50 tons.

Marshall: No. CAPEX, how much?

Nilay Joshi : CAPEX was Rs. 70 crores. Rs. 70 crores of CAPEX happened .

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Marshall: Will it be break even positive sir? Or the money is gone? Sorry sir? Will it be break even positive in the near future?

Nilay Joshi : Sir we are positive on the product. We have just started supply. We have built a good team and we have just started supply ing to the market . So that's why I said maybe in the next quarter , we will be in a position to comment more on the product as the market acceptance increases. It takes some time to build the market. So we are in that phase.

Marshall: Understood . And sir one other humble submission and suggestion . So whatever I think that like as you mentioned that we are using 10,000 metric tons of coal per day. So it means there is huge amount of logistics and transportation required for the coal like this movement as well as the ore also. So sir like I have seen because in my own experience I have seen that like this logistics cost for this commodity business like be it cement or steel. It's very high 30% cost is generally the logistic cost. So are you 100% taking this transportation on hire or did you also create your own fleet and transport department because we could save a lot if you do our own captive for example , captive transportation.

Pankaj Sarda: Sir, as of now, we don't have our own fleet and managing fleets is a different ball game and you need to have that bandwidth also to handle all the truckers and the drivers and the helpers and the trucks and the maintenance etc. So as of now , we don't have this facility in place and right now as Mr. Nilay Joshi discussed, our first and primary objective of this IPP plant is to run at full capacity and to have better PLF numbers. So we are focused on th at at the moment . So that is the idea. So we are focused on improving the PLF of the plant. Maybe in future, we can think of that .

Nilay Joshi: Just to add on to what Mr. Sarda said, from the logistics side, the power plant, the IPP plant already has a nrunning operational railway siding, okay , on which the coal delivery happens as on date also. I mean that is the best way of logistics for coal . Our Siltara plant also has railway siding and we are in the pr ocess of developing a railway s iding at our coal mine. So we see that the best way to transport coal in the most cost effective manner is through railways and we are working on that already , both our majo r plants are having a railway s iding in place an d we are developing a railway s iding on our coal mine also. So , I think that should largely take care of the logistics of getting the logistics part under control .

Marshall: Sir, I fully agree just like because my own experience I am only sharing with you . I understand that currently our prime focus , our prime objective is to maximize the PLF no doubt , I am not saying to do today , but what I am saying since we are also shareholder for the long term what I am saying that for example even if this railway siding is there , if the railway siding is coming to the pit or to

the head of the plant , it's fantastic but again for example this unloading loading is there . I have seen that how the transporter are minting money , I have seen from my own, I have seen that how the transporter has become multi -million, multi -million, multi -million. I have seen them growing in the last 30 years. So that's what I am saying. Not now . Means that we can create

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a separate department or separate profit center, like be it sufficient admin guy, transporter guy, whosoever, because since our volume is too huge and plus we are more investing in the minerals and the mines. So this requirement is going to more and more and more because here, sir, like this transporter, a person who buys a truck today within 24 months or like his truck become cost free. So what I am saying that this is kind of the delta they are making. So please, if we cannot replace 100% of the transport ers 30%-45%, we should start like we should make a plan so that in the next one to two years we can start it and we had a fun d plus Company . And like there is no like problem in funding those things. But yes, I fully agree. Existing manpower of transport department cannot run it. It has to get a separate vertical , which itself has to be profit center so definitely it will bring some more profit for the Company sir. And like currently we think it is either for example we are taking it as granted, but there is money which can be saved for the Company sir.

Pankaj Sarda: Sir, thanks for your suggestion. We will look into it. Thank you.

Moderator: Thank you . The next question is from the line of Vedant Sa rda from Nirmal Ban g Securities Private Limited. Please go ahead.

Vedant Sarda: Thank you for the opportunity . I want to just add our new capacity of 600 megawatt , which is fully operational in the current year . What kind of revenue addition we can expect and EBITDA from the project?

Nilay Joshi: You mean the SKS Power , the 600 megawatt .

Nilay Joshi : Yes, so you can take maybe, I mean, around 400 crores of sale able units.

Vedant Sarda : 400 units .

Nilay Joshi : Crore s.

Vedant Sarda : Rs. 400 crore of revenue.

Nilay Joshi : No, saleable units. Power unit s.

Pankaj Sarda: This year we produce d around 3 400 million units. .

Vedant Sarda: Okay .

Moderator: Thank you. The next question is from the line of Pranay from Alfa Invest . Please go ahead.

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Pranay : So yes, just continuing on the last participant's question, you mentioned that you're hoping to produce some 4,000 million units. So , what is the price , average price per unit that we are expecting?

Nilay Joshi: Price varies but we have a PPA in place, but for the balance capacity , it depends on the market conditions . But I can give you more broader picture. What we doing as a strategy, we are trying to tie-up a large part of the capacity for long -term PP A. We are working on that . So I was saying that as a strategy, I mean, we right now have around 100 megawatt of medium -term PPA. And we are trying to basically see that a larger part of the capacities can be tied up into medium -term PPAs or long -term PPAs so that we have more stability in terms of price realisation . But right now, to comment on one single price, it will be very difficult because short term arrangements on sale of power or on I EX, whatever that keeps on varying, it's a seasonal thing. Summers you get a very good high pri ce and then you'll get a low price. So , it changes, so you have to get into long term or medium term PP As to be able to give a proper price guidance .

Pranay : Okay, all right. Can you just give a guidance on what are the current PPAs being done at the current rate and market? Like not the exchange rate, but PPA rate.

Nilay Joshi: The e xisting 100 megawatt is at Rs. 5

.2.

Pranay : Okay, all right. And on average, we can assume Rs. 5 considering some as the other and later on less.

Nilay Joshi: I think average between 5 to 6 for the whole year.

Pranay : Okay. And just one or two more questions on this side. What is the debt for the thermal power plants? How long is the expected life of this asset?

Nilay Joshi: I didn't get the second part of the question. The total funding requirement , cost of acquisition of the thermal power project was Rs. 1950 crores and that was funded in a debt to equity of 70 -30.

So, around Rs. 1380 crores of bank debt is what we had taken and already repayments have started.

Pranay : So just wanted to confirm when we acquired the Company , there was no debt on the Company itself, right like on SKS?

Nilay Joshi: So this acquisition happened under IBC where basically, it had already become NPA, righ t? The asset was an NPA asset. B asically , the payout that we made went to financial creditors or operational creditors . The debt was settled in that sense.

Pranay : Okay, so the Company itself is debt free. We have taken some debt to fund the acquisition ?

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Nilay Joshi: So now it is merged actually , now it is a single entity.

Pranay : So the debt is just the one we have. So the like Rs. 2000 crores is the total.

Nilay Joshi: The only debt which came with the asset was the one that we raised to fund the acquisition. There was no debt which came along with the asset.

Pranay : Okay, and the second part of the question was, what is t he expected life of this asset?

Nilay Joshi: Pankaj ji, you want to answer that?

Pankaj Sarda: It would be around 30 years from now because it has run very little.

Pranay : So usual thermal power plant run 35 years or so, I am assuming 30 -35. Thank you very much.

Moderator: Thank you. The next questi on is from the line of Rajesh B andari from Nakoda Engineers. Please go ahead .

Rajesh Bandari: Sir I wanted to ask you that our SKS Power Plant, is it being maintained still by NTPC?

Management: No. Just within a month after our acquisition, we prematurely terminated the contract and we are looking after with the existing people only .

Rajesh Bandari: Sarda is in a position to maintain such a big pl ant. That's really commendable.

Management: The result shows.

Rajesh Bandari: Yes, it's really commendable, sir.

Nilay Joshi: Sir, we have a very highly qualified team of people, very, very senior people from NTPC and other established organizations who have joined us over a period of time including the gentleman who was speaking, who was a senior Executive Director with NTPC. So , we ha ve a very strong team in place.

Rajesh Bandari: What turnover can we expect for the yearly turnover of mineral fiber ?

Nilay Joshi: Sir, right now it will be too early to speak about that. It's a new product for us , we have introduced it in the market. Initial response we have got is positive. But you give us a quarter or two before we can put numbers to it.

Rajesh Bandari: What are the application of mineral fiber?

Nilay Joshi: Energy conservation .

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Rajesh Bandari: Is it kind of glass wool?

Pankaj Sarda : Rock wool .

Rajesh Bandari: Rock wool, okay sir. Thank you sir, thank you very much. This was the last question from my side.

Moderator: Thank you . Ladies and gentlemen, in the interest of time, we conclude this call and I hand the conference over to the management for closing comments.

Pankaj Sarda: The year gone by has been a record -breaking year for the Company and the current year is more exciting. The diversification strategy of the Company into energy and minerals has paid off well .

The operating performance of IPP has shown consistent improvement. The Company has been reinvesting surplus funds in

a number of diverse projects for long -term sustainable growth.

Current year performance will have incremental benefit of full year operations of the IPP, increased production of coal and commissioning of 3 new projects that is 25 megawatt Rehar Hydro power Project in Chhattisgarh, the Mineral Wool Project in Vizag and 50 megawatt Solar Power Project in Chhattisgarh. Please feel free to reach out to us or our IR team for any further questions. Thank you all .

Moderator: Thank you. On behalf of Sarda Energy & Minerals Limited , that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

An ISO 9001, ISO 14001 & ISO
45001
Certified Company

SARDA ENERGY & MINERALS LTD.
11th August 2025

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No. : 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 4th August 2025

Please find enclosed herewith the transcript of the Q1 / FY 26 Earnings Conference Call conducted on 4th August 2025. This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Authorised Signatory

Encl: As above
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“Sarda Energy & Minerals Limited

Q1 FY '26 Earnings Conference Call ”

August 04, 2025

MANAGEMENT : MR. PANKAJ SARDA –MANAGING DIRECTOR – SARDA
ENERGY & MINERALS LIMITED
MR. PADAM KUMAR JAIN – DIRECTOR AND CHIEF
FINANCIAL OFFICER – SARDA ENERGY & MINERALS
LIMITED
MR. MANISH SARDA – DEPUTY MANAGING DIRECTOR

– SARDA METALS & ALLOYS LIMITED
MR. NILAY JOSHI – EXECUTIVE DIRECTOR – SARDA
ENERGY & MINERALS LIMITED

MODERATOR : MR. ANKIT JAIN – STELLAR INVESTOR RELATION

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call for Sarda Energy & Minerals Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankit Jain from Stellar Investor Relations. Thank you, and over to you, sir.

Ankit Jain: Thank you Shruthi. Good evening, everyone, and thank you for joining us today. To discuss Q1 FY '26 business performance, we have with us senior management team of Sarda Energy & Minerals Limited, represented by Mr. Pankaj Sarda, Managing Director; Mr. Padam Kumar Jain, Director and Chief Financial Officer; Mr. Manish Sarda, Deputy Managing Director; and Mr. Nilay Joshi, Executive Director.

Before we proceed with this call, I would like to mention that some of the statements made in this call may be forward-looking in nature and may involve risks and uncertainties. The company also undertakes no obligation to update any forward-looking statements to reflect developments that occur after the statement is made. Documents relating to the company's financial performance, including the investor presentation have been uploaded on the Stock Exchange and company's website.

I now hand over the conference call to Mr. Pankaj Sarda, and then we will open the floor for Q&A. Thank you, and over to you, sir.

Pankaj Sarda: Thank you. Good afternoon, ladies and gentlemen.

Operational performance

FY '25 marked a significant milestone in our growth journey and Q1 FY '26 performance reinforces the strong foundation and long-term sustainability of our earnings. The earnings mix has also evolved with increasing share of energy business in the total earnings. We achieved record revenue and profit this quarter, driven by better energy prices and higher hydropower generation.

Hydropower generation grew by 37% Y-o-Y, supported by early monsoon. Our IPP thermal power plant achieved significantly improved plant load factor of 90.21% in Q1 as against 71.65% in Q1 FY '25, largely due to ongoing operational efficiency measures. For the quarter ended, the plant stood at 15th rank in Central Electricity Authority ranking of best thermal power plants against 118th rank in June 2024. The pellet plant and captive power plant also reported record production.

We strategically terminated the long-term power purchase agreement executed with CSPDCL for 113-megawatt hydropower project. This now gives us the opportunity to sell power in open market, which we believe will be beneficial over the long term.

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Expansion and project updates. Coal mines. Gare Palma IV/7, we have received consent to operate for increased capacity of coal washery from 0.96 million tons to 1.8 million tons in May 2025. Final approval for increasing coal mining capacity from 1.68 million tons is expected this quarter.

Shahpur West mine development work is progressing as per schedule and production is expected before the end of the next financial year.

Bartunga Hill JV, DPR and mining plans submitted to SCCL forest land diversion approval is in progress.

Power plant. Rehar Hydropower project, 25 megawatt. The commercial operation began on 8th July 2025. We have entered into long-term power supply arrangement with CSPDCL at generic tariff. Generic tariff for current year is yet to be notified by the regulator.

Kotaveera Hydropower project, 25 megawatt. The project is in approval stage with work expected to begin in next quarter. Two additional small hyd

hydropower projects are in various stages of approval.

Captive solar power, 50 megawatts. Most of the equipment has been delivered and transmission line work is ongoing. Project commissioning is expected in current financial year.

30-megawatt TG set replacement. Work is on schedule with operations expected to begin by mid-FY '27. We'll be taking shutdown of the unit in next quarter.

Financial performance

In Q1 FY '26, we posted record consolidated revenue of INR1,633 crores, up 76% Y-o-Y and 32% Q-o-Q. The Y-o-Y increase partially reflects the inclusion of IPP operations acquired on 22nd August 2024. Improved volumes and realizations in steel and ferro alloys also contributed, especially after maintenance shutdowns impacted Q4 FY '25.

Profitability. Operating EBITDA rose to INR627 crores versus INR382 crores Y-o-Y with the Energy segment contributing larger share. Consolidated profit after tax grew 118% Y-o-Y to INR435 crores. Strong price realization for untied up power supported this growth, though prices have softened this quarter.

Debt and liquidity. Net consolidated debt, including working capital loans, fell to ~ INR1,000 crores from ~ INR1,600 crores. Long-term loans repayable within the next year stands at INR206 crores. Liquidity remains robust with ~ INR1,700 crores in cash and liquid investments, excluding treasury loans. The net debt-to-EBITDA ratio is well below 1.

I now hand over to Shri Manish Sarda to discuss the industry overview and outlook. Over to you.

Manish Sarda: Thanks, Pankaj. India's fiscal deficit is projected to decline to 4.4% in FY '26, down from 4.8% in FY '25. The lower inflation has enabled early rate cuts supported by RBI's liquidity measures.

Infusion of liquidity by RBI has helped in transmission of rate cut to the industry. This will

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positively impact corporate earnings and capex. Tax breaks are also expected to boost consumption.

Global steel production declined over 4% year-on-year in Quarter 1 to 466 million tons with China down 6%. Despite this, Chinese exports surged with net exports exceeding 53 million tons during January to May '25, putting pressure on global pricing. In contrast, India recorded 10.3% growth in crude steel production to 40.6 million metric tons with 8% growth in finished steel demand.

Imports moderated post imposition of safeguard duty and quality control order, but still exceeded exports. Although because of higher growth in production over consumption, the long product steel prices remained under pressure. Lower input costs like iron ore, coal helped improve margins.

The Indian Coal Index declined by 13% year-on-year from 142 to 128. We are focused more on domestic market for sale of ferro alloys due to better realization. As a result, exports in Q1 dropped to 21,500 metric tons from 32,500 metric ton year-on-year.

Outlook.

The Chinese government has recently announced another stimulus of CNY69 billion to tackle consumption bottlenecks and to bolster the domestic market amid global volatility. This will be the fourth batch of stimulus, bringing the total to the annual target of CNY300 billion. This should be positive for metal markets and margins should improve particularly due to fall in input prices. Fall in interest rate will enhance competitiveness and spur capital investments. Increased government spending is expected to support economic growth and credit expansion.

Power demand and solar power prices remain subdued in monsoon season, except for long-term supply contracts, which will have bearing on the performance quarter-on-quarter. However, higher generation from hydropower projects in the quarter will partly offset this. Commissioning of Rehar hydropower project will also add to the performance of second quarter. Lower finance costs are expected to further strengthen profitability.

That co

cludes our performance and outlook.

Pankaj Sarda: Let us put the floor for Q&A

Manish Sarda: Yes. Okay.

Moderator: The first question is from the line of Mahek from Agility Advisors.

Mahek: So, just wanted to understand, we have taken a resolution to raise up to INR1,000 crores of debt.

So can you please specify, what are the plans of the company with the debt which we are raising?

Pankaj Sarda: Can you come again? We lost you in between.

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Mahek: I wanted to understand we took a resolution for INR1,000 crores debt raise. So can you please explain, what are the plans of the company? Where are we planning to utilize them? And when are we planning to raise the same?

Padam Jain: This is only an enabling resolution. Companies with AA and above ratings are required to part finance their working capital requirement through market listed borrowings. So it is only enabling resolution. We don't have any plan as such to raise any funds. And this resolution has been taken in the past also, but we have not raised the funds.

Moderator: The next question is from the line of Manav from YES Securities Limited.

Manav: Congratulations on the good set of numbers. So my first question is on the update of the Supreme Court case on the SKS acquisition. Where are we as things stand currently?

Nilay Joshi: So it is on -- as of now, it is listed for 6th August, which is day after tomorrow.

Manav: Okay. Got it. So 6th August is when we expect like -- it's going to be an interim hearing or a final hearing?

Nilay Joshi: So whenever the hearing will happen, it is a final hearing only, but I mean as of now, it is listed for 6. That's all that we can say.

Manav: Sure, sure. So okay. The other thing on 1.8 million tons of the coal mine. So earlier, we were expecting it during this first quarter. Now it's shifted to Q2 FY '26. I mean, if you could just enlighten more on that?

Padam Jain: We already have a permission for 1.68 million tons. And whenever we get during the year, even if we get by December or January, we will achieve the 1.8 million tons during the year. So it is irrelevant whether we get in March, June or September because for the year, we'll be able to achieve. It's in process, in the final stage of approvals. So it will not affect our annual target of 1.8 million tons.

Manav: Got it. Got it. Sure, sir. Sir, my next question is much more for the steel business. How do you see the realizations shaping up for Q2? Because I believe the long products is seeing realizations quite subdued. Do we see any improvements on a quarter-on-quarter basis?

Manish Sarda: So typically, you know that monsoon season is a season where long products prices are always subdued because construction activities practically in many parts of the country gets to a hold sort of thing. So we are hoping that now with consumption pattern going forward with the monsoons getting over, the prices also will improve along and the demand also will improve.

Manav: Got it. And sir, we continue to maintain our position, right, on not taking further expansions on the steel front and focusing majorly on the power story for the company?

Nilay Joshi: Yes. As of now, the expansion is focused on energy and minerals only, yes.

Moderator: The next question is from the line of Rakesh Roy, Boring AMC.

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Rakesh Roy: My first question regarding again realization and volume term. If you see the volume term on a year-on-year basis, our steel volume grew by near by 22%. But at same time, our realization is down by 23%. Any reason for the sudden jump in volume and big drop in realization?

Padam Jain: Realization is not down, 23% in steel.

Rakesh Roy: Overall, sir, because if I -- your number, steel number is revenue divided by the volume, like iron ore pellet

s, sponge iron and this one, totals comes nearby how much?

Nilay Joshi: Please refer to our presentation, which has been uploaded on the Stock Exchanges. So if you refer to Slide number 9, you will get all the steel and ferro alloys realizations over the quarters, etcetera, all details are there. So you can see for yourself the realization -- I mean, what you are saying is not adding up actually. If you just look at the slide, you'll have clarity.

Rakesh Roy: Okay. Right, sir. Because I have just taken the number from quarter earnings

Nilay Joshi: We disclose realizations every quarter for all the steel products and ferro alloys. So if you have a look at this slide, you'll get clarity.

Rakesh Roy: Okay. Right, sir. And sir, in terms of from Q1, how much is our realization power, sir? How much is the unit per, sir?

Nilay Joshi: That is also given on Slide 6, yes -- 6.16.

Rakesh Roy: Slide number 6. Okay. And sir, last question regarding, sir, any outlook for steel for whole year and power for whole year FY '26, any guidance?

Padam Jain: So far as volumes are concerned, steel volumes will remain more or less same -- slightly here and there. Whatever improvement is there on account of the efficiencies, that will be there.

Otherwise, steel volumes are stable.

Rakesh Roy: Like FY '25.

Padam Jain: Yes, yes.

Rakesh Roy: And regarding power, sir?

Padam Jain: Power also because last year, it was only for the part of the year -- for the whole year, you can

assume 80% PLF.

Rakesh Roy: 80% PLF. And sir, in terms of margin, margin will improve or margin will sustain this Q1 for next 2, 3 quarters for Q1 margin?

Padam Jain: We have already given details in our opening remarks, and it is subject to the market conditions. It depends on the market prices.

Rakesh Roy: Okay. So in short term, if you see, sir, in Q2, mostly, I can guess your margin will improve because the coal price is down. Can we assume?

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Padam Jain: There are multiple factors, coal prices, iron ore prices, then steel prices, there are multiple factors. But our outlook, we could say we have already covered in our opening address.

Rakesh Roy: Right. Thank you, sir.

Moderator: Thank you. The next question is from the line of Priyansh, an Investor. Please proceed.

Priyansh: My first question is regarding the hydropower project. So we know that the PPA has been terminated. In this regard, please reply to the following questions. At what rate the power was being sold under the PPA Sikkim project? And at what rate is the company getting now for sale in spot market or to other customers for the sale of this power?

Is the company able to sell the entire 113 megawatts in spot market or some power remains unsold during -- after the termination of this PPA? Also, what was the reason which led to the termination of the PPA? The second question is regarding the steel division. So it has been exceedingly well -- doing well in the past quarter?

Padam Jain: You can ask one by one questions, that will be better. So your question on the hydropower project. So that we'll respond first. We had entered into power purchase agreement with cost plus tariff. So our tariff was going down year-on-year as the interest burden was going down. As our cost was going down, our tariff was also going down.

And the transmission cost was in our account, on our head. So revenue was going down year-on-year. That's why we decided to terminate this agreement. And we are selling power in the open market. We are able to sell 100% of the power. And annual average of the realization for the time being may remain at the levels what we were getting previously. But yes, in longer term, we will be getting the benefit of the increasing rates of power over a longer period of time.

Priyansh: Okay. And do we have any estimate on the average rate that we're

selling per unit?

Padam Jain: Average, it depends season-to-season, it will vary, but it should be somewhere in the range of INR5 plus/minus.

Priyansh: Plus/minus INR5. Okay.

Padam Jain: Anywhere in the annual average, it should be.

Priyansh: Understood. Okay. Got it. I'll move on to my next question then. So we know that the steel division has been doing exceedingly well in the first quarter '25-'26 since the revenue increased by 10% Q-o-Q, but the profit jumped by 100% Q-o-Q. So my question is, is this jump in profitability of the Steel division sustainable in the current quarter or even next quarter or was there any one-off item in the June quarter, which led to this really high jump in profit?

Padam Jain: No, there was no one-off item in the steel division. Yes, volume had also gone up as compared to the March. In the March, there were certain shutdowns in the plant. So Steel division, there is no one-off item, and we should be able to sustain and improve from here.

Priyansh: So we'll be seeing a similar growth is what you are saying?

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Padam Jain: Yes.

Priyansh: Understood. That's it from my end. Thank you so much for your answer.

Moderator: Thank you. The next question is from the line of Gautam Jain from GCJ Financial.

Gautam Jain: First, congratulations for a solid set of numbers. My question is, can I get the breakup of your Power business segment revenue, which is like INR939 crores. Can I get the breakup of that into captive IPP and hydro?

Padam Jain: We can provide offline may not be available immediately, but that will be available. That should not be a problem.

Gautam Jain: Okay. In the hydro business -- hydropower business, is it like that your first quarter and second quarter are better than the last two quarters?

Padam Jain: Your voice is cracking. Can you repeat?

Pankaj Sarda: Always in hydro, second quarter is always better than the last quarter.

Gautam Jain: No, I mean the first two quarters are better than the last two quarters on the financial, right?

Padam Jain: Not always. First quarter may not always be better than the third quarter. Generally, second quarter is the peak generation because of the rainy season. Third quarter is a little lesser than that. And first depends upon the incoming of the monsoon. If it is early monsoon, we get good rains and sometimes if monsoon comes in June, then revenues may be on lower side.

Gautam Jain: Okay. And the last question is you said about Chinese stimulus and that will be good for the steel pricing. So are we seeing better price in Q2 versus Q1?

Padam Jain: Manish ji?

Manish Sarda: No, Chinese stimulus has just come around right now. We have just recently seen that the Chinese stimulus is there. We'll have to wait and see. But I'm sure that once the monsoons are over, we'll see better pricing and better demand as well.

Gautam Jain: Okay. May I ask one more question?

Padam Jain: Sure.

Gautam Jain: So with regard to your gross debt and cash level, which is around INR2,700 crores of gross debt and INR1,700 crores of cash in hand. So what are the repayment schedule, if I may know?

Padam Jain: No. INR1,000 crores is the net loan and INR1,700 crores is the cash. Both are opposite. It is not -- it cannot be combined together.

Gautam Jain: No, I know. I'm saying gross debt is INR2,700 crores and cash surplus INR1,700 crores. So net debt comes to INR1,000 crores. I'm asking is what is the repayment schedule on the gross debt side?

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Padam Jain: Repayment is hardly -- for the current year, it is only INR200 crores for the current year.

Gautam Jain: So what we'll do with the cash in hand because that is substantially rising because of our cash flow is very strong?

Padam Jain: Opportunity, right opportunity. And definitely

y, our growth plans are going on. We are spending about INR500 crores to INR1,000 crores a year on the expansion projects in different segments, whether it is coal mines, hydropower project and other projects.

Gautam Jain: So may I know total capex for next 3 years, including current year?

Padam Jain: As I told now, every year we have been spending in the range of INR500 crores to INR1,000 crores a year on whatever we have planned for next 2 years, 3 years.

Gautam Jain: Okay. So that will continue even for 2026, '27, '28, right?

Padam Jain: Yes, this is what we have already planned and there may be new opportunities also.

Moderator: Thank you. The next question is from the line of Rajesh Bhandari from Nakoda Engineers. Please proceed.

Rajesh Bhandari: From your talk we came to know that in steel and ferro alloys we didn't have an interest in expansion. It's more on power and mining. If it is in mining, we will remain only in India or we will explore outside India also and rare earth also and in power we are running at 600 megawatt and additional which is of 600 megawatt, do we have any plans for expansion of that 600 additional?

Pankaj Sarda: So the infrastructure is there for 1,200 megawatt. We definitely will be going for environment clearances for another 800 megawatt in future. That much land and everything in the infrastructure is there. And what was your another question, sir?

Rajesh Bhandari: My question was that we came to know from the talk that steel and ferro alloys we do not have an expansion plans, it's more on power and mining?

Pankaj Sarda: Because 800 megawatt itself will take around INR8,000 crores of capex in general.

Rajesh Bhandari: Sir one thing I would like to say that this is the indication that how wise you are proceeding and this will turn the small cap into a large cap company because in steel and ferro alloys so many people are there, power is the best thing where you are going and mining also and many congratulations to you that in this line you are moving with that we will also get some benefit from that. One thing I want to ask in mining outside India is there any plan or is there any plan of rare earth?

Pankaj Sarda: So we have an operating a mine in Indonesia for that expansion planning is going on and God willing we will try to achieve 1 million ton in near future in that mine -- coal mine and wherever opportunities will come we are open for any opportunity.

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Rajesh Bhandari: Second one more thing the loan which you are thinking and you are giving so good results for that QIP there is no problem, people will give thousands of crores. Why only thousands the way other companies are taking?

Padam Jain : We don't have any plan of fundraise . In immediate future there is no such plan.

Rajesh Bhandari: If I will have more questions I will come again .

Moderator: Thank you. The next question is from the line of Priyansh, an Individual Investor. Please proceed.

Priyansh: My question again pertains to the Sikkim hydropower plant. So what was the average generation of power in the June quarter and what is the power generation in the July month?

Nilay Joshi : So June quarter, the numbers that you see in the investor presentation for hydro, that is largely from Sikkim.

Padam Jain: This is the 100 million units in June quarter .

Priyansh: 100 million units. Okay. And in the July month?

Padam Jain: July, we shall have to take separately . We don't have it at hand.

Priyansh: Okay. Maybe I can reach out later to the team then.

Padam Jain: Yes, you can take offline.

Priyansh: Understood. Okay. That's it. Thank you.

Moderator: Thank you. The next question is from the line of Vedant Sarda from Nirmal Bang PMS. Please proceed.

Vedant Sarda: I wanted to know that what kind of ROCE we are targeting for the capex plans and for overall as a com

pany?

Padam Jain: Return on capital employed will differ project -to-project, but there are certain projects which are related with integration, there are new projects. So there are multiple variables and for different projects because if you go for hydropower projects, ROCE expectation is different because there you have consistency in the profitability. Then if you are going for the steel projects, then ROCE expectation will be different.

So specifying a specific, this is my ROCE expectation, project to project and looking to the market condition and ROCE also you have to see only in the terms, whether market is in the upward mode or downward mode.

In case of steel sector, when you enter into the, when the market is already down, ROCE immediately, if you compare, that may not be very good. So ROCEs totally depends upon the

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market conditions, but definitely, it should be much better than our weighted average cost of the capital. That is what is the criteria.

Vedant Sarda: Yes, sir, like we don't have any...

Nilay Joshi : Just to add to that, see, like Mr. Jain already explained, different projects will have different decision -making parameters. But I would suggest that while we don't want to give a ROCE number, but you can go by our past actions, okay? The historical numbers are there for you to see. So normally, that is the decision -making that we are applying. You can go by the past action. We don't want to put a number to it right now.

Vedant Sarda: We don't have any plans for steel expansion currently. And you also told any kind of opportunity if you see, you would like to grab that. So like if you find any kind of mine or anything, any project you are wishing. So some kind of numbers that if you can give, you are growing a company, you would be continuously doing capex, it seems.

Nilay Joshi : See, there have been multiple large capexes that we have done in the last few years itself, okay, that you would have seen, whether it was SKS Power, it was the hydropower project, etcetera.

So there, you can take the thought process, you can understand the thought process. We don't want to put a number because that becomes restrictive and that is not the only decision -making factor. It is an important decision -making factor, but not the only one.

Vedant Sarda: Okay sir, fine.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please proceed.

Arpit Shah: Just congratulations on a very great set of numbers, great acquisition in terms of SKS Power. I just wanted to understand the power that we generated in the quarter 1, quarter gone by, the realization was closer to INR6.16 per unit. So how should we think about this number? I think we were guiding around INR5 per unit earlier on, maybe in the second or the third quarter?

How should we look at this number going ahead? This is a sustainable number? Or this is a number just for quarter one and it just drags down and brings the total annual average to INR5 per unit?

Padam Jain: No. This what we earned in the first quarter may not be the right number for the whole year.

Definitely, generally, first quarter is always better because of the summer seasons. But in addition to that, there are multiple variables which decide the power pricing.

So second quarter always remains subdued, third quarter and all other things, other quarters, pricing depends upon the demand supply, then climatic conditions, how long the rains go on.

There are multiple variables. But yes, first quarter is definitely better for the thermal power

pricing, which may not be true for the whole year.

Arpit Shah: So how do we then look at because since you're already operating at 90% load factors, how should we think about SKS power numbers for FY '26? And since you already got a new Sarda Energy & Minerals Limited August 04

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hydropower plant operation from November to December, how should we look at the whole of the power segment in terms of EBITDA for FY '26?

Padam Jain: It's already told so far as capacity utilization is concerned, the annual average should be somewhere in the range of 80%, what we gave the guidance.

Arpit Shah: How should we think about the absolute EBITDA number for FY '26 because it's just power plant...

Padam Jain: Absolute EBITDA -- we don't give any specific EBITDA numbers. Last time also we had stated, in general, our power generation from the thermal power project should be in the range of 400 crores plus/minus units. And EBITDA will depend upon the electricity pricing, which is varies in the range and EBITDA may range somewhere about INR2. Plus minus 50 paisa.

Arpit Shah: Got it. And what kind of power generation in terms of units should be for hydropower?

Padam Jain: Hydropower capacity...

Pankaj Sarda: 167 megawatt is running.

Padam Jain: About 40% of the power load factor. 148 megawatts.

Arpit Shah: Okay. How much should be in terms of units?

Nilay Joshi : No, 167 megawatt and you take around 40% to 45% maybe of PLF.

Padam Jain: Maybe about 60 crores units you can assume.

Nilay Joshi : But then this is all dependent on rains. See, the right way to look at it, I would say, is your thermal will be very strong in the first quarter. Your hydro will be very strong in the second quarter. And the other two quarters, I mean, third quarter, there is some hydro and thermal will be okay.

So I mean, it will taper off for the third and fourth quarter may be a little weakness in hydro because of the rains not being there. So that's the right way to look at it. Second quarter, we should get support from the hydropower generation, while thermal might be a little weak.

Arpit Shah: Got it. So broadly, what we have to see is in annually, what we have to see we are broadly going to be at about 450 crores odd units combined hydro and thermal. Our EBITDA per unit should be INR2 plus minus .50 paisa . So that comes to about, let's say, closer to INR1,000 crores plus EBITDA for the power business as a segment. That's how we should think about it?

Padam Jain: I think that could be the reasonable expectation. Rest depends upon the market condition.

Arpit Shah: Got it. Perfect. Thank you so much.

Moderator: Thank you. The next question is from the line of Manav Gogia from YES Securities Limited. Please proceed.

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Manav Gogia: Thank you for the opportunity. Sir, one question much more on the numbers front. It was for hydropower. Would you be able to provide the average selling price per unit for the quarter?

Padam Jain: We don't have immediately, but it should be somewhere in the range of INR5.

Manav Gogia: More or less INR5 on an average. Got it.

Padam Jain: INR5 plus.

Manav Gogia: Sorry, I could not get you?

Padam Jain: INR5 plus.

Manav Gogia: INR5 plus. Okay. Got it. Got it. Sure, sir. Sir, second question would be on the Power segment, when, like would you be able to specify some ballpark time line of doubling the SKS power capacity?

Padam Jain: Because it's a long -term process of approvals, we have to go for all the environmental clearances and those approvals. So giving any time lines at this stage will be too early.

Manav Gogia: Got it. Got it. And sir, currently, we are doing the Gare Palma expansion from 1.68 to 1.8. And I believe the company's end goal would be to make sure that, that mine is particularly captive for your SKS power. So how do we see those expansions going ahead post 1.8 million for FY '26? And then if you could give some breakdown?

Pankaj Sarda: So post that, we are evaluating. I think so we'll take it, again, it totally depends on the environmental clearances in place. We'll try to expand it to 3 million ton plus.

Manav Gogia: Got it. And we'll be applying for fresh ECs for this expansion?

Pankaj Sarda: Yes, fresh EC has to be applied. So all the process will start after we receive 1.8 million ton environment clearance, all the approvals and everything for fresh ECs will be applied.

Manav Gogia: So more or less, we can assume an 18 - to 24 -month period to have things all on hand.

Pankaj Sarda: Max.

Manav Gogia: Can be a fair assumption, right? Maximum. Sure, sure, sir. And sir, one question on, if you could quantify the landed cost for imported coal for the steel operations just in case you have it handy?

Pankaj Sarda: So RB2 and RB3 coal landed to Raipur. And the freight also changes from time to time from Vizag to Raipur. So somewhere around INR8,000 per ton to INR10,000 per ton.

Manav Gogia: Sure. So we have seen some benefits on the cost front due to the prices going down in the international markets or they are yet to be accrued probably in the next quarter?

Padam Jain : Manish ji?

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Manish Sarda: No, we have been trying to avoid imported coal as much as possible as the domestic coal is also available. And our entire aim of the group is to ensure that we utilize maximum coal from our own mines. And only the shortfall is what we are trying to source from international markets.

And that too many times, we get good quality coal in auction from the Indian mines. So we are trying to maximize that strategy more rather than depending upon imports.

Manav Gogia: Got it. Got it, sir. Sir, one last question I wanted to have. Basically, currently, the SKS Power, we are selling it on IEX, right, if I'm not wrong?

Padam Jain : No, we have a mix. We are selling part of the quantity. But generally, it is short -term, not on a daily basis. We have bilateral contracts for short -term, medium term, both ways.

Manav Gogia: Got it. Okay. And do we plan to have the PPAs for the SKS Power plant in the upcoming months or probably this...

Padam Jain : We have PPAs, but there are some medium -term PPAs. There are certain short -term PPAs. And a part of small quantity, sometimes we sell even on the IEX on daily basis also, it depends. There is -- this is a mixed basket of the PPAs.

Manav Gogia: Got it. Got it. So my main agenda was to just realize that we currently had a realization of around about INR6.16 per unit. So we can expect if more PPAs are in place, this realization number to probably go down a bit in the...

Nilay Joshi : No. See, it is like this. On the PPA, our strategic thought process is clear. We had outlined it in the last call also that over -- I mean, we are -- the idea is to enter into a stable PPA -- long-term PPA. So tie up a significant part of the capacity in long-term PPA and the balance take the benefit of the market forces. So that is the broad idea. We are trying -- we are in the process of executing that.

Moderator: The next question is from the line of Rakesh Roy from Boring AMC. Please proceed.

Rakesh Roy: Yes. Hi, sir. Sir, one question regarding the margin front. As you mentioned nearby 76% of revenue comes from -- EBITDA comes from the power sector. And same our steel business, steel minus this EBITDA number from your power revenue, our steel EBITDA will get what is 18%, sir. So what is your outlook? And how is the Q4, Q1 FY '25 margin for steel business?

Padam Jain : Q4?

Rakesh Roy: Q1 FY '25? For this quarter, our steel margin is nearby 18% as per your data, sir. We have given data. In Q1 FY '25, how much our steel margin, sir?

Padam Jain : Q1 FY '25?

Rakesh Roy: Yes.

Nilay Joshi : Please look at historical data presentation for Q1 FY '25. You will get it on the exchanges .

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Rakesh Roy: Overall margin because it includes hydro also, sir, in Q1 FY '25. So I'm saying the only steel margin,

sir.

Nilay Joshi : No, no, we disclose segment -wise EBIT. You can refer to our past results and check for whatever quarter you want to.

Rakesh Roy: Exactly, sir. I'm asking about not EBIT, EBITDA number.

Padam Jain : Last year, it was definitely much better than as compared to the fourth quarter and first quarter '26. First quarter FY '25 was better than current year. Sorry, what is your question? Can you repeat your question? First quarter, what do you want to know?

Rakesh Roy: My question is, sir, this quarter, our steel margin is 18%, okay? Same last year's Q1, how much our steel margins sir? EBITDA number.

Nilay Joshi : If you go to Slide number 6 of the presentation, you will get Q1 FY '25 total EBIT broken up into the various segments.

Rakesh Roy: Exactly, sir. But this is for EBIT number. I'm asking about the EBITDA number, sir?

Nilay Joshi : That you can write to us, we will provide you. We don't have off line .

Rakesh Roy: Okay, sir. And sir, same thing, sir. Can you assume this number will improve from here onwards, 18%?

Nilay Joshi : It should. I mean there's a lot of discussion already part of it. We have given enough details

Rakesh Roy: Okay. And sir, EBITDA still in any chance in August or September, you will get any price hike because as you say, the price will increase or price will rise after monsoon. Any idea how much you are going to take and how is the market condition at that time? Do you have any -- can you give me a light on this?

Padam Jain : No. These are hypothetical questions. I don't think we will be able to give anything on that. Whatever outlook we could say we have already given in our opening address, rest depends upon the market conditions.

Rakesh Roy: Right. And sir last question, as you...

Moderator: Sorry to interrupt, Rakesh sir, may we request you to join the question queue? The next question is from the line of Jayesh Gandhi from Harshad Gandhi Securities Private Limited .

Jayesh Gandhi: Congratulations on good set of numbers. Sir, I have two questions. First one is what is our average realization for SKS in July?

Padam Jain: July, we'll be able to provide you off the line. We don't have in the hand immediately.

Jayesh Gandhi: Okay. But is it INR5 plus or we should think about lesser than INR5?

Padam Jain: It should be in the range of INR5.

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Jayesh Gandhi: Okay. And my other question is apart from whatever commissioned...

Padam Jain: INR5 plus only. I think INR5 plus only. It will be INR5 plus only.

Jayesh Gandhi: Okay. And my second question is apart from whatever capacity we have shown, which is commissioned for power, is there any additional capacity that we can think about getting commissioned this year?

Padam Jain: No. There is no other capacity which is getting commissioned this year, except 50 -megawatt solar power plant that will get commissioned during the current year.

Jayesh Gandhi: That will be for captive consumption, right?

Padam Jain: Yes. That will be for captive consumption.

Jayesh Gandhi: That's all from my side, sir. Good luck.

Padam Jain: 25-megawatt already commissioned in July.

Moderator: The next question is from the line of Mahek Talati from Agility Advisors.

Mahek Talati: So wanted to understand so we have a hearing in the next days. And we are planning to post a capex for the SKS as well. So, can we assume that the INR 1,000 crores debt resolution can be used here for the capex as well?

Padam Jain: Even if we start getting approvals, at least for the next one and a half to two years, there won't be any capex on that particular SKS project. So this resolution what we have taken will not be applicable for the SKS power project.

Mahek Talati: Okay.

Padam Jain: It is valid only for a year.

Nilay Joshi : It is just an enabling resolution

Mahek Talati: Understood.

Nilay Joshi :

What we clarified is, it is just an enabling resolution [] which we have been taking every year.

Mahek Talati: No, sir. That I understood. And sir, second question was, did we see any price drop for the coal, which we are acquiring for SKS power plant or they have been flat?

Padam Jain: SKS power plant, we are getting coal at the notified price.

Mahek Talati: Okay. So no change in the acquisition cost, right?

Padam Jain: There is no, yes.

Moderator: The next question is from the line of Rajesh Bhandari from Nakoda Engineers.

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Rajesh Bhandari: Sir, I have one point. The results that you show on the BSE site are actually standalone results, sir. So, if there are consolidated results, that is better because most of the companies, they give consolidated results. Ours comes as stand-alone results.

Nilay Joshi : Both come, sir. You see once. Both come. Both are there in the presentation and in the results,

sir.

Rajesh Bhandari: No. Not the presentation. No, sir. The one that comes on the page, sir, that one is not consolidated. That comes only this. Rest, if there is something in the details, then it comes consolidated. But normally, people see only on the first page of BSE. So, most of the companies, they give consolidated. This is just a request. Yes, sir.

Padam Jain: In the presentation, all the results are there. Standalone is also there and consolidated is also there. Sir, maybe there will be something in the front and back page.

Rajesh Bhandari: This is the only thing. Yes, sir. Please.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for the closing comments. Over to you, sir.

Padam Jain: Yes. Thank you. The performance improvement measures at our IPP are clearly reflected in the results of the quarter one. We remain confident of delivering record results for the financial year '26 despite sectoral challenges in steel. Our strategy of reinvesting surplus cash into diversified future-ready projects continues. The company continues to reinvest surplus funds in diverse projects to ensure long-term sustainable growth.

FY '26 will benefit from full year operations of the IPP power plant, increased coal production and the commissioning of three new projects, which are 25-megawatt Rehar hydropower plant, which commissioned in July 2025, mineral wool plant and 50-megawatt captive solar power plant. Thank you for joining us today. Please feel free to reach out to us or our Investor Relations team with any further queries. Thank you.

Moderator: Thank you. On behalf of Sarda Energy & Minerals Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

An ISO 9001, ISO 14001 & ISO
45001
Certified Company

SARDA ENERGY & MINERALS LTD.
20th November 2025

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No. : 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 12th November 2025

Please find enclosed herewith the transcript of the Q2 / FY 2 6 Earnings Conference Call conducted on 12th November 2025. This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Authorised Signatory

Encl: As above

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“Sarda Energy & Minerals Limited
Q2 & H1 FY '26 Earnings Conference Call ”
November 12 , 202 5

MANAGEMENT : MR. PANKAJ SARDA –MANAGING DIRECTOR – SARDA
ENERGY & MINERALS LIMITED
MR. PADAM KUMAR JAIN – DIRECTOR AND CHIEF
FINANCIAL OFFICER – SARDA ENERGY & MINERALS
LIMITED
MR. MANISH SARDA – DEPUTY MANAGING DIRECTOR
– SARDA METALS & ALLOYS LIMITED
MR. NILAY JOSHI – EXECUTIVE DIRECTOR – SARDA
ENERGY & MINERALS LIMITED

MODERATOR : MR. ANKIT JAIN – STELLAR INVESTOR RELATION

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '26 Earnings Conference Call for Sarda Energy & Minerals Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankit Jain from Stellar , Investor Relations. Thank you, and over to you, sir.

Ankit Jain : Thank you, Bhoomika. Good afternoon, everyone, and thank you for joining us today. To discuss Q2 and H1 FY '26 business performance, we have with us the senior management team of Sarda Energy & Minerals Limited, represented by Mr. Pankaj Sarda, MD; Mr. Man ish Sarda, Deputy MD; Mr. Padam Kumar Jain, Director and CFO; and Mr. Nilay Joshi, Executive Director.

Before we proceed with this call, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risks and uncertainties. The company also undertakes no obligation to update any forward -looking sta tements to reflect developments that occur after the statement is made. Documents relating to the company's financial performance, including the investor presentation have been uploaded on the stock exchange and the company's website.

I now hand over the conference call to the management, and then we'll open the floor for Q&A. Thank you, and over to you, sir.

Padam Kumar Jain: Thank you, Ankit. Good afternoon, ladies and gentlemen. The operating performance during the quarter was steady. We have achieved highest ever half yearly production of iron ore pellet, captive power, hydropower and coal in Indonesian coal mine.

The IPP thermal power plant ranked at 11th number in all India ranking of the capacity utilization for the half year against 125th rank in the previous year. The plant achieved power load factor of 85.27% as against 56.13% in previous year same quarter and 90.21% in quart er 1 of current financial year.

During the half year, hydropower generation grew by 32% year -on-year, to 482 million units, supported by above average monsoon and commissioning of 24.9 megawatt Rehar Hydropower plant in July.

Rehar Hydropower project of 25 megawatts commenced commercial operation on July 8, 2025. The plant generate d 55.38 million units, achieving power load factor of 110% during the quarter. We are supplying power to Chhattisgarh Power Distribution Company Limited under 40 -year long-term power sale arrangement at fixed generic tariff.

Coal mines - During the quarter, the company was declared successful bidder for Senduri coal block in Shahdol District of Madhya Pradesh. The company has received allocation order on 8th October 2025. The mine is near our existing Shahpur coal mine. As per schedule, w e have to

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start production by end of financial year 2033. This is an underground mine with average grade of G9 coal.

Now we have six coal mines in our fold, including two in joint venture, of which one is in Indonesia and one is in India. Two coal mines are in operation and one is under development, which is expected to come into production by end of next financial year.

We expect to get permission to enhance the production of Gare Palma IV/7 coal mine from 1.68

million tons per annum to 1.8 million tons per annum in the current quarter, and we will achieve the increased production in the financial year itself.

Power - As of now, we have a pipeline of three small hydropower projects of 25 megawatt each, totaling 75 megawatts, which are in different stage of approval. Captive solar

power plant of 50

megawatts, most of the equipments have been delivered and transmission line work is going on .

Project commissioning is expected before end of the current financial year.

30-megawatt TG set replacement work is on schedule with operations expected to begin by mid of next financial year. We will be taking shutdown of the unit in this quarter. During this period until solar power plant is commissioned, we will import power to meet temporary shortfall.

We are seeking necessary approvals required for expansion of our existing 600 -megawatt IPP thermal power project.

Financial performance - In quarter 2 FY'26, we posted consolidated revenue of INR1,528 crores, up 32% year -on-year and down 6% quarter -on-quarter. Quarter -on-quarter fall is on account of the seasonal factors.

Profitability - EBITDA rose to INR580 crores versus INR393 crores year -on-year with the energy segment contributing about 70% of the operating profit. Consolidated profit after tax grew 61% year -on-year to INR328 crores. The company has exceeded the last whole year's profit in the first half itself. The seasonal fall in power price realization affected the profitability of the thermal power operation, which was partly offset by higher generation of hydropower.

Debt and liquidity position - The company's net gearing that is net debt -to-equity ratio is negligible, providing headroom for financing growth opportunities. Net debt -to-EBITDA is also well below 1. Net debt as on 30th September stood below INR500 crores on the consolidated level as against about INR1,000 crores as on 30th June 2025. On a stand -alone level, we are net cash company.

The outlook on company's external credit rating, which is CRISIL AA - has been revised from Stable to Positive in November 2025. Long -term loans repayable within next 1 year stands at INR220 crores and liquidity remains robust with about INR2,200 crores in cash and liquid investments.

I now hand over to Shri Manish Sarda to discuss the industry overview and outlook. Over to Shri Manish Sarda.

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Manish Sarda: Thanks, Jain Saab. During the quarter, the power demand remained subdued due to extended rainfall and below average temperature. The weighted average price of power on IEX for the quarter fell to INR3.89 per unit as against INR4.37 per unit in quarter 2 FY25 .

The Indian Coal Index also fell from 140 in September 2024 to 124.68 in September 2025. The compensation cess of INR400 has been removed on coal, but GST has been increased from 5% to 18% with effect 22nd of September 2025. But still, it will reduce cost of coal and consequently, cost of power generation.

In H1 FY '26, India recorded growth of 13% in steel production as against degrowth of 2% globally and degrowth of 5% in China. In spite of degrowth in production, China's export of steel rose by 9.2% in 9 months ended September 2025 year -on-year. India remained a net importer of steel despite imposition of antidumping duty on certain steel products.

Iron ore prices remained range bound, but at higher level of trajectory. Steel prices were weak due to seasonal effect and imports. In October, India lifted antidumping duties on certain steel products such as flat rolled products and straight length bars and rods imported from countries, including China, Vietnam and Korea. This move reflects a shift of trade policy influenced by factors like supply chain needs and comes after the expiration of previous duties.

We have focused more on domestic market for sale of ferro alloys due to better realization. As a result, exports in the Q2 dropped from 28,200 metric tons to 27,600 metric tons. Macro indicators remain favorable with the inflation remaining below target levels, providing RBI headroom for accommodative policy initiatives.

So, post monsoon and festive season, construction activity picks up

, pushing up the steel

demand. Prices of steel products are also expected to improve from current levels. Hydropower generation is also expected to remain better year -on-year due to extended monsoon. Increased spending post -GST regime is expected to support economic growth and credit expansion.

That concludes our performance and outlook. Thank you.

Moderator: Should we open the floor for the question -and-answer?

Padam Kumar Jain: Yes.

Moderator: We will now begin the question and answer session. The first question comes from the line of

Amit from Emkay.

Amit: Thanks for the opportunity and congratulations on a good set of numbers in a difficult quarter.

So, my first question is, if you could provide some update on SKS power plant in terms of PLF, realizations and cost performance in Q2? And then, any guidance for second half of the year, specifically with the targeted cost savings, what could be the FY '26 exact rate on unit cost?

Padam Kumar Jain: So we had a PLF of 85% in the quarter, as we stated in our initial remarks, as against 90% in the quarter 1. And annual target, as we told, we should be able to achieve 80% of the PLF on average.

This is what is the annual average.

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Amit: Okay. And sir, with the cost saving, where could we see the exact rate of FY '26 unit cost?

Padam Kumar Jain: Unit cost, if you consider we expect the coal prices to be down by about INR200 to INR250 per metric ton. So, we should be able to save about 15 paise per unit of the power cost.

Amit: Okay. And then second, on the steel business, given that prices are soft and there is a growing supply by the primary steel makers, what kind of levers do we have on the cost side and product mix, so that we can defend our margins?

Padam Kumar Jain: Manish ji?

Manish Sarda: Can you just repeat the question again? Can you just repeat the question again, please?

Amit: Yes. Yes, sure. So on the steel business, the prices have been weak in the last few months, and there is a growing supply by the primary steel makers, new capacities have been put up by the large companies. What kind of levers do we have on the cost side and the product mix side, so that we can defend our margins?

Manish Sarda: So if you have seen that the steel prices have been weak and they've been weak like in the last few years, we have never seen this kind of weakness, which has happened. But I think this is the bottom of the steel pricing structure.

Now the point which you mentioned that the steel companies are -- the primary steel companies have been expanding. But at the same time, the secondary steel companies have also been expanding as the market is also expanding. There is a huge infrastructure push, which is there from the government, but which is delayed. And it's a demand-supply gap that should meet up in some time.

So I don't foresee see too much of a worry out here in terms of steel pricing. It's very cyclical, and it's just that we are in that cycle right now. And once this extended monsoon is over, we will see the uptick in pricing as well.

Because if you look at the raw material pricing per se, neither has coal gone down substantially and neither has iron ore moved out between the -- if you see the price band of iron ore, it's always been between \$96 and \$103 in China. And we have seen that there is a substantial reduction in production of steel in China as well.

So what we are foreseeing is that this was a very cyclical thing that has happened. And in the next few months, we'll be seeing the uptick of the prices because if you look at the raw material pricing also, it has not moved down quite a bit in terms of ferro alloys, in terms of coke, in terms of coal, in terms of iron ore. So, we don't see any further prices going down. In fact, from here, we are seeing an uptick that is going to happen in the pricing.

Padam Kumar Jain: One more point I would like to add, whenever we find an opportunity, instead of using the captive power for production, we sell power so as to maintain our margins. Instead of producing steel, we divert the captive power for sale into the market. That also reserves our margins.

Moderator: The next question comes from the line of Shashwat from Agility Advisors.

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Shashwat: Yes. So I just had two questions. First one is that, is the company planning to do any inorganic or organic growth in the next 2 years for -- specifically for the Power segment or any other opportunity that company is looking to go for?

Padam Kumar Jain: The company already have plans in hand for three more hydropower projects of 25 megawatts each. In addition to that, 50-megawatt solar power plant is already under execution. The company is also moving ahead with the expansion in our existing 600-megawatt IPP. It's approval process is going on. It will take some time to start capex on the thermal power. Otherwise, all the other four projects, we are already on with the capex. In addition to that, we have been constantly looking for both organic and inorganic opportunities.

Shashwat: Okay, sir. And apart from that, any other growth levers that we are seeing that could lead to the increased revenue and profitability for the next 2, 3 years?

Padam Kumar Jain: Can you hear me?

Shashwat: Yes, I can hear you. Yes. So, another question I had is that do you have any other growth levers that you are -- you can see that, that can lead to the increased revenue and profitability in the coming next 2, 3 years?

Padam Kumar Jain: Yes. We already have a few of the coal mines where we are spending capex and one of the coal mine will start production in the next financial year. In the second coal mine, we will increase our capacity presently from 1.68 million to 1.8 million Tonnes, then from 1.8 million to 3 million in the first phase and subsequently, maybe on further higher side. So that is another area where we will start generating revenues.

We have also participated in a few of the other acquisition opportunities, and that's an ongoing process. So, whenever something gets clicked, there will be additional opportunity. And as we told, we hardly have any loan on our books. So, our gearing is very, very low. So, for growth opportunity, if we find, we have sufficient capability to grab those opportunities and go ahead.

Shashwat: And sir, any update on the Supreme Court hearing?

Padam Kumar Jain: Supreme Court hearing had taken place twice. And again, it's continuously going on. Next, it will be held on 18th of this month. Hearing is going on.

Moderator: The next question comes from the line of Manav from YES Securities Limited.

Manav: Sir, my first question comes, we are looking at the coal mines at 1.8 million tons. What runway should we see going ahead for the expansion up to 5.2 million. Could you give me some timelines and how in the phase d manner are we going to grow this?

Padam Kumar Jain: In the first phase, we will move it from 1.8 million to 3 million tons approximately. And it will also take time of 2 to 3 years, to seek all the approvals. And before that, we don't have any coal consuming plant expansion also in hand. So before we have expansion of our power plant capacity, we will have expanded capacity in place.

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Manav: Got it. So basically, this coal expansion will take place around about in FY '28, and that's when the coal will start flowing into our power plants. That would be the ...

Padam Kumar Jain: No. Presently also, coal is flowing to our power plant. I said with the expanded capacity of power plant, we will require higher quantity of coal. So before that, the coal mine expansion will come up. And even we

can go for merchant sale also in between if there is some time gap in commissioning of the power plant, we will have merchant sale of the coal from our existing coal mine.

Manav: Got it. Got it. And just an extension of this. We also have coal mines in Indonesia. Could you give me what's -- how the annual mining capacity is out over there? And what sort of realizations and margins do we get? That is completely for merchant sales, I'm guessing.

Manish Sarda: So, in Indonesia, we are targeting a production of 1.8 million tons. But let me brief you that our Indonesian coal mines is on the -- what we call the backflow of the sea. And the advantage is that we have a jetty, but the disadvantage is that many times, there's a lot of flooding which happens because of heavy rains in that area.

Also, the land acquisition is a bit troublesome because of the plasma plantation of rubber and palm oil. So, we are trying and we have been continuously trying to seek the government intervention there, which happens from time to time in acquiring the land and the surface rights. And hopefully, we should be able to garner some strength in that and probably acquire some more lands. Because the expansion purely depends upon the land acquisition out there. That is one thing. But hopefully, we'll be touching 1.8 million tons in the coming 12 months.

As far as profitability is concerned, I right now, I wouldn't have the exact numbers, but Mr. P.K. Jain will get back to you on that. You can specifically ask for that on an e-mail or you can talk to Mr. P.K. Jain separately, and he'll be able to give you the exact numbers for the profitability. But decent operations have started taking place because of the volumes that we have been able to mine, and it's a profitable venture now. So -- and we are hoping with 1.8 million tons, it will become a little more profitable going forward.

Manav: Got it. Got it. That is quite helpful. Sir, my second question is for the thermal power generation that we do. Earlier, we used to have in our presentations, we also used to include the CPP production and sales. So, if you could just provide me with that number, I think it was missing from this presentation onwards?

Padam Kumar Jain: Yes. CPP, generally, we hardly sell very minimal quantum. So far as sales is concerned, it's a minimal as we said, whenever we get opportunity and where margins on the steel production is low, then only we sell the captive power. Otherwise, we don't sell.

But so far as production is concerned, during the quarter, we had a captive power generation of 339 million units as against 355 million units in the last quarter. And corresponding quarter of the previous year, we had generation of 336 million. So, it is in the range of 34 crore to 35 crore

Manav: Got it -- got it, sir. Sir, one last question would be on SKS Power. I mean, we have seen that the Supreme Court hearing is going.

Moderator: I'm sorry to interrupt you, Mr. Manav, but please rejoin the queue for further questions. The next question comes from the line of Prolin Nandu from Edelweiss.

Prolin Nandu: I have a -- first question is on steel and ferro alloy. While you alluded that prices are quite low and cycle should turn. But is there a scope to -- I mean, improve the product mix or probably think about getting into a forward integration right, so that we don't have to be dependent on cycle. Is there a thought process maybe not in the near term, but in the medium term to probably see how do we increase the share of value -add and get into some kind of a forward integration so that these cycles don't affect us as they have done in the past?

Manish Sarda: Sorry, can you just repeat again, because the voice is cracking up and coming. I'm in a little low signal area. So I would request you to kindly repeat the same, please.

ase.

Prolin Nandu: Yes. Am I audible now, sir?

Manish Sarda: Yes. You are audible even before. It's just that you were missing.

Prolin Nandu: I will repeat, sir. So my question was on steel and ferro alloy segment. While you have answered the question that we are at a cyclically low in terms of demand -supply mismatch. But my question was that, how do we ensure that we improve the mix or get into forward integration so that such cycles in steel don't affect us going ahead.

So is there a thought process maybe in near term or the medium term to ensure that we work on mix or maybe do some capex to get into some kind of a forward integration in these two segments?

Manish Sarda: So frankly speaking, we've had the brainstorming, which is always ongoing as a process in the group. And right now, we don't have any immediate focus. If you look at it, we were producing 6 million tons of -- 0.6 million tons of pellet. We have increased that capacity. So, we have increased our ferro alloys capacity in the last 1.5 years. If you've seen that we have come out with a new furnace at Vizag. We will be expanding, but we will be expanding with a lot of caution. And we will be expanding in a very strategic manner.

Now as Mr. P.K. Jain has also mentioned that we are looking at a couple of assets in the NCLT. So primarily, it may not be in the steel or in the ferro alloys sector. It can be in power, it can be in hydropower. It can be any asset which is strategic to us and which makes more sense in terms of our stakeholders and shareholders.

So, we are looking at expansion, continuous expansion, but may not be exactly in steel and ferro alloys. It may happen so that we go into steel and ferro alloys as well, but it has to be very strategic for us.

We are already looking at our iron ore mine, which we have acquired in Gadchiroli. If you are aware that the company has already got one mine in Gadchiroli. So, we are currently evaluating

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that as well. And we are seeing what downstreams we can do in that project, in that iron ore mine, so that it actually creates value for all the stakeholders.

Prolin Nandu: Sure. That's helpful. My next question is on the SKS and the thermal power. Now you are going to take a shutdown, right, is what you mentioned. So, this is going to be how long and is it going to be for -- how much is going to be the -- I mean, is this the yearly kind of a thing? Or is there something else that you intend to do? And also, can you help me understand how much of the capacity is earmarked under PPA? And what are our plans to get more PPAs on that particular power plant?

Padam Kumar Jain: So, part of the shutdown will be in this quarter, maybe second half of the December and part will be in January. So, the shutdown will be spreading over. And that is a routine annual maintenance shutdown. That happens every year.

Last year, it was in the month of September, October. This time, it is in the December, January, depending upon the demand -supply scenario, we move this here and there by 1 or 2 months. So that shutdown is planned based on the market conditions of the demand and supply.

Second, so far as PPAs are concerned, presently, most of the power we are selling in the short -term arrangement where we are tying up power for 1 month, 2 months, 3 months. And now we have entered into a few of the contracts for medium term, and we are also in dialogue for one long-term contract for part of the capacity.

So, what we -- our plan is that to have at least 50% tied up for medium or long term and out of balance 50%, some, maybe 20%, for the short to medium term and the remaining 25% in the open market. This is our long-term strategy for the project.

Prolin Nandu: And when do you intend to reach that strategy, sir, this mix?

Padam Kumar Jain: Sorry?

Prolin Nandu: By when do you intend

to reach this mix, sir? How much time will it take, sir, for our mix to be what you intend to, right? I mean, 50% long...

Padam Kumar Jain: We have already -- As I told, we have already tied up one medium-term contract for about 100 - megawatt, 125 -megawatt is under negotiation and 100 -megawatt for long term is under negotiation. So, we are already moving ahead. And I think before the end of this year, we should be able to achieve those targets. Our long-term strategy is that partly we have long term, partly medium term and partly short term for the open market conditions so that we have advantage of all the markets and average out the realizations.

Moderator: The next question comes from the line of Manav from YES Securities Limited.

Manav: So, my question is regarding the Supreme Court hearing. I think you mentioned it's going to be on 18th of November this month itself. And we have seen constantly that the dates have been getting shifted. So I mean, are we facing any challenges? Or how should -- I mean, what's your take on the same?

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Padam Kumar Jain: No, we are not facing any challenges. It's a legal process, which takes its own time. Two hearings have already taken place. One hearing is detailed arguments have already taken place. On the second hearing day, this could not happen because of other engagements of the court. So, next hearing has been fixed on 18th. So, it's a normal legal process, and it takes its own time. Otherwise, we are not facing any hurdle as such.

Manav: Got it. Got it, sir. And sir, my second question would be, could you...

Manish Sarda: Just to clarify, I think we are at the fag end of the court case, and there is absolutely no hurdle whatsoever. So you guys can be rest assured on that.

Manav: Got it. Got it. That is quite helpful. Sir, my second question pertains to what sort of capex can we look at FY '26 and FY '27?

Manish Sarda: Jain saab, they are asking for capex. There is a break in between but they are asking for capex for FY '26 and '27.

Padam Kumar Jain: FY '26, we have estimated capex of INR500 crores to INR600 crores. And for next 3 years, as we stated, we already lined up capex as of INR500 crores to INR700 crores every year. That is what is already committed. In addition to that, whatever opportunities we get. And now we will start working on the expansion of the IPP that is in addition to these things. What all capex I have explained to you relates to the iron ore mine, coal mine and hydropower projects.

Moderator: The next question comes from the line of Rajesh Bhandari from Nakoda Engineers.

Rajesh Bhandari: Sir, congratulations for the good results. And of course, it was a little down, which you also explained the reason. My main point is on the expansion of the thermal power plant, in which the process, the approval process is still going on. Sir, how much time will it take approximately?

Padam Kumar Jain: Sir, it will take at least 2 years on the minimum side.

Rajesh Bhandari: But we only have BTG, sir, boiler, turbine and generator. We have all the other peripherals?

Padam Kumar Jain: No, no, the approvals are, the environmental clearance, forest clearance and other government approvals are required. These approvals to set up the plant take time.

Rajesh Bhandari: Yes, yes. Okay. 2 years. And then we will install the plant in it. How much time will it take, sir?

Padam Kumar Jain: Now, for setting up the plant, time also depends on how is the delivery schedule at that time. It generally takes 3 years.

Rajesh Bhandari: Yes, normally 3 years. But our cost is going to be much lesser than a normal plant for 600 megawatts?

Padam Kumar Jain: Yes, definitely. Because we have ready infrastructure.

Rajesh Bhandari Ready infra. And by the time, our coal requirement also will be met from coal mining expansion?

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ergy & Minerals Limited

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Padam Kumar Jain: Yes, it will come from coal mining expansion. For IPP, we also get coal at a concessional rate from the government. So, we are in the coal belt and our power plant is surrounded by coal mines

Rajesh Bhandari: And that power selling will not be a problem, after 3 year...

Moderator: Sorry to interrupt you, Mr. Rajesh. But I request you to rejoin the queue for further questions.

The next question comes from the line of Prolin Nandu from Edelweiss.

Prolin Nandu: So again, a similar question to previous participant. In terms of expansion, right, is this going to be an 800 -megawatt expansion or 600 -megawatt expansion? And you mentioned that you have started the process of approvals, right? So, is it like we are -- it's more in our hand as to when do we execute ? Or are we going to time it?

Are you waiting for maybe Supreme Court's this thing to come before we expand? Just wanted to understand where are we, because I'm sure wherever you order your BTGs, right, they will have their order book full. So, it's sooner to probably -- I mean, better to place the order sooner rather than later. So, just wanted to understand, are we waiting for some milestone to get done before we push on the pedal for this new expansion? Or what is it?

Padam Kumar Jain: No. Approval is the preliminary requirement unless we have approvals in our hand. We are not waiting for anything. We are -- we have already gone ahead for approvals. All the studies have to be carried out. DPR preparation is going on.

And all those things, we are evaluating. All those options, as you told, shall we go for 660, 600, 800, all those studies are going on , parallelly. So, we'll take a final call to set up 600 megawatts, 660 megawatts or 800 megawatts depending upon the final recommendation of the experts on the viability study.

Because all the sizes have their own , both advantages and disadvantages. So looking to the peculiar location of the plant and all other things, based on the recommendation of the experts, we will go ahead with the capacity. And we have already moved ahead and taking steps for approval. So, we are not waiting for anything. And nothing that we are holding back for something or like that. So that process is already on.

Prolin Nandu: Understood. And once you -- what you said to the previous participant's answer was that, once you have decided which configuration to go with, after that, it will take 2, 2.5 years , for plant to get commercialized, right? Is that understanding correct in terms of time line?

Padam Kumar Jain: No, it's not only that (configuration) because by end of 1 year, I may be able to finalize my configuration. But unless I have approvals in place for going ahead with the project, I cannot start work on the ground. So that is an independent aspect. So first, we have to have the forest approval, forest clearance. That w ill take some time. After that, only we can start work on the ground.

Prolin Nandu: Got it. So it's the combination of two, three things, right? We're taking decision as to what we need to do. Simultaneously, approvals are in place. And then we place the order and whatever time it takes, right?

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Padam Kumar Jain: Yes, yes, yes.

Prolin Nandu: Okay. And one last question, sir. You mentioned that apart from this expansion of your existing coal mines, another mine, which you have acquired recently have -- will also come to production sometime next year, right? What is the capacity of that coal min e?

Padam Kumar Jain: That is 0.6 million tons per annum. That is Shahpur in State of Madhya Pradesh.

Prolin Nandu: Okay. And it will come in the second half of...

Padam Kumar Jain: Yes, that will come up for production in the next financial year.

Manish Sarda: And that's a high -grade coal

mine. That's a better quality coal mine.

Moderator: The next question comes from the line of Rajesh Bhandari from Nakoda Engineers.

Rajesh Bhandari : Sir, I have a one question. Which is the best quarter for thermal power and which is the best quarter for hydropower ?

Padam Kumar Jain: Sir, for hydropower generation -wise second quarter, that is July to September is the best. For thermal power , generally it is from February to mid of July. So, it covers -- February to mid of July.

Rajesh Bhandari : January to July. Okay , okay. Okay, Does the demand decrease after that, sir?

Padam Kumar Jain : In the monsoon , the demand for thermal power remains low because in the rainy season, climatic conditions are better. Hydropower generation increases and agriculture sector demand also goes down

Rajesh Bhandari : But does it pick up again after October?

Padam Kumar Jain: Yes, it picks up again after October because the demand for air conditioning remains low.

Rajesh Bhandari : That remains low. Correct, correct.

Padam Jain : And hydro generation is also better. Best part is February to July.

Rajesh Bhandari : Ji, Ji, The production of mineral fibre has started, sir. What turnover we can expect?

Padam Kumar Jain: Sir, it will take some time in marketing in the initial period . Because it is a new product .

Manish Sarda: Mr. Rajesh, let me tell you that the turnover in this will be, when the full -fledged production is done, it will be roughly around INR130 -, INR140 -odd crores.

Rajesh Bhandari : Okay. What is its application, sir?

Manish Sarda: It has various different products at different price levels. Some products are sold for INR40 and some for INR75. So, we are still in the process of getting approvals, etc. It will take some time to do an exact assessment and tell you, but it will be INR100 crores plus only when it operates

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full-fledged. It is more on -- please understand that your group Sarda Energy has gone in terms of reducing their carbon emissions, getting green tag, getting green council approvals for a circular economy within the plant premises.

So primarily, if you look at it, it's a product that we have started producing to be more carbon neutral to mitigate the risk of CBAM to a certain extent and to reduce the carbon footprint of the company overall. And the application of this product is in industries, in various industries, which is required, and it is also required in all the buildings, commercial buildings, industrial buildings, residential buildings.

Basically, it is insulation material, which goes into panels and then it is applied into the building outside facades and the roofs. And also this material is used for insulation in industries like pharma, steel, power plants.

Rajesh Bhandari : Yes, sir. Insulation has a lot of applications.

Moderator: The next question comes from the line of Manav from YES Securities.

Manav: Sir, one question in regards with Shahpur West mine in Madhya Pradesh that we are speaking of, the 0.6 million tons. You mentioned that this is a high-grade coal mine. So, I just wanted to know, are we going to be using this coal for power generation? Or is it steel-grade coal that this mine is going to be producing?

Padam Kumar Jain: This will be for the steel and ferro alloys, not for power. This is a high-grade coal, which will be used for -- to replace our imported coal application.

Manav: Got it. Got it. And sir, one question on hydropower. Considering that we had sort of extended monsoons, do we expect a higher PLF for this quarter, Q3 as compared to the last Q3?

Padam Kumar Jain: Yes, yes.

Manav: Okay. And the pricing also can be seen in the same range? Or do we have some subdued side on the pricing?

Padam Kumar Jain: I didn't get. Same range means?

Manav: Like as to the last year also, like on a quarter -

on-quarter basis, how is the pricing shaping up for the hydropower?

Padam Kumar Jain: Quarter-on-quarter, generation will be lower, because the second quarter is the peak season, full rainy season. But if you compare Year-on-Year, year-on-year, there will be reasonably good growth in the generation.

Manav: No, no, that I got it, sir. But how is the average selling price per unit going to be on a quarter-on-quarter basis from Q2 FY '26 to Q3 across the Power segment?

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Padam Kumar Jain: If you see for the two of hydropower projects, we have long-term tie-up. So, we have a fixed price irrespective of the quarter. For the whole year, we have a fixed price for 2x25-megawatt hydropower projects.

For Sikkim hydropower project, we are selling in the open market. So prices will be better than the second quarter because second quarter, we have the lowest price because of rainy season and the lower demand.

Third quarter prices move up and fourth quarter prices are much better. Fourth and -- peak is in the first quarter because that is April, May, June is the summer season, there you get the highest power realization. February, March also, you get very good price realization, but lowest price realization is in second quarter and November, December. These are the low price periods in power sector.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for the closing comments.

Padam Kumar Jain: Thank you. The operation of IPP and the newly commissioned Rehar Hydropower projects are fully stabilized, which is reflected in their capacity utilization. Solar power plant is expected to start operation by the end of current financial year. Shahpur coal mine will also commence operation in the next financial year. All these will add to the performance of the company in the ensuing quarters.

We remain confident of delivering record results for financial year '26 despite sectoral

challenges in the steel sector. Our strategy of reinvesting surplus cash into diversified future - ready projects provides visibility on the growth perspective.

Thank you for joining us today. For any queries, please feel free to reach out to us or our Investor Relations team. Thank you.

Moderator: On behalf of Sarda Energy & Minerals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

An ISO 9001, ISO 14001 & ISO
45001
Certified Company

SARDA ENERGY & MINERALS LTD.
16th February 2026

BSE Ltd
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street – Mumbai 400 001

Security Code No. : 504614 National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400051
Fax. No: 022 -26598237/38, 022 -26598347/48

Symbol: SARDAEN Series: EQ

Dear Sir,

Sub: Transcript of the earnings call conducted on 9th February 2026

Please find enclosed herewith the transcript of the Q3 & nine months FY 2026 Earnings Conference Call conducted on 9th February 2026. This is for your information and records.

This information is being hosted on the Company's website - www.seml.co.in.

Thanking you,

Yours faithfully,
For Sarda Energy & Minerals Ltd.

Company Secretary

Encl: As above

"Sarda Energy & Minerals Limited
Q3 & 9 months FY '26 Earnings Conference Call "
February 09, 2026

MANAGEMENT : MR. PANKAJ SARDA – MANAGING DIRECTOR – SARDA
ENERGY & MINERALS LIMITED
MR. PADAM KUMAR JAIN – DIRECTOR AND CHIEF
FINANCIAL OFFICER – SARDA ENERGY & MINERALS
LIMITED
MR. MANISH SARDA – DEPUTY MANAGING DIRECTOR –
SARDA METALS & ALLOYS LIMITED
MR. NILAY JOSHI – EXECUTIVE DIRECTOR – SARDA
ENERGY & MINERALS LIMITED

MODERATOR : MS. MANASI BODAS – ADFACTORS PR

Sarda Energy & Minerals Limited
February 09, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Sarda Energy and Minerals Limited Q3 and 9 months FY26 Earnings Conference Call , hosted by Adfactors PR. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal a n operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Man asi Bodas from Adfactors PR. Thank you, and over to you, ma'am.

Man asi Bodas : Good evening, everyone. And thank you for joining us today to discuss Q3 and 9 month FY26 business performance of SEML. We have with us Mr. Pankaj Sarda, Managing Director; Mr. Manish Sarda, Deputy Managing Director; Mr. Padam Kumar Jain, Director and Chief Financial Officer; and Mr. Nilay Joshi, Executive Director. Before we proceed with this call, I would like to mention that some of the statements made in this call may be forward -looking in nature and may involve risk and uncertainty.

The company undertakes no obligation to update any forward -looking statement to reflect developments that occur after the statement is made. Documents related to the company's financial performance, including the investor presentation, have been uploaded o n the stock exchange and company's website. I now hand over the conference call to Mr. Pankaj Sarda. Thank you, and over to you, sir.

Pankaj Sarda : Thank you, Man asi. Good evening, everyone. For the 9 -month period ended December 2025, the company has delivered a robust operating performance reflecting steady execution across our integrated Energy plus Minerals platform. Our focus on scaling the energy business, strengthening integration across mining, and maintaining discipline in metals has continued to support stability and predictability across cycles.

In line with this long -term strategy, the third quarter posted steady performance barring certain planned and timing -related factors. The quarter was impacted by the annual maintenance shutdown of the IPP, the shutdown of one captive power unit for equipment replacement, and a period of subdued metal and energy prices. These were largely anticipated operational events, and our integrated model helped absorb the impact while maintaining stability across businesses. Operationally, production across key assets remained broadly stable. Thermal power generation at IPP in Raigarh benefited from improved plant reliability and fuel availability, although planned maintenance affected output during the quarter. Hydropower generation followed normal seasonal patterns. For the 9 -month period, hydropower generation increased by 28% year-on-year to 621 million units, supported by above -average monsoon conditions and the commissioning of the 24.9 megawatt Rehar Hydro Power Project.

For the Rehar project, we have signed a 40 -year power purchase agreement with Chhattisgarh

State Power Distribution Company Limited. The tariff has been fixed at INR7.42 per unit, providing long-term revenue visibility and further strengthening the quality of our energy portfolio.

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Approval to enhance the capacity of the Gar e Palma IV/7 Coal Mine from 1.68 million tons to 1.8 million tons is at the final stage and is expected shortly. We remain confident of achieving the enhanced output within the current financial year.

Development of the Shapaur West high-grade coal mine is progressing as scheduled, with commissioning targeted before the end of the next financial year.

Approval processes for the Gar e Palma IV/5, Bartunga, and Sinduri Coal Mines are ongoing.

g.

Within our power portfolio, captive solar power 50 megawatt -- commissioning of the 50 megawatt captive solar power project is expected in the first quarter of the next financial year.

Work is progressing on schedule regarding the 30 megawatt TG set replacement; with commissioning expected by mid-FY27. Shutdown in December temporarily affected steel production at Raipur. We are also pursuing approvals for expansion of our existing 600 megawatt IPP thermal power project.

As an update on the ongoing litigation matter regarding SKS Power acquisition, the appeals filed by the unsuccessful resolution applicants have been heard by the honourable Supreme Court and the matter has been reserved for order.

Coming to the financial performance, consolidated revenue for Q3 FY26 stood at INR1,360 crores reflecting the impact of plant shutdowns and weaker price realizations.

EBITDA increased to INR395 crores compared to INR368 crores year-on-year driven largely by the energy segment.

Consolidated PAT stood at INR190 crores. For the 9-month period, PAT increased by 59% to INR954 crores.

Our balance sheet remains strong with negligible net gearing and net debt to EBITDA well below 1x. Consolidated net debt as of 31st December 2025 was below INR500 crores, significantly reduced from approximately INR1,500 crores as of 31st March 2025. And liquidity remains robust. On a standalone level, the company remains cash positive.

With that overview, I now hand over to Mr. Manish Sarda to discuss the industry overview and outlook. Over to you, Mr. Manish.

Manish Sarda: Thank you, Pankaj. And a good evening to everyone on the call. I will briefly touch upon the broader industry environment and the demand outlook across steel, power, and related commodities. During calendar year 2025, India stood out positively among global steel markets. Crude steel production in India grew by over 10% even as China and several global markets recorded contraction.

While China steel production fell to a 6-year low, exports increased by 7.5% to around 119 million tons, continuing to influence global trade flows and pricing dynamics. India's steel consumption reached approximately 160 million tons supported by sustained infrastructure spending and steady manufacturing activity. The imposition of safeguard duties has

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meaningfully altered trade dynamics, turning India back into a net exporter after six consecutive quarters of net imports.

Steel prices which had touched the multi-year lows earlier in the year recovered sharply towards the end of December and have strengthened by around 10% to 15% reflecting improving sentiment and tighter domestic supply conditions. From a policy perspective, the Union Budget's allocation of INR20,000 crores toward carbon capture, utilization and storage is a significant development. It's expected to support the adoption of greener technologies across energy intensive sectors such as steel and cement and reinforces the long-term policy commitment towards sustainability and green transition.

Turning to the power sector, demand during the quarter was largely flat on a year-on-year basis; thermal plant utilization which had softened since April showed signs of improvement towards December. Power prices on the exchange moderated with IEX average prices at around INR3.33 per unit compared to INR3.79 per unit last year.

Management: I'll continue with that there might be some line issue in the Manish Sarda's line. Nilay, can you hear?

Manish Sarda: Coal index prices also declined modestly during the period contributing to a relatively benign

fuel cost environment. Ferroalloys export in Q3 went up from 23,256 metric tons to 33,272 metric tons y

ear -on-year registering a growth of 43% . For 9-month period , it remained near flat.

Looking ahead, infrastructure spending , policy continuity and the ongoing expansion of India's manufacturing bases are expected to support economic activity and steel demand. Recent firmness in commodity and ferrous metal prices points to improving fundamentals while power prices have also show n signs of recovery since December.

To add on the power side, we have secured 200 megawatt of medium -term and 100 megawatt of long -term offtake to our IPP providing stability to cash flows. In addition, the signing of free trade agreements with regions such as the EU, the US and other market s is expected to support exports and enhance overall economic activity over the medium term. That concludes our overview of the industry environment and outlook. Thank you.

Moderator: Yes, sir. Should we open the floor for Q&A?

Pankaj Sarda: Yes, please go ahead.

Moderator: Okay. T hank you very much. We will now begin the question -and-answer session. The first question comes from the line of Manav Gogia with YES Securities Limited. Please go ahead.

Manav Gogia: Yes, hi. Good evening and thank you so much for the opportunity. Sir, first of all, wanted to ask a bookkeeping question. Could you give me what was the captive, you know, the CPP production and sales units for this particular quarter?

Padam Kumar Jain: Captive, pardon?

Manav Gogia: The captive power plant that we have , what was the ...?

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Nilay Joshi : Manav, you can refer to the investor presentation that has been uploaded on the website. You will find the data.

Manav Gogia: Yes, we have the IPP data over there, but not the CPP one.

Nilay Joshi : CPP, I mean nothing very meaningful.

Manav Gogia: On the production side as well? Because there was a planned shutdown I believe.

Padam Kumar Jain: 328 million units. And sales was 12 million units.

Manav Gogia: Okay. That is quite helpful. And for our IPP, what was the average tariff that we got for this particular quarter?

Padam Kumar Jain: Average tariff?

Manav Gogia: Yes.

Padam Kumar Jain: That was somewhere in the range of INR5.

Manav Gogia: INR5. And I mean in the opening remarks you mentioned we are seeing some improvements. So how is Q4 shaping up?

Padam Kumar Jain: Q4 will be better than this level. So it was lower than INR5, , not INR5. Now it will be slightly above , but we expect is above INR5.

Manav Gogia: Okay, okay. That is quite helpful. Sir, secondly, just wanted to know about, you know, the captive coal mine expansions that we are doing right now , moving from 1.8 to 3 million tonnes and then to 5.2. I think we had to apply for fresh ECs, right? If I'm not wrong. And where are we in the process of that right now?

Pankaj Sarda: Right, we are in the process.

Manav Gogia: Okay, so what timelines are we looking at for the 3 million tonne expansion , FY '27 end or...?

Pankaj Sarda: No, it will take minimum two years because forest clearance also is there apart from EC.

Manav Gogia: Okay. So sort of 18 months to 24 months period for the final ECs to arrive and then production?

Pankaj Sarda: Minimum 24.

Manav Gogia: Got it, got it. Yes, thank you. Sir, one question I also had, you know, I think we have -- we usually go for the SHAKTI coal , right , when it comes to our ...

Pankaj Sarda: Right.

Manav Gogia: Yes. So what would be the cost differential between the SHAKTI coal that we are using versus the captive coal from our Gare Palma mines?

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Pankaj Sarda: So, it is almost equivalent, I would say. In fact, our captive coal prices might be INR0. 10 higher per GCV.

Padam Kumar Jain: But we can use our captive coal for other purposes , including commercial sales. Because the market price of the coal for usages other than the power plant are higher than the SHAKTI coal. So we have option to sell the captive coal in the market.

Pankaj Sarda: As well as it totally depends on the auction also that is happening in SHAKTI coal. So sometimes we get it at cheaper prices, sometimes the prices are higher.

Manav Gogia: Okay, okay. Sure sir. One last question. Wanted to know, you know, what's the company's take on now doubling the capacities at SKS Power? How are those talks shaping up?

Pankaj Sarda: So, we have already signed an MOU with the state government. And we should get the MOU in hand, maybe in another one month. And then we'll start all the environment clearances process , etcetera .

Manav Gogia: Okay, but it's going to be sort of a story for three, four years down the line, right? I think all the approvals might take another two and a half to three years. Would that be the right understanding?

Pankaj Sarda: Correct.

Manav Gogia: Sure, sure, sure. Yes, that is quite helpful. I'll join back the queue for more. Thank you so much.

Moderator: Thank you. The next question comes from the line of Rajesh Bhandari with Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Good afternoon , sir.

Padam Kumar Jain: Good afternoon.

Rajesh Bhandari: Sir, I wanted to ask one thing, that regarding the new PPA you mentioned of 200 megawatt and 100 megawatt , at what rate is it happening and for how many years is it?

Padam Kumar Jain: Two PPAs are for 5 years each, one PPA is for 25 years. The medium term is in the range of INR5.25, the long term one -- it is in the range of I think INR5.60 to INR5.80 somewhere we have.

Rajesh Bhandari: Which one sir?

Padam Kumar Jain: Above INR5.50. Between INR5.50 and INR5.80.

Rajesh Bhandari: Okay. And one you mentioned just now, Mr. Pankaj, INR7.42 per unit. Which one is that?

Padam Kumar Jain: That is our hydro power project, the 25 megawatt hydro power project.

Rajesh Bhandari: Okay, so hydro gets more, is that it?

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Padam Kumar Jain: Yes.

Rajesh Bhandari: Secondly, I wanted to ask, regarding the budget that just came, the positive/negative impact plus the trade deals, so many of them , what will be the impact on our business overall?

Padam Kumar Jain: Overall, steel demand is bound to pick up. If industrial activity improves, power demand has to increase. Majorly, as export markets open , that will improve overall economic activity . And the huge spending on infrastructure, INR12 lakh crore s, that India is spending , that will create demand for steel and power both. Secondly, the government support of INR20,000 crore s for carbon capturing .

Rajesh Bhandari: Yes.

Padam Kumar Jain: Government support for technological upgrades will also improve efficiency of steel plants.

Rajesh Bhandari: Okay. Sir, one thing I wanted to ask, exactly what we are supposed to do for carbon capturing . What will be our expense and what will we get?

Padam Kumar Jain: There are many technologies, nothing specific yet. For carbon reduction there are many new technologies, incentives will be there to use them.

Rajesh Bhandari: Okay, okay. Okay sir, these were my points. Yes. Thank you sir.

Padam Kumar Jain: Thank you.

Pankaj Sarda: Thank you.

Moderator: Thank you. The next question comes from the line of Aman Goval , an Individual Investor. Please go ahead.

Aman Goval: Namaskar sir. Am I audible?

Pankaj Sarda: Yes.

Aman Goval: Okay, my simple question was that if you allow -- if we look sequentially or Y-o-Y, revenue, EBITDA, PAT in the last three quarters, growth looks like a downtrend. Even EBITDA leverage or PAT leverage looks like a downtrend. So what could be the reason? Are there headwinds? Or is there an issue in demand? What could be the reason?

Padam Kumar Jain: In fact, in the

first quarter, power price realizations are always better, thermal power particularly, because it is the summer season. So that gives above average realization in case of thermal power. And in the second quarter, hydro generation is higher. The third quarter is such that power prices are also lower and this time steel also touched 5-year low prices . So in the third quarter if you see , steel had gone down , bottomed out almost , because steel had fallen to 5-year low. So that had an effect .

And secondly, in the third quarter one of our power plants was in shutdown , 300 megawatt unit out of 600 was shut . Because of that our generation was quite low . So there are three effects .

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One is the pricing of the steel, which has gone down. Second is lower generation of hydro power because of seasonal effect and third is shutdown of the one unit of IPP for maintenance and one captive power plant unit was also shut down for replacement. That also had an effect on volume and profitability was lower in the third quarter.

Aman Goval: So considering this all we assume coming two, three quarters also will be in the same line or is there any improvement?

Padam Kumar Jain: As we said, in steel in the last 1.5 -2 months 10%, 15% price increase has happened. And from here as summer increases, thermal power price will also go up. Average we are considering annual INR5 should be there. So like in Q3 price stays lower and in fourth quarters will be better and first quarter again will be much higher because in summer you get the maximum price for power sales. Due to these factors from here things will improve.

Aman Goval: Current quarter will improve means whatever scale will form this time, suppose 30% or whatever scale will form for growth, revenue, so how do you see 2027, it's a positive or same?

Padam Kumar Jain: No, 2027 prices will be positive.

Aman Goval: Thank you, sir. This is from my side.

Padam Kumar Jain: Steel price is improving, secondly our hydro power project which started in July its additional revenue for the first quarter will also come. As the industrial activity is improving, power prices will also move up from here.

Aman Goval: Okay, sir. Thank you. This is from my side. Thank you for the answer.

Moderator: Thank you. The next question comes from the line of Rajesh Verma with Pragya Securities. Please go ahead.

Rajesh Verma: Good evening, sir. Sir my question was, given that there is healthy cash generation in the company, are you looking for some more inorganic expansion opportunities or you will focus more on Brownfield expansion only for now?

Padam Kumar Jain: We are looking for both inorganic as well as the Brownfield. Brownfield, already whatever we have plans and there are certainly – for Brownfield, we are taking up few of the Greenfield coal mines and Greenfield hydro power projects. So these are the Greenfield opportunities in addition to that we are looking up definitely for the inorganic opportunities also.

Rajesh Verma: All right sir. Sir, just a follow-up question on that. Given that there is -- there are so many tailwinds in sectors like nuclear energy, critical mineral mining and battery storage, do you have plans to diversify in any of these sectors sir?

Pankaj Sarda: So we are open for the opportunities and whenever all these mine blocks come we do study them as well. So if any opportunity comes knocking our door regarding these, we'll have a -- we'll have a positive outlook towards these.

Rajesh Verma: Sure sir, noted. All the best sir. Thank you. That was my question.

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Pankaj Sarda: Thank you.

Moderator: Thank you. The next question comes from the line of Pooja Rathore, an Individual Investor. Please go ahead.

Pooja Rathore: Hi sir, I want to check

with you, if we are on track to achieve the INR2,000 crore s EBITDA in FY '26, what could be the guidance for FY '27?

Padam Kumar Jain: We are in the cyclical industry so generally we don't give advance guidance, but what we foresee, it should be better from 2026, higher than 2026.

Pooja Rathore: Okay sir, thank you for taking the question.

Moderator: Thank you. The next question comes from the line of Nupur Gandhi with Siddhi Technologies. Please go ahead.

Nupur Ghandhi: Hello. Am I audible?

Moderator: Yes, ma'am.

Nupur Ghandhi: Sir I wanted to ask you a couple of questions. First being on the planned shutdown. So sir how long was it for approximately?

Pankaj Sarda: So it was around for 40 to 45 days.

Nupur Ghandhi: Okay, both the plants?

Pankaj Sarda: No. The first one unit that is 300 megawatt of our IPP unit was in a shutdown for 45 days for planned shutdown for a yearly overhauling. And another 30 megawatt plant turbine was taken on a shutdown on 1st December. This was Siltara captive power unit and it is being replaced with a new turbine and we'll start the turbine by mid of June.

Nupur Ghandhi: Mid of June?

Pankaj Sarda: Yes.

Nupur Ghandhi: Okay. And sir any update on the Supreme Court hearing?

Padam Kumar Jain: We already covered in our opening address. Hearing is closed and reserved for orders.

Nupur Ghandhi: Okay sir. Thank you, thank you. These were my questions.

Moderator: Thank you. The next question comes from the line of Dewang Sanghavi with Aba kkus. Please go ahead.

Dewang Sanghavi: Good evening, sir, and thank you for the opportunity. My first question is regarding SKS power plant. We had a guidance of 400 crore s units of generation and we have slightly lower in Q3. So are we on track to that particular number for the whole year?

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Padam Kumar Jain: Yes, we are on track.

Dewang Sanghavi: We are on track. And any guidance for next year for SKS generation?

Padam Kumar Jain: Generation should be slightly h igher from that level. It should be slightly higher from that level.

Dewang Sanghavi: 420 crores, 430 crore s units, is that a good number to take?

Padam Kumar Jain: Maybe 410, 420 in between somewhere it should be.

Dewang Sanghavi: Right sir. Secondly we said that steel prices have started moving up. So wanted to know on a quarter -on-quarter basis, I think point to point we had said 10 % to 15% hike. So what was the quarter 3 average and what could be the quarter 4 in terms of numbers? How high it should be?

Padam Kumar Jain: Quarter 3 average has been given in our presentation. And we can say the current price realizations, so from there you can consider about 12 % to 15% depending upon product to product.

Dewang Sanghavi: So 12% to 15% could be the blended hike from Q3 levels.

Padam Kumar Jain: Yes, blended. Ultimately some variation is moving up and moving dow n so giving specific percentage, but yes it should be in somewhere in th at range , Product to product there are variations. Say in case of pellet it may be 10%, in case of billets and wire rod it is in the range of 15%.

Dewang Sanghavi: Right sir . And what is in case of ferroalloys in terms of pricing this quart er as compared to last quarter t hat has increased?

Padam Kumar Jain: Slight improvement, not material, but yes there is some improvement but not much.

Dewang Sanghavi: Right sir. And the capex guidance for this year and next year? How much we spend in 9 months? What i s the Q4 we are going to spend a nd what is the guidance for FY27?

Padam Kumar Jain: We have spent more than INR400 crores already in the 9 months. And what we had given the guidance of INR500 crores to INR600 crores, we should be able to comfortably achieve somewhere in the range of INR550 crores to INR600 crores approximately. That will be the capex of INR600 crores for

the FY26. And similar expenditure for FY27 except the inorganic opportunities. For the organic opportunities what we have already committed, we shall be spending on capex .

Dewang Sanghavi: Thank you sir, this is pretty helpful and all the best.

Pankaj Sarda: Thank you.

Moderator: Thank you. The next question comes from the line of Rajesh Verma with Pragya Securities. Please go ahead.

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Rajesh Verma: Good evening sir. I just wanted to ask another question. When do y ou plan to -- by when do you plan to double the SKS plant capacity?

Pankaj Sarda: So already in one of the questions I have answered , so we have recently done a MoU with the state government. So this M oU copy we will get in a month or a 2-month time. And then we'll start the process of environment clearances and which will take another 2 years. So we'll then go for placing the orders.

Rajesh Verma: Sure. Thank you so much.

Moderator : Thank you. The next question comes from the line of Pooja Rathore, an Individual Investor. Please go ahead.

Pooja Rathore: Thank you, sir. I just had a follow -up. Earlier energy was a big lever for your growth, and now you're saying that minerals is also going to add value. How will the segment composition and the revenue contribution change? Will power continue to be, 60 %-69%? Will it increase, will it reduce and mineral will take over? How will it pan out?

Padam Kumar Jain : Power will remain in the present category, slightly it may be adding more value because ultimately minerals will also get converted into the energy only. So power will remain prominent

contributor to our bottom line.

Pooja Rathore : And, sir, in your opening remark you talked about how you move the ferroalloy capacity to domestic right now versus exports. Is that going to be the outlook for the rest of the year? And what's the differential in the realization, export versus domestic?

Manish Sarda : Can you please repeat again? If I am -- if I am able to hear you correctly, the question that you've asked that whether the domestic pricing or the export pricing was better?

Pooja Rathore : Ferroalloys, yes.

Manish Sarda : Yes, in the ferroalloys, right? So on certain -- on certain grades like the 70 grade silico manganese that we produce, we get a better realization in export and on certain grades like 60 - 14, the domestic market is far better compared to the export markets. And primarily the pricing remains almost the same, it's only the payment cycles which get impacted in terms of exports because in the export markets you typically have around 21 days of payment cycles.

Pooja Rathore : So is that going to be the trend that you'll continue focusing on domestic? Is the demand strong enough?

Manish Sarda : We will be continuously focusing on domestic as well as export markets because we have a very dedicated domestic market and we have a very dedicated export market. And, we keep a tab on the pricing on a regular basis as to where we get our realizations which are the best for the company. But there are also angles of what you call continuity of supplies because on certain contracts this cannot be, you know, opportunistic. The export markets have to be continuously fed.

Pooja Rathore : No, fair enough. Of course there are some long-term relationships...

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Manish Sarda : Yes, some long-term relationships because it's very difficult, to pinpoint a certain contract. There are certain contracts which you have to maintain for continuity as well.

Pooja Rathore : Understood. Thank you so much.

Manish Sarda : Thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Padam Kumar Jain : Thanks to all the participant

s who have come on the call. To conclude, the quarter reflects steady execution against our strategic priorities, supported by a constructive pricing environment across both Energy and Metals. We have continued to make visible progress on our growth initiatives. Gare Palma IV/7 mine is in the final stage of receiving the enhanced capacity approval of 1.8 million tons. Our solar power plant is expected to commission operations in the next quarter, and the Sahapur mine remains on the track for commissioning next year.

In parallel, we continue to evaluate opportunities in the green power to further strengthen our future-ready portfolio. Our disciplined approach to deploying surplus cash into diversified long-term growth projects provides strong medium-term visibility and reinforces our commitment to sustainable value creation.

Thank you for joining us today. Should you have any questions, please feel free to reach out to us or to our Investor Relations team. Thank you.

Moderator: Thank you. On behalf of Sarda Energy & Minerals Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you.